BayernLB
2016
Annual Report and Accounts

Consolidated financial statements

BayernLB

BayernLB Group at a glance

Income statement (IFRS)

EUR million	1 Jan – 31 Dec 2016	1 Jan – 31 Dec 2015	Change in %
Net interest income	1,475	1,612	– 8.5
Risk provisions in the credit business	– 87	– 264	– 67.2
Net interest income after risk provisions	**1,389**	**1,348**	**3.0**
Net commission income	296	289	2.2
Gains or losses on fair value measurement	142	– 56	–
Gains or losses on hedge accounting	– 80	– 24	>100
Gains or losses on financial investments	274	286	– 4.0
Administrative expenses	– 1,280	– 1,168	9.6
Expenses for the bank levy and deposit guarantee scheme	– 88	– 90	– 2.0
Other income and expenses	51	71	– 27.2
Gains or losses on restructuring	4	– 10	–
Profit/loss before taxes	**708**	**646**	**9.6**
Income taxes	– 158	– 150	5.2
Profit/loss after taxes	**550**	**496**	**10.9**
Cost/income ratio (CIR)	59.3%	53.6%	5.7 pp[1]
Return on equity (RoE)	8.1%	6.7%	1.4 pp[1]

Balance sheet (IFRS)

EUR million	31 Dec 2016	31 Dec 2015	Change in %
Total assets	212,150	215,713	– 1.7
Business volume	251,897	252,468	– 0.2
Credit volume	174,225	175,428	– 0.7
Total deposits	141,005	146,390	– 3.7
Securitised liabilities	39,618	34,840	13.7
Subordinated capital	3,081	4,719	– 34.7
Equity	11,056	11,070	– 0.1

Banking supervisory capital and ratios under CRR/CRD IV (after close of year)

EUR million	31 Dec 2016	31 Dec 2015	Change in %
Common Equity Tier 1 capital (CET1 capital)	9,564	10,537	– 9.2
Own funds	11,059	12,214	– 9.5
Total RWA	65,206	69,606	– 6.3
CET1 ratio	14.7%	15.1%	– 0.4 pp[1]
CET1 ratio (fully loaded)	13.2%	12.0%	1.2 pp[1]
Total capital ratio	17.0%	17.6%	– 0.6 pp[1]

Employees

	31 Dec 2016	31 Dec 2015	Change in %
Number of employees	7,133	7,082	0.7

Current ratings

	Long-term	Short-term	Pfandbriefs[2]
Fitch Ratings	A -	F1	AAA
Moody's Investors Service	A2	P -1	Aaa

1 Percentage points.
2 Applies to public Pfandbriefs (Fitch and Moody's) and mortgage Pfandbriefs (Moody's).

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Foreword

*Dear customers and business partners,
ladies and gentlemen,*

Last year BayernLB made further progress along the successful path it has chosen and posted an excellent profit before taxes of EUR 708 million. This was a significant improvement over the strong earnings of EUR 646 million in 2015. It also underlined our strengths in the customer business in a challenging market environment with persistently low interest rates, high regulatory costs and stiff competition. Furthermore, we achieved very good operating income in all asset classes, which is a solid vote of confidence by our customers in the expertise and professionalism of our staff.

While good earnings may certainly be clear evidence of a bank working successfully – they are by no means the only indicator. Our non-performing loan ratio fell further and is now at an excellent level. We were given ratings upgrades by Moody's and Fitch in 2016, which is not only a strong signal that BayernLB is viewed favourably as a long-term partner with strong credit ratings, it has also led to improved funding terms and more business opportunities for our Bank. And we have kept efficiency levels at BayernLB very high despite the rising costs of meeting regulatory requirements and in spite of investing in the future of BayernLB, where the main focus is on steadily improving our IT platform and digital offering. For example, our cost-income ratio is now 59.3 percent, which is very favourable, even compared to peers.

All this has reinforced the positive performance that BayernLB has posted in the past few years. During this time we have established ourselves as one of Germany's leading corporate and real estate lenders. We have also continued to strengthen our close partnership with the savings banks. In retail banking, we have expanded DKB's position as the second largest online bank in the German market and raised its profile as a trailblazer in digital banking through other successful partnerships with fintechs such as Gini, Barzahlen.de and FinTecSystems.

In the corporate customer business too, BayernLB continues to pursue its proven strategy of expanding its range through partnerships, allowing it to offer top-quality products and services in segments it is not specialised in. In November 2016 we signed a partnership with Standard Chartered Bank to work together in trade finance in Asia. We will now be able to offer companies and savings banks in Germany an even wider range of services for their business throughout the Asian continent. Our partnership with private bank Berenberg, which was initiated in 2015, paid off in the reporting year when we provided joint support for initial public offerings and other capital measures on the market.

These initiatives have placed the needs of our customers very much in the spotlight – a principle which governs our business activities in all segments. A study by consulting firm Greenwich Associates last year confirmed these measures result in high customer satisfaction. After a vote by more than 600 companies and financial Institutions, BayernLB was chosen as a quality leader in Mittelstand banking in Germany. At the start of this year we were awarded the Best Arranger of Schuldscheine at the Global Capital Awards in London. In addition, BayernLB's solidity was demonstrated in the bank stress tests by the European Banking Authority (EBA) in July 2016. Even in the stress scenario, which simulates the impact of an economic and asset price shock on European banks, and applying the strict "fully-loaded" criteria, BayernLB's capital base remained absolutely solid thanks to the high quality of its portfolios.

At the end of the year, our Common Equity Tier 1 (CET1) ratio was a robust 14.7 percent (fully loaded: 13.2 percent) – even after BayernLB paid back another EUR 1.3 billion of silent partner contributions to the Free State of Bavaria in April 2016. We will be making interest payments for 2016 to the Free State of Bavaria on the remaining silent partner contributions in the amount of EUR 1 billion. We are also servicing from the 2016 profit all current and in-arrears interest payments due on silent partner contributions and profit participation rights.

In the years to come we will work hard to safeguard our business success in a challenging environment which has long become the new normal for banks. At the end of 2016 we launched a new efficiency programme to firmly embed a culture of efficiency in all business areas and hierarchical levels that goes well beyond mere cost consciousness. This will mean driving further forward the modern, agile organisation of our Bank by steadily fostering entrepreneurial thinking and action, personal responsibility and a culture of innovation. On behalf of my Board of Management colleagues and all the staff at BayernLB, I would like to thank you, our customers and business partners, for the trust you have placed in us. We look forward to working with you in the future.

Sincerely,

Dr Johannes-Jörg Riegler
CEO

The Board of Management

Allocation of tasks
as at 27 April 2017

Dr Edgar Zoller
Deputy CEO

Real Estate & Savings Banks/ Association
Bayerische Landesbodenkreditanstalt
Real I.S. AG Gesellschaft für Immobilien Assetmanagement

Marcus Kramer
Member of the Board of Management
CRO

Risk Office
Credit Consulting
Group Compliance

Dr Markus Wiegelmann
Member of the Board of Management
CFO/COO

Financial Office
Operating Office

Dr Johannes-Jörg Riegler
CEO

Corporate Center
Deutsche Kreditbank AG

Michael Bücker
Member of the
Board of Management

Corporates & Mittelstand

Ralf Woitschig
Member of the
Board of Management

Financial Markets
BayernInvest Kapitalverwaltungs-gesellschaft mbH

Report by the Supervisory Board

Ladies and gentlemen,

Over the past financial year, we advised the Board of Management on the administration of the company and continually monitored its management activities.

BayernLB's Board of Management kept the Supervisory Board and its committees informed of key developments at the Bank and within the Group in 2016 at regular intervals, both promptly and comprehensively, in writing and orally. This included its supervisory duty to disclose deficiencies detected by the internal Audit division.

We held detailed discussions with the Board of Management on BayernLB's business policy and fundamental issues relating to corporate planning, especially in its financial, investment and personnel aspects. We were also briefed on business performance, focusing especially on earnings, expenses, risks, liquidity and capital status, profitability, legal and business relations, and material events and business transactions of the Group.

Between meetings, as Chairman of the Supervisory Board, I remained in regular and close contact with BayernLB's Board of Management, particularly the Bank's CEO. The Supervisory Board was also notified in writing of important matters and, where necessary, resolutions were passed.

The Supervisory Board was involved in key decisions affecting BayernLB and gave its approval where necessary.

As in the previous year, meetings were once again held in financial year 2016 between the Joint Supervisory Team from the ECB and national supervisory authorities on the one hand and the Chairman of the Supervisory Board and the chairpersons of the Audit Committee and Risk Committee on the other to discuss the main issues pertaining to the respective body. These focused on strategic and regulatory matters and on BayernLB's risk situation.

For the banking sector as a whole, the past financial year was once again dominated by persistently low interest rates, ever tighter regulatory requirements and stiff competition. Within this environment, the Supervisory Board and Board of Management consistently worked together under the guiding principle of securing BayernLB's future success and growth.

Supervisory Board meetings

In the reporting year the Supervisory Board held a total of ten meetings which were also attended in each case by representatives of legal supervisory authorities and, in some cases, by banking supervisory authorities.

Besides the detailed reports by the Committee chairpersons on the activities of the various boards and committees, the scheduled Supervisory Board meetings dealt with the regular reports by the Board of Management on the status of BayernLB's financial position and performance and on regulatory and supervisory issues, especially the results of the on-site audits by the supervisory authorities. A key focus of our activities here in the past financial year was on how to approach various IT-related issues, in particular the progress of the project set up to update and improve IT infrastructure. We subjected the Board of Management's reports to the Supervisory Board to critical scrutiny and requested additional information in some cases, which was always immediately provided in full.

In addition, the Supervisory Board spent the past financial year dealing in detail with various "Offshore" issues related to the disposal a few years ago of the private banking business of its former Luxembourg subsidiary bank.

Over several meetings, after prior consultation in the relevant committees, we discussed Board of Management and Supervisory Board affairs, including the assessment of the Board of Management and Supervisory Board, which must be conducted in accordance with statutory requirements, and matters relating to remuneration policy. The latter took account of the new draft Remuneration Ordinance for Institutions (InstitutsVergV). We also set the targets for the Board of Management for 2016 and agreed the feedback to the members of the Board of Management for the past financial year.

Additionally in 2016, we regularly discussed BayernLB's capital situation, especially with regards to the conditions under the EU state aid proceedings. Another regular item on the agenda was our DKB subsidiary, specifically its current financial position, performance and risk situation.

In January 2016, as part of the strategy dialogue, the Supervisory Board took a close look at the business strategy and related sub-strategies. We also held detailed talks with the Board of Management on the Group's medium-term planning for 2016–2020, which we subsequently approved. Furthermore, the Board of Management gave us its preliminary indications for the 2015 annual financial statements. We also were updated on the current status of the partnership with private bank Berenberg.

In our March meeting, we discussed in detail the business performance in 2015. The Board of Management updated us on the current status of the talks with the European Commission and the progress made in the transformation project in the Financial Markets division. We also discussed the sale of our stake in Deutsche Factoring Bank, which we approved.

In April 2016, the focus was on the Board of Management's Report for financial year 2015, the adoption of the annual financial statements and the approval of the consolidated financial statements. The resolution was based on the recommendations of the Audit Committee and a subsequent detailed discussion with the auditors Deloitte & Touche GmbH Wirtschaftsprüfungsgesellschaft. In accordance with a proposal by the Audit Committee, the Supervisory Board recommended to the General Meeting that the auditing firm Deloitte & Touche GmbH be reappointed to audit the 2016 annual financial statements of BayernLB and the Group, which the General Meeting agreed to. We also discussed the potential signing of another banking partnership with Standard Chartered Bank and noted both the HR report and status report on variable remuneration for employees in financial year 2015. Other key aspects of the meeting were the 2015 annual report by the internal Audit division and extending the term of the remuneration officer and her deputy.

In our closed meeting in May 2016, we dealt with corporate governance issues, initially in an internal consultation. Another area we looked at was the updating of key planning parameters and their impact on the medium-term planning for 2016 – 2020. The Board of Management also reported on the current status of its management agenda and changes to the committee structure below Board of Management level. Other important aspects of the meeting were a status report on Project BCBS 239 and the presentation of the participations report for financial year 2015.

Our meeting in July 2016 focused on the results of the IT audit by the ECB. The Board of Management briefed us on the impact of the pro-Brexit referendum and the current status in connection with the EBA stress test. We also discussed the new Market Abuse Regulation (including “directors’ dealings”) and noted the remuneration officer’s remuneration review report.

The discussions in our September meeting centred on an additional update of the key planning parameters and, in consultation with the Board of Management, their impact on medium-term planning. We also consulted with the Board of Management on the ECB’s decision to create new supervisory requirements (SREP decision). Another topic on the table was strategic issues in connection with our asset management subsidiaries. Moreover, we agreed to expand the existing Nominating Committee into an Executive and Nominating Committee, including the additional tasks related to this. Furthermore, we noted a number of reports on IT.

Key points of the December meeting were the status report on the current performance of our sales offices, (large) regulatory projects and updates to the recovery plan in accordance with the Recovery and Resolution Directive (SAG). Bank employees also presented the new digital customer portal.

In addition to this regular meeting, another closed meeting of the Supervisory Board took place. This focused on issues relating to business strategy, including the new corporate concept of our DKB subsidiary. The main item on the agenda was the Group’s medium-term planning for 2017 – 2021, which we discussed in detail with the Board of Management and then approved. The Board of Management also briefed us on the current status of the Bank’s efficiency programme.

Supervisory Board committees – an overview

In a total of eight meetings, the **Risk Committee** dealt with all major issues relating to the risk strategy approved by the Board of Management and all aspects of BayernLB’s risk situation at both Group and Bank level. It discussed the Group-wide risk strategies, which must be updated at least once a year, and approved individual loans requiring authorisation. It also examined reports by the Board of Management on sub-portfolio strategies, risk trends and especially risk-bearing capacity. The Risk Committee also checked whether the terms and conditions in the customer business were in line with the Bank's business model and risk structure.

Other areas the Committee was involved in over the course of 2016 included the impact of low interest rates on BayernLB's sales units and DKB, the management and monitoring of market risks and improvements to reputational risk management. The Risk Committee and the Board of Management also regularly discussed the potential impact of geopolitical and macroeconomic risks.

The **Compensation Committee** carried out its legally mandated duties in a total of six meetings. It discussed in particular the Board of Management's reports on the structure of the remuneration systems for employees (focusing partly on their relationship to the business and risk strategy), monitored their suitability and received regular updates on specific issues. It evaluated the impact of the remuneration systems on the Bank's and Group's risk, capital and liquidity situation and discussed the size and distribution of a total bonus pool. The Compensation Committee also discussed with the Remuneration Officer her report on the suitability of the remuneration systems for BayernLB staff. It additionally devoted much of its attention to enhancing the remuneration systems for employees and for members of the Board of Management taking into account imminent new regulatory requirements. Under its original area of responsibility, the Compensation Committee also advised on matters related to Board of Management remuneration and prepared decisions by the Supervisory Board.

The Compensation Committee and Risk Committee worked closely together and regularly exchanged information.

The **Nominating Committee** (renamed the **Executive and Nominating Committee** with effect from 1 October 2016 in conjunction with an expansion of its tasks) met three times in the reporting period. The discussions centred on corporate governance issues and business policy. The Committee also prepared decisions on Board of Management matters for the plenary session. Furthermore, the Nominating Committee carried out an assessment of the Board of Management and the Supervisory Board in accordance with the German Banking Act.

In its five sessions the **Audit Committee** mainly dealt with the monitoring of the accounting process and the effectiveness of the internal control system, the internal auditing system and the system used for risk management. It also discussed in detail the monitoring of the audit of the annual financial statements and of the consolidated financial statements and the review and monitoring of the independence of the auditors, particularly the additional services performed by the auditors for the Bank. In 2016, the internal Audit division and Group Compliance reported to the Audit Committee on their work and audit findings. The Committee deliberated on the money laundering and financial crime threat analysis and conferred with the auditors Deloitte on what the audit of the 2016 annual financial statements should focus on. Other key points on the agenda of the Audit Committee in 2016 included in particular the impact of the auditor reforms and the progress of the project set up for improving IT.

In its two meetings, in accordance with its legal duties, the **BayernLabo Committee** dealt with all matters in respect of BayernLabo on behalf of the Supervisory Board and passed resolutions concerning BayernLabo's affairs for which the Supervisory Board is responsible. It also discussed the business and risk strategy, refinancing and HR planning with both the Board of Management and BayernLabo Management. The Committee was updated by the Board of Management and BayernLabo Management on business performance and it approved BayernLabo's own contribution to its internally funded programmes.

The Supervisory Board and respective committees carried out the tasks assigned to them by law, the Statutes and current Rules of Procedure.

Additional specialist training

The Supervisory Board attended two information events given by specialists from the Bank, external experts on regulatory requirements and supervisory law and representatives of the external auditors on current developments, with the focus on BayernLB. Besides macroeconomic aspects, they delved into selected areas of supervisory law and regulatory requirements, especially developments in banking regulation and various IT-related issues.

Corporate governance

The BayernLB Corporate Governance Principles set out the regulations on corporate management and corporate supervision that apply to BayernLB on the basis of binding and in-house regulations. The Supervisory Board discussed compliance with these Corporate Governance Principles in 2016 in its meeting on 15 March 2017. The Board of Management, Supervisory Board and General Meeting agreed that they were aware of no evidence that these principles had not been observed in financial year 2016.

Changes to the Supervisory Board

Ralf Haase stepped down from the Supervisory Board on 31 July 2016 and was succeeded in the post by Henning Sohn on 30 August 2016. Dr Hubert Faltermeier stood down from the Supervisory Board on 31 December 2016 and Dr Kurt Gribl was appointed his successor with effect from 1 January 2017.

Audit and approval of the 2016 annual financial statements

Deloitte GmbH Wirtschaftsprüfungsgesellschaft conducted the audit of the annual financial statements and consolidated financial statements of the Bank, the management report and the Group management report and the annual financial statements and management report of BayernLabo, a legally dependent institution of the Bank. Deloitte issued an unqualified opinion. The Supervisory Board and BayernLB's BayernLabo Committee each verified the independence of the auditors of the financial statements in advance.

The financial statements documentation and audit reports were duly presented to all Supervisory Board members. The BayernLabo Committee and the Audit Committee discussed each of the documents forming part of the annual and consolidated financial statements in conjunction with the auditors' audit report and in detail with the auditors themselves. Each committee chair reported to the Supervisory Board on this matter.

In its meeting of 26 April 2017, the BayernLabo Committee adopted BayernLabo's submitted annual financial statements and approved the management report to BayernLabo's accounts.

In its meeting today, on the recommendation of the Audit Committee, and after examining the auditors' reports and the annual and consolidated financial statements documentation and discussing these in detail with the auditors, the Supervisory Board approved the findings of the audit and concluded that it had no reservations even after the final outcome of the audits.

In its meeting today, the Supervisory Board adopted the Bank's annual financial statements submitted by the Board of Management and approved the management report; it also approved the consolidated financial statements and Group management report.

Furthermore, the Supervisory Board proposed to the General Meeting that the Board of Management be discharged. The General Meeting gave its approval to these proposals in its meeting today.

A thank you to the customers, the Board of Management and the staff

The Supervisory Board would like to thank all of BayernLB's customers and business partners for their loyalty over this past financial year. It also wishes to thank the members of the Board of Management and all of BayernLB's staff for all their hard work over the past year, and for their huge personal contribution.

Munich, 27 April 2017

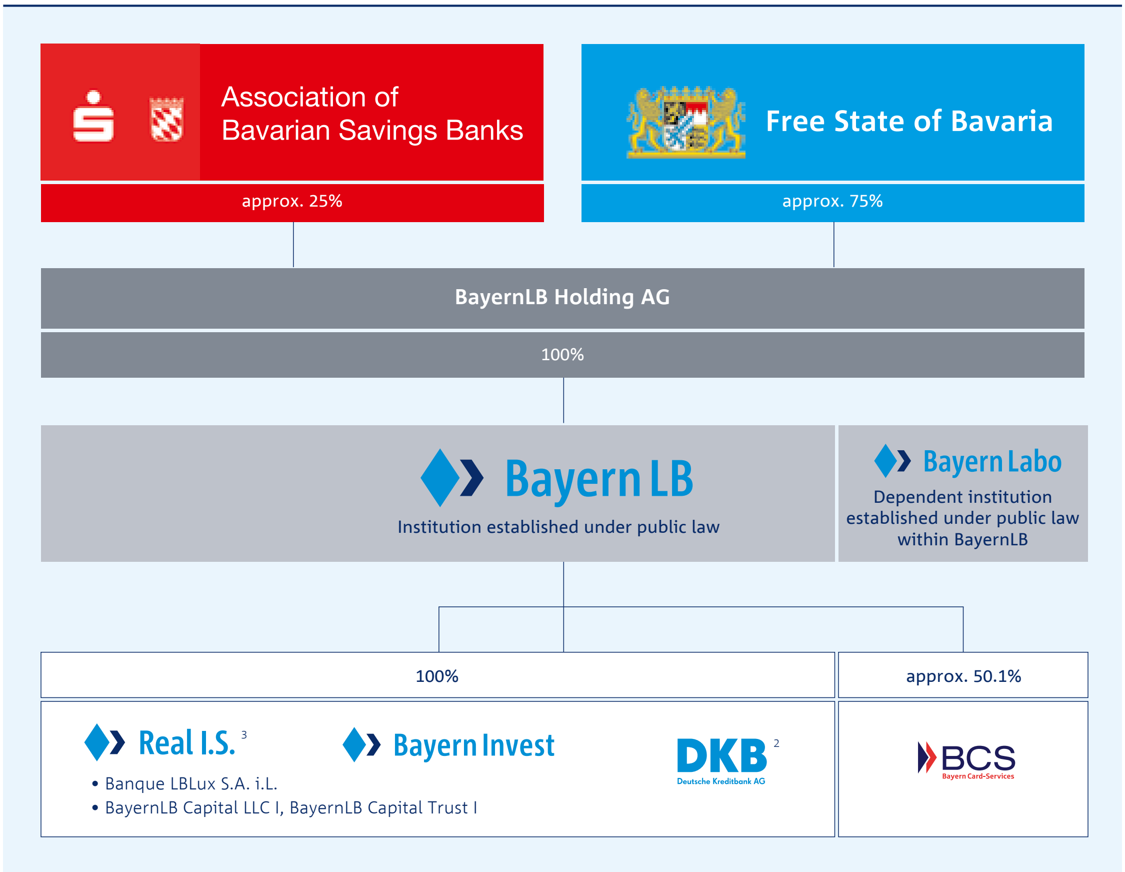
On behalf of the Supervisory Board

Gerd Haeusler
Chairman

BayernLB Group management report

Overview of the BayernLB Group

Ownership and group structure



1 24.99999994
2 DKB sub-group
3 Real I.S. sub-group

The BayernLB Group consists largely of the parent company Bayerische Landesbank, Munich (BayernLB or Bank). BayernLB is an institution with legal capacity established under public law with its registered office in Munich and a nominal capital of EUR 2,800,000,000. The nominal capital is due to BayernLB Holding AG, Munich as the entity that has direct ownership. The Free State of Bavaria and the Association of Bavarian Savings Banks are indirect owners through their respective stakes in BayernLB Holding AG.

The rating agencies Moody’s Investors Service (Moody’s) and Fitch Ratings (Fitch) have assigned the following ratings to BayernLB:

	Moody’s	Fitch
Long-term (unsecured)	A2	A-
Short-term (unsecured)	P-1	F1
Public Pfandbriefs	Aaa	AAA
Mortgage Pfandbriefs	Aaa	–
Financial strength/viability rating	ba1	bbb

Business model and strategy

As a commercial bank, Landesbank and central bank to the savings banks, BayernLB is a strong corporate and real estate lender focused geographically on Bavaria and Germany as well as a long-standing and reliable partner to the Bavarian savings banks.

BayernLB's strategic business model is based on the following operating business segments (operating segments).

- **Corporates & Mittelstand**
- **Real Estate & Savings Banks/Association** including the legally dependent institution Bayerische Landesbodenkreditanstalt, Munich (BayernLabo)
- **DKB** with the core business activities of the Deutsche Kreditbank Aktiengesellschaft, Berlin (DKB) sub-group and Bayern Card-Services GmbH – S-Finanzgruppe, Munich (BCS)
- **Financial Markets** including the subsidiaries Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich (Real I.S.) and BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich (BayernInvest)

BayernLB's business model and range of services within the Group is supplemented by the Group companies.

Corporates & Mittelstand

The Corporates & Mittelstand area handles business with large German and selected international companies and the Mittelstand corporate customer business. These large German and international customers include DAX, MDAX and family-owned companies with annual sales of at least EUR 1 billion, which operate from their home market in Germany. International companies with a significant connection to Germany are likewise served. The focus in Mittelstand is on companies with annual sales of over EUR 50 million. BayernLB's core competencies include traditional credit financing, such as working capital loans, investment and trade financing, interest and currency management in trade finance, project and export financing and lease financing. In addition, BayernLB helps its customers tap capital markets for their financing needs, for example by traditional bonds or German Schuldschein note loans. It also has a strong market position in the state-subsidised loan business.

Real Estate & Savings Banks/Association

BayernLB's real estate business focuses on long-term commercial real estate financing and services. The regional focus here is on Germany, although it also serves selected German customers abroad and international customers with a connection to Germany. In the commercial real estate area, products include portfolio financing for real estate assets and portfolios, project development and housing developers. In the managed real estate area, the focus is mainly on financing concepts for hotels, logistics centres, hospitals, clinics and care homes and syndicated financing with savings banks. To serve customers more comprehensively under one roof, the Bank makes extensive use of its working relationship with subsidiaries and affiliates, such as Real I.S., Bayerische Landesbank Immobilien-Beteiligungs-Gesellschaft mbH & Co. KG, Munich (Bayern Immo), LB Immobilienbewertungsgesellschaft mbH, Munich (LB ImmoWert) and Bayern Facility Management GmbH, Munich (BayernFM).

The Bavarian savings banks and BayernLB are linked together in a preferred partnership. For the Bank, the savings banks are both important customers and sales partners and thus they form one of the key pillars of its business model. BayernLB acts as a central service provider for the savings banks and supplies them with tailored products and services in its Association business. The focus of the relationship is on supplying the savings banks with a range of products and services for both their own business and their customers, to include payment services, assistance in securities, investment and cross-border transactions, syndicated and subsidised loans, as well as foreign notes and coins/precious metal activities. For savings banks outside Bavaria, the range covers selected product segments. Liquidity management is particularly important for these customers. Funding from the savings banks is an important source of refinancing for BayernLB and for strengthening the common liquidity pool. BayernLB also acts as a lender and service provider to the public sector and institutional investors. The focus here is on expanding its market share in its core market of Bavaria and intensifying sales in close partnership with the Bavarian savings banks. It provides a wide range of customised financing and investment solutions to state governments, local authorities and public institutions. BayernLB stands out in this segment thanks to its expertise in public-private partnership projects and the renewable energy sector. BayernLabo fulfils the public mandate by carrying out the state-subsidised loan business for BayernLB.

Financial Markets

Financial Markets offers a range of money market, forex and capital market services, funding and treasury strategies, and a broad portfolio of structured investment products. Main customers include the savings banks, banks, large German and international Mittelstand companies, real estate customers and institutional customers which are served in the respective business areas. Asset management for BayernLB is handled by the Real I.S. and BayernInvest Group subsidiaries. These investment companies focus mainly on advisory services and managing securities investment funds for institutional and private investors.

DKB

DKB, an integral part of the BayernLB Group, complements the business model. It operates in the retail segment as an online direct bank with a steadily growing customer base, and in the infrastructure and corporate customers segment as a specialist. Its expertise extends especially to financing and investment products in the environmental technology, health services and education & research segments.

Implementation of the business model

BayernLB continued to implement its business model in 2016 by pursuing a clear strategy of being a customer-focused bank. The strategic framework is still formed by the restructuring plan hammered out with the European Commission between 2009 and 2012 and the Bank's target structure it is based on. In this regard, BayernLB's focus is on strengthening its sustainable operating business areas (core activities), while winding down portfolios with elevated risk (non-core activities), which are pooled in the Non-Core Unit (NCU). The NCU contains BayernLB's Restructuring Unit, the non-core activities of DKB, BayernLB's Other NCU sub-segment, including the consolidated subsidiary Banque LBLux S.A. in Liquidation, Luxembourg (LBLux i.L.), and the loans to HETA Asset Resolution AG, Klagenfurt (HETA), formerly Hypo Alpe-Adria-International AG (HETA), including their funding.

Owing to its systematic focus on the operating core business and steady run-off of the remaining non-core business, the BayernLB Group has reduced its total assets from EUR 421.5 billion in 2008 to EUR 212.1 billion in 2016.

Business with medium and large corporates and BayernLB's related capital market transactions performed well overall over the year.

New business in the commercial and residential real estate businesses amounted to approximately EUR 4.9 billion, far exceeding the target of roughly EUR 4.0 billion. In the retail customer business area, DKB grew its customer base to about 3.4 million in 2016.

Working together with the Bavarian savings banks, BayernLB retained its position as market leader in the state-subsidised loan business. Another rise in unit sales of precious metals cemented BayernLB's position as market leader in foreign notes, coins and precious metals in the Savings Banks Finance Group.

The repositioning of BayernLB's capital markets business begun the year before continued in 2016. It is now showing the first signs of success as investments made in improving customer support processes are paying off in higher customer penetration rates and increased customer revenues. At the same time, it has stepped up the updating and digitalisation of the system landscape needed for the capital markets business.

After the European Central Bank (ECB) approved its application to repay part of the silent partner contributions, BayernLB repaid another tranche of the Free State of Bavaria's silent partner contribution in the amount of EUR 1.3 billion in April 2016. As part of the state-aid proceedings, BayernLB has also already repaid around EUR 4.0 billion in state aid, most of it ahead of schedule. Still remaining is the repayment of EUR 1.0 billion in silent partner contributions to the Free State of Bavaria (originally EUR 3.0 billion) in order to comply with all major EU conditions and commitments.

The BayernLB Group's cost structure, which is favourable relative to peers, was maintained thanks to the successful completion of cost-cutting measures over the past few years. The Bank also pressed ahead with wide-ranging strategies and measures to improve and selectively digitalise the customer-focused sales structures. The opening of new offices in Hamburg, Stuttgart and Frankfurt played a key role in winning over new customer relationships. Outside Germany, BayermLB continues to operate branches in London, Milan, Paris and New York as well as a representative office in Moscow.

Another sign of how BayernLB's business model has been improved and become more focused on customer needs are the multi-faceted improvements to internal processes and interfaces. This provides a good basis for gaining market share in the core business areas in the medium to long term and leveraging new sources of earnings.

The still challenging market environment in particular had an impact on the BayernLB Group's operating business in 2016. Accordingly, the main challenges to securing its earnings base were persistently low interest rates, stiff competition from established market players, and the growing importance of non-banks. Meanwhile, rising regulatory requirements affecting, for example, capital requirements (in terms of quantity and quality), liquidity requirements, risk management, and IT infrastructure increasingly put pressure on the cost base.

Taking this into account, in the annual strategic process, the BayernLB Group drew up and then fleshed out specific measures for all its segments based on the strategic direction and goals. To ensure long-term competitiveness, the Bank's main aim is to increase and intensify business with existing customers while gaining new customers in the defined core segments. The Bank will work towards achieving this by making sure products and services meet customer needs and by taking measures to step up sales and further improve customer-focused sales structures, partly also by increasingly digitalising the entire sales channel.

This, coupled with a solid capital base and the good, longstanding customer relationships that the Bank enjoys, will lay the foundations for preserving existing and gaining new customers going forward.

Internal Group management system

The BayernLB Group's management system is based on managing the inter-related variables of profitability, risk, liquidity and capital. One of the main goals of the internal management system is to continuously optimise resources employed while simultaneously ensuring the Group's capital and liquidity base is adequate. This should also enable BayernLB to comply with the terms of the repayment plan agreed with the EU.

The profitability of the BayernLB Group is managed using the two key financial ratios that act as crucial indicators of performance: return on equity and cost efficiency. Return on equity (RoE) is calculated by dividing profit before taxes by shareholders' equity as calculated according to regulatory requirements. At Group level, since the start of financial year 2016, the average Common Equity Tier 1/CET1 available over the financial year has been used. For all management levels below this, the average economic capital employed in the financial year is derived from the risk-weightings of the underlying individual transactions specified by regulatory authorities. Cost efficiency is monitored by means of the cost/income ratio (CIR), the ratio of administrative expenses to gross profit[1]. In addition to measuring return on equity and cost efficiency, BayernLB also uses other ratios. These include measures of the profitability and expense of risk-weighted assets employed, and also economic value added (EVA). This expresses the profit of a company before deduction of the income tax components, taking account of the cost of the capital employed denominated in euro. In order to ensure integrated and consistent management, the key figures RoE and CIR are used at all levels of management. The management cycle is a continuous process of carrying out annual medium-term planning, producing intrayear detailed target vs actual comparisons and making regular projections to the year-end.

1 Gross earnings = net interest income + net commission income + gains or losses on fair value measurement + gains or losses on hedge accounting + gains or losses on financial investments + other income and expenses.

Risk-bearing capacity is monitored using the Internal Capital Adequacy Assessment Process (ICAAP). The process is used in the BayernLB Group, BayernLB and DKB. The aim of ICAAP is to ensure that there is sufficient economic capital to fully cover the risks assumed or planned at all times. For risk management, BayernLB follows a liquidation-based approach in ICAAP that is designed to protect senior creditors. The method for calculating risk-bearing capacity is assessed and refined on a regular basis to ensure it takes adequate account of external factors and internal strategic targets. The economic capital is of suitable quality to absorb any losses and is calculated, based on the liquidation approach, by deducting from the sum of equity and subordinated capital those items that are not available in the event of liquidation (e.g. intangible assets). To produce an in-depth, forward-looking analysis of economic capital adequacy, risk-bearing capacity is calculated based on the Business Strategy and supplemented by stress tests.

The strategic principles for dealing with liquidity risk within the BayernLB Group are set out in the Group Risk Strategy. The overriding priority of liquidity risk management and monitoring is to ensure that the BayernLB Group can meet its payment obligations and obtain funding at all times. In addition to stringently ensuring solvency, the primary goal of BayernLB's liquidity management is to ensure adequate access to markets. In the BayernLB Group, daily limits are placed on liquidity risks at the operating unit level based on defined scenarios. Amongst other things, operating liquidity management is based on capital flow accounts and limit utilisation ratios. Additional information can be found in the Risk Report.

Capital is managed using the CET1 ratio and the total capital ratio in accordance with the Capital Requirements Regulation and Directive (CRR/CRD IV) and the guidelines from the ECB's Supervisory Review and Evaluation Process (SREP). Besides the capital ratios, which currently take account of the transitional provisions currently applicable, capital is also managed using the fully-loaded capital ratios, i.e. where the transitional provisions are not applied. The capital required and the corresponding capital ratios are derived from the Business and Risk Strategies and the latest medium-term planning. RWA are allocated to monitor and ensure compliance at all times with the capital ratios planned and required by the regulator as a basic condition for all business activities. As part of overall bank management, target capital amounts, risk-bearing capacity and funding are combined.

Human resources

2016 was a year in which BayernLB implemented its targeted future strategy. Human Resources was focused on helping the business areas and the central areas achieve their strategic and economic goals.

It played its part in realising the Bank's strategic direction in 2016 in particular by adopting HR measures to drive forward BayernLB's realignment, while optimising the expertise and line-up of staff for an increasingly complex regulatory working environment.

As at 31 December 2016, a total of 7,133 staff were employed in the Group. The increase in headcount of 97 in the BayernLB Group was mainly due to the fact that, in parallel with reductions in the workforce, new employees with specific qualifications were recruited to work in the sales units and manage additional regulatory requirements. The Bank-wide cost-cutting programme (KSP), whose goal it is to significantly reduce administrative expenses by the end of 2017, was, however, continued.

Corporate responsibility

One of BayernLB's stated corporate goals is to achieve commercial success while meeting its social responsibilities. The BayernLB Group therefore attaches great importance to its work in the community, the fields of education and science and the world of art and culture. Naturally, sustainability management and reporting play no less important roles in BayernLB's business activities.

Specialised, independent sustainability rating agencies regularly rate the targets and measures of the Bank's sustainability management on behalf of investors and give it very high scores compared with its peers for its commitment to dealing with the social and environmental challenges facing the public banking sector. In 2016, BayernLabo was awarded coveted Prime Status from rating agency oekom research, a year after the BayernLB Group and also DKB as a sub-group received the Prime rating.

The BayernLB Group has held coveted oekom prime status since 2001 and thereby demonstrated its continual commitment to sustainable development.

Key changes in the scope of consolidation and the investment portfolio

With effect from 21 June 2016, the Bank sold its shares in Visa Europe Ltd., London (Visa) and DEUTSCHE FACTORING BANK Deutsche Factoring GmbH & Co. KG, Bremen (Deutsche Factoring Bank). There were no significant changes in the scope of consolidation as at 31 December 2016.

Report on the economic position

Macroeconomic and sector-specific environment

Germany's economy continued to grow in 2016, fulfilling the Bank's forecasts of the previous year. Economic output was up 1.9 percent on the year before.[2] Private consumption proved yet again to be the main driver of this development, rising by 2.0 percent. Above-inflation wage increases bolstered buying power in real terms. Public expenditure also rose significantly, mainly as a result of the large number of refugees admitted to the country. Capital spending also went up markedly during the past year. This was especially true for construction, but, contrary to BayernLB's expectations, also for equipment, one area where the impact of low interest rates is being felt. Indeed, companies would have ploughed even more money into their business had it not been for the political uncertainty, most notably triggered by the Brexit vote, US elections and Italian referendum. Foreign trade, in contrast, weighed on the calculation of GDP figures in 2016, although not too much should be read into this as year-on-year exports were higher despite high levels of uncertainly about exports and economic weaknesses in China at the start of the year. The negative impact on GDP came from the even faster rise in imports fuelled by strong domestic demand. As the economy continued to sparkle, unemployment fell further over the course of the year, closing 2016 on 6.0 percent.[3] The impact on the labour market of the influx of refugees admitted to the country was offset by the addition of yet more jobs to the economy. Consumer price inflation stood at 0.5 percent, only marginally higher than in the previous year.[4] The inflation rate did not noticeably increase until the end of the year when the dampening effect of low oil prices earlier increasingly had less impact on the calculation of the annual rate.

The ECB continued along its highly expansionary path in 2016, initially loosening monetary policy even further, when, for example, it again cut its benchmark rate in March. Since then, the interest rate spread (between the deposit facility rate and marginal lending facility rate) has been between –0.4 percent and 0.25 percent. Moreover, monthly purchases of securities under quantitative easing were kicked up from EUR 20 billion to EUR 80 billion. The list of eligible securities was also expanded to include corporate bonds. Additional long-term refinancing tenders (TLTRO II – targeted longer-term refinancing operations), each with a term of four years, were also agreed from June 2016 to stimulate lending from banks to companies in the eurozone.[5] In response to the falling risk of deflation, the ECB decided in December to cut the monthly volume of QE purchases back to EUR 60 billion again as from April 2017. The minimum term of the programme was extended to December 2017.[6] Against this background, bank lending to companies and households in Germany picked up slightly over the year and in October was 1.5 percent higher than a year earlier. Overall demand for lending can, however, still be characterised as subdued.[7]

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2 See Statistisches Bundesamt 2017, press release no. 010.

3 Agentur für Arbeit, monthly report December 2016; https://statistik.arbeitsagentur.de/Statistikdaten/Detail/201612/arbeitsmarktberichte/monatsbericht-monatsbericht/monatsbericht-d-0-201612-pdf.

4 See Statistisches Bundesamt 2017, press release no. 003.

5 ECB press release of 10 March 2016; https://www.ecb.europa.eu/press/pr/date/2016/html/pr160310.en.html.

6 ECB press release of 8 December 2016; https://www.ecb.europa.eu/press/pr/date/2016/html/pr161208.en.html.

7 See Deutsche Bundesbank 2016: "Banking Statistics – December 2016, Statistical Supplement to the Monthly Report", Table I 6a; https://www.bundesbank.de/Redaktion/EN/Downloads/Publications/Statistical_Supplement_1/2016/2016_12_banking_statistics.pdf?__blob=publicationFile.

Overall the US dollar appreciated by 3 percent to USD 1.05 per EUR over the course of 2016. In the aftermath of the US elections, expectations rose that the new administration would provide a deficit-financed economic stimulus and the US Federal Reserve would hike interest rates more quickly. Owing to the surprise outcome of the Brexit vote and extensive monetary loosening by the Bank of England in its wake, pound sterling finished 2016 much weaker than forecast. The Swiss franc's gradual climb against the euro was, however, largely in line with BayernLB's expectations. The Swiss National Bank (SNB) was unable to counteract the upward pressure on the franc through interventions on the foreign exchange market.

At the start of 2016, yields on 10-year German government bonds were still at 0.57 percent[8]. In the months that followed, they hit the skids on concerns about the economy and receding inflation expectations. At the end of June 2016 they were propelled further on their downwards trajectory by the Brexit decision, before reaching their nadir at 0.21 percent in July 2016. After the summer, more robust macro data painted a slightly more rosy picture of the economy and yields around the globe began their ascent once again. Their spurt gathered pace in the last two months of the year as a result of expectations about the new US president, tapering of the ECB's QE and the next rate hike in the USA. After hitting an interim high of 0.46 percent at the start of December 2016, yields had fallen back to a low of 0.21 percent again at the end of the year. Although 10-year US Treasuries more or less mimicked German Bunds up until November 2016, they finished the year slightly higher with a small 15 basis point increase to 2.44 percent.

Risk premiums on Pfandbrief and covered bond markets fell across all country segments over the past year. The main boost came from the ECB's widespread covered bond purchases and expansion of its quantitative easing in March 2016, while the Brexit vote fanned uncertainty for only a short period. As anticipated, further support came from the high volume of maturing instruments and regulatory preference. On European credit markets, risk premiums on investment-grade bonds, as tracked by iBoxx Euro Corporates, tightened by around 40 basis points in 2016 as a result of the ECB's Corporate Sector Purchase Programme (CSPP). This fillip, however, was not only observed on the secondary market. The primary market notched up a new record in 2016 with new issue volumes of EUR 321 billion, slightly outdoing the previous record year of 2009 (EUR 320 billion).

Although the German stock market experienced high volatility again in 2016, the DAX performance index finished the year to the upside with an overall gain of 6.9 percent to 11,481. It was the fifth year in a row the index had gained ground. The DAX price index (excluding dividends) also closed in positive territory, with a rise of 3.7 percent. In 2016 the EURO STOXX 50 (price index) trailed the DAX's performance, with a 0.7 percent rise to 3,291.

8 Bloomberg.

Course of business

In spite of the still difficult conditions, the BayernLB Group posted profit before taxes of EUR 708 million in financial year 2016, outperforming the previous year by 9.6 percent.

This figure includes a one-off boost totalling EUR 178 million from sales of shares in Visa (EUR 150 million) and Deutsche Factoring Bank (EUR 28 million). Consolidated net profit rose by 10.2 percent to EUR 545 million (FY 2015: EUR 495 million). Credit risk provisions of EUR –87 million improved markedly from the EUR –264 million in the year before and were thus very low. The rise in administrative expenses to EUR 1,280 million (FY 2015: EUR 1,168 million) was principally due to the increased costs for complying with regulatory requirements and the costs for pension provisions and legal disputes.

Total assets were marginally lower (EUR 212.1 billion) than at the end of the previous year (EUR 215.7 billion). The lending business once again had a major impact on the Group's assets in 2016.

The financial situation was solid in the reporting period and solvency was assured at all times. The BayernLB Group continued to enjoy a stable economic situation.

The BayernLB Group's capital base remains solid. The partial repayment of the silent partner contributions of the Free State of Bavaria of EUR 1.3 billion reduced the CET1 ratio from 15.1 percent to 14.7 percent as at 31 December 2016. However, the fully loaded ratio, which is important for estimating future capital strength, improved from 12.0 percent to 13.2 percent (all figures based on the respective annual financial statements).

Results of operations

EUR million	1 Jan–31 Dec 2016	1 Jan–31 Dec 2015	Change in %
Net interest income	1,475	1,612	–8.5
Risk provisions in the credit business	–87	–264	–67.2
Net interest income after risk provisions	**1,389**	**1,348**	**3.0**
Net commission income	296	289	2.2
Gains or losses on fair value measurement	142	–56	–
Gains or losses on hedge accounting	–80	–24	>100.0
Gains or losses on financial investments	274	286	–4.0
Administrative expenses	–1,280	–1,168	9.6
Expenses for the bank levy and deposit guarantee scheme	–88	–90	–2.0
Other income and expenses	51	71	–27.2
Gains or losses on restructuring	4	–10	–
Profit/loss before taxes	**708**	**646**	**9.6**
Income taxes	–158	–150	5.2
Gains or losses on continuing operations	**550**	**496**	**10.9**
Profit/loss after taxes	550	496	10.9
Profit/loss attributable to non-controlling interests	–5	–1	>100.0
Consolidated profit/loss	**545**	**495**	**10.2**

Rounding differences may occur in the tables.

Further information can be found in the notes.

Net interest income

EUR million	1 Jan – 31 Dec 2016	1 Jan – 31 Dec 2015	Change in %
Interest income	**6,494**	**6,487**	**0.1**
of which:			
• credit and money market transactions	3,871	4,235	– 8.6
• financial investments	238	318	– 25.1
• hedge accounting derivatives and derivatives in economic hedges	2,178	1,884	15.6
• negative interest	207	49	>100.0
Interest expenses	**– 5,019**	**– 4,875**	**2.9**
of which:			
• from liabilities to banks and customers	– 1,748	– 2,025	– 13.7
• for securitised liabilities	– 424	– 473	– 10.4
• for subordinated capital	– 196	– 194	1.2
• from hedge accounting derivatives and derivatives in economic hedges	– 2,310	– 2,034	13.5
• from negative interest	– 206	– 43	>100.0
• other interest expenses	– 135	– 106	27.1
Net interest income	**1,475**	**1,612**	**– 8.5**

Net interest income, which, as before, mainly came from the lending business, fell by 8.5 percent to EUR 1,475 million, largely due to the deleterious effects of persistently low interest rates and subdued demand for credit from customers. Although net interest income at DKB was little changed at EUR 794 million (FY 2015: EUR 791 million), net interest income at BayernLB fell due to a further decrease in interest rates, a decline in interest-bearing positions and the passing on of negative interest only gradually during the year.

Risk provisions in the credit business

EUR million	1 Jan – 31 Dec 2016	1 Jan – 31 Dec 2015	Change in %
Additions	– 449	– 652	– 31.1
Direct writedowns	– 23	– 15	51.7
Releases	303	271	11.7
Recoveries on written down receivables	69	106	– 35.2
Other gains or losses on risk provisions	14	25	– 46.1
Risk provisions in the credit business	**– 87**	**– 264**	**– 67.2**

Risk provisions in the credit business were a very low EUR –87 million (FY 2015: EUR –264 million). The EUR 177 million fall in risk provisions was due to a pleasing EUR 203 million reduction in additions, reflecting the high quality of the BayernLB Group’s loan portfolio and the success of its restructuring.

Net commission income

EUR million	1 Jan – 31 Dec 2016	1 Jan – 31 Dec 2015	Change in %
Securities business	104	95	9.1
Lending business	152	152	0.1
Payments	– 46	– 46	0.2
Cards business	72	81	– 11.6
Other net commission income	15	8	93.3
Net commission income	**296**	**289**	**2.2**

Net commission income grew slightly by 2.2 percent compared with the year before to EUR 296 million (FY 2015: EUR 258 million). Net commission income in the securities business rose by EUR 9 million, while falling by the same amount in the cards business.

Gains or losses on fair value measurement

The gains or losses on fair value measurement line item climbed by EUR 198 million to EUR 142 million (FY 2015: EUR –56 million). Most of this rise was due to gains from interest-related transactions of EUR 102 million (FY 2015: losses of EUR –19 million) and from currency-related transactions of EUR 27 million (FY 2015: losses of EUR –116 million). Fair value adjustments, which contributed a loss of EUR –31 million in the previous year, swung to a gain of EUR 6 million in 2016. However, the improvement in BayernLB's credit rating had a negative impact on the measurement of own liabilities. The measurement of the own credit spread created a loss of EUR –20 million, whereas in the previous year it contributed a gain of EUR 62 million.

Gains or losses on hedge accounting

Gains or losses on hedge accounting includes the mark to market value of underlying transactions and their hedges. The differences in value balance out over the terms of the instruments and are therefore only temporary. There are also corresponding and sometime opposite effects in net interest income. In 2016, the gains or losses on hedge accounting item was EUR –80 million (FY 2015: EUR –24 million).

Gains or losses on financial investments

Gains or losses on financial investments amounted to EUR 274 million (FY 2015: EUR 286 million). In financial year 2016, the main contribution to this line item came from sales of shares in Visa and Deutsche Factoring Bank (raising a total of EUR 178 million), whereas in the previous year a large gain was generated from sales of securities.

Administrative expenses

EUR million	1 Jan – 31 Dec 2016	1 Jan – 31 Dec 2015	Change in %
Staff costs	– 718	– 631	13.7
Other administrative expenses	– 508	– 497	2.2
Amortisation and depreciation of property, plant and equipment and intangible assets (not including goodwill)	– 55	– 40	37.0
Administrative expenses	**– 1,280**	**– 1,168**	**9.6**

The Group’s administrative expenses came to EUR 1,280 million, EUR 112 million higher than in the previous year. Besides higher expenses in connection with significantly tighter regulatory requirements, expenses for pension provisions and legal disputes were the main factors behind the rise in this line item.

Expenses for the bank levy and deposit guarantee scheme

The charge for the bank levy and deposit guarantee scheme totalled EUR –88 million, slightly less than in the year before (FY 2015: EUR –90 million). The charge included EUR –51 million for the bank levy (FY 2015: EUR –39 million) and EUR –37 million for the contribution to the Savings Bank Finance Group deposit guarantee scheme (FY 2015: EUR –50 million).

Other income and expenses

Other income and expenses in the amount of EUR 51 million (FY 2015: EUR 71 million) included in particular income and expenses from the non-banking activities of the subsidiaries and also tax refunds to and additional tax payments by BayernLB.

Gains or losses on restructuring

Gains or losses on restructuring at the BayernLB Group came to EUR 4 million (FY 2015: EUR –10 million), which overall was mainly due to gains from releases at BayernLB.

Income taxes

The BayernLB Group reported an income tax expense of EUR –158 million (FY 2015: EUR –150 million). The item comprises expenses of EUR –135 million from the netting of current tax income and expenses and of EUR –24 million from the netting of deferred tax income and expenses.

In accordance with the BayernLB Group's management policy, starting in 2016 return on equity[9] (RoE) is no longer calculated based on the equity reported in the balance sheet, but rather equity calculated according to regulatory requirements. RoE in 2016 amounted to 8.1 percent (FY 2015: 6.7 percent), the cost/income ratio[10] (CIR) was 59.3 percent (FY 2015: 53.6 percent).

Core and non-core business of the BayernLB Group

BayernLB posted a profit before taxes of EUR 718 million (FY 2015: EUR 993 million) in its forward-looking core business, which the Bank has been focusing on since it started its realignment in 2009. This was once again a very good result in a persistently difficult market environment, marked by interest rates that are still low, tough competitive pressure and increasingly tight regulatory requirements, and in spite of the charges for the bank levy and deposit guarantee scheme.

In financial year 2016 the Non-Core Unit was reported as a separate segment for the last time. All non-core activities of the BayernLB Group have been pooled here in the past few years. The goal of the Non-Core Unit was to wind down the non-core business while keeping losses to a minimum in order to free up the liquidity and capital resources tied up in it. This goal has been systematically and successfully implemented with risk-weighted assets (RWA) now reduced to just EUR 2.6 billion (FY 2015: EUR 4.8 billion), corresponding to around 4 percent of the Group figure. The Non-Core Unit has therefore largely completed its wind down mission much earlier than originally planned. The Non-Core Unit ceased to be a separate segment on 1 January 2017. The remaining non-core activities of the former Restructuring Unit and the Other NCU sub-segment will be reported as part of the Central Areas & Others segment in the BayernLB Group's new segment structure. The remaining non-core business of the DKB sub-group will be integrated into the DKB segment.

1 Jan – 31 Dec 2016	Core business (EUR million)	Share (in percent)	Non-core business (EUR million)
Gross earnings[11]	**2,097**	**97.1**	**62**
Risk provisions	–77	89.2	–9
Administrative expenses	–1,221	95.3	–60
Expenses for the bank levy and deposit guarantee scheme	–88	100.0	0
Gains or losses on restructuring	7	> 100.0	–3
Profit/loss before taxes	**718**	**> 100.0**	**–10**
Risk-weighted assets	62,590	96.0	2,616

9 *RoE = profit before taxes/average CET1.*

10 *CIR = administrative expenses/(net interest income + net commission income + gains or losses on fair value measurement + gains or losses on hedge accounting + gains or losses on financial investments + other income and expenses).*

11 *Gross earnings = net interest income + net commission income + gains or losses on fair value measurement + gains or losses on hedge accounting + gains or losses on financial investments + other income and expenses.*

Segments

The segment report is based on the monthly internal management report to the Board of Management and reflects the BayernLB Group's six segments. In 2016, BayernLB's core business was divided into the operating segments

- Corporates & Mittelstand
- Real Estate & Savings Banks/Association, including the legally dependent institution BayernLabo
- DKB with the core business activities of the DKB sub-group and consolidated subsidiary BCS
- Financial Markets, including the subsidiaries Real I.S. and BayernInvest

Also allocated to the core business is the Central Areas & Others segment, which includes the consolidated subsidiary BayernLB Capital LLC I, Wilmington and the consolidation entries not allocated to any other segment.

The Non-Core Unit primarily includes the Restructuring Unit, which holds portfolios of non-core assets, the non-core activities of DKB, and other non-core activities such as the consolidated subsidiary LBLux i. L. and the loans to HETA (including their funding).

The contributions of the individual segments to the profit before taxes of EUR 708 million (FY 2015: EUR 646 million) are shown below:

EUR million	1 Jan – 31 Dec 2016	1 Jan – 31 Dec 2015
Corporates & Mittelstand	203	282
Real Estate & Savings Banks/Association	203	212
DKB	381	336
Financial Markets	29	145
Central Areas & Others (including Consolidation)	– 98	19
Non-Core Unit	– 10	– 347

Corporates & Mittelstand segment

- Segment posts stable operating earnings from net interest income, net commission income and customer business with Financial Markets products
- Prior year boosted by high recoveries on written down receivables
- Administrative expenses rise as a result of increase in regulatory requirements

The Corporates & Mittelstand segment posted profit before taxes of EUR 203 million (FY 2015: EUR 282 million), a fall on the previous year. Risk provisions were the main reason for the decrease in profit before taxes. Although risk provisions contributed EUR 8 million to earnings (FY 2015: EUR 65 million), the prior-year figure was boosted by significantly higher recoveries on written down receivables. The overall operating earnings from net interest income and net commission income were largely stable at EUR 418 million (FY 2015: EUR 432 million) despite the still difficult interest rate environment. Earnings from the sale of Financial Markets products to customers kept pace with the pleasing figure in the prior year, although gains or losses on fair value measurement amounting to EUR 44 million (FY 2015: EUR 48 million) fell slightly short of the figure in the year before. A EUR 28 million one-time contribution to earnings came from the sale of the stake in Deutsche Factoring Bank. Administrative expenses of EUR –293 million were higher than in the previous year (FY 2015: EUR –258 million). This primarily reflected the increase in the segment's share of costs, for example, from major projects to comply with the rise in regulatory requirements. In light of the still competitive market environment, performance in terms of both earnings and credit volumes, which grew slightly again, was satisfactory overall.

Real Estate & Savings Banks/Association segment

- Earnings and new business volumes in the Real Estate division still on track
- Earnings in the Savings Banks/Association division dip due to low interest rates, very subdued funding requirements and additional administrative expenses
- Mark-to-market gains at BayernLabo drive earnings sharply higher while net internest and net commission income rise slightly

The Real Estate & Savings Banks/Association segment reported profit before taxes of EUR 203 million (FY 2015: EUR 212 million), almost on par with the very good result of the previous year.

The Real Estate division once again made a significant contribution to the segment's earnings with a profit before taxes of EUR 127 million (FY 2015: EUR 157 million). With customer demand still high, acquired new business volumes rose once again year on year to EUR 4.9 billion (FY 2015: EUR 4.4 billion). Gross earnings were fractionally lower at EUR 175 million (FY 2015: EUR 180 million) as stiffer competition and a generally less risky portfolio put margins under a lot of pressure. The contribution to earnings from risk provisions was positive again at EUR 23 million EUR (FY 2015: EUR 37 million) thanks to the very good quality of the portfolio. Stricter regulatory requirements were the main reason for the year-on-year increase in administrative expenses to EUR –72 million (FY 2015: EUR –61 million).

The Savings Banks/Association division broke even in financial year 2016 (FY 2015: profit before taxes of EUR 9 million). The decline was due to a slight fall in gross earnings to EUR 92 million (FY 2015: EUR 94 million) and an increase in administrative expenses to EUR –93 million (FY 2015: EUR –85 million). The fall in earnings was mainly due to the BayernLB Group's ample levels of liquidity, and thus lower funding needs, and the low interest rate environment. This contributed to record sales in the gold coins and bars business, but also dampened demand for capital market products. The impact of tighter regulatory requirements was, however, also felt in administrative expenses.

Profit before taxes at BayernLabo of EUR 77 million (FY 2015: EUR 47 million) was significantly higher than in the previous financial year. In an interest rate environment that remains difficult for development banks, earnings from the operating business were stable with a slight upward trend. The previous year's figure was beaten once again, with net interest income and net commission income totalling EUR 104 million (FY 2015: EUR 102 million). Measurement effects from derivatives transactions for hedging against interest rate risk were the primary reason for the earnings growth. This boosted gains or losses on fair value measurement to EUR 19 million (FY 2015: EUR 0 million) and lifted gains or losses on hedge accounting to EUR 2 million (FY 2015: EUR –2 million).

DKB segment

- Good business performance continues, reflected particularly in strong net interest income once again
- Sale of stake in Visa Europe Ltd., London results in a jump in profit before taxes
- DKB further consolidates its position as Germany's second largest online bank, gaining nearly 400,000 new retail customers

Profit before taxes in the DKB segment of EUR 381 million (FY 2015: EUR 336 million) was significantly higher than the year before.

DKB's core business continued to perform well in financial year 2016. The main contributor to the sharp increase in profit before taxes to EUR 370 million (FY 2015: EUR 331 million) was income of EUR 132 million from the sale of the stake in Visa Europe Ltd., London to Visa Inc., San Francisco. Despite the still difficult interest rate environment, net interest income was little changed from the year before at EUR 786 million (FY 2015: EUR 788 million). The drop in the "Retail customers" sub-segment was offset by a rise in business with infrastructure and corporate customers. Receivables from customers rose again in both the infrastructure and corporate customer business by a total of around EUR 2.2 billion (FY 2015: EUR 3.5 billion) despite the high level of repayments. In the retail customer business, DKB further consolidated its position as Germany's second largest online bank, gaining nearly 400,000 new customers. Expenses for risk provisions rose in all sub-segments year on year and totalled EUR –108 million (FY 2015: EUR –64 million). Administrative expenses were significantly up on the previous year's figure, rising to EUR –402 million (FY 2015: EUR –369 million) as a result of implementing and meeting new regulatory requirements. The charge for the bank levy and deposit guarantee scheme came to a total of EUR –27 million (FY 2015: EUR –14 million), almost twice as high as in the previous year.

Consolidated subsidiary BCS posted earnings before taxes of EUR 11 million (FY 2015: EUR 4 million). The jump in earnings was mainly the result of the sale of an equity interest.

Financial Markets segment

- Earnings from customer business with capital market products higher year on year
- Significant fall in earnings due to low interest rates and the measurement effects relating to own issues as a result of BayernLB's improved credit rating

The Financial Markets segment posted a profit before taxes of EUR 29 million in FY 2016 (FY 2015: EUR 145 million). As usual, earnings from financial market products on behalf of the customer-serving business segments were reported under those segments. Earnings from the customer business with capital market products were slightly up on the previous financial year. The sharp decline in net interest income to EUR 41 million (FY 2015: EUR 100 million) weighed significantly on the segment's earnings. The drop largely reflects the impact of low interest rates. Measurement effects once again had a major impact on the segment's reported earnings. Measurement of own issues resulted in losses of EUR –25 million (FY 2015: gains of EUR 61 million) due to BayernLB's improved rating and its impact on their credit spreads. Fair value adjustments relating to the fair values of derivative transactions also weighed on earnings although less than the year before. In addition, the year before earnings included higher gains on securities. The segment's administrative expenses of EUR –208 million were higher than in the previous year (FY 2015: EUR –193 million). One of the reasons for this climb, as with the other operating segments, was the cost of large-scale projects to implement and meet ever more stringent regulatory requirements.

The earnings contributions of both consolidated subsidiaries were on par with the previous year: BayernInvest and Real I.S posted profit before taxes of EUR 7 million (FY 2015: EUR 8 million) and EUR 6 million (FY 2015: EUR 6 million) respectively.

Central Areas & Others segment

- High costs of bank levy and deposit guarantee scheme weigh heavily once again on segment earnings
- Charges relating to provisions for legal risks and an interest expense on the silent partner contributions of the Free State of Bavaria, which were repaid in April 2016, also took their toll on earnings

The Central Areas & Others segment, including the consolidation entries not allocated to the segments, produced a loss before taxes of EUR –98 million (FY 2015: profit before taxes of EUR 19 million). Weighing heavily on the segment's earnings again was a charge totalling EUR –60 million (FY 2015: EUR –75 million) for the bank levy and deposit guarantee scheme, not including DKB's and BayernLabo's share. Administrative expenses were significantly higher on EUR –77 million (FY 2015: EUR –10 million) largely as a result of the creation of provisions for ongoing legal disputes. The significantly better financial results of the previous year also included lower interest expenses for silent partner contributions and were lifted by proceeds from the sale of securities and an equity interest.

The consolidation entries shown in the Consolidation column that are not assigned to the operating segments had no net impact on profit before taxes (FY 2015: EUR –3 million). These mainly arise from differences in the way internal Group transactions are measured and the application of hedge accounting to cross-divisional derivative transactions.

Non-Core Unit segment

- Non-core business continues to be rapidly and successfully wound down as reflected in a decline of around 45 percent in RWA
- Segment's earnings significantly better than the year before
- Squeeze on earnings from risk provisions very limited overall

The Non-Core Unit segment posted a loss before taxes of EUR –10 million (FY 2015: EUR –347 million), a significant improvement on the previous financial year. RWA were almost halved once again and as at year-end totalled just EUR 2.6 billion (FY 2015: EUR 4.8 billion). The Non-Core Unit's winding down mandate has therefore been largely fulfilled. As at 1 January 2017 the Non-Core Unit ceased to be managed as a separate segment.

Profit before taxes in the Restructuring Unit division amounted to EUR 70 million (FY 2015: loss of EUR –94 million). Gains from risk provisions largely accounted for the rise, while gross earnings slid as expected to EUR 58 million (FY 2015: EUR 134 million) as the segment continued to reduce the size of the securities and credit portfolio. The earnings contribution from risk provisions of EUR 43 million (FY 2015: EUR –178 million) came from a high volume of releases and recoveries on written down receivables in the reporting period. However, the effects of the reduction in the portfolio were felt not just in the earnings, but also in another large fall in administrative expenses to EUR –31 million (FY 2015: EUR –51 million). RWA were slashed by more than one third to EUR 2.1 billion (FY 2015: EUR 3.3 billion) compared with the end of 2015.

DKB's non-core business posted a loss before taxes of EUR –28 million (FY 2015: EUR –99 million). As before, this was mainly due to the charge from risk provisions, which, at EUR –21 million, was much lower than in the previous year (FY 2015: EUR –76 million). This sub-segment also managed to considerably reduce its credit and securities holdings.

In the Other NCU sub-segment, the loss before taxes of EUR –52 million (FY 2015: EUR –154 million) was also due in large part to the EUR 31 million (FY 2015: EUR 50 million) charge from risk provisions. Another charge came from a provision made for legal risks. The previous year's figure took a heavy drubbing from charges on receivables due from HETA. RWA were almost completely wound down.

Financial position

Further information can be found in the notes.

Assets

EUR million	31 Dec 2016	31 Dec 2015	Change in %
Cash reserves	2,096	2,246	–6.7
Loans and advances to banks	28,794	29,423	–2.1
Loans and advances to customers	134,760	135,812	–0.8
Risk provisions	–1,305	–2,746	–52.5
Portfolio hedge adjustment assets	831	1,145	–27.4
Assets held for trading	16,936	17,343	–2.3
Positive fair values from derivative financial instruments (hedge accounting)	1,073	1,527	–29.7
Financial investments	26,708	28,852	–7.4
Investment property	32	35	–9.7
Property, plant and equipment	347	351	–1.1
Intangible assets	86	106	–18.5
Income tax assets	402	475	–15.4
Non-current assets or disposal groups classified as held for sale	25	205	–88.0
Other assets	1,365	938	45.5
Total assets	**212,150**	**215,713**	**–1.7**

Rounding differences may occur in the tables.

The BayernLB Group's total assets fell slightly, by 1.7 percent or EUR 3.6 billion to EUR 212.1 billion. Credit volume, defined as the sum of loans and advances to banks and customers and contingent liabilities from guarantees and indemnity agreements, fell by EUR 1.2 billion to EUR 174.2 billion. As in previous years, the targeted reduction at BayernLB was partly offset by the ongoing expansion at DKB.

Loans and advances to banks fell only fractionally, by 2.1 percent to EUR 28.8 billion. Loans and advances to customers rose at DKB, but decreased at BayernLB, so that overall there was a modest fall of EUR 0.8 percent to EUR 134.8 billion.

Risk provisions in the credit business contracted sharply, dropping by 52.5 percent to EUR 1.3 billion (FY 2015: EUR 2.7 billion). This was due to the derecognition of the previously written down receivables due from HETA (utilisation of previously established impairments.

Assets held for trading fell marginally by 2.3 percent to EUR 16.9 billion, and so were on par with the previous year (EUR 17.3 billion).

Positive fair values from derivative financial instruments (hedge accounting under IAS 39) amounted to EUR 1.1 billion (FY 2015: EUR 1.5 billion).

The 7.4 percent reduction in financial investments to EUR 26.7 billion was primarily due to additional cutbacks in bonds and notes.

Liabilities

EUR million	31 Dec 2016	31 Dec 2015	Change in %
Liabilities to banks	54,211	60,360	–10.2
Liabilities to customers	86,795	86,030	0.9
Securitised liabilities	39,618	34,840	13.7
Liabilities held for trading	10,974	12,286	–10.7
Negative fair values from derivative financial instruments (hedge accounting)	1,124	1,354	–17.0
Provisions	4,421	4,300	2.8
Tax liabilities	199	221	–10.2
Other liabilities	671	532	26.1
Subordinated capital	3,081	4,719	–34.7
Equity	11,056	11,070	–0.1
Total liabilities	**212,150**	**215,713**	**–1.7**

Rounding differences may occur in the tables.

Liabilities to banks fell by 10.2 percent to EUR 54.2 billion. The fall occurred mainly in short-term maturities with a residual term of up to three months. Liabilities to customers rose slightly to EUR 86.7 billion (FY 2015: EUR 86.0 billion).

Securitised liabilities climbed by 13.7 percent to EUR 39.6 billion, primarily due to the issue of unsecured bonds and money market instruments.

The decline in liabilities held for trading of 10.7 percent to EUR 11.0 billion relates to negative fair values from derivative financial instruments (not hedge accounting). Negative fair values from derivative financial instruments allocated to hedge accounting under IAS 39 fell to EUR 1.1 billion (FY 2015: EUR 1.4 billion).

Provisions were almost unchanged on the previous year at EUR 4.4 billion (FY 2015: EUR 4.3 billion). Most of this amount, EUR 3.8 billion, was for pensions and similar liabilities.

Subordinated capital stood at EUR 3.1 billion and thus EUR 1.6 billion lower than in the previous year. Of this decrease, EUR 1.3 billion was attributable to a partial repayment of the silent partner contributions of the Free State of Bavaria in April 2016. Overall, redemptions of maturing capital instruments exceeded new funding by EUR 0.3 billion.

Equity

EUR million	31 Dec 2016	31 Dec 2015	Change in %
Subscribed capital	4,412	4,714	−6.4
Compound instruments (equity component)	69	92	−25.1
Capital surplus	2,182	2,182	–
Retained earnings	4,064	3,660	11.1
Revaluation surplus	315	409	−23.0
Foreign currency translation reserve	−1	0	32.4
Consolidated profit/loss	–	–	–
Profit/loss attributable to non-controlling interests	15	14	8.0
Equity	**11,056**	**11,070**	**−0.1**

Equity was nearly unchanged at EUR 11.1 billion. To further improve the capital structure, agreements on silent partner contributions in the amount of EUR 0.3 billion were waived by mutual consent. This was offset by an increase in the retained earnings of EUR 0.4 billion, with the revaluation surplus decreasing by EUR 0.1 billion.

Banking supervisory ratios under CRR/CRD IV for the BayernLB Group

CET1 amounted to EUR 8.7 billion as at 31 December 2016 (FY 2015: EUR 9.8 billion). The decline was largely the result of repaying a silent partner contribution of EUR 1.3 billion to the Free State of Bavaria in April 2016. Strict management cut risk-weighted assets (RWA) by 6.3 percent to EUR 65.2 billion. The CET1 ratio was a solid 13.3 percent (31 December 2015: 14.0 percent). Total own funds as at 31 December 2016 amounted to EUR 10.1 billion (31 December 2015: EUR 11.2 billion) and the total capital ratio fell to 15.6 percent (31 December 2015: 16.1 percent).

The figures according to the supervisory reporting as at 31 December 2016 were:

EUR billion	31 Dec 2016	31 Dec 2015
Total RWA	65.2	69.6
Own funds • of which CET1	10.1 8.7	11.2 9.8
Total capital ratio	15.6%	16.1%
CET1 ratio	13.3%	14.0%

Based on the adopted annual financial statements as at 31 December 2016, the Group had CET1 of EUR 9.6 billion and a CET1 ratio of 14.7 percent (fully loaded CET1 ratio of 13.2 percent). Based on own funds of EUR 11.1 billion, the total capital ratio was 17.0 percent.

The capital ratio pursuant to section 26a para. 1 KWG was 0.26 percent (FY 2015: 0.23 percent). Details on “country by country reporting”, which is also governed under section 26a para. 1 sentence 4 KWG, can be found after the “Auditor’s Report” in these financial statements.

General overview of financial performance

The BayernLB Group’s financial position and financial performance was stable in financial year 2016 despite an environment that remains challenging.

As is evident from its earnings performance in 2016, the BayernLB Group is well on track overall in its core business areas and its business model has proven effective even in the difficult market environment. The BayernLB Group has expanded and strengthened its market position. Moreover, risks were reduced further and appropriate measures taken in the reporting year for the future. Proper account has been taken of the risks.

The Bank’s liquidity was good throughout the reporting period. The Risk Report contains additional information on the financial position.

For information on events of major significance after the close of the financial year, please refer to the notes to the consolidated financial statements (see note 86).

Report on expected developments and on opportunities and risks

Report on expected developments including opportunities and risks

Economic environment

The stronger growth momentum at the end of 2016 is likely to continue into the start of 2017. In contrast to 2016, BayernLB is, however, expecting the pace of economic growth in Germany to slacken somewhat over the course of 2017. Averaged out over the year, economic output is set to grow by 1.2 percent year on year. Companies may lose some of their appetite for capital spending, mostly as a result of political uncertainty in many quarters (triggering of Brexit, elections in the Netherlands, France and Germany, and measures by the US administration). The upswing will, however, remain intact overall and still be driven by domestic demand. Low interest rates will continue to spur consumption and investment, particularly in the construction sector. Real estate prices should climb even further in this environment, especially in urban areas with high migration rates. Likewise public spending will probably increase again in 2017. High tax receipts and the currently low interest burden on public sector budgets suggest that this can be achieved while also meeting the goal of balancing the budget. In contrast to the year before, foreign trade should have little impact on GDP growth in 2017. Although high levels of uncertainty in foreign trade are likely to rein in exports, economies in major markets such as the USA and Japan are expected to revive during the year, thereby supporting demand. Germany's export trade should also gain some zip from the weak euro. On the pricing front, inflation's upwards march is set to come to a halt in the first quarter as the base effect from low energy prices gradually fades, unless the oil price heads further north from its current level. Germany's inflation rate will not become settled above the 2 percent threshold. BayernLB expects it to average 1.6 percent over the course of the year. Against this backdrop, the ECB will probably continue its QE purchases within the agreed scope until the end of 2017 at least.

The biggest economic risks for Germany are anticipated to be concerns about the stability of the currency union and the European Union, which have flared up again. How the USA shapes and forms foreign and economic policy under the new administration will also be critical.

Regarding exchange rates, in the first half of 2017 BayernLB is expecting the value of the dollar to rise slightly to USD 1.03/EUR. Propulsion here will come from the short-term improvement in the economic outlook in the wake of the fiscal expansion planned by the new US administration and the expected hike by the Federal Reserve in June 2017. In the second half of the year, the dollar is expected to plot a firm course for parity against the euro and reach this by the end of the year. The greenback is likely to gain traction from a second interest rate hike by the Fed in December 2017 and the prospects of a more rapid round of rate increases in 2018. Pound sterling will probably shed value as very bumpy Brexit negotiations get underway and the economy cools. As for the Swiss franc, BayernLB anticipates the currency will slowly edge higher in 2017, partly on account of the robust shape of the economy, which makes further rate cuts by the SNB appear improbable.

The new US president's economic plans and accompanying expectations of inflation and monetary policy actions are not yet fully priced into bond markets. BayernLB is forecasting yet more additional adjustments will need to be made, particularly with US interest rates. In response to the line set by the USA, 10-year Bund yields should stay in positive territory for a while. As the monetary policy of the ECB and Fed continues to diverge in 2017, Bunds at the long end of the curve will, however, track Treasuries only to a certain extent. This is also suggested by the shortage of Bunds, which remains a key determining factor for Bund yields despite the scaling back of QE volumes in April. By the year-end the Bank is expecting 10-year Bunds to be yielding around 0.6 percent. In respect of the covered bond market, the Bank is anticipating spreads will widen moderately in the market as a whole. Covered bonds from the euro periphery will probably underperform their EU core counterparts, particularly Pfandbriefs. European credit markets will continue to be governed by the tensions between event risks and ECB purchases in 2017. Although BayernLB considers the direct impact of US fiscal policy and the tapering debate on the credit universe to be limited, rising volatility in benchmark interest rates could blunt risk appetite for the IG segment. In 2017, it is expected that risk premiums in the investment grade (iBoxx Euro Non-Financials) and high yield (BofA Merrill Lynch Euro High Yield) brackets will rise on average by 10 and 30 basis points respectively.

Stock markets should also see strong volatility in 2017. With most leading economic indicators pointing upwards, expectations of accommodative fiscal measures by the newly elected US administration and the expansion of the ECB's QE programme, stock markets headed into the new year on a tailwind. Thereafter, the likelihood is, however, of a temporary period of consolidation or correction. Possible triggers include the dampening effect on the European economy from the Brexit process, disillusionment with the economic impact of the Trump agenda and germination of (geo) political risks. Due, however, to a modest overall pick-up in the global economy and the continuation of expansive monetary policy, the Bank does not expect stock markets to go into retreat.

The BayernLB Group's future performance

BayernLB's strategy over the coming years will continue to be based on the agreements that emerged from the EU state-aid proceedings in 2013. The key condition is therefore the repayment of the still outstanding state aid payments in the amount of EUR 1.0 billion to the Free State of Bavaria. For it to do so it must have a solid capital base and stable core business even after the repayment.

In 2016, as one of the key cornerstones of BayernLB's future strategic direction, the Bank defined an overarching strategic course and drew up the specific measures for achieving it. The focus of the Bank's strategic goals will be on sustainably expanding the earnings base by growing business with customers in core business areas, strengthening the low-risk commission business, developing robust sales structures capable of achieving sales targets and targeting the digitalisation of sales channels. They also include ensuring that the Bank has a capital base suitable for its long-term needs, optimising the operating model to stabilise the good cost base and developing a permanent culture of efficiency. The BayernLB Group's market presence will continue to be shaped by its universal bank-like business model with a geographical focus on Bavaria and Germany.

In 2017, the business with Mittelstand and large corporations will be conducted along the lines laid down over the last two years. Key success factors in this have been the expansion of the customer base with mainly Mittelstand companies in the different regions of Germany and the intensification of customer relationships. Forming a solid foundation for future growth is the partnership with Standard Chartered Bank in international business in Asia, the range of capital measures offered jointly with private bank Joh. Berenberg, Gossler & Co. KG., Hamburg and BayernLB's strong position in the credit and DCM business. New products and services, for example, in the areas of digitalisation and sustainability (green bonds/green Schuldschein notes) and project bonds/project finance debt funds, represent additional opportunities on both the asset and liability sides. An intensively competitive interest rate environment, irritations posed by Brexit, the newly elected administration in the USA and international flash points also mask, however, a tough decision-making and investment environment for internationally operating companies, project developers, sponsors and investors.

With regard to commercial and residential real estate customers, the focus of the strategic goals will be on boosting sales activities and increasing market penetration by offering comprehensive customer relationship management across the whole product range. BayernLB expects to achieve steady portfolio growth between now and 2021 by implementing the planned increases in business with existing customers and expanding the customer base, for example by opening new sales offices.

The successful and trusting collaboration with savings banks and municipalities is based on the sales and customer-orientated support model with a holistic approach and range of products and services based on needs.

DKB's strategic focus is on ensuring stable and profitable customer relationship management by achieving a good balance in its lending and deposit business. In the retail customers business, online bank DKB will aim for more customer growth and higher wallet share through a comprehensive range of products and services. In the corporate and infrastructure customer segments it operates with a broad-based network and sector-specific expertise for the defined core customer groups.

The Bank assumes interest rates will remain low. Institutional investors will therefore continue to turn to longer-dated instruments and credit risk (senior unsecured and subordinated capital) to generate returns. For BayernLB's part, this interest rate environment calls for more focus to be placed on managing funding costs. Thanks to the expected presence of central banks as both bond buyers and suppliers of liquidity (e.g. ECB – TLTRO II), the Bank is anticipating a plentiful supply of market liquidity in 2017. BayernLB will, however, continue to work on its funding portfolio so it can call on a comfortable funding base even when central bank activity starts to ebb.

Increasing importance will be attached to managing loss absorption capacity, which is determined by the supervisory Minimum Requirement for Eligible Liabilities (MREL) and, as an additional aspect, has a significant impact on BayernLB's capital market rating.

The BayernLB Group sees opportunities if the economic data turns out better than expected. A more rapid increase in interest rates would help the contribution from investing capital, and thus net interest income. On the other hand, further falls in interest rates would weigh on the Bank as, for example, it would need to inject more funds into pension provisions.

BayernLB forecasts that it will once again post a profit before taxes in the mid-triple-digit million range for 2017. RoE will stay in the mid-single-digit range, while CIR should stay at the 2016 level despite rising regulatory costs.

It cannot be ruled out that any change in the assumptions underlying our forecasts may affect the BayernLB Group and its financial position and performance.

Risk report

Principles

This risk report is prepared in accordance with the requirements of IFRS 7.31 et seq. on the reporting of risks arising from financial instruments to which the Group was exposed at the end of the reporting period. Presentation of the risks is mainly based on information supplied as a basis for risk management and monitoring to the Board of Management and the Risk Committee of the Supervisory Board (management approach). Credit risk is also presented on the basis of the IFRS consolidated figures (balance sheet approach). In addition, portfolios with elevated risk profiles (as recommended by the Financial Stability Board) and information on forbearance exposure are shown within the report. The final draft of the Implementing Technical Standards (ITS) on Supervisory reporting of forbearance and non-performing exposures under article 99 (4) of Regulation (EU) No 575/2013 was published on 20 February 2014. For information on the inclusion of forborne exposures in risk-orientated management, please refer to the problem loan handling and forbearance section of the risk report. Quantitative data on forborne exposures are shown as "Renegotiated credits" in the "Portfolio overview in accordance with IFRS 7.36 a (Balance Sheet Approach)" section.

The risk report further contains information required in accordance with German Accounting Standard DRS 20. The report also complies with the requirements in section 315 para. 2 no. 5 of the German Commercial Code (Handelsgesetzbuch (HGB)) in conjunction with section 315a para. 1 HGB, which require limited companies (Kapitalgesellschaften) within the meaning of section 264d HGB to describe the key features of the internal monitoring and risk management system used in the consolidated accounting process.

Key developments in 2016

- Stable risk profile
- Core business expanded in line with strategy
- Risk-bearing capacity maintained at all times
- Good liquidity

The BayernLB Group continued to have a healthy risk profile in financial year 2016.

Gross credit volume rose slightly by EUR 1.6 billion or 0.6 percent to EUR 257.7 billion.

The BayernLB Group's good portfolio quality improved again and benefited from the expansion of the core business with good quality assets and by the positive financial and economic environment in Germany, the BayernLB Group's core market.

Thanks to strict risk discipline, the key metrics of portfolio quality remained stable, with a high investment grade share of 83.5 percent (FY 2015: 80.8 percent) and a much lower non-performing loan ratio of 1.6 percent (FY 2015: 2.4 percent). In the core business, the non-performing loan ratio was 0.5 percent (FY 2015: 0.7 percent).

Risk-bearing capacity was maintained throughout financial year 2016 as the provision of risk capital was solid. In addition, the BayernLB Group had a good supply of liquidity on hand.

Internal control and risk management system

Tasks and objectives

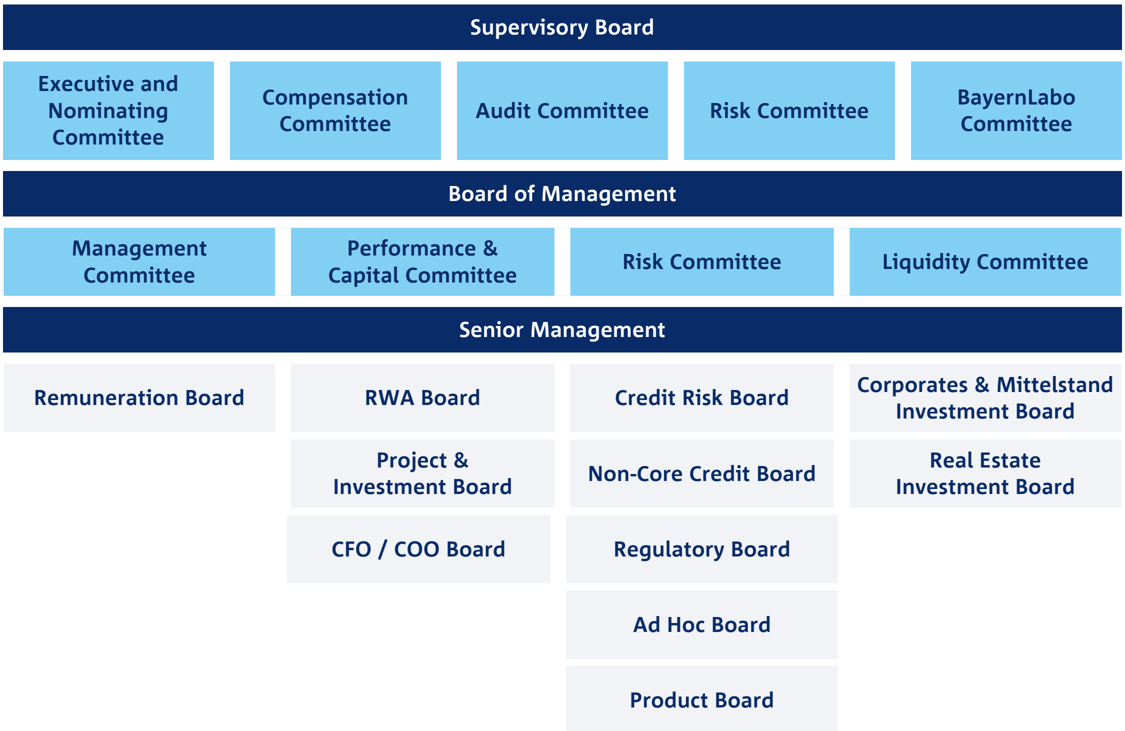
The BayernLB Group has established an internal control system (ICS) to ensure that its accounts are properly prepared and reliable. This includes principles, procedures and measures for ensuring the accounts are produced in an efficient and cost-effective manner. Consequently, the internal control system helps to limit risks in the accounting process and plays a key role in providing a true and fair view of the BayernLB Group's financial performance and financial position.

One key aim of the internal control system is to ensure that all transactions are fully and properly entered, processed and documented in accordance with legal requirements and standards, the Bank's statutes and other internal directives. This also ensures that risks are disclosed in line with supervisory requirements. The IT systems used by the central areas participating in the process are suitable for this purpose and the staff have been given adequate training in the legal and internal standards and in how to use the IT systems.

Management structure

In 2016 the Board of Management reorganised the structure of committees and boards below the Board of Management level and aligned them with the new regulatory and legal requirements. The changes predominantly reflect the now completed strategic realignment of BayernLB and its Group companies, and the new European regulatory structure led by the ECB involving new procedures and processes (the Single Supervisory Mechanism (SSM) and Supervisory Review and Evaluation Process (SREP)) and have the goal of making corporate management more consistent and transparent within the BayernLB Group.

Management structure



Supervisory Board and committees

The Supervisory Board monitors and advises BayernLB's Board of Management. It is assisted in its work by the committees described below:

The Audit Committee monitors the accounting processes, the effectiveness of the risk management system, particularly the internal control system and internal Audit division, and the correction of open findings from audits and the annual accounts.

The Risk Committee mainly deals with issues relating to the risk strategies approved by the Board of Management and the risk situation at BayernLB Group and BayernLB level, and decides on loans requiring approval by the Supervisory Board under the German Banking Act and BayernLB's Competence Regulations.

In addition to the above-mentioned committees, the Supervisory Board is supported by the Executive and Nominating Committee, the Compensation Committee and the BayernLabo Committee.

Board of Management and committees (committees and boards)

In managing the business and the company the Board of Management is supported by committees and boards.

In the first half of the year, the Board of Management therefore set up/reorganised four committees with a Group focus. Each committee is headed by a member of the Board of Management. The Board of Management has transferred responsibilities and, to an extent, decision-making powers to the committees. The committees have a largely advisory function. The individual Board of Management member's responsibility for his/her segment and the overall responsibility of the Board of Management pursuant to the Rules of Procedure and the allocation of tasks of the Board of Management continue to apply.

The Performance & Capital Committee, chaired by the CFO, monitors the performance/earnings situation and (regulatory) capital base. It also prepares decisions on performance and capital management of BayernLB and the BayernLB Group for the Board of Management.

The Risk Committee, chaired by the CRO, supports and advises the Board of Management in discussing changes in the Group risk profile, assesses potential recovery situations, discusses the main quantitative procedures and methods for managing and monitoring all types of risk (apart from liquidity risk), reviews new regulatory requirements and initiates implementation in terms of Pillar 2.

The Liquidity Committee, chaired by the member of the Board of Management responsible for Financial Markets, is essentially concerned with ensuring the ongoing liquidity of BayernLB and advises and takes decisions within the parameters of the guidelines set out by the Board of Management.

In addition, the Board of Management is supported in its activities by the Management Committee.

Senior Management

The Board of Management has reorganised the board structure at senior management level to make it more consistent. Boards generally act across segments without the Board of Management being directly involved.

The RWA Board, chaired by the head of the Controlling division, monitors and manages changes in risk-weighted assets (RWA) at BayernLB.

The Credit Risk Board, chaired by the head of the Risk Office Credit Analysis division, is the highest competence holder on credit matters below the Board of Management and deals with sector portfolio, country and product reports and policy issues regarding credit risk management for the core business.

The Non-Core Credit Board, chaired by the head of the Credit Consulting division, has a decision making and voting function for all operational issues relating to the winding down of assets; in particular it decides on credit applications under authority granted by the Board of Management.

The Product Board, chaired by the Group Risk Control division, is responsible for complying with MaRisk requirements for the launch of business activities in new products. It is mainly responsible for the approval of new products and regularly approving the valuation models used and changes to these models.

The Corporates & Mittelstand Investment Board and the Real Estate Investment Board are the highest decision-making bodies with authority to allocate capital and resources below the Board of Management member responsible for their business area and are responsible for the business area-specific management carried out on the basis of central rules and ratios and the strategic targets of the area. The Investment Boards also decide on the German connectivity of customers and/or transactions, thereby satisfying the conditions imposed by the EU for transactions with borrowers whose registered office is outside Germany.

Other boards set up by the Management Board include the Remuneration Board, the Project and Investment Board, the CFO/COO Board, the Regulatory Board and the Ad Hoc Board.

Organisation

Besides segregating the functions of the Sales and Risk Office units and the Trading and Back Office units, a business organisation must have adequate internal control procedures and mechanisms to manage and monitor key risks.

The Board of Management is chiefly supported in this task by the Risk Office, Credit Consulting, Financial Office, and Operating Office central areas, as well as the Corporate Center.

Risk Office

The Risk Office of BayernLB, the Group parent company, comprises the Group Risk Control, RO Credit Analysis, Mid Office and Research divisions.

The Group Risk Control division independently identifies, values, analyses, communicates, documents and monitors all risk types at the aggregated level. For the purposes of operational management of risk types and risk-bearing capacity, Group Risk Control provides the Board of Management and other governing bodies with independent and risk-relevant reports.

In addition to periodic and ad-hoc reporting on the BayernLB Group's risk situation to internal decision-makers, communication also includes external risk reports filed in accordance with legal and supervisory requirements. This includes reports on the performance of the indicators selected in accordance with the Minimum Requirements for the Design of Recovery Plans (MaSan) and German Recovery and Resolution Directive (Sanierungs- und Abwicklungsgesetz (SAG)).

Decisions regarding risk management are made in accordance with the Business Strategy and Group Risk Strategy, which are harmonised with each other. Credit risk management is a joint responsibility of the Sales units and Risk Office units, with segregation of duties being ensured at all times. In this management process, the RO Credit Analysis division is responsible for analysing, assessing and managing the risk-relevant exposures in the core business (the Risk Office role). It takes the lead in setting the Credit Risk Strategy for individual customers, sectors, countries and special products such as leasing, project finance and acquisition finance, is responsible for ongoing credit and transaction analysis and votes on behalf of the Risk Office in the credit approval process. The same applies to DKB.

The Mid Office division pools the credit-related tasks and frees up the sales and credit analysis units to concentrate on their primary tasks and with its standardised, lean processes makes a key contribution to boosting customer business and achieving the planned business growth.

The Research division is responsible for risk assessment of countries and sectors, and issues economic analyses and forecasts, and also capital market studies and recommendations (including on bonds and notes from individual issuers). The division contributes to risk management at the BayernLB Group and provides analyses and forecasts for BayernLB customers and for the securities and currency business of the Financial Markets business area and the Bavarian savings banks.

Credit Consulting

Following the winding down of the non-core businesses since 2009, which is already well under way, the focus of the division's tasks has returned to being a service provider for the core business and the restructuring or liquidation of exposures; since September 2016 this division has once again operated under the name Credit Consulting. The division performs the roles of both the Sales units and the Risk Office for the exposures assigned to it.

Financial Office

Operational implementation of uniform Group-wide accounting standards is the responsibility of the Financial Office central area, which ensures that the accounts are properly prepared. It is also responsible for establishing the accounting process and making sure it is effective.

Its key tasks include preparing the consolidated financial statements and the Group management report, establishing accounting policies, initiating accounting-related projects, and tracking national and international developments in accounting.

The Financial Office central area also implements the relevant accounting standards and legal requirements on accounting, which are detailed in the directives for preparing the accounts. These directives, which are an important component of the accounting-related internal control system, are summarised and documented in the Group Accounting Manual, and in the instructions for Group companies for preparing the financial statements.

The consolidated financial statements and Group management report are compiled in accordance with the directives for preparing the annual accounts, produced by directive of the Board of Management, checked by the auditors and approved by the Supervisory Board. The Supervisory Board has set up an Audit Committee whose duties include discussing the audit reports and preparing the resolution for the Supervisory Board's approval of the consolidated financial statements and Group management report. Upon request, the auditor takes part in the discussions of the Audit Committee and Supervisory Board on the consolidated financial statements and reports on the key findings of its audit.

The Controlling division is also assigned to the Financial Office central area. This unit is responsible for supervisory reporting and the operational implementation of consistent rules across the Group as part of management controlling, and lays down standard methods and procedures.

Operating Office

The Operating Office central area is responsible for BayernLB's operating processes and supporting these in the Group IT, Operations & Services and Organisation divisions.

Corporate Center

The Group Compliance division monitors and ensures compliance with legal and supervisory requirements and reports directly to the Chief Risk Officer. It also coordinates the compliance activities of the subsidiaries.

The Audit division audits BayernLB's business operations and reports directly to the CEO. Taking a risk-oriented auditing approach, its auditing activities extend to all activities and processes within BayernLB. In particular, its activities also include important processes and activities outsourced to third parties. Pursuant to MaRisk BT 2.1 sub-section 3, the company can forego its own auditing activities in cases of material outsourcings, insofar as the other internal audit activities performed – i.e. the external service provider's internal auditing – satisfies the MaRisk AT 4.4 and BT 2 provisions. Where companies performing material outsourced activities have no internal audit service of their own, BayernLB's internal Audit division undertakes its own auditing activities. The internal auditing units of companies performing material outsourced activities are regularly reviewed to ensure they are capable of satisfactorily performing their duties. As Group internal auditor, the Audit division also supplements the internal auditing units of subordinate companies.

The CEO is directly in charge of the Legal, the Group Strategy & Group Communications and the Human Resources divisions.

Scope of monitoring and monitoring procedures

The internal control and risk management system is governed by the internal written organisational rules (schriftlich fixierte Ordnung (SFO)).

The rules governing the accounting-related internal control system are set out in the Group directives for preparing the accounts. The main component of these directives is the Group Accounting Manual, which contains key requirements for ensuring accounting policies are uniformly applied throughout the Group based on the regulations that the parent company is subject to. This is supplemented by instructions on preparing the consolidated annual accounts. These are internal guidelines for Group companies consolidated in the consolidated annual financial statements. The instructions on preparing the annual accounts include information on reconciling and eliminating intra-Group transactions, the debt consolidation process, expenses and earnings consolidation, as well as on tasks, contacts and deadlines relating to the preparation of the consolidated annual financial statements. In addition changes in accounting standards, IT systems and control procedures for ensuring high quality reporting and data are also explained.

Group and institution-level instructions on risk management are prepared on the basis of the Group Risk Guidelines. These rules govern the risk management and monitoring processes used for the timely identification, full documentation and appropriate disclosure of major risks.

As with the Group Accounting Manual and instructions for preparing the annual accounts, these rules are regularly reviewed, updated and published internally.

To ensure transactions are fully and correctly processed, and that bookings, data entry and documentation are in compliance, a number of internal control procedures have been implemented within BayernLB. Measures include the segregation of duties, a differentiated access authorisation system to prevent unauthorised intruders, ongoing checks within the workflow process applying the dual control principle and checks programmed into the IT systems. The internal control system reconciles ledgers and sub-ledgers, monitors manual bookings in the main ledgers and conducts posting runs. Additional checks and reconciliations are also conducted to ensure data is correctly transferred between IT systems.

When preparing the consolidated annual financial statements, checks are carried out to determine if the underlying data is properly presented, and the quality of the data in the consolidated financial statements is assessed (e.g. applying the dual control principle, conducting plausibility checks). The Group uses server-based consolidation software, for which separate editing and reading rights have been assigned. This software has a number of checks built into the program to ensure entries are properly made and correctly documented.

The consolidated accounting process is checked regularly for inherent risks, so that measures can be taken when necessary to refine the internal control system.

BayernLB has outsourced some of its services (principally IT services, rating services and securities back office operations) to external companies. Both central and decentralised units within BayernLB ensure these outsourced services are subject to the internal control system:

The Central Outsourcing Management office in the Organisation central area sets the rules for the outsourcing process in BayernLB and provides centralised status reports on outsourcing to the Board of Management. The ongoing monitoring and managing of external service providers as required by section 25b KWG and MaRisk AT 9 is performed decentrally by outsourcing managers in the business units responsible for accepting the services. The Group Risk Control division records and evaluates outsourcing risks and submits regular cross-divisional risk reports to the Board of Management.

Risk-oriented management

Group Risk Strategy

Decisions regarding risk management are made in accordance with the Business Strategy and Group Risk Strategy, which are harmonised with each other.

The Group Risk Strategy, which is based on the Business Strategy and reviewed regularly, is set by the Board of Management and discussed with the Risk Committee of the Supervisory Board. The general objectives and guidelines of the Risk Strategy and the strategic requirements for the different types of risk are drawn up based on the Business Strategy.

The Group Risk Strategy sets the following main objectives and guidelines:

Objectives:
- Ensure on a sustainable basis that the amount and quality of capital is appropriate from both a regulatory and economic perspective
- Ensure the BayernLB Group is solvent at all times
- Achieve sustainable earnings using value-based management of RWA

Guidelines:
- The BayernLB Group only takes on risks it is able to assess and manage
- In those areas where the strategy allows for portfolio growth, quality takes priority over quantity
- Sales and Risk units are jointly responsible for earnings after risk provisions
- The BayernLB Group applies high ethical principles in its business activities

The economic capital available for allocation in the BayernLB Group is based on the long-term capital available and was allocated within the BayernLB Group by risk type in line with the Risk Strategy in force for 2016.

The basis for setting the Risk Strategy is the annual risk inventory carried out in accordance with MaRisk and the risk-bearing capacity calculation. The risk inventory examines not only BayernLB but also the subsidiaries and special purpose entities in the BayernLB Group, regardless of whether they are consolidated under German commercial law or supervisory requirements. The BayernLB Group's risk profile is then shown in the risk map within the risk inventory and presented to the Board of Management for information purposes. The BayernLB Group's major risks are counterparty risks (resulting from credit and country risks), market risks, including risks from pension liabilities, operational risks, participation risks, the risk of a rise in the cost of liquidity, business and strategic risks, including reputational risks and real estate risks from the real estate in the BayernLB Group's portfolio. The individual risk types are described in greater detail further on in this report.

Capital management

Capital management is based on a planning process that incorporates strategic, risk-based and regulatory factors into a long-term operational plan. The business strategy is an essential element for preparing the capital planning and the Group risk strategy.

Integrated risk and earnings reporting

In line with the reorganisation of the governing bodies in 2016, the reporting system to the Board of Management was also realigned. Trends in the four key areas of performance, capital, liquidity and risk are integrated into a new monthly Group Management Report presented to the Board of Management. The Management Cockpit in the integrated report provides a brief impression of the current situation with key figures and ratios. Additional detailed information focused on the four key areas are then presented and commented on.

The instruments used to manage and monitor the achievement of business and risk strategy goals are constantly refined at Group level.

The processes involved in managing regulatory capital adequacy and internal capital adequacy are described in the sections below.

Regulatory capital adequacy (solvency)

To ensure BayernLB has the proper amount of regulatory capital, the objectives, methods and processes below have been defined. The starting point for the allocation of regulatory capital is the BayernLB Group's own funds planning. Own funds are defined as Common Equity Tier 1 capital (CET1), additional Tier 1 capital and Tier 2 capital. Common Equity Tier 1 capital comprises subscribed capital plus reserves and the state support mechanism of the Free State of Bavaria, less various supervisory corrections and deductions. Tier 2 capital comprises profit participation certificates and long-term subordinated liabilities.

Own funds planning is based largely on the internal target Common Equity Tier 1 capital ratio (ratio of Common Equity Tier 1 capital to RWA) and an internally set target total capital ratio (ratio of capital to RWA) for the BayernLB Group. It establishes upper limits for credit, market and operational risks arising from business activities in the planning period.

Regulatory capital is distributed in the planning process to each planning unit through RWA. The planning units (Group units) are the defined business areas/central areas within BayernLB, BayernLabo and DKB.

RWA are allocated to the Group units through a top-down distribution approved by the Board of Management for credit, market and operational risks, combined with an internally assumed capital ratio of 11.5 percent. Compliance with the RWA limits available to each Group unit is constantly monitored by the Performance & Capital Committee. The Board of Management receives monthly reports on current RWA utilisations.

Information on the changes in the BayernLB Group's supervisory ratios can be found in the management report of BayernLB's annual accounts under "Banking supervisory ratios under CRR/CRD IV for the BayernLB Group". BayernLB publishes additional information in the disclosure report in accordance with section 26a KWG. The disclosure report can be found on BayernLB's website under "Disclosure Report".

Economic capital adequacy (risk-bearing capacity)

Economic capital adequacy (risk-bearing capacity) is monitored using the Internal Capital Adequacy Assessment Process (ICAAP) at the BayernLB, DKB and the BayernLB Group levels, including the consolidated risk units of the above-mentioned major subsidiaries. The aim of ICAAP is to ensure that there is sufficient economic capital at all times to cover the risks assumed or planned.

For risk management, BayernLB follows a liquidation-based approach in ICAAP that is designed to protect senior creditors. This is computed using internal targets for the accuracy of risk measurement, which correspond to a confidence level of 99.95 percent. The method for calculating risk-bearing capacity is assessed and refined on a regular basis to ensure it takes adequate account of external factors and internal strategic targets.

The economic capital is of suitable quality to absorb any losses and is calculated in accordance with the liquidation approach by deducting from the sum of equity and subordinated capital those items that are not available in the event of the liquidation of the BayernLB Group (e.g. intangible assets).

The Group Risk Strategy, in tandem with the Business Strategy, sets the risk appetite and the framework for risk planning. The Risk Strategy allows only a proportion of the available economic capital to be allocated to risks in the course of business activities.

Previously, the risk capital requirement for business and strategic risk, the risk of a rise in the cost of liquidity and BayernLB's own real estate risk has been deducted directly from economic capital. However, limits were also set for these risks during the 2016 Risk Strategy review.

The maximum risk appetite at Group level for the aforementioned risks and credit risks, market risks and risks from pension liabilities, operational risks and participation risks in 2016 was EUR 8.1 billion and corresponds to 69.5 percent (FY 2015: 67.4 percent) of the available economic capital (EUR 11.6 billion; FY 2015: EUR 12.9 billion).

The planning of economic risks for the risk-bearing capacity calculation and the planning of the economic capital are integral parts of the Group planning process described under the "Regulatory capital adequacy" section. For an in-depth, forward-looking analysis of economic capital adequacy, the calculation of risk-bearing capacity is based on the Business Strategy and is supplemented by stress tests. Both scenario and sensitivity analyses are carried out for this purpose. In addition to historical scenarios, the impact of adverse changes in risk factors both on specific risk types and across all risk types is also analysed using hypothetical scenarios. The latter in particular have a major role in the analysis of situational scenarios.

The liquidation-based analysis of risk-bearing capacity is supplemented by a going concern perspective. This analyses capital adequacy with respect to the sustainability of the business model in the event of a loss that is statistically probable only once over a rolling five-year planning horizon.

Sensitivity analysis also plays a part in the comprehensive analysis of risk-bearing capacity by increasing transparency of the impact of potential changes in individual risk factors (such as the impact of changes in interest rates).

Risk-bearing capacity is quantified routinely and as required from both a liquidation and a going concern perspective and is reported monthly to the Board of Management as part of the regular ongoing internal risk reporting, together with the results and key assumptions of the stress tests performed.

Current situation

The table below shows year-on-year changes in risk capital requirements at BayernLB.

Risk capital requirements

EUR million	31 Dec 2016	31 Dec 2015
Counterparty risk (credit and country risk)	1,173	1,211
Market risk	1,863	2,595
• of which actual market risk	888	1,104
• of which pension risk	975	1,491*
Operational risk	514	488
Investment risk	127	112
Business and strategic risk (includes reputational risk)	799	882
Liquidity cost risk	283	303
Real estate risk	–	–
Total	**4,759**	**5,590**

* *The risk capital requirement for risks from pension liabilities as at 31 December 2015 has been adjusted for comparison purposes owing to the change in methodology.*

The BayernLB Group had adequate risk-bearing capacity, as the provision of risk capital was solid.

Most of the decline in risk capital requirement related to market risk and business and strategic risk. Market risk, which includes the risk from pension liabilities, declined as market volatility fell and positions were changed. Pension risk reflects adjustments in methodology, which are discussed in more detail in the section on market risk. The risk capital requirement for pension risk as at 31 December 2015 has been adjusted accordingly. No risk capital is required for real estate risk because of the high level of hidden reserves and higher market values for BayernLB's own real estate.

As part of BayernLB's stress testing programme, the possibility of a severe economic downturn (ICAAP stress scenario) is routinely calculated. Under the severe recession scenario, the risk capital requirement for the individual risk types rises to a total of EUR 10.0 billion (FY 2015: EUR 10.8 billion).

A severe economic downturn (ICAAP stress scenario) would see 86.2 percent utilisation of available economic capital (FY 2015: 81.9 percent). The regulatory minimum capital ratios were met in the going concern scenario.

Inverse stress testing

Inverse stress tests were conducted at the BayernLB Group level as an integral element of the stress testing programme. Contrary to the logic of conventional stress tests, scenarios that could potentially jeopardise the existence of the BayernLB Group's current business model are identified using a retrograde procedure. Inverse stress tests are conducted for both individual risk types and across all risk types. The integration of different divisions in the scenario parameters makes it possible to analyse varying perspectives of the BayernLB Group's risk and earnings situation simultaneously and integrate them into the stress testing in a consistent manner. Both qualitative and quantitative analyses are carried out, based in particular on the effects of current developments in external and internal risk factors on the BayernLB Group.

Recovery plan

The BayernLB Group has had a recovery plan in place since 2013, in accordance with the Minimum Requirements for the Design of Recovery Plans (MaSan) and German Recovery and Resolution Directive (Sanierungs- und Abwicklungsgesetz (SAG)). This sets out the options open to the BayernLB Group to ensure it has sufficient capital and liquidity even in situations of financial stress. Thresholds for one and two-stage indicators are continuously monitored so that early action can be taken to ensure solvency. The status of these indicators is reported to the Risk Committee and the Board of Management monthly and to the Risk Committee of the Supervisory Board quarterly in the risk reporting.

The recovery plan is updated annually and was amended in 2016, in particular through the incorporation of planning data. The thresholds for the one and two-stage indicators in the recovery plan, which are set mainly at the Group level and are based on the German Recovery and Resolution Directive (Sanierungs- und Abwicklungsgesetz (SAG) and Minimum Requirements for the Design of Recovery Plans (MaSan), were complied with by comfortable margins. Against this background, no recommendations for action needed to be sent to the Board of Management.

Resolution plan

As part of the reaction to the 2008 financial crisis, lawmakers established the EU regulation on a uniform Single Resolution Mechanism (SRM Directive) and the Recovery and Resolution Directive. These direct resolution authorities at the European and national level to keep resolution plans for banks on file that can be activated in an emergency to avert threats to the financial system, where possible without the need for tax payers' money.

BayernLB complied with its legal responsibilities by assisting the responsible resolution authorities (the Single Resolution Board (SRB)) and the German Financial Markets Stabilisation Institution (Finanzmarktstabilisierungsanstalt (FMSA)) to develop a resolution plan for the BayernLB Group.

Credit risk

In accordance with its business model, the largest risk for the BayernLB Group is credit risk. Its clients include large corporates and Mittelstand companies, real estate customers, financial institutions, the public sector and the savings banks in Germany. The business model is rounded off by DKB, which provides retail banking services and the target customers in the infrastructure and corporate customers sectors.

Definition

Counterparty risks arise if a transaction results in a claim against a borrower, issuer of securities or counterparty. If these fail to meet their obligations, the Bank suffers a loss equal to the unpaid amount less the value of any realised collateral plus the related settlement costs. This definition covers both lending and guarantee risks from the credit business, and issuer and counterparty risks from trading activities.

Risks from changes in the credit rating of securities are managed primarily through the management of interest rate risks. When managing interest rate risks, a distinction is made between market-related and credit rating-related interest rate risks; this is also reflected in the separate presentation of the risk capital requirements for counterparty risks and market risks.

Country risks, which are another type of counterparty risk, are also measured, managed and monitored. Country risk is defined in the narrow sense as the risk of a country or a business partner whose registered office is located in another country failing to meet its obligations on time or at all due to sovereign acts or economic or political problems (transfer and conversion risks). Country ratings are a key tool for measuring individual country risk. At the BayernLB Group, both country risk in the narrow sense and the sum of the assumed counterparty risks of individual customers in the respective countries (domicile principle) with the exception of Germany are considered when measuring and limiting risks.

Credit Risk Strategy and approval process

The Credit Risk Strategy – which is part of the comprehensive Risk Strategy – is determined by BayernLB's Board of Management for BayernLB and the Group taking account of risk-bearing capacity considerations.

Before transactions are concluded, the Investment Boards check compliance with the conditions imposed by the EU that customers and/or transactions have a connection with Germany.

The credit approval process at BayernLB consists of several stages. The Competence Regulations define the authority of the different competence holders based on the loan volume to be approved, the business area it is allocated to and the rating classification. Credit decisions that ultimately require approval by the Board of Management or Risk Committee of the Supervisory Board must first go through the Credit Risk Board, which itself is a competence holder. Credit decisions on the portfolios to be wound down are taken by the Non-Core Credit Board. The Supervisory Board's Risk Committee decides on all credits that require the approval of the Supervisory Board under the German Banking Act or the Competence Regulations.

New products and products for new markets are subjected to the new product process.

The decision-making process at DKB is similarly organised. In addition, members of BayernLB's Board of Management sit on DKB's Supervisory Board and its committees.

Risk measurement

Risk classification procedure

In accordance with the Internal Ratings Based Approach (IRBA), BayernLB uses rating procedures that are approved by the supervisory authorities. To maintain and refine the rating procedures, BayernLB works mainly with RSU Rating Service Unit GmbH & Co. KG and Sparkassen Rating und Risikosysteme GmbH. All rating procedures are subject to an ongoing validation process to ensure they are able to correctly determine the default probabilities in each customer and financing segment. This process draws on quantitative and qualitative analyses. These assess the rating factors, including the accuracy and calibration of the procedure, the quality of the data, the design of the model using statistical and qualitative analyses, and users' feedback.

They are regularly modified where necessary. For instance, market-induced factors have been incorporated into various rating procedures in recent years in order to further improve their accuracy.

Exposure at default

Exposure at default is the expected claim amount taking account of a potential (partial) draw-down of open lines and contingent liabilities that would negatively impact risk-bearing capacity in the event of a default. For trading transactions the current market value is taken as the basis. Any replacement risks are taken account of by means of an add-on.

Collateral valuations and loss ratios

The starting point for valuing collateral is the market value. This is reviewed on both a scheduled and ad-hoc basis and adjusted whenever there is a change in valuation-relevant parameters. Based on these individual collateral valuations, the Bank estimates the size of the loss upon default, which is principally calculated using differentiated models for realisation ratios (average expected proceeds from the realisation of collateral) and for recovery rates (share of proceeds from the unsecured portion of a claim). The unsecured loss given default (LGD) is determined using the recovery rate. It shows the expected loss from the unsecured exposure of a loan. In contrast to the recovery rate, this also takes account of the various resolution strategies (liquidation, restructuring or recovery). In addition, since March 2016 an LGD has been applied to the secured part of the loan. These models are likewise maintained and improved in partnership with RSU Rating Service Unit GmbH & Co. KG using pooled data and internal loss data. All models are regularly validated and checked for their representativeness.

Expected loss

Expected loss per transaction/per borrower is a risk ratio which not only takes account of the expected claim amount at the time of default but also the customer's credit rating/assigned probability of default and the estimate of losses upon default. This ratio can be used as an indicator of a portfolio's expected risk level.

Expected losses are also relevant for the calculation of standard risk costs, which are used to calculate the risk-adjusted credit terms in the preliminary calculation of the individual transaction (credit pricing). Expected loss allowances are also incorporated into the calculation of portfolio risk provisions.

Unexpected loss

BayernLB calculates unexpected loss at portfolio level using a simulated credit portfolio model, which estimates default risks on a one-year horizon with a confidence level of 99.95 percent. Dependencies among borrowers in the portfolio are estimated using a country and sector-specific model. In addition, the effects of rating migrations and uncertainties in calculating loss ratios are also taken into account. The impact of an unexpected loss by an individual business partner on the whole portfolio is also calculated for risk analysis purposes.

Risk monitoring

The following instruments are used for monitoring and limiting credit risks in the BayernLB Group:

Early warning

All relevant borrowers and exposures are monitored daily using the Bank's internal early warning system. The goal is to identify negative changes in the risk profile by means of suitable early risk warning indicators (e.g. based on market price information such as CDSs or share prices and internal information, in particular information about business partners and transactions) so there is sufficient scope for action to avoid or minimise risk.

Risk capital requirements

BayernLB manages unexpected losses/risk capital requirements using appropriate limits at Bank and business-area levels. In addition, the sensitivity of key risk input parameters (mainly probabilities of default, loss ratios and correlations) is calculated regularly and supplemented by various stress tests, which in different forms (hypothetical, on the basis of historical data) are used to assess risk bearing capacity.

Counterparty default risk limits for borrowers/borrower units

In keeping with MaRisk, counterparty risks at borrower and borrower unit level are monitored daily using a limit system. BayernLB and DKB each conduct their own monitoring. The monitoring takes account of various transaction features using different credit limit types (e.g. issuer risk limit). When the limits within the BayernLB Group add up to at least EUR 400 million per economic borrower unit, a Group-wide (Group) limit is required. BayernLB's Group Risk Control division monitors the Group limit centrally. To limit risk concentrations, the maximum gross credit volume for each economic borrower unit is limited to EUR 500 million Group-wide. The Board of Management or the Risk Committee of BayernLB's Supervisory Board may approve exceptions to this limit in well-founded individual cases (e.g. good credit rating, profitability, strategy). Approved exceptions are individually listed in the quarterly Group Risk Report with their Group limit and gross credit volume.

Sector and country limits

To manage risk concentrations, risk-based limits are set for sectors and countries. Sector and country limits apply Group-wide. Limits are set on gross credit volumes and, in some cases, also on the net credit volume for specific countries. BayernLB's Board of Management sets the limits based in part on an analysis of the sector, country and portfolio structure and a vote taken under the lead of the Risk Office central area. In addition to sector and country limits, the Board of Management also sets and approves additional specific portfolio guidelines and individual transaction conditions to safeguard portfolio quality. Sector and country limits and portfolio guidelines are monitored centrally by BayernLB's Group Risk Control division. Compliance with the individual transaction conditions is reviewed in the course of the approval process. Sector and country strategies are reviewed annually. Irrespective of this, strategies can be changed as events arise.

Collateral

Another key way in which risks are limited is by accepting the usual types of bank collateral and valuing them on an ongoing basis. When deciding what collateral is needed, particular account is taken of the type of financing, the borrower's available assets, their value and liquidity and whether the relative costs are reasonable (costs of acceptance and ongoing valuation).

Collateral is processed and valued in accordance with the relevant directives which set out the procedures for valuing the collateral, any discounts to be applied, and how often the valuation must be reviewed. Net risk positions are calculated on the basis of the liquidation value of the collateral.

As part of its IRBA approval, the supervisory authority has granted BayernLB approval to lower its regulatory capital requirements through the use of real estate liens, ship mortgages, registered liens on aircraft, guarantees, financial collateral in the form of securities, cash deposits and credit derivatives.

The BayernLB Group uses derivative instruments to reduce market and counterparty risks. In derivatives trading, the usual practice is to conclude master agreements for the purposes of close-out netting. Collateral agreements exist with certain business partners restricting the default risk associated with certain trading partners to an agreed maximum and authorising a call for additional collateral should this limit be exceeded. Banks and public-sector customers are the main counterparties in the derivatives business. Limits are imposed as part of the generally applicable limitation process for counterparty risk. Furthermore, large credit risks are subject to both regulatory and internal management methods.

In credit default swaps (CDSs), BayernLB takes positions as both protection seller and protection buyer, but its focus is not on actively trading credit derivatives. CDS positions are valued and monitored daily at individual transaction level. Gains and losses on these positions are calculated daily on the basis of these valuations.

Problem loan handling and forbearance

Problem exposures are classified in accordance with the standard international categories (“special mention”, “substandard”, “doubtful” and “loss”) in terms of their level of risk, and a special restructuring and risk monitoring process is implemented if warranted.

By initiating suitable measures as part of an intensive support or problem loan handling process at an early stage, BayernLB aims to minimise or completely prevent losses from occurring.

BayernLB defines problem loans in the substandard and doubtful categories as forbearance exposures. DKB uses a comparable definition with defined criteria in line with the EBA definition.

Exposures which have been restructured in order to minimise the risk of losses are defined as forbearance exposures. An exposure has been restructured if concessions have been granted to a counterparty in financial difficulties. Concessions are defined as the modification of the terms and conditions of the original loan agreement (e.g. a deferral, waiver or standstill agreement) and/or its refinancing.

Exposures cease to be reported as in forbearance if all of the following criteria apply:
- They have not been classified as non-performing (rating 22 to 24) for more than two years (probationary period).
- Principal and interest payments have been duly made during the probationary period on a material portion of payments due.
- None of the borrower’s exposure is more than 30 days overdue at the end of the probationary period.

Quantitative data on forbearance exposures are shown as “Renegotiated credits” in the Portfolio overview in accordance with IFRS 7.36 a (Balance Sheet Approach) section.

Please see the accounting policies in the Notes for details of how risk provisions are calculated and assets written down.

Risk provisions

Where necessary, proper account has been taken of the risks in the credit business through risk provisions. The principles governing loan loss provisioning and writedowns for problem loans establish how loans at risk of default are to be handled, valued and reported (see the note on risk provisions).

Current situation

The following presentation of credit risk uses the management approach, which is based on the figures used for internal reporting to the Board of Management and the Risk Committee of the Supervisory Board. In certain aspects, the figures derived from the financial situation (such as taking account of undrawn internal current account facilities) therefore deviate from the rules applicable for balance sheet purposes.

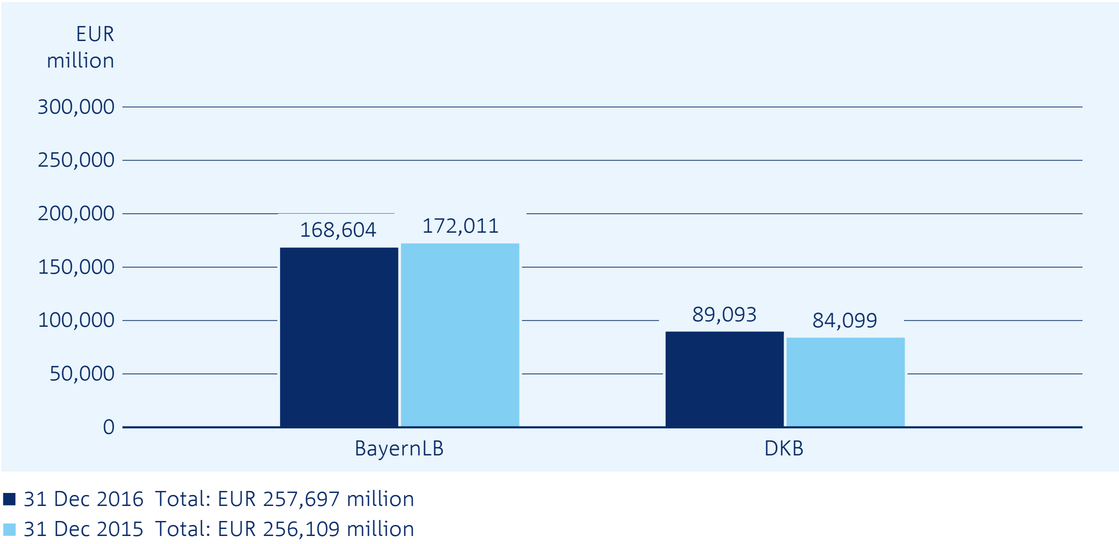
There may also be differences from the accounting-based scope of consolidation, as internal risk management pursuant to MaRisk includes only major subsidiaries.

Credit risk is also presented using the balance sheet approach, which is based on balance sheet figures and focuses on the value of the financial assets shown in the balance sheet.

Credit portfolio in accordance with IFRS 7.34a (Management Approach)

The figures for the management approach include BayernLB and DKB.

Gross credit volume by unit



The gross credit volume for credit transactions comprises the gross lending volume – drawdowns plus unutilised commitments – and undrawn internal current account limits. For trading transactions it is calculated from market value, for derivatives transaction from credit equivalent amounts.

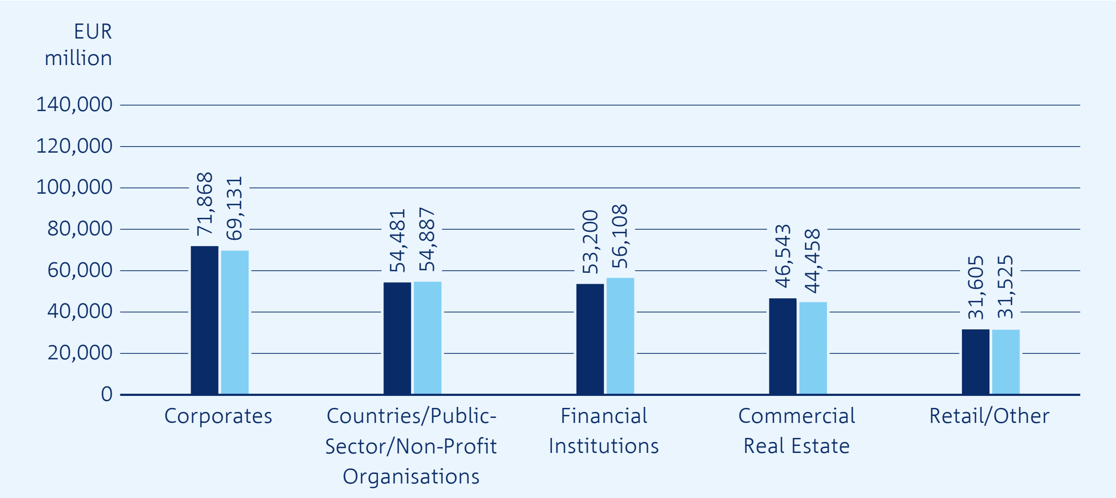
Compared to 31 December 2015, the BayernLB Group's gross credit volume rose by EUR 1.6 billion or 0.6 percent to EUR 257.7 billion. This increase is primarily the net result of changes in the following three sub-portfolios. In the strategically important Corporates and Commercial Real Estate sub-portfolios, business volumes rose by EUR 2.7 billion and EUR 2.1 billion or 4.0 and 4.7 percent respectively. In the Financial Institutions sub-portfolio, gross credit volume fell by EUR 2.9 billion or 5.2 percent.

At BayernLB gross credit volume fell by EUR 3.4 billion. The growth in the Corporates and Commercial Real Estate sub-portfolios was offset by decreases in the Countries/Public-Sector/Non-Profit Organisations and Financial Institutions sub-portfolios.

Gross credit volume at DKB rose by a further EUR 5 billion, mainly in the Countries/Public-Sector/Non-Profit Organisations, Commercial Real Estate and Corporates sub-portfolios.

Gross credit volume in the BayernLB Group is broken down below by sub-portfolio, rating category, region, issuer risks, replacement risks and size.

Gross and net credit volume by sub-portfolio



■ 31 Dec 2016 Total: EUR 257,697 million
■ 31 Dec 2015 Total: EUR 256,109 million

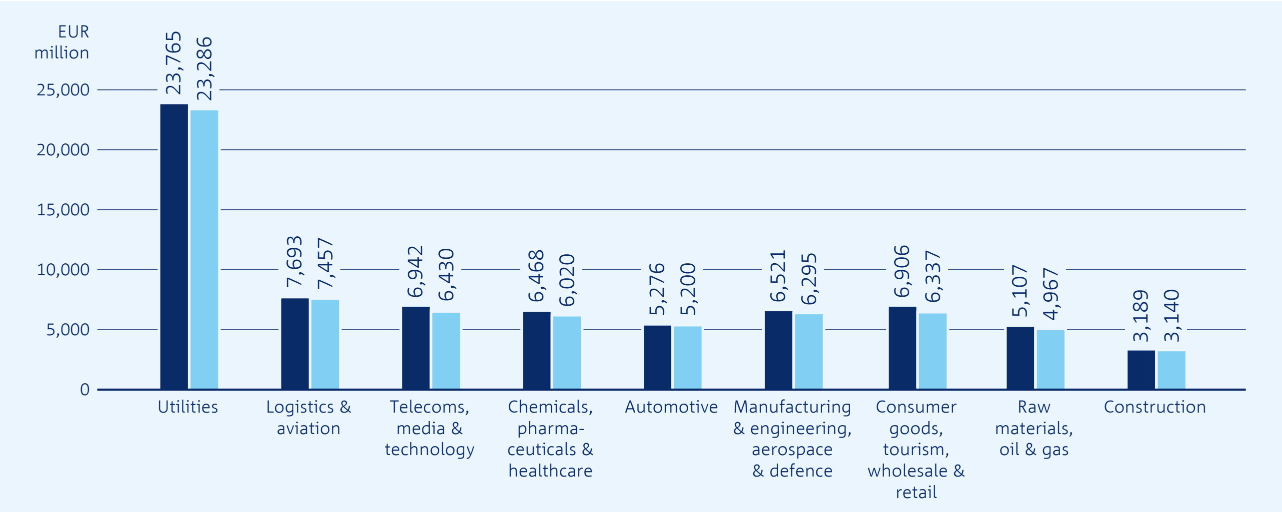
	Gross			Net		
EUR million	31 Dec 2016	31 Dec 2015	Change (in %)	31 Dec 2016	31 Dec 2015	Change (in %)
Corporates	71,868	69,131	4.0%	54,492	52,824	3.2%
Countries/Public-Sector/ Non-Profit Organisations	54,481	54,887	–0.7%	52,298	53,036	–1.4%
Financial Institutions	53,200	56,108	–5.2%	49,475	54,440	–9.1%
Commercial Real Estate	46,543	44,458	4.7%	14,182	12,835	10.5%
Retail/Other	31,605	31,525	0.3%	18,930	17,960	5.4%
• of which Retail	31,289	31,153	0.4%	18,642	17,621	5.8%
Total	**257,697**	**256,109**	**0.6%**	**189,378**	**191,094**	**–0.9%**

Net credit volume is calculated as gross exposure less the value of collateral. This fell by EUR 1.7 billion at the BayernLB Group. The main reason for the net decrease was a fall of EUR –5.0 billion in the Financial Institutions sub-portfolio combined with rises of EUR +1.7 billion in the Corporates sub-portfolio and EUR +1.3 billion in the Commercial Real Estate sub-portfolio. Accordingly, the collateralisation ratio in the Group increased slightly. The rise was mainly driven by the Financial Institutions sub-portfolio where there was in particular a fall in the gross credit volume in the non-core business in Austria. At the same time, there was an increase in collateral In this part of the portfolio.

Corporates sub-portfolio

As in the previous year, this sub-portfolio grew again. By taking advantage of the market potential, gross credit volume rose by a total of EUR 2.7 billion or 4.0 percent to EUR 71.9 billion. As in the previous year, the Corporates sub-portfolio is the largest sub-portfolio by far in the BayernLB Group.

Sector breakdown within the Corporates sub-portfolio



■ 31 Dec 2016 Total: EUR 71,868 million
■ 31 Dec 2015 Total: EUR 69,131 million

Gross credit volume within the sub-portfolio rose on a broad front with higher volumes in every sector. The following four sectors accounted for most of the growth:

Exposure was up by EUR 0.6 billion in the consumer goods, tourism, wholesale & retail sector, particularly in tourism. The increase was largely down to two new exposures with strong credit ratings in the cruise industry that are for the most part secured by export credit insurance.

In line with strategy, exposure in telecoms, media & technology increased by EUR 0.5 billion. Growth was mainly driven by transactions with technology conglomerates, telecommunications companies and recruitment service providers.

In the chemicals, pharmaceuticals & healthcare sector, exposure also rose by EUR 0.5 billion, largely due to co-financings of corporate takeovers fuelled by the continuing consolidation trend in the sector.

Credit volume in utilities, the largest sector by far, increased moderately by EUR 0.5 billion or 2.1 percent. In line with strategy, renewable energy such as solar and wind farms are the focus in this sector, accounting for 57.9 percent. As loans for renewables are largely granted by DKB, it has an above-average share of the sector at 61.6 percent. The majority of these transactions are structured as project financings that are to a large degree associated with long-term, legally guaranteed feed-in tariffs. The majority of these feed-in tariffs are regulated by German law. Together with their above-average collateralisation ratio, this mitigates the high proportion of this sector in the Corporates sub-portfolio. In addition to project financing, another focus is traditional corporate loans. The portfolio is granular and is spread over customers from all stages of the sector's value chains, from the generation, transmission and distribution of electricity to integrated energy utilities and municipal utilities. In line with the business strategy, most of the financing volume in the utilities sector is in western Europe, which accounts for 84.3 percent; 75.4 percent of this is in Germany alone.

The share of Germany within the Corporates sub-portfolio remains high at 70.0 percent (FY 2015: 71.2 percent).

The high investment grade share in the Corporates sub-portfolio improved further to 71.5 percent (FY 2015: 69.0 percent).

Granularity in the sub-portfolio also improved, with 51.1 percent (FY 2015: 50.6 percent) relating to customers with a gross credit volume of less than EUR 50 million.

Transactions that are no longer part of the core business decreased further. Non-core business belonging to this sub-portfolio shrank by another EUR 0.6 billion to EUR 1.5 billion.

Countries/Public-Sector/Non-Profit Organisations sub-portfolio

Gross credit volume in the Countries/Public-Sector/Non-Profit Organisations sub-portfolio was down slightly by EUR 0.4 billion or 0.7 percent to EUR 54.5 billion (FY 2015: EUR 54.9 billion). EUR 36.5 billion of this gross credit volume related to BayernLB and EUR 18.0 billion to DKB. The slight fall in gross credit volume was the net result of a EUR 1.4 billion increase in Germany and a EUR 1.8 billion decrease abroad. A significant proportion of the increase in Germany related to the Deutsche Bundesbank. The reduction in foreign business volume related largely to central banks (EUR –1.0 billion) and countries (EUR –0.6 billion). The US Federal Reserve Bank accounted for the largest share of the decrease in business with central banks, while the Bank of England accounted for a smaller amount. The decrease in countries occurred mainly in the USA. Customer relationships in this sub-portfolio were utilised in part for liquidity management.

The very high investment grade share improved slightly to 97.5 percent (FY 2015: 97.4 percent).

Financial Institutions sub-portfolio

Gross credit volume in the Financial Institutions sub-portfolio fell by EUR 2.9 billion to EUR 53.2 billion (FY 2015: EUR 56.1 billion), a decrease of 5.2 percent. Gross credit volume in the sub-portfolio in the BayernLB Group was broken down as follows: EUR 51.9 billion related to BayernLB, EUR 1.3 billion to DKB.

Most of the decrease in volume occurred in the bank sector, where gross credit volume fell by around EUR 4 billion. The decrease took place mainly in the following areas: Global commercial banks (EUR –2.7 billion), Landesbanks (EUR –0.5 billion) and building societies (EUR –0.4 billion). The decrease in global commercial banks is due in part to the reduction in the gross credit volume in the non-core business in Austria (EUR –1.3 billion) and also to the liquidity reallocations of various institutions.

Volume in the insurance sector rose slightly by EUR 0.1 billion to EUR 4.7 billion.

In the strategically important savings banks sector, gross credit volume rose by EUR 1 billion. As a result, the quality of the sub-portfolio improved once again despite being already very high. The investment grade share climbed to 96.4 percent (FY 2015: 92.7 percent). The share in Germany rose to 62.1 percent (FY 2015: 58.7 percent).

Commercial Real Estate sub-portfolio

As at the reporting date, gross credit volume in the Commercial Real Estate sub-portfolio amounted to EUR 46.5 billion (FY 2015: EUR 44.5 billion). Of this amount, EUR 21.7 billion stemmed from BayernLB and EUR 24.8 billion from DKB.

In line with strategy, gross credit volume in the reporting period grew significantly by EUR 2.1 billion or 4.7 percent. Of this amount, BayernLB accounted for EUR 1.3 billion and DKB accounted for EUR 0.8 billion. This included the scheduled scaling down of the non-core business in the sub-portfolio. Accordingly, gross credit volume in the non-core business shrank by EUR 0.8 billion to EUR 2.1 billion.

At BayernLB the growth in volume largely occurred in customers' real estate rental and leasing (EUR 0.9 billion), and residential construction by property developers (EUR 0.8 billion). By way of contrast, business fell with real estate investment fund companies (EUR –0.2 billion) and with operators of or investors in managed real estate (EUR –0.2 billion).

The increase at DKB was largely in municipal housing associations and residential property developers. This increase took place solely in Germany.

The quality of the Commercial Real Estate sub-portfolio remained very high and improved in some areas, with the investment grade share rising to 80.0 percent (FY 2015: 76.5 percent). This means that the investment grade share of the sub-portfolio has risen by around 10 percent in ten years. The share in Germany edged up to 88 percent (FY 2015: 87.5 percent). Granularity and collateralisation rates in the sub-portfolio continued to be high. As at the reporting date, customers with a gross credit volume of less than EUR 50 million accounted for 59.1 percent (FY 2015: 61.5 percent) of the portfolio. The collateralisation ratio was 69.5 percent (FY 2015: 71.1 percent), still close to the three-year average of around 70 percent.

Retail/Other sub-portfolio

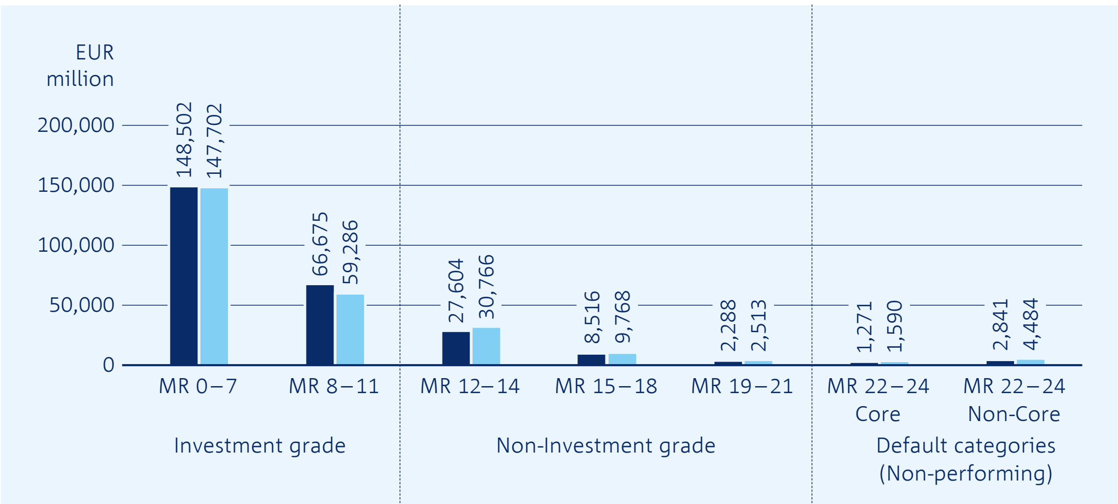
In Retail/Other, the smallest sub-portfolio, gross credit volume rose slightly overall by EUR 0.1 billion or 0.3 percent to EUR 31.6 billion. In line with strategy, gross credit volume at BayernLB fell by EUR 0.6 billion to EUR 4.6 billion and rose at DKB by roughly EUR 0.7 billion to EUR 27 billion. The bulk of this increase occurred in credit cards and current account receivables (around EUR 0.9 billion) while lending declined slightly (EUR –0.2 billion).

Germany's share of the sub-portfolio remained unchanged at nearly 100 percent.

Breakdown by rating

The following table shows gross credit volume by rating category and sub-portfolio.

Gross credit volume by rating category and sub-portfolio



■ 31 Dec 2016 Total: EUR 257,697 million
■ 31 Dec 2015 Total: EUR 256,109 million

31 Dec 2016 **Rating classes** EUR million	**MR 0–7**	**MR 8–11**	**MR 12–14**	**MR 15–18**	**MR 19–21**	**MR 22–24**	**(of which non-core)**	**Total**
Corporates	19,125	32,260	13,309	4,745	1,208	1,222	622	71,868
Financial Institutions	46,321	4,955	487	119	20	1,298	1,262	53,200
Countries/Public-Sector/ Non-Profit Organisations	52,025	1,103	1,122	192	37	3	–	54,481
Commercial Real Estate	22,333	14,898	6,035	1,756	343	1,178	931	46,543
Retail/Other*	8,699	13,459	6,652	1,705	681	411	26	31,605
Total	**148,502**	**66,675**	**27,604**	**8,516**	**2,288**	**4,111**	**2,841**	**257,697**

31 Dec 2015 **Rating classes** EUR million	**MR 0–7**	**MR 8–11**	**MR 12–14**	**MR 15–18**	**MR 19–21**	**MR 22–24**	**(of which non-core)**	**Total**
Corporates	18,829	28,891	13,769	5,120	1,108	1,415	765	69,131
Financial Institutions	47,928	4,067	793	456	2	2,863	2,755	56,108
Countries/Public-Sector/ Non-Profit Organisations	52,510	978	1,105	268	25	2	–	54,887
Commercial Real Estate	20,690	13,317	6,615	2,058	503	1,275	936	44,458
Retail/Other*	7,745	12,035	8,483	1,867	877	519	27	31,525
Total	**147,702**	**59,286**	**30,766**	**9,768**	**2,513**	**6,074**	**4,484**	**256,109**

** of which gross credit volume in Retail of EUR 31.3 billion as at 31 December 2016 and EUR 31.2 billion as at 31 December 2015.*

Gross credit volume in the BayernLB Group in the investment grade master rating (MR) categories 0–11 rose by EUR 8.2 billion in the reporting period. The Corporates and Commercial Real Estate sub-portfolios accounted for most of the increase. Portfolio quality, which was already high, improved further with the investment grade share rising from 80.8 percent to 83.5 percent.

Gross credit volume in rating categories MR 12–14 fell by EUR 3.2 billion. Accordingly, these rating categories fell from 12.0 percent of gross credit volume to 10.7 percent.

Gross credit volume in rating categories MR 15–18 and MR 19–21 fell by a total of EUR 1.5 billion over the reporting period, thereby reducing the proportion of gross credit volume in these rating classes from 4.8 percent to 4.2 percent.

The non-performing loan ratio (NPL ratio) improved significantly during the reporting period to 1.6 percent (FY 2015: 2.4 percent). The cause of the reduction is largely down to the decline in the non-performing loan volume in Austria in the non-core business of the Financial Institutions sub-portfolio.

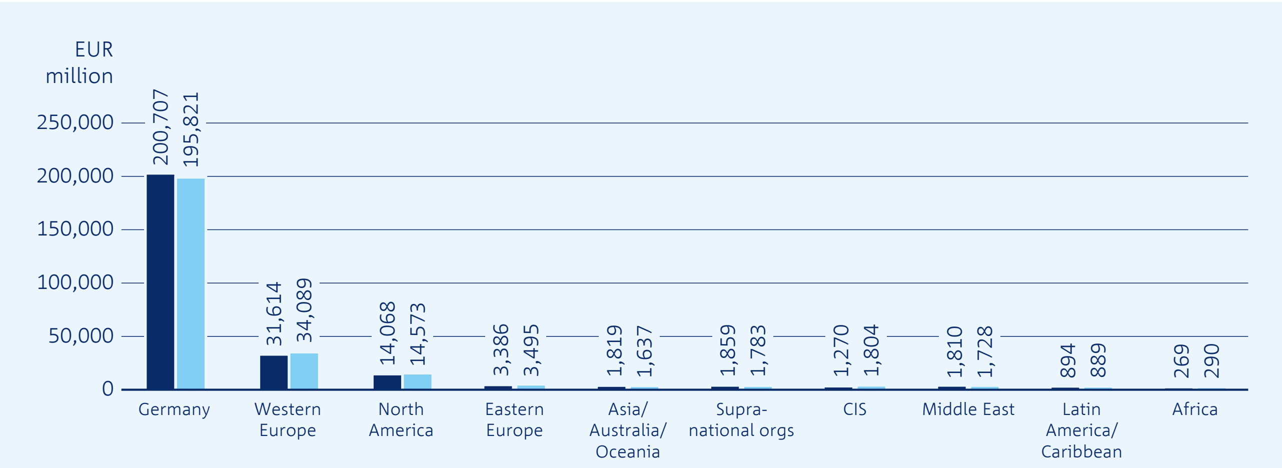
In core business, the NPL ratio was 0.5 percent (FY 2015: 0.7 percent). In non-core business, the NPL ratio fell to 34.0 percent (FY 2015: 36.0 percent).

Adequate risk provisions were set aside to cover loans added to the default categories.

Breakdown by region

The following table shows gross credit volume by region.

Gross credit volume by region



■ 31 Dec 2016 Total: EUR 257,697 million
■ 31 Dec 2015 Total: EUR 256,109 million

In line with the Business Strategy and the Risk Strategy, Germany accounted for a dominant share of the BayernLB Group's lending at 77.9 percent (FY 2015: 76.5 percent). Gross credit volume there amounted to EUR 200.7 billion (FY 2015: EUR 195.8 billion), This means that for the first time Germany was the country with the largest increase in volume with gross credit volume up by EUR 4.9 billion in 2016.

Regionally, gross credit volume declined particularly in western Europe (EUR –2.5 billion), North America (EUR –0.5 billion) and the Commonwealth of Independent States (CIS) (EUR –0.5 billion).

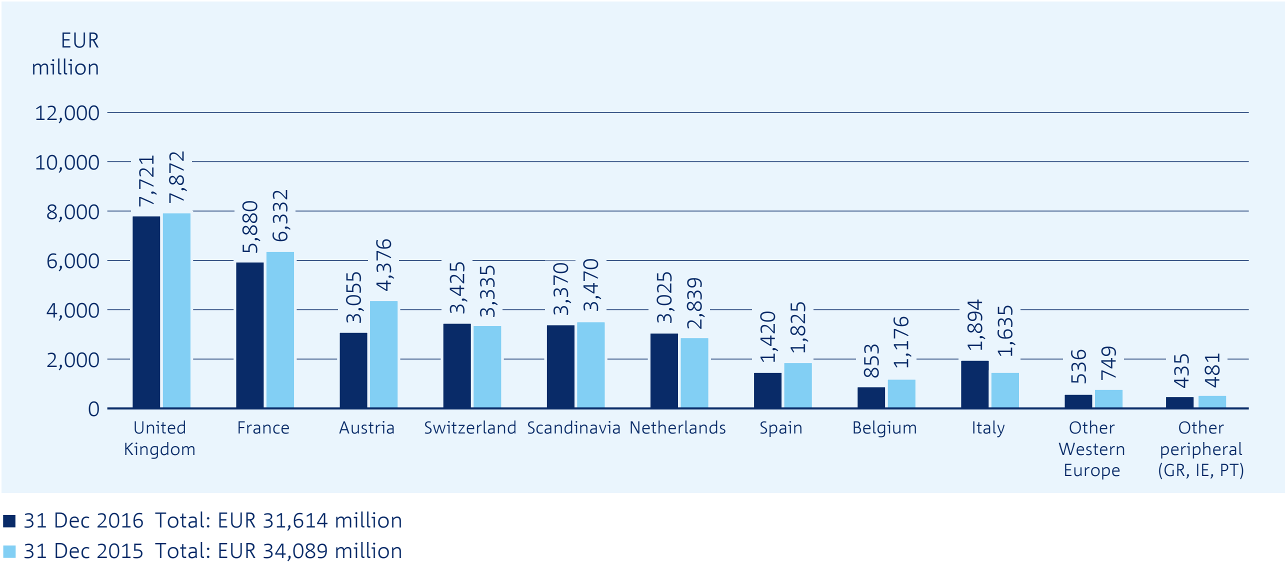
In western Europe, the fall was largely driven by the decline in volume in Austria, where a large proportion of the non-core business in the Financial Institutions sub-portfolio was wound down.

In North America, most of the decrease occurred in the US. The fall there was largely the net result of a EUR 0.8 billion rise in the Corporates sub-portfolio and a EUR 1.5 billion fall in the Countries/Public-Sector/Non-Profit Organisations sub-portfolio. The fall in this sub-portfolio mainly reflected a significant decrease in volume with the US Federal Reserve. These transactions are partly related to liquidity management.

Business volume in the Confederation of Independent States was cut back further owing to political risks. Gross credit volume declined by EUR 0.5 billion to EUR 1.3 billion (FY 2015: EUR 1.8 billion). The cutback occurred mainly in business with government-related entities in Russia.

Generally speaking, country risks and risk/return ratios in lending abroad continued to be very closely managed and monitored, given global developments, in particular growing political tensions (e.g. Turkey, the Brexit vote) and oil prices which remain relatively low.

Gross credit volume in western European countries

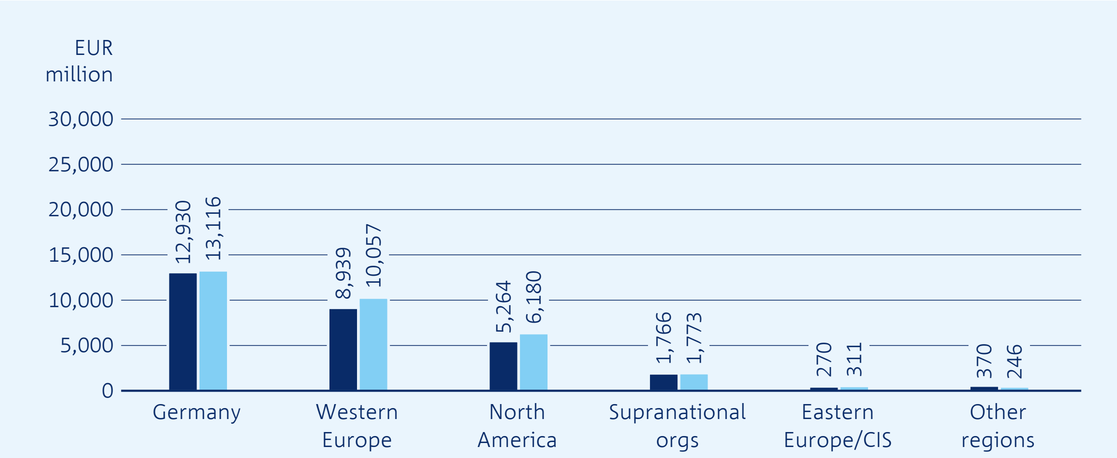


In western Europe (not including Germany), gross credit volume fell by EUR 2.5 billion to EUR 31.6 billion (FY 2015: EUR 34.1 billion) driven mainly by Austria. In addition, gross credit volume also decreased significantly in France, Spain, Belgium and Iceland. The decrease in gross credit volume in these countries occurred mainly in the Financial Institutions sub-portfolio, particularly with banks.

Increases in volume occurred mainly in Italy, the Netherlands and Finland, where core business, particularly lending, grew.

The following table shows gross issuer risk by region.

Gross issuer risk by region

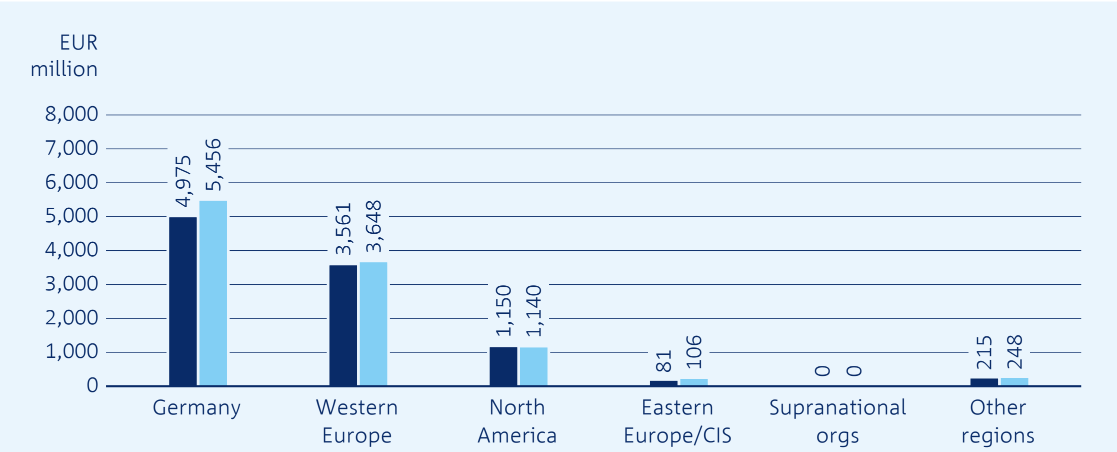


■ 31 Dec 2016 Total: EUR 29,539 million
■ 31 Dec 2015 Total: EUR 31,682 million

Gross issuer risk fell again in the reporting period. It was down by EUR 2.1 billion to EUR 29.5 billion (FY 2015: EUR 31.7 billion). Most of the reduction took place in western Europe and North America. In Germany, gross issuer risk fell to EUR 12.9 billion (FY 2015: EUR 13.1 billion).

The following table shows gross replacement risk by region.

Gross replacement risk by region

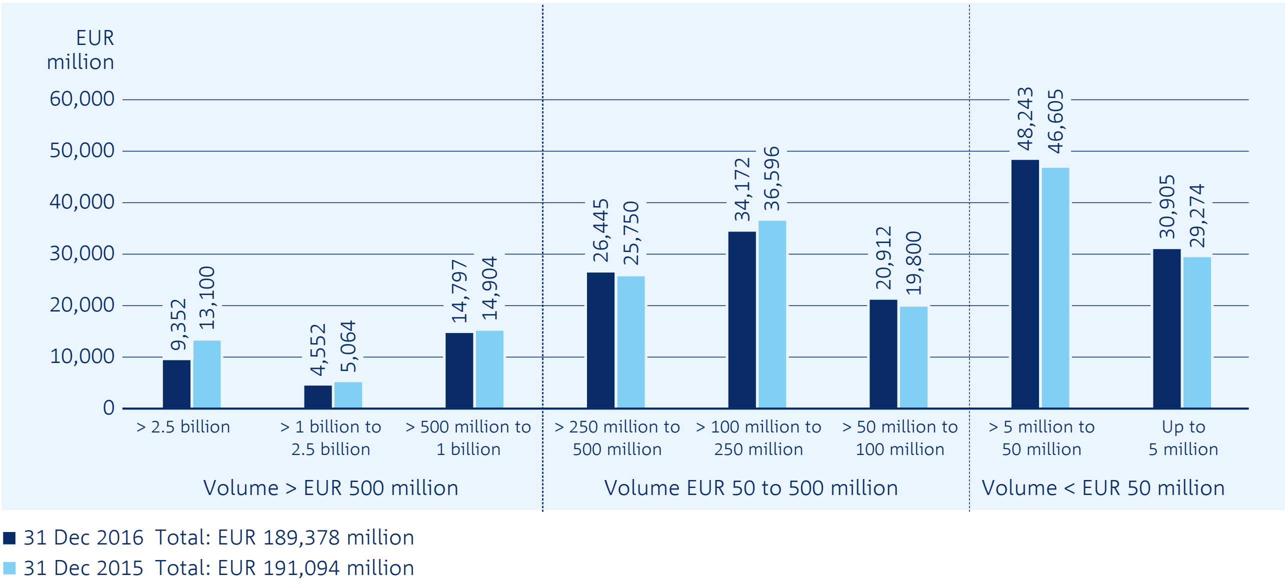


■ 31 Dec 2016 Total: EUR 9,982 million
■ 31 Dec 2015 Total: EUR 10,596 million

Gross replacement risk also fell in the reporting period, declining by EUR 0.6 billion to EUR 10.0 billion (FY 2015: EUR 10.6 billion). The reduction occurred mainly in Germany, where gross replacement risk fell by EUR 0.5 billion to EUR 5.0 billion (FY 2015: EUR 5.5 billion).

The following table shows net credit volume by size.

Net credit volume by size



Net credit volume was down sharply in the size category above EUR 2.5 billion. It declined in total by EUR 3.7 billion to EUR 9.4 billion (FY 2015: EUR 13.1 billion). This size category only contains loans and advances to top-rated German and US government entities with a master rating of 0 or 1.

Net credit volume with customers in the more than EUR 500 million to EUR 2.5 billion categories declined by EUR 0.7 billion to EUR 19.3 billion (FY 2015: EUR 20.0 billion). The reduction in these categories resulted from the decline in the Corporates and Countries/Public-Sector/Non-Profit Organisations sub-portfolios.

Net credit volume in the EUR 250 million to EUR 500 million category was up slightly by EUR 0.6 billion to EUR 26.4 billion (FY 2015: EUR 25.8 billion). The volume in this category rose, particularly in the Corporates and Countries/Public-Sector/Non-Profit Organisations sub-portfolios, while the Financial Institutions sub-portfolio saw a decline.

Summary

Overall, the quality of the credit portfolio remains very good. This is reflected in the continued high investment grade share, which improved significantly from 80.8 percent to 83.5 percent. The high granularity of the portfolio was further improved. Exposures with a net credit volume of less than EUR 500 million rose from 82.7 percent to 84.8 percent. In addition, the concentration in the categories with a net credit volume of over EUR 500 million improved. Core business with target customers also grew. Particular highlights are the successful business expansions in the Corporates (EUR 2.7 billion) and Commercial Real Estate (EUR 2.1 billion) sub-portfolios. Moreover, the non-core portfolio shrank significantly again (EUR –4.1 billion) in line with strategy.

Portfolio overview in accordance with IFRS 7.36 a (Balance Sheet Approach)

Maximum credit risk

Based on data from the IFRS consolidated financial statements, the presentation below shows the BayernLB Group’s maximum credit risk under IFRS 7.36 a taking account of IFRS 7.B9. Gross carrying amounts are reduced by the offsetting amounts calculated in accordance with IAS 32 and impairment losses calculated in accordance with IAS 39. Credit risks included under the balance sheet item “non-current assets or disposal groups classified as held for sale” are allocated to the relevant positions in the following (for individual amounts see the details in note 52). Information on forbearance exposures is also included.

The figures used in the balance sheet approach for the maximum credit risk pursuant to IFRS 7.36 a are based on the IFRS scope of consolidation. Besides BayernLB and DKB, these include mainly Real I.S. AG and Bayern Card-Services GmbH.

Maximum credit risk

EUR million	31 Dec 2016	31 Dec 2015
Cash reserves	**2,096**	**2,246**
• Loans and receivables	2,096	2,246
Loans and advances to banks	**28,793**	**29,310**
• Loans and receivables	28,793	29,307
• Fair value option	–	3
Loans and advances to customers	**133,624**	**133,458**
• Loans and receivables	133,335	132,743
• Available for sale	7	12
• Fair value option	281	703
Assets held for trading*	**16,671**	**17,070****
• Held for trading	16,671	17,070
Positive fair values from derivative financial instruments	**1,073**	**1,527**
• Held for trading	1,073	1,527
Financial investments*	**25,921**	**27,964**
• Available for sale	25,750	27,610
• Fair value option	–	11
• Loans and receivables	171	343
Contingent liabilities	**10,678**	**10,202**
Irrevocable credit commitments	**24,095**	**21,468**
Total	**242,951**	**243,245**

** Excluding equity instruments.*
*** Adjusted as per IAS 8.42 (see note 2).*

Financial assets that are neither past due nor impaired

31 Dec 2016 in %	Maximum credit risk Rating categories 0–7	8–11	12–17	18–21	Default categories	Unrated	Total
Cash reserves	**0.8**	**0.1**	**–**	**–**	**–**	**0.0**	**0.9**
• Loans and receivables	0.8	0.1	–	–	–	0.0	0.9
Loans and advances to banks	**10.2**	**1.3**	**0.4**	**0.0**	**0.0**	**0.0**	**11.8**
• Loans and receivables	10.2	1.3	0.4	0.0	0.0	0.0	11.8
Loans and advances to customers	**26.7**	**15.4**	**10.5**	**0.9**	**0.1**	**0.1**	**53.8**
• Loans and receivables	26.6	15.4	10.5	0.9	0.1	0.1	53.6
• Fair value option	0.1	0.0	0.0	–	0.0	0.0	0.1
Assets held for trading	**4.9**	**1.7**	**0.2**	**0.0**	**0.1**	**–**	**6.9**
• Held for trading	4.9	1.7	0.2	0.0	0.1	–	6.9
Positive fair values from derivative financial instruments	**0.4**	**0.1**	**–**	**–**	**–**	**–**	**0.4**
• Held for trading	0.4	0.1	–	–	–	–	0.4
Financial investments	**9.9**	**0.4**	**0.0**	**–**	**0.0**	**–**	**10.4**
• Available for sale	9.9	0.4	0.0	–	0.0	–	10.3
• Loans and receivables	0.0	0.0	0.0	–	–	–	0.1
Contingent liabilities	**2.2**	**1.2**	**0.9**	**0.1**	**0.0**	**0.0**	**4.4**
Irrevocable credit commitments	**4.5**	**3.8**	**1.5**	**0.2**	**0.0**	**0.0**	**9.9**
Total	**59.5**	**23.8**	**13.5**	**1.2**	**0.3**	**0.1**	**98.4**

31 Dec 2015 in %	Maximum credit risk Rating categories 0–7	8–11	12–17	18–21	Default categories	Unrated	Total
Cash reserves	**0.9**	**0.0**	**–**	**–**	**–**	**0.0**	**0.9**
• Loans and receivables	0.9	0.0	–	–	–	0.0	0.9
Loans and advances to banks	**10.5**	**1.3**	**0.3**	**0.0**	**0.1**	**0.0**	**12.0**
• Loans and receivables	10.5	1.3	0.3	0.0	0.1	0.0	12.0
• Fair value option	0.0	–	–	–	–	–	0.0
Loans and advances to customers	**26.8**	**13.2**	**11.9**	**1.3**	**0.1**	**0.1**	**53.5**
• Loans and receivables	26.6	13.2	11.8	1.3	0.1	0.1	53.2
• Fair value option	0.2	0.0	0.1	–	–	0.0	0.3
Assets held for trading	**5.3**	**1.4**	**0.2**	**0.0**	**0.0**	**–**	**7.0**
• Held for trading	5.3	1.4	0.2	0.0	0.0	–	7.0
Positive fair values from derivative financial instruments	**0.6**	**0.0**	**–**	**–**	**–**	**–**	**0.6**
• Held for trading	0.6	0.0	–	–	–	–	0.6
Financial investments	**10.9**	**0.5**	**0.0**	**–**	**0.0**	**0.0**	**11.5**
• Available for sale	10.9	0.4	0.0	–	0.0	0.0	11.3
• Fair value option	–	0.0	–	–	–	–	0.0
• Loans and receivables	0.1	0.1	0.0	–	–	–	0.1
Contingent liabilities	**1.9**	**1.1**	**1.0**	**0.1**	**0.0**	**0.0**	**4.2**
Irrevocable credit commitments	**3.6**	**3.3**	**1.8**	**0.1**	**0.0**	**0.0**	**8.8**
Total	**60.6**	**20.9**	**15.2**	**1.6**	**0.0**	**0.1**	**98.4**

Financial assets that are past due but not impaired*

31 Dec 2016 EUR million	Maximum credit risk					
	Time past due					
	≤ 30 days	> 30 days to 3 months	> 3 months to 1 year	> 1 year	Total	Fair value collateral
Cash reserves	–	–	–	–	–	–
Loans and advances to banks	–	–	–	0.8	0.8	–
• Loans and receivables	–	–	–	0.8	0.8	–
Loans and advances to customers	476.8	253.4	126.9	64.1	921.1	43.7
• Loans and receivables	476.8	253.4	126.9	64.1	921.1	43.7
Assets held for trading	–	–	–	–	–	–
Positive fair values from derivative financial instruments	–	–	–	–	–	–
Financial investments	750.3	–	–	–	750.3	–
• Available for sale	750.3	–	–	–	750.3	–
Contingent liabilities	–	–	–	–	–	–
Irrevocable credit commitments	16.1	0.2	–	0.0	16.3	–
Total	1,243.1	253.5	126.9	65.0	1,688.5	43.7
Fair value collateral	12.4	20.4	7.6	3.4	43.7	

31 Dec 2015 EUR million	Maximum credit risk					
	Time past due					
	≤ 30 days	> 30 days to 3 months	> 3 months to 1 year	> 1 year	Total	Fair value** collateral
Cash reserves	–	–	–	–	–	–
Loans and advances to banks	–	–	0.5	3.4	3.9	–
• Loans and receivables	–	–	0.5	3.4	3.9	–
Loans and advances to customers	43.8	283.0	74.5	24.4	425.7	25.7
• Loans and receivables	43.8	283.0	74.5	24.4	425.7	25.7
Assets held for trading	–	–	–	–	–	–
Positive fair values from derivative financial instruments	–	–	–	–	–	–
Financial investments	111.7	–	–	–	111.7	–
• Available for sale	111.7	–	–	–	111.7	–
Contingent liabilities	–	–	–	–	–	–
Irrevocable credit commitments	–	–	–	–	–	–
Total	155.5	283.0	75.0	27.8	541.4	25.7
Fair value collateral	3.9	4.7	15.2	1.8	25.7	

** The portfolio reflects the creation of portfolio loan loss provisions: “not impaired” in this context means “no specific loan loss provision was made”.*
*** Adjusted as per IAS 8.42 (see note 2).*

Financial assets that are impaired

EUR million	Maximum credit risk		Fair value collateral	
	31 Dec 2016	31 Dec 2015*	31 Dec 2016	31 Dec 2015*
Cash reserves	**–**	**–**	**–**	**–**
Loans and advances to banks	**13.1**	**567.2**	**–**	**–**
• Loans and receivables	13.1	567.2	–	–
Loans and advances to customers	**2,107.6**	**2,445.6**	**260.2**	**826.3**
• Loans and receivables	2,100.5	2,433.6	260.2	814.6
• Available for sale	7.0	12.0	–	11.7
Assets held for trading	**–**	**238.1**	**–**	**–**
• Held-for-Trading	–	238.1	–	–
Positive fair values from derivative financial instruments	**–**	**–**	**–**	**–**
Financial investments	**0.0**	**0.0**	**–**	**–**
• Available for sale	0.0	0.0	–	–
Contingent liabilities	**27.4**	**2.2**	**–**	**–**
Irrevocable credit commitments	**12.1**	**23.0**	**–**	**–**
Total	**2,160.1**	**3,276.0**	**260.2**	**826.3**

** Adjusted as per IAS 8.42 (see note 2).*

Renegotiated credits

Forbearance exposures

31 Dec 2016 EUR million	Forbearance/deferrals	Impairments	Collateral/financial guarantees received
Loans and advances to banks	26.8	–1.7	0.0
Loans and advances to customers	3,324.4	–852.1	399.0
Financial investments	0.0	0.0	0.0
Credit commitments	148.5	3.9	0.9
Total	**3,499.7**	**–849.9**	**399.9**

31 Dec 2015 EUR million	Forbearance/deferrals	Impairments	Collateral/financial guarantees received
Loans and advances to banks	197.2	–96.8	0.0
Loans and advances to customers	4,724.9	–1,732.5	803.6
Financial investments	17.1	–0.7	0.0
Credit commitments	168.4	50.3	2.6
Total	**5,107.6**	**–1,779.7**	**806.2**

Collateral realisation

In accordance with IFRS 7.38, financial and non-financial assets that were acquired in the reporting period by taking possession of collateral must be disclosed separately. In financial year 2016, realised collateral in the amount of EUR 0.4 million (FY 2015: EUR 1) was posted to the BayernLB Group's consolidated balance sheet. This was largely from one property.

Portfolio overview pursuant to the Financial Stability Board

The Financial Stability Board, which was established by the supervisory authorities and governments of countries in which the world's leading financial centres are located, issued recommendations in 2008 on the disclosure of information on portfolios with elevated risk profiles. The greater transparency is intended to strengthen trust among financial market participants.

BayernLB's portfolios with elevated risk profiles as defined by the Financial Stability Board contain transactions structured exclusively for customers, leveraged finance transactions and the indirect exposure to US monolines.

Customer transactions

The nominal volume of transactions structured for customers rose to a total of EUR 2.1 billion in the reporting period (FY 2015: EUR 2.0 billion).

The portfolio consists almost solely of transactions structured for target customers of BayernLB. Trade, leasing receivables and consumer receivables from target customers are financed via the Corelux S.A. ABCP programme, which exists solely for this purpose.

Only one transaction that is not related to target customers remains. The transaction, in the amount of EUR 36 million (FY 2015: EUR 45 million), is being wound down under close observation.

Monolines

BayernLB's indirect exposure to US monolines (insurance companies that specialise in hedging structured securities) fell to a nominal volume of EUR 77 million (FY 2015: EUR 109 million). The rest of BayernLB's indirect credit exposure is scheduled for run-off and will shrink gradually as transactions mature.

With regard to its indirect exposure, the monolines are not direct borrowers but serve as guarantors. BayernLB always based its credit decision in these cases primarily on the credit standing of the actual borrower or issuer or on the financing structure. The monoline guarantee was viewed at the time the transaction was concluded only as an additional hedging instrument.

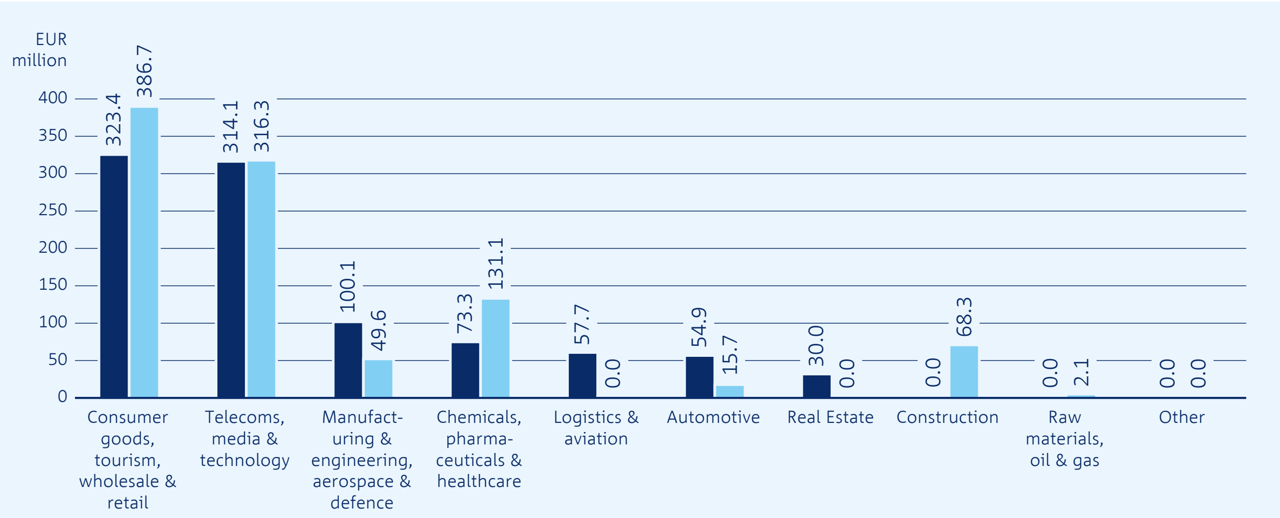
Leveraged finance

This includes leveraged buyouts (corporate acquisitions by financial investors) and corporate to corporate transactions (corporate acquisitions by strategic investors). As financing is normally on a non-recourse basis, repayments are mostly funded by the future cash flows of the acquired entity. Acquisition financing is typically highly leveraged, long dated (usually over five years), involves extensive covenants and collateral and a large number of contractual restrictions (e.g. on acquisitions, investments, distributions and additional debt).

Credit volumes within the BayernLB Group fell to EUR 954 million (FY 2015: EUR 970 million). The share in Germany was little changed at 88 percent (FY 2015: 87 percent). Western Europe accounted for the remaining 12 percent of the portfolio (FY 2015: 13 percent). Since the parent company and its principal subsidiaries are usually jointly liable in leveraged finance, the domicile is based on the parent company's registered office, even if, in some cases, one of the group's borrowers is domiciled outside Germany or western Europe.

Leveraged finance transactions are solely at BayernLB and break down by sector and rating category as follows.

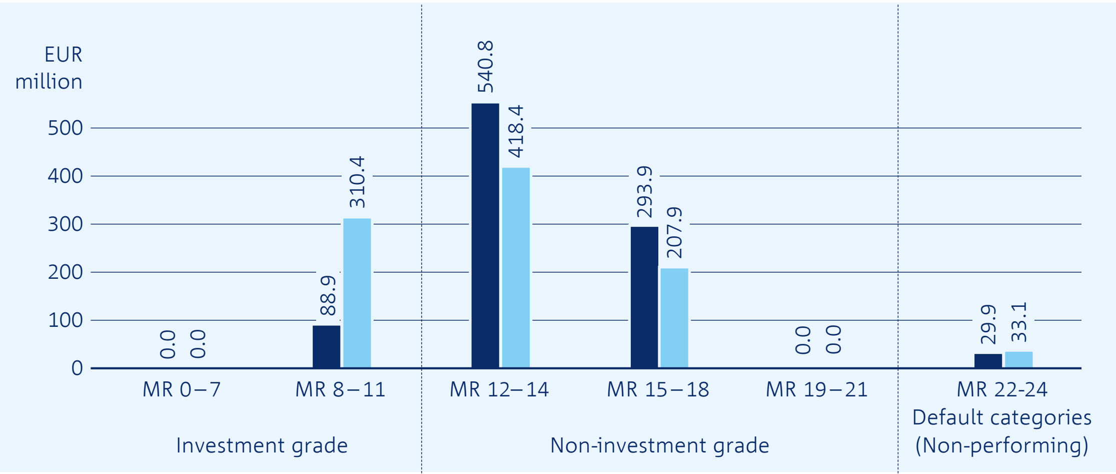
Gross credit volume by sector



■ 31 Dec 2016 Total: EUR 954 million
■ 31 Dec 2015 Total: EUR 970 million

Within the sectors, the rankings of the sub-sectors remained largely unchanged on the previous year. The largest sub-sectors in terms of volume were media at EUR 185 million (FY 2015: EUR 161 million), wholesale & retail at EUR 133 million (FY 2015: EUR 186 million) and technology at EUR 117 million (FY 2015: EUR 142 million).

Gross credit volume by rating category



■ 31 Dec 2016 Total: EUR 954 million
■ 31 Dec 2015 Total: EUR 970 million

Portfolio quality declined in the reporting period. The decrease, however, could be largely compensated for by qualitative good new business, which nonetheless was non-investment grade due to the product (initial high debt). The proportion in master rating categories MR 12–14 therefore rose to 57 percent (FY 2015: 43 percent). The risk provision set aside for problem loans remained unchanged at 2 percent (FY 2015: 2 percent).

Summary

These sub-portfolios were marked by a slightly higher volume in the customer transaction portfolio, good quality leveraged finance transactions and a manageable indirect exposure to monolines.

Investment risk

Definition

Investment risk (shareholding risk) comprises the BayernLB Group's counterparty (default) risk arising from its shareholdings.

This risk entails a potential loss in value arising from the following:
- The provision of equity or equity-like financing (e.g. silent partner contributions), such as suspension of dividends, partial writedowns, losses on disposals, or reductions in hidden reserves
- Liability risks (e.g. letters of comfort) and/or profit and loss transfer agreements (e.g. assumption of losses)
- Capital contribution commitments

Group Risk Control is responsible for setting standards and reporting at portfolio level. BayernLB has an independent central unit with the authority to issue guidelines for all methods and processes relating to investment risk monitoring. Operational implementation of the risk management instruments is the responsibility of the business units concerned.

Risk Strategy

The target portfolio comprises stakes in companies that complement the business model, help to expand customer and market potential or support operating processes, and also miscellaneous investments. The Group's strategic subsidiaries are DKB, BayernInvest Kapitalverwaltungsgesellschaft mbH and Real I.S AG.

As part of the resizing of BayernLB, the disposal/liquidation of non-core shareholdings is, however, being planned and, in some instances, sale negotiations are already under way.

The Group investment risk strategy, derived from the overarching BayernLB Group risk strategy, forms the framework for handling the risks of investments. The Bayerische Landesbank Act, the Statutes and the Rules of Procedure of the BayernLB Board of Management set further conditions for the Group Risk Strategy.

Measuring and monitoring risk

A classification procedure for identifying and measuring risk with clear guidelines on the early detection of risks has been implemented for all direct investments held by BayernLB. Key factors in this regard are risk-based early warning indicators and the assessment of the maximum potential loss.

Where BayernLB provides both equity and debt capital, it examines any additional risks, particularly those arising from its status as a lender.

Compatible processes apply to DKB. It is also built into the entire Group strategy, planning, management and monitoring process.

For CRR/CRD IV reporting purposes, investment risks are measured using the simple risk-weighted method unless they fall under the grandfathering method under article 495 para. 1 CRR.

Risk capital requirements for investment risk are measured in ICAAP using the PD/LGD method in accordance with CRR/CRD IV.

Risks from direct investments are reported to the Board of Management in the regular risk reporting process as well as in an annual investment report using the relevant procedures (classification, early warning). Major shareholdings with difficulties are monitored in the intensive support or problem-loan processes and reported to the Board of Management on a quarterly basis. The investment report sets out in particular recommendations for action and the implementation status of measures already executed for participations in intensive support or problem loan process with a potential loss in excess of EUR 10 million.

Summary

The changes in the investment portfolio during the year under review were in line with strategy and complied with the conditions set by the EU.

Market risk

Definition

Market risk is the risk of potential losses in value from changes in market prices (interest rates, credit spreads, exchange rates, equity and commodity prices) and other factors (correlations, volatility) that affect prices. Accordingly, BayernLB breaks down its market risks into general and specific interest rate risk, currency risk, equity price risk, commodity risk and volatility risk. Risks from pension liabilities are also shown under market risks.

Risk Strategy

The Risk Strategy sets out the strategic principles for handling market risks and prescribes the amount of economic capital to be made available for them. Market risks may only be taken on within approved limits and are regularly measured and monitored. The risk capital requirement for pension risk is also limited and monitored separately.

The amount of economic capital provided for market risks is broken down by risk unit and, if necessary, by individual market risk type and, with the exception of pension risks, implemented in the form of value-at-risk (VaR) limits.

In accordance with the current Business and Risk Strategy, market risks are normally only assumed as a result of transactions on behalf of customers, including related hedge transactions. Moreover, market risks may also result from transactions for liquidity management, asset/liability management or the non-core businesses that are being wound down.

New products and products for new markets are subjected to a stringent new product process.

Risk measurement

For operational monitoring and management, the calculation of market risk normally uses a VaR procedure based on a one-day holding period and a confidence level of 99 percent. BayernLB and DKB both use the historical simulation approach. Customer deposits at DKB are modelled using the dynamic replication method.

Pension risks (risks from BayernLB’s pension liabilities) are calculated using a scenario-based approach. In 2016 the parameters used to calculate interest rate risk, the size of pension liabilities and biometric risk were adjusted and refined. This relates, for example, to an additional premium for biometric risk covering both life expectancy and the cost of medical care. In addition, the scenario analysis was adjusted to reflect yield performance in the statutory pension scheme. The results of backtesting have also been taken into account.

Market risk measurement methods are constantly checked for the quality of their forecasting. In the backtesting process, the risk forecasts are compared with actual outcomes (gains or losses). As at 31 December 2016, the forecasting quality of the market risk measurement methods used at BayernLB, in accordance with the Basel traffic light approach, was classified as good. Owing to the change in the aggregation method (disclosure of the correlated risk from custody account A and the banking book), there is not a sufficiently long time series for DKB to make a traffic light report. There have been no outliers since the switch was made.

The outcomes of value-at-risk or scenario-based risk measurement must always be looked at in the context of the assumptions used in the model (mainly the confidence level selected, a one-day holding period, and the use of historical data over a period of around one year to forecast future events). For this reason, stress tests are conducted monthly on the risk positions at each Group institution simulating extraordinary changes in market prices and then the potential risks are analysed. Additional stress tests are used at the individual bank level. Stress tests take into account all relevant types of market risk, are regularly reviewed, and their parameters modified if necessary.

For risk-bearing capacity one-day VaR is scaled to a one-year horizon, i.e. it is assumed risk positions are closed or hedged over a one-year time horizon. This ensures particular account is taken of market liquidity risk, i.e. of risk positions being closed on terms that are less favourable than had been expected. Valuation discounts for market liquidity-relevant factors (e.g. bid-ask spreads), which are relevant for accounting and reporting, are also modelled.

The standard approach is used at BayernLB and DKB to calculate the regulatory capital backing for trading transactions.

Risk monitoring

In the BayernLB Group, several tools are used to monitor and limit market risks, including VaR and related VaR limits, risk capital limits for market price and pension risks, risk sensitivity and stress tests, all of which form part of the mix in the assessment of risk-bearing capacity to various degrees.

Pension risks are monitored monthly. Subsidiaries are responsible for monitoring their own actual market risks internally with their own risk-monitoring units. Their market risks are included in a daily Group-wide risk report. Market risks are monitored and reported independently of Trading. This is done daily at BayernLB for the trading book and the banking book, and at DKB daily for the A custody account and weekly for the banking book. In addition to complying with regulatory requirements, this ensures risks are reconciled daily and reported to those responsible for positions. If a VaR limit is breached, appropriate measures are taken as part of an escalation procedure.

Interest rate risk in the banking book forms part of the regular risk calculation and monitoring processes of the risk-controlling units. Contractual or legal termination rights are modelled as options and incorporated into the risk calculation.

In addition, an interest rate shock scenario of +/– 200 basis points is also calculated for the interest rate risk, including pension risks, in the banking book at individual entity level and Group-wide. As at 31 December 2016, the calculated change in present value relative to liable capital at both BayernLB and the BayernLB Group was well below the 20 percent limit set in BaFin’s criterion for “institutions with elevated interest rate risk”.

As part of Group risk reporting the Board of Management is informed monthly and the Risk Committee of the Supervisory Board is informed quarterly about the market risk situation.

Current situation

In the BayernLB Group, the main factor affecting the VaR for the actual market risks is general interest rate risk. All other types of risk play a much less significant role by comparison. The current situation for pension risks is presented in the chapter on “Economic capital adequacy“.

VaR contribution of actual market risks by risk type (confidence level 99 percent, holding period 1 day)

			1 January 2016 to 31 December 2016		
EUR million	**31 Dec 2016**	**31 Dec 2015**	**Average**	**Maximum**	**Minimum**
General interest rate VaR	35.9	38.0	30.3	42.7	20.8
Specific interest rate VaR (credit spreads)*	11.0	11.6	11.6	13.4	10.1
Currency VaR	2.2	3.9	4.0	6.5	1.8
Equities VaR	4.6	5.6	4.9	5.6	4.0
Commodities VaR	1.7	1.0	1.2	2.6	0.8
Volatility VaR	5.2	3.2	4.0	6.0	1.6
Total VaR*	**36.0**	**45.8**	**35.4**	**48.1**	**25.3**

** After eliminating intra-Group positions upon consolidation; in the risk-bearing capacity, in addition to the specific interest rate VaR, premiums for credit rating risk from money market transactions and OTC derivatives (CVA risk) at BayernLB are also taken into account when calculating the risk capital requirement.*

Summary

Total VaR and general interest rate VaR have fallen compared to 31 December 2015. This was chiefly due to changes in methodology at DKB: There was a change in the aggregation method (disclosure of the correlated risk from custody account A and the banking book) and also a change in the valuation of options. These changes were required due to the low and negative interest rate environment. These significant risk-mitigating effects were partially offset by a sharp increase in risk at BayernLB due to changes in the interest rate positioning. In particular, the long position increased as a result of new fixed-rate credit business.

There were no significant changes in the other types of risk.

Liquidity risk

Definition

The BayernLB Group defines liquidity risk as the risk of not being able to meet payment obligations in full or as and when they fall due (insolvency risk or liquidity risk in the narrow sense). It also considers it to be the risk – for example, in a liquidity crunch – that funding cannot be obtained at all or only at above-market rates (securing liquidity or refinancing risk) or that assets can only be sold at a discount to their market prices. This section looks first at liquidity risk in the narrow sense before moving on to refinancing risk, by means of changes in the funding mix.

Risk Strategy

The strategic principles for dealing with liquidity risk within the BayernLB Group are set out in the Group Risk Strategy. The overriding priority of liquidity risk management and monitoring is to ensure that the BayernLB Group can meet its payment obligations and obtain funding at all times. In addition to stringently ensuring solvency, the primary goal of BayernLB's liquidity management is to ensure long-term access to the market.

These strategic goals are detailed in the Group Guidelines for daily management. There is an emergency plan to safeguard liquidity in the event of emergencies. This defines the processes, management tools and hedging instruments needed to avert potential or address real acute crises. They also contain an escalation mechanism, which comes into operation when early warning signals are triggered.

In the BayernLB Group, daily limits are placed on liquidity risks at the operating unit level based on defined scenarios. This ensures that liquidity risks taken are managed and escalated in a consistent and effective manner at all times.

During FY 2016, responsibility for strategic and operational liquidity management at BayernLB belonged to the Group Treasury and the Structuring & Trading divisions of the Financial Markets business area. This ensures adequate liquidity reserves at all times and the management of operational liquidity on the market. Group-wide risk controlling of liquidity risks is conducted by the Group Risk Control division in the Risk Office central area. This area also prepares liquidity overviews, such as capital flow accounts and limit utilisation ratios as the basis for controlling and monitoring liquidity risks. The Liquidity Committee consults with the Group Treasury, Group Risk Control and the Controlling divisions on issues such as liquidity and refinancing strategies and acts as a driving force by preparing courses of action for the Board of Management.

BayernLB actively manages its liquidity reserves in accordance with the regulatory requirements of pillars 1 and 2. The active management of liquidity reserves also includes complying with the Net Stable Funding Ratio (NSFR) and the Liquidity Coverage Ratio (LCR) requirements contained in CRR and its subsequent regulations pursuant to the Delegated Regulation (DelReg). In line with regulatory requirements, the BayernLB Group's figures for ratios are regularly reported.

In addition, the new regulatory requirements resulting from the Additional Liquidity Monitoring Metrics (ALMM) were implemented on schedule in 2016, thereby ensuring the ability to meet reporting requirements on time. Changes to regulatory requirements that have an impact on liquidity risk, such as the new version of MaRisk, the new version of CRR or new implementing technical standards are constantly monitored in order to identify additional requirements and ensure they are implemented as scheduled in close cooperation with all units affected. This ensures reporting requirements can be met and liquidity can be efficiently managed in the future.

Risk measurement

The BayernLB Group produces daily liquidity overviews to measure, analyse, monitor and report on liquidity risk. These project and compare to an accuracy of one day the liquidity gaps, i.e. the net deterministic and non-deterministic future payment inflows and outflows, and the realisable liquidity counterbalancing capacity.

The liquidity counterbalancing capacity quantifies in terms of volumes and timing the ability of the BayernLB Group to obtain cash at the earliest opportunity at market rates and in accordance with supervisory restrictions. It indicates the ability to cover liquidity gaps and therefore all cash flow-based liquidity risks. The most important components of liquidity counterbalancing capacity are the holdings of highly liquid securities eligible as collateral at the central bank and other collateral eligible for discounting at the central bank.

Liquidity risks from an off-balance sheet conduit are fully incorporated. Model assumptions are regularly validated using backtesting and adjusted.

To be adequately prepared for various risk situations, the BayernLB Group also calculates and limits its liquidity on the basis of the management scenario and several stress scenarios (systemic and idiosyncratic stress scenarios, and a combination of both).

BayernLB regularly analyses the sensitivity of the liquidity risk profile to a series of extreme hypothetical stress scenarios. A check is also carried out to identify conditions that represent inverse scenarios which could jeopardise normal operations at the BayernLB Group.

Potential concentrations in the liquidity situation and refinancing structure are constantly analysed and monitored. There were no significant concentrations during the year under review.

At BayernLB level, a net cash flow figure for the next 180 days is calculated daily for the public Pfandbrief register and the mortgage register. In accordance with section 27 of the Pfandbrief Act (Pfandbriefgesetz), the results and other indicators with respect to the register of cover are reported quarterly to the Board of Management. The balance of cumulative cash flows and available liquidity indicated there was surplus liquidity throughout 2016.

Risk management

To safeguard solvency even in times of crisis, the BayernLB Group has a suitable portfolio of liquidity reserves comprising highly liquid securities, central bank facilities and economic capital in the registers of cover. The liquid funds that these can generate serve to cover unplanned cash outflows, even in a stress scenario.

The medium to long-term structure of the liquidity is managed over all maturities, while limits are placed only on terms of up to five years. To safeguard the solvency of the BayernLB Group and its ability to refinance, suitable tools are used to create a refinancing structure that is balanced in terms of maturities, instruments and currencies. The key management tool is the Group-wide refinancing planning, which is regularly adjusted in line with the current liquidity situation.

The liquidity transfer price system set up in BayernLB is another instrument to efficiently manage liquidity risks. This ensures that all relevant liquidity risks, costs and benefits are matched up internally to avoid misallocations in liquidity management.

The quality of assets in the register of cover for Pfandbriefs is set by law. This, combined with matching currencies and maturities, ensures that Pfandbriefs issued by BayernLB meet high standards. BayernLB's Collateral Management makes sure that standards are maintained. This ensures that BayernLB has an ongoing ability to issue bonds in the Pfandbrief segment.

Operational liquidity management (observation period of up to one year) also ensures compliance with the supervisory requirements of the Liquidity Ordinance (Liquiditätsverordnung (LiqV)). In the year under review, BayernLB had a liquidity ratio of between 1.41 and 2.1 (FY 2015: between 1.85 and 2.29). The supervisory requirement that there always be sufficient available cash to cover callable payment obligations over the same period (ratio always in excess of 1.0) was therefore observed at all times.

The Bank also met the Liquidity Coverage Ratio (LCR) at all times in the reporting year through its integrated management of operational liquidity. LCR at Group level amounted to 136 percent as at 31 December 2016. The BayernLB Group benefited from the fact that it had already carried out measures to achieve an adequate LCR before the legal requirements came into force. The LCR is calculated by comparing highly liquid assets with the net cash outflows for the following 30 days. In the year under review there was a regulatory requirement that highly liquid assets cover at least 70 percent of the net cash outflow. Over the next few years, the ratio will be gradually increased to 100 percent.

The strategic subsidiary DKB has measures in place to ensure it complies with its specific Liquidity Coverage Ratio. The key requirements were complied with during the period under review.

Risk monitoring

Group Risk Control independently monitors liquidity risks and calculates and limits ratios derived from the daily scenario-based liquidity overview.

The risk appetite set by the BayernLB Group limits operational and structural liquidity surpluses separately by currency and across all currencies combined. The available liquidity thus calculated is a key parameter for the amount the managing units can use each day. To support the limiting of liquidity risks, BayernLB has established uniform escalation thresholds in the Group which are likewise monitored daily.

In addition to observing the maximum utilisation of available liquidity, ensuring that the time-to-wall figures in the stress scenarios are sufficient is key to complying with the liquidity risk limits. Time-to-wall shows the earliest point at which the forecast liquidity requirement ceases to be met by the liquidity counterbalancing capacity. The time-to-wall figures to be observed every day and the scenario-dependant minimum liquidity surplus limits to be observed at the BayernLB Group are set in the Group Risk Strategy.

In 2016 the limitation of liquidity risks once again ensured the BayernLB Group was solvent and able to fund itself at all times and made a valuable contribution to optimising the management of short-term and structural liquidity.

The BayernLB Group will continue to adapt the monitoring of liquidity risk as market circumstances and regulatory requirements change so as to optimise liquidity management. To this end, BayernLB has set up an early warning system for risks and regularly conducts backtesting and validation processes within the Group.

The liquidity overviews, minimum available unutilised limit and other relevant ratios are included in the risk reports submitted regularly to the Board of Management, the Liquidity Committee and the responsible managing units.

Current situation

The liquidity situation as at 31 December 2016 is shown based on both IFRS 7.39 maturity structures and an economic approach. In accordance with IFRS 7.39, the breakdown of financial liabilities by contractual maturity structure is shown below:

Contractual maturities of financial liabilities*

EUR million	up to 1 month	up to 3 months	up to 1 year	up to 5 years
31 Dec 2016				
• Financial liabilities	59,596	72,470	87,386	122,980
• Liabilities from derivatives	115	124	−47	−593
Total	**59,712**	**72,594**	**87,339**	**122,388**
31 Dec 2015				
• Financial liabilities	57,409	70,766	86,620	126,137
• Liabilities from derivatives	−21	107	102	818
Total	**57,388**	**70,873**	**86,722**	**126,955**

* *The contractual cash flows reported are not discounted and include interest payments. Thus they may differ from the carrying amounts on the balance sheet.*

The BayernLB Group's open irrevocable commitments rose to EUR 24.1 billion (FY 2015: EUR 21.5 billion). The volume of contingent liabilities from guarantees and indemnity agreements rose also to EUR 10.7 billion (FY 2015: EUR 10.2 billion). However, in contrast to the economic approach used below, call probabilities have not been factored into these volumes.

Liquidity overviews are compiled for the purpose of managing and monitoring liquidity risks. This involves calculating the liquidity surplus by subtracting in each maturity band the cumulative liquidity gaps from the realisable liquidity counterbalancing capacity. Expected economic cash flows from non-deterministic products are based partly on modelling assumptions. The BayernLB Group management scenario showed the following results as at 31 December 2016 compared to 31 December 2015:

31 Dec 2016 Cumulative figures in EUR million	**up to 1 month**	**up to 3 months**	**up to 1 year**	**up to 5 years**
Liquidity surplus	**23,804**	**20,801**	**15,796**	**18,686**
arising from				
• liquidity counterbalancing capacity	43,084	41,063	33,530	13,126
less				
• liquidity gap	19,280	20,261	17,733	−5,560
31 Dec 2015* Cumulative figures in EUR million	**up to 1 month**	**up to 3 months**	**up to 1 year**	**up to 5 years**
Liquidity surplus	**18,128**	**18,051**	**10,640**	**11,751**
arising from				
• liquidity counterbalancing capacity	36,472	40,483	33,357	13,374
less				
• liquidity gap	18,344	22,432	22,717	1,623

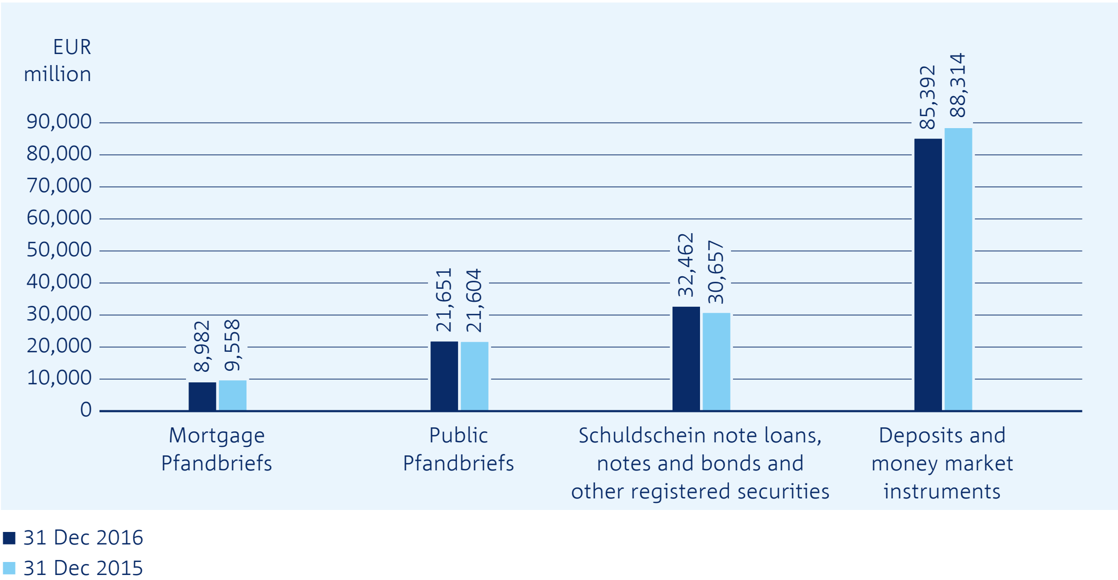
** Previous year's figure adjusted in accordance with IAS 8.22*

The changes in liquidity overviews between 31 December 2015 and 31 December 2016 continued to be marked by the focus on core business areas. The BayernLB Group was able to further increase the liquidity surplus by taking advantage of the excess liquidity on the market. In 2016 the Group subsidiary DKB bolstered its already strong position in the retail business through a sharp increase in customer deposits.

The liquidity surplus as at 31 December 2016 indicates that the BayernLB Group's liquidity is good.

The change in the refinancing structure of BayernLB for 2016 compared to the previous year was as follows:

Funding structure



Reported values rather than economic values have been used for the first time to show the funding structure in BayernLB. The comparative figures as at 31 December 2015 have been adjusted accordingly.

The liquidity situation was very comfortable throughout the reporting year. The investment pressure resulting from the large amount of liquidity on the market ensured that demand for both domestic and international deposit products was high at all times. Moody’s upgrading of the long-term issuer rating from A3 to A2 and the short-term rating from P-2 to P-1 contributed positively to the liquidity situation. The Group’s broad and steadily growing customer base also ensures a diversified funding structure.

The BayernLB Group is able to access a broad depositor base of retail and business customers, the strong network of associated savings banks with custody accounts A and B and secured and unsecured capital market funding. In addition, the Group also offers funds from various development banks.

On the capital markets, BayernLB successfully launched a variety of instruments, including a ten-year government-backed benchmark bond and secured and unsecured foreign currency issues. DKB was highly successful in placing a benchmark five-year green bond issue. BayernLabo accessed the market in the second half of the year by issuing an unsecured EUR 500 million bearer bond.

Along with broadening the funding base, cost efficiency plays an important role in the current low interest rate environment. Paying close attention to the terms is just as important as the selection of the funding instruments. That is why BayernLB’s Aaa-rated Pfandbriefs are a particularly attractive source of funding.

The waterfall structure plays a growing role in the funding mix. The volume of bail-in eligible instruments has a significant impact on the liability side of a bank’s risk profile and therefore a direct effect on its funding costs. Regulatory requirements like MREL and CCR along with rating agencies’ standards set the parameters. Managing the liabilities structure is an ongoing, long-term job. BayernLB’s aim is to maintain its rating while expanding its bail-in portfolio.

BayernLabo’s funding needs of EUR 1.5 billion are largely driven by the performance of its loan portfolio and the demand for funds from the public sector. BayernLabo did not need all the refinancing it had planned because major municipal and public-sector borrowers did not have to finance their revenue gaps due to a healthy economy and accompanying rise in tax receipts. No mutual refinancing was carried out in the BayernLB Group in 2016.

Despite the competitive environment, DKB was able to attract a significant number of new customers in all customer groups. Thanks to these customers, the strong depositor base expanded even further. Performance on the assets side was equally positive.

In the coming years liquidity management and monitoring at the BayernLB Group will continue to revolve around the refinancing options available and focus on ensuring liquidity reserves are always adequate, even in stress situations.

As well as actively managing liquidity reserves, the management of supervisory and economic liquidity risk at BayernLB will continue to be built around a broadly-diversified refinancing structure, supported by a reliable base of domestic investors and retail customer deposits at its DKB subsidiary.

Summary

Thanks to its forward-looking liquidity management, the BayernLB Group had good liquidity throughout the period under review.

Reporting of products as defined in section 46f para. 6 and 7 KWG

Section 46f of the German Banking Act (KWG) was amended with effect from 1 January 2017. The amended regulation governs the seniority of payment under bankruptcy law for certain liabilities that are part of a bail-in which are issued by institutions subject to the CRR.

The following tables show the debt instruments and structured financial products as defined in section 46f KWG:

Debt instruments as defined in section 46f para. 6 KWG that do not fall under section 46f para. 7 KWG

EUR million	31 Dec 2016	31 Dec 2015
Liabilities to banks	3,892	4,092
• of which Schuldschein note loans	2,699	2,875
• of which other registered securities	1,193	1,218
Liabilities to customers	7,778	7,673
• of which Schuldschein note loans	2,183	2,484
• of which other registered securities	5,595	5,189
Securitised liabilities	20,165	15,810
Total	**31,836**	**27,576**

Structured financial products as defined in section 46f para. 7 KWG that are not reported in the solvency estate pursuant to section 38 Insolvency Statute (Insolvenzordnung)

EUR million	31 Dec 2016	31 Dec 2015
Liabilities to banks	91	73
• of which Schuldschein note loans	91	34
• of which other registered securities	–	39
Liabilities to customers	1,070	1,669
• of which Schuldschein note loans	207	677
• of which other registered securities	863	993
Securitised liabilities	2,073	2,366
Liabilities held for trading	458	448
Total	**3,692**	**4,556**

Operational risk

Definition

In line with the regulatory definition in CRR, the BayernLB Group defines operational risk (OpRisk) as the risk of loss resulting from inadequate or failed internal processes, people and systems, or from external events. This includes legal risks.

The framework for operational risks was substantially revised in 2016. In particular, the delineation and definition of non-financial risks was tightened. A risk inventory pursuant to MaRisk identified the following risks as particularly material: legal risks, information security risks, IT risks in the broader sense and outsourcing risks.

Risk Strategy

The treatment of operational risks is set out in the Risk Strategy and related sub-risk strategies and guidelines for non-financial risks. The strategic objective is to minimise or avoid risk in such a way that the cost do not exceed the risk of loss. This requires operational risks to be identified and assessed as completely as possible.

Moreover, as part of ensuring risk-bearing capacity, the risk appetite and limits are set for operational risks, and compliance with these is monitored on an ongoing basis.

Risk measurement

Operational risks for the calculation of risk-bearing capacity are quantified using the operational value at risk (OpVaR) calculation. The calculation is based on losses arising at BayernLB and DKB, external losses collected by a data consortium and scenario analyses (potential losses) of BayernLB and DKB. A distributed loss approach is used for the calculation. A confidence level of 99.95 percent is used to calculate the OpVaR in the risk-bearing capacity. The key model assumptions and parameters used in the model are validated once a year. As at 31 December 2016 the risk capital requirement was EUR 514 million (FY 2015: EUR 488 million).

Many parts of the OpRisk Self Assessment (OSA) were redesigned in 2016. The OSA is a tool that aids in systematically and comprehensively identifying, describing and evaluating material operational risks within the BayernLB Group. The OSA will be completed in 2017. The outcome will enable a more clearly defined view of the OpRisk risk profile to be produced and highlight risk drivers and risk concentrations. Furthermore, it can also serve as a data base for future OpRisk management activities (e.g. managing measures, developing early warning indicators) and for quantifying operational risks.

The standard regulatory approach is used to calculate the regulatory capital backing for operational risks.

Risk management and monitoring

Operational risk is managed and monitored both centrally in the Group Risk Control division and decentrally in the responsible divisions (e.g. the Legal Services division for legal risks).

The Group Risk Control division has the authority to establish guidelines for all methods, processes and systems to quantify operational risks. The relevant subsidiaries are included in the BayernLB Group's loss event reporting procedure.

Management of operational risk is rounded out by an efficient system to monitor the execution of measures which is continuously enhanced.

Operational risks at the BayernLB Group are reported to the Board of Management every quarter as part of the regular reporting on risk and on an ad hoc basis if material losses occur. The operational risk loss situation and trends and the resulting capital charges form a major part of the regular reporting.

Operational risks are included in stress analyses and the monitoring of risk-bearing capacity across all types of risk and integrated into the overall management of risk and the Risk Strategy.

Business continuity management

Business Continuity Management (BCM) is used at the BayernLB Group to manage risks to the continuation of business operations and deal with crisis situations. BCM establishes core procedures for continuing/restoring operations and has an integrated emergency/crisis management procedure for handling events that could have a sustained negative impact on the Bank's activities and resources.

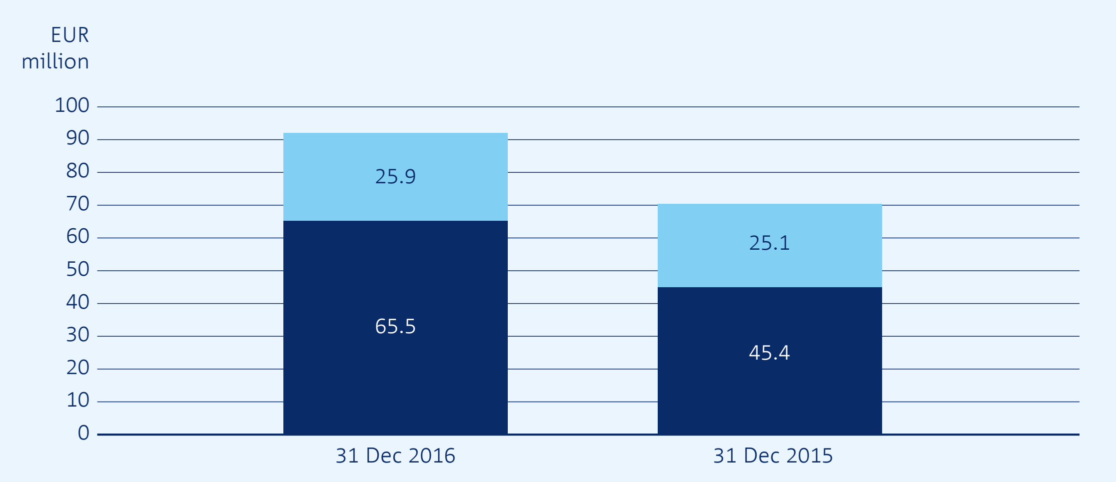
BCM is embedded in the Group Risk Strategy and the Data Security Principles.

The Group Risk Strategy sets the requirements for BCM. These are then fleshed out by the Group companies in their own BCM strategies taking due account of regulatory requirements. The requirements include identifying time-critical activities and processes and specifying business continuity and restart procedures to protect these. They also cover regular testing of the efficiency and suitability of the measures defined. Care is taken to ensure that the interfaces between disruption management, emergency management and crisis management are clearly defined and that clear escalation and de-escalation processes are in place. As a key component of BCM, emergency planning features have been included in the Data Security Principles.

Current situation

The graph below shows the changes in operational risk losses recorded at the BayernLB Group in 2016 compared to 2015.

Losses by Group unit



31 Dec 2016 Total: EUR 91.4 million
31 Dec 2015 Total: EUR 70.5 million

■ BayernLB ■ DKB

BayernLB's loss profile in 2016 was marked by provisions for risks from low interest rates as these may result in negative interest rates in certain transactions with customers that have not been contractually agreed. The 2016 loss profile was very positive in the context of BayernLB's continuing business activities.

In 2016 DKB's risk profile was mainly affected by its internet-based business model for retail customers under which processes and transactions are performed online. The main sources of operational risks are: the availability of IT systems to permit trouble-free processing of all transactions, a potential crash of the Bank's internet portal caused by external agents, the need to protect data from unauthorised access, account opening and credit fraud using falsified documentation and fraud through cashless means of payment. In addition, recent consumer protection rulings regarding the rights of retail customers have sharply increased operational risks, leading in particular to greater legal risks.

Summary

The amount of operational risk losses at the BayernLB Group in 2016 was in line with expectations.

Summary and outlook

All in all the BayernLB Group had a stable risk profile in financial year 2016.

The BayernLB Group had adequate risk-bearing capacity in the financial year and as at 31 December 2016. The stress scenarios conducted also confirm that adequate capital is held. In addition, the BayernLB Group has a good supply of liquidity on hand. Risk provisions take appropriate account of known risks. Regulatory solvency requirements were met. Own funds available to cover risks amounted to EUR 10.1 billion. For more details please see the section "Banking supervisory ratios under CRR/CRD IV for the BayernLB Group" in the management report.

The risk management and controlling system at the BayernLB Group has appropriate processes to ensure compliance with regulatory requirements while managing risks from an economic viewpoint.

BayernLB Group’s consolidated financial statements

Statement of comprehensive income

Income statement

EUR million	Notes		1 Jan – 31 Dec 2016	1 Jan – 31 Dec 2015
• Interest income		6,494		6,487[1]
• Interest expenses		– 5,019		– 4,875[1]
Net interest income	(27)		1,475	1,612
Risk provisions in the credit business	(28)		– 87	– 264
Net interest income after risk provisions			1,389	1,348
• Commission income		688		675[2]
• Commission expenses		– 392		– 386
Net commission income	(29)		296	289
Gains or losses on fair value measurement	(30)		142	– 56[2]
Gains or losses on hedge accounting	(31)		– 80	– 24
Gains or losses on financial investments	(32)		274	286
Administrative expenses	(33)		– 1,280	– 1,168
Expenses for the bank levy and deposit guarantee scheme	(34)		– 88	– 90
Other income and expenses	(35)		51	71[2]
Gains or losses on restructuring	(36)		4	– 10
Profit/loss before taxes			**708**	**646**
Income taxes	(37)		– 158	– 150
Profit/loss after taxes			**550**	**496**
Profit/loss attributable to non-controlling interests			– 5	– 1
Consolidated profit/loss			**545**	**495**

Rounding differences may occur in the tables.
1 Adjusted as per IAS 8.22 (see note 2).
2 Adjusted as per IAS 8.42 (see note 2).

Statement of comprehensive income

EUR million	Notes	1 Jan – 31 Dec 2016	1 Jan – 31 Dec 2015
Profit/loss after taxes as per the income statement		**550**	**496**[1]
Components of other comprehensive income temporarily not recognised in profit or loss			
• Changes in the revaluation surplus	(60)	– 94	– 43
– *change in measurement*		231	35
– *reclassification adjustment due to realised gains and losses*		– 319	– 170
Change not including deferred taxes		– 87	– 135
Change in deferred taxes		– 7	92
• Currency-related changes	(60)	–	– 8
– *change in measurement*		–	– 8
– *reclassification adjustment due to realised gains and losses*		–	–
Change not including deferred taxes		–	– 8
Change in deferred taxes		–	–
Components of other comprehensive income permanently not recognised in profit or loss			
• Changes due to remeasurement of defined benefit plans	(60)	– 69	– 26
– *change in measurement*		– 102	80
Change not including deferred taxes		– 102	80
Change in deferred taxes		33	– 106
Other comprehensive income after taxes		**– 163**	**– 77**
Total comprehensive income recognised and not recognised in profit or loss		**387**	**419**
• attributable:			
– to BayernLB shareholders		382	418
– to non-controlling interests		5	1
• Total comprehensive income attributable to BayernLB shareholders:			
– from continuing operations		382	418
– from discontinued operations		–	–

Rounding differences may occur in the tables.

1 Adjusted as per IAS 8.42 (see note 2).

Balance sheet

Assets

EUR million	Notes	31 Dec 2016	31 Dec 2015
Cash reserves	(7, 38)	2,096	2,246
Loans and advances to banks	(8, 39)	28,794	29,423
Loans and advances to customers	(8, 40)	134,760	135,812
Risk provisions	(9, 41)	−1,305	−2,746
Portfolio hedge adjustment assets	(10)	831	1,145
Assets held for trading	(11, 42)	16,936	17,343[1]
Positive fair values from derivative financial instruments (hedge accounting)	(12, 43)	1,073	1,527
Financial investments	(13, 44)	26,708	28,852
Investment property	(14, 45)	32	35
Property, plant and equipment	(14, 46)	347	351
Intangible assets	(15, 47)	86	106
Current tax assets	(25, 48)	44	144
Deferred tax assets	(25, 48)	358	331
Non-current assets or disposal groups classified as held for sale	(16, 49)	25	205
Other assets	(17, 50)	1,365	938
Total assets		**212,150**	**215,713**

Rounding differences may occur in the tables.

1 Adjusted as per IAS 8.42 (see note 2).

Liabilities

EUR million	Notes	31 Dec 2016	31 Dec 2015
Liabilities to banks	(18, 51)	54,211	60,360
Liabilities to customers	(18, 52)	86,795	86,030
Securitised liabilities	(18, 53)	39,618	34,840
Liabilities held for trading	(19, 54)	10,974	12,286[1]
Negative fair values from derivative financial instruments (hedge accounting)	(20, 55)	1,124	1,354
Provisions	(21, 56)	4,421	4,300
Current tax liabilities	(25, 57)	198	217
Deferred tax liabilities	(25, 57)	–	4
Other liabilities	(22, 58)	671	532
Subordinated capital	(23, 59)	3,081	4,719
Equity	(60)	11,056	11,070
• Equity excluding non-controlling interests		11,041	11,055
– subscribed capital		4,412	4,714
– compound instruments (equity component)	(23)	69	92
– capital surplus		2,182	2,182
– retained earnings		4,064	3,660[1]
– revaluation surplus		315	409
– foreign currency translation reserve		–1	–
– net retained profits/net accumulated losses		–	–
• Non-controlling interests		15	14
Total liabilities		**212,150**	**215,713**

Rounding differences may occur in the tables.
1 Adjusted as per IAS 8.42 (see note 2).

Statement of changes in equity

EUR million	Parent								Non-controlling interests	
	Subscribed capital	Compound instruments (equity component)	Capital surplus	Retained earnings	Revaluation surplus	Currency translation reserve	Consolidated profit/loss	**Equity before non-controlling interests**		**Consolidated equity**
As at 1 Jan 2015	**5,525**	**143**	**2,356**	**3,305**	**452**	**8**	**–**	**11,789**	**–**	**11,789**
Changes in the revaluation surplus					−43			−43		−43
Currency-related changes						−8		−8		−8
Changes due to remeasurement of defined benefit plans				−26				−26		−26
Other comprehensive income				*−26*	*−43*	*−8*		*−77*		*−77*
Consolidated profit/loss[1]							495	495	1	496
Total comprehensive income				*−26*	*−43*	*−8*	*495*	*418*	*1*	*419*
Transactions with owners								–		–
Capital increase/ capital decrease								–		–
Changes in the scope of consolidation and Other	−811	−52		201				−661	15	−647
Allocations to/withdrawals from reserves			−174	180			−495	−489		−489
Withdrawals from compound instruments (equity component)								–		–
Distributions on silent partner contributions, profit participation rights and specific-purpose capital								–		–
Distribution of profits								–	−2	−2
As at 31 Dec 2015	**4,714**	**92**	**2,182**	**3,660**	**409**	**–**	**–**	**11,055**	**14**	**11,070**

Rounding differences may occur in the tables.
1 Adjusted as per IAS 8.42 (see note 2).

EUR million	Parent								Non-controlling interests	
	Subscribed capital	Compound instruments (equity component)	Capital surplus	Retained earnings	Revaluation surplus	Currency translation reserve	Consolidated profit/loss	**Equity before non-controlling interests**		**Consolidated equity**
As at 1 Jan 2016	**4,714**	**92**	**2,182**	**3,660**	**409**	**–**	**–**	**11,055**	**14**	**11,070**
Changes in the revaluation surplus					−94			−94		−94
Currency-related changes								–		–
Changes due to remeasurement of defined benefit plans				−69				−69		−69
Changes arising from companies valued at equity								–		–
Other comprehensive income				*−69*	*−94*			*−163*		*−163*
Consolidated profit/loss							545	545	5	550
Total comprehensive income				*−69*	*−94*		*545*	*382*	*5*	*387*
Transactions with owners								–		–
Capital increase/ capital decrease	−281	−6						−287		−287
Changes in the scope of consolidation and Other	−21	−17		66				28		28
Allocations to/withdrawals from reserves				407			−407	–		–
Withdrawals from compound instruments (equity component)								–		–
Distributions on silent partner contributions, profit participation rights and specific-purpose capital							**−138**	−138		−138
Distribution of profits								–	−4	−4
As at 31 Dec 2016	**4,412**	**69**	**2,182**	**4,064**	**315**	**−1**	**–**	**11,041**	**15**	**11,056**

Rounding differences may occur in the tables.
Details on equity can be found in note 60.
1 Adjusted as per IAS 8.42 (see note 2).

Cash flow statement

EUR million	1 Jan – 31 Dec 2016	1 Jan – 31 Dec 2015[1]
Profit/loss after taxes	**550**	**496**
Items in consolidated profit/loss not affecting the cash flow and carryforwards to cash flow from operating activities		
• Depreciation, impairment losses and reversals of impairment losses on receivables and fixed assets	183	381
• Changes to provisions	372	339
• Changes to other items not affecting cash flow	–671	–580
• Gains or losses on the sale of assets	–179	–76
• Other adjustments (net)	–1,310	–1,167
Sub-total	**–1,055**	**–607**
Changes to assets and liabilities from operating activities		
• Loans and advances		
– to banks	630	7,352
– to customers	–80	–1,524
• Securities (unless financial investments) and derivatives	1,548	5,640
• Other assets from operating activities	–419	–167
• Liabilities		
– to banks	–6,238	–3,888
– to customers	666	4,175
• Securitised liabilities	4,759	–9,474
• Other liabilities from operating activities	–113	–536
• Cash flows from hedging derivatives	633	509
Interest and dividends received	11,218	12,324
Interest paid	–9,886	–11,143
Income tax payments	–22	–13
Cash flow from operating activities	**1,641**	**2,646**

Rounding differences may occur in the tables.
Details on the cash flow statement can be found in note 70.
1 Adjusted as per IAS 8.42 (see note 2).

EUR million	1 Jan – 31 Dec 2016	1 Jan – 31 Dec 2015[1]
Proceeds from the sale of		
• financial investments	231	129
• investment property	–	18
• property, plant and equipment	–	1
• intangible assets	1	–
Payments for the acquisition of		
• financial investments	–4	–12
• property, plant and equipment	–13	–11
• intangible assets	–17	–14
Cash flow from investment activities	**196**	**112**
Disbursements to company owners and minority shareholders	–291	–5
Changes in cash from subordinated capital (net)	–1,682	–1,338
Cash flow from financing activities	**–1,974**	**–1,342**
Cash and cash equivalents at end of previous period	2,246	1,041
+/– cash flow from operating activities	1,641	2,646
+/– cash flow from investment activities	196	112
+/– cash flow from financing activities	–1,974	–1,342
+/– exchange-rate, scope of consolidation and measurement-related changes in cash and cash equivalents	–14	–210
Cash and cash equivalents at end of period	**2,096**	**2,246**

Rounding differences may occur in the tables.
Details on the cash flow statement can be found in note 70.
1 Adjusted as per IAS 8.42 (see note 2).

Notes

Notes to the consolidated financial statements

The consolidated financial statements for Bayerische Landesbank, an institution established under public law, Munich, Germany (BayernLB), entered in the Commercial Register at Munich District Court (HRA 76030), for financial year 2016 were prepared in accordance with International Financial Reporting Standards (IFRS) pursuant to Commission Regulation 1606/2002 of the European Parliament and Council of 19 July 2002 (including all addenda), as well as supplementary provisions applicable under section 315a para. 1 of the German Commercial Code (HGB). In addition to the IFRS standards, IFRS also comprise the International Accounting Standards (IAS) and the interpretations of the IFRS Interpretations Committee (IFRIC) and the Standing Interpretations Committee (SIC). All standards and interpretations that are mandatory within the EU for financial year 2016 have been applied.

The consolidated financial statements contain the statement of comprehensive income including the income statement, the balance sheet, the statement of changes in equity, the cash flow statement, and the notes including the segment report. The presentation currency is the euro.

Unless otherwise stated, all amounts are given in EUR million and rounded up or down to the nearest whole figure. Rounding differences may occur in the tables. Plus or minus symbols are not inserted in front of figures except where they are needed for clarity.

The Group management report, which also contains the information required under IFRS 7.31 to IFRS 7.42, has been published in a separate section of the Annual Report.

Accounting policies

(1) Principles

Pursuant to IFRS 10.19, the BayernLB Group’s accounts are prepared in accordance with Group-wide accounting and valuation policies. Items are recognised and measured on a going concern basis.

Income and expenses are treated on an accruals basis and recognised in the period to which they are economically attributable.

Estimates and assessments required for recognition and measurement pursuant to IFRS are made in accordance with the respective standards. They are regularly checked and are based on past experience and other factors such as expectations of future events. No assurance as to the reliability of estimates can be given, particularly when calculating the value of risk provisions, provisions, deferred taxes, and the fair value of financial instruments.

An asset is recognised when it is probable that the economic benefits will flow to the BayernLB Group in the future and its cost can be measured reliably.

A liability is recognised when it is probable that an outflow of resources embodying economic benefits will result from its settlement and the settlement amount can be measured reliably.

Impact of amended and new International Financial Reporting Standards

In the reporting year the following amended standards were to be applied for the first time:

- ***IFRS 10, IFRS 12 and IAS 28***
  The amendments to IFRS 10 "Consolidated Financial Statements", IFRS 12 "Disclosure of Interests in Other Entities" and IAS 28 "Investments in Associates and Joint Ventures" provide clarifications on the application of the exemption of investment entities from consolidation requirements. There was no impact on BayernLB's consolidated financial statements as at 31 December 2016.

- ***IFRS 11***
  The amendments to IFRS 11 "Joint Arrangements" contain guidance on the accounting for acquisitions of interests in joint operations constituting a business as defined by IFRS 3. The changes had no impact on BayernLB's consolidated financial statements as at 31 December 2016.

- ***IAS 1***
  The amendments to IAS 1 "Presentation of Financial Statements" provide clarifications in respect of the materiality and aggregation of items in financial statements, rules on the presentation of subtotals in the balance sheet and statement of comprehensive income, the structure of the notes and the information on the significant accounting policies applied. In addition, interests in entities accounted for using the equity method must be recognised as a separate item in other comprehensive income.

- ***IAS 16 and IAS 38***
  The amendments to IAS 16 "Property, Plant and Equipment" and IAS 38 "Intangible Assets" clarify in particular that the use of a revenue-based depreciation method for property, plant and equipment is prohibited and that a revenue-based amortisation method is appropriate only in certain circumstances for intangible assets. The changes had no impact on BayernLB's consolidated financial statements as at 31 December 2016.

- ***IAS 16 and IAS 41***
  The amendments to IAS 16 "Property, Plant and Equipment" and IAS 41 "Agriculture" deal with accounting for bearer plants. There was no impact on BayernLB's consolidated financial statements as at 31 December 2016.

- ***IAS 19***
  The amendments to IAS 19 "Employee Benefits" specify that contributions from employees to defined benefit plans in the period in which the related service was rendered may be deducted from the current service cost provided that the contributions are not linked to the number of service years. For BayernLB the amendments had no impact on the consolidated financial statements as at 31 December 2016.

- ***IAS 27***
  The amendment to IAS 27 "Separate Financial Statements" allows the equity method to be applied in separate financial statements. There was no impact on BayernLB's consolidated financial statements as at 31 December 2016.

- ***Improvements to IFRS – 2010 – 2012 cycle and 2012 – 2014 cycle***
  As part of its Annual Improvement Cycle of the IFRSs, the IASB published several changes including minor amendments to standards IFRS 2 "Share-based Payment", IFRS 3 "Business Combinations", IFRS 5 "Non-Current Assets Held for Sale and Discontinued Operations", IFRS 7 "Financial Instruments: Disclosures", IFRS 8 "Operating Segments", IAS 16 "Property, Plant and Equipment", IAS 19 "Employee Benefits", IAS 24 "Related Party Disclosures", IAS 34 "Interim Financial Reporting", and IAS 38 "Intangible Assets". The changes had no impact on BayernLB's consolidated financial statements as at 31 December 2016.

New interim Standard IFRS 14 "Regulatory Deferral Accounts", published by the International Accounting Standards Board (IASB) in January 2014, was not applied in the reporting year. In October 2015 the European Financial Reporting Advisory Group (EFRAG) announced that the European Commission would recommend interim Standard IFRS 14 is not incorporated into European law.

Voluntary, early (partial) application of the following newly issued standards incorporated into European law by the European Commission, whose application becomes mandatory for the first time for the BayernLB Group in financial year 2018, was waived in the reporting year as permitted. There are also no plans for early application in financial year 2017.

- ***IFRS 9***
  In July 2014, the IASB concluded its project to replace the current Standard IAS 39 "Financial Instruments: Recognition and Measurement" by publishing the final version of IFRS 9 "Financial Instruments". The new standard was incorporated into European law in November 2016 and takes effect in financial years beginning on or after 1 January 2018. Exemption rules on the timing of entry into force exist for entities concluding contracts within the scope of IFRS 4 (see comments on IFRS 4 in the section "Impact of amended and new International Financial Reporting Standards"). These exemption rules are not applicable in the BayernLB Group.
  IFRS 9 contains new requirements on the classification and measurement of financial instruments, new rules on the recognition of impairments of financial assets and the treatment of hedge accounting.
  Under IFRS 9, the classification and measurement of financial instruments is dependent on the business model in which the financial asset in held (business model criterion) and on the contractual cash flow characteristics of the respective financial instruments (cash flow criterion). The business model is determined on the basis of the objective set by management of how groups of financial assets are managed together. The analysis of the cash flow criterion must examine whether the respective financial instrument has only the cash flow characteristics of a basic lending arrangement. Upon initial recognition, financial assets are classified as financial assets at fair value through profit or loss, financial assets measured at amortised cost or financial assets measured at fair value through other comprehensive income. The financial asset's classification is used as a benchmark for its subsequent measurement. Based on preliminary analyses of contractual payment flows, the BayernLB Group currently expects the majority of agreements in both the credit business and securities business to have payment flows of a basic lending arrangement.

Classification and measurement of financial liabilities is largely unchanged compared with the rules under IAS 39. However, in the future the changes in value resulting from own credit risk from financial liabilities designated at fair value through profit or loss will no longer be carried through the income statement, but booked to other comprehensive income, provided this does not lead to a reporting or measurement inconsistency. In this case, all changes in value, including those resulting from own credit risk, would have to be shown through profit or loss. The BayernLB Group currently believes that no such reporting or measurement inconsistencies will arise.

IFRS 9 also provides for a new impairment model based on expected credit defaults. The scope of the new impairment model includes, besides financial assets not carried at fair value through profit or loss, certain credit commitments and financial guarantees. Under the impairment rules, entities must apply the general approach, simplified approach or approach for purchased or originated impaired financial assets. Under the general approach, an entity must disclose on each reporting date a loss allowance either in the amount of the credit defaults expected to occur in the next 12 months or in the amount of the credit defaults expected over the total life. This will depend on whether there has been a significant rise in credit risk since initial recognition. The simplified approach can be applied to trade receivables, contract assets or lease receivables. In these cases, the loss allowance must be made on the basis of the credit defaults expected over the total life immediately from origination onwards. The cumulative changes in the credit defaults expected over the total life must be recognised in the case of purchased or originated impaired financial assets. The BayernLB Group believes its earnings will be more volatile in future as a result of the expanded recognition of expected credit defaults over the total life.

IFRS 9 also contains new rules on hedge accounting. The intention here in particular is to achieve closer interlocking between the accounting and risk management activities of an entity. However, the provisions on dynamic macro hedge accounting were omitted from the IFRS 9 rules. For this reason IFRS 9 contains options to continue applying IAS 39 rules on the recognition of all hedging relationships and exclusively on the recognition of portfolio fair value strategies. The BayernLB Group plans to use the one-off option to continue reporting all hedges under IAS 39 rules. Independently of this, however, it will make the expanded disclosures on hedge accounting in accordance with IFRS 7.

The new IFRS 9 requirements are being analysed and implemented in a Group-wide project. The project was set up under the leadership of the Finance and Group Risk Control divisions to take account of the extensive requirements and changes to processes and systems. Overall responsibility for the project lies with BayernLB's CFO/COO and CRO. A steering committee was set up to act as the highest decision-making body and escalation authority for important issues arising in the project. This takes decisions of far-reaching strategic importance. It is chaired by the Board of Management members with responsibilities in this area. The steering committee comprises the heads of Finance, Group Risk Control, Group IT and Controlling and one representative from Deutsche Kreditbank Aktiengesellschaft, Berlin, all of whom have voting rights, along with additional representatives from the business areas and central areas.

As the functional planning phase is nearly complete, the test phase implementing the requirements and the changed processes involving extensive function, system and integration tests was initiated in the BayernLB Group.

Forecasts suggest the impact of initial application on the BayernLB Group's capital will still be moderate. The main impact on BayernLB's consolidated financial statements arises from the provisions on classifying and measuring financial assets, the modified impairment rules and the expanded disclosure requirements under IFRS 7. It is not currently possible to reliably estimate this impact as there is still some uncertainty since certain rules and the definition of portfolio composition can be interpreted in a host of different ways, and also because of the general economic environment.

- ***IFRS 15***
  In May 2014, the IASB issued the new Standard IFRS 15 "Revenue from Contracts with Customers", which was incorporated into European law in October 2016. IFRS 15 will supersede IAS 11 "Construction Contracts" and IAS 18 "Revenue", the interpretations IFRIC 13 "Customer Loyalty Programmes", IFRIC 15 "Agreements for the Construction of Real Estate", IFRIC 18 "Transfers of Assets from Customers" and SIC-31 "Revenue-Barter Transactions Involving Advertising Services". With the changes to IFRS 15 published by the IASB in September 2015, mandatory first-time application of the Standard was deferred to financial years beginning on or after 1 January 2018. The new Standard does not distinguish between different types of orders or performance, but sets uniform criteria as to when revenue must be realised for performance. Under IFRS 15, revenue is recognised if the customer has control over the goods or services. Revenue is recognised in the amount of the consideration expected for the performance obligations assumed. Collection of revenue from financial instruments does not fall within the scope of IFRS 15, but is governed in IAS 39/IFRS 9. A five-level model must be used to assess the amount of revenue that must be realised, as well as when and over what period. Disclosure requirements have also been significantly expanded under IFRS 15.
  The impact on BayernLB's consolidated financial statements when the new Standard is implemented is being evaluated Group-wide. This involves identifying the relevant business areas at BayernLB and its subsidiaries and examining the various customer agreements by means of an impact analysis. Based on the analyses conducted to date, no significant impact is expected on BayernLB's consolidated financial statements.

The IASB has also issued the following amended and new standards and interpretations which have not yet been incorporated into European law:

- ***IFRS 2***
  In June 2016 the IASB published amendments to IFRS 2 "Share-based Payment", which provide clarifications on the classification and measurement of share-based payments. The amendments take effect in financial years beginning on or after 1 January 2018. No impact on BayernLB's consolidated financial statements is expected as a result.

- ***IFRS 4***
  In September 2016 the IASB issued amendments to IFRS 4 "Insurance Contracts". It offers entities concluding agreements within the scope of IFRS 4 two options which they are free to apply (provided certain conditions are met) to deal with the challenges from the lack of synchronicity between the first-time application of IFRS 9 "Financial Instruments" and the future new Standard for accounting for insurance contracts. The amendments take effect in financial years beginning on or after 1 January 2018. No impact on BayernLB's consolidated financial statements is expected from these amendments.

- ***IAS 10 and IAS 28***

  In September 2014, the IASB published changes to IFRS 10 “Consolidated Financial Statements” and IAS 28 “Investments in Associates and Joint Ventures”, providing clarification in respect of the recognition of gains and losses from the sale or contribution of an investor’s assets to an associate or joint venture. If a transaction involves a business as defined in IFRS 3, the gains or losses must be recognised in full in the investor’s financial statements. If, however, the transaction involves assets that do not constitute a business, a partial gain or loss must be recognised. The amendments to IFRS 10 and IAS 28, published by the IASB in December 2015, have deferred first-time mandatory application to a date still to be determined by the IASB. BayernLB does not expect any impact on its consolidated financial statements as a result of these amendments.

- ***IFRS 15***

  In April 2016, the IASB issued amendments to IFRS 15 “Revenue from Contracts with Customers” containing clarifications on the identification of performance obligations, classifications as principal or agent, recognition of revenues from licences, and reliefs with respect to the first-time application of IFRS 15. The amendments take effect in financial years beginning on or after 1 January 2018. BayernLB is currently examining the impact. Based on the analyses conducted to date, no significant impact is expected on BayernLB’s consolidated financial statements.

- ***IFRS 16***

  In January 2016, the IASB published the new Standard IFRS 16, which contains new rules on the recognition of leases. IFRS 16 replaces Standard IAS 17 “Leases” and the interpretations IFRIC 4 “Determining Whether an Arrangement Contains a Lease”, SIC-15 “Operating Leases – Incentives” and SIC-27 “Evaluating the Substance of Transactions in the Legal Form of a Lease”. The Standard takes effect in financial years beginning on or after 1 January 2019. The impact on BayernLB’s consolidated financial statements when the new Standard is implemented is being evaluated.

- ***IAS 7***

  In January 2016 the IASB issued amendments to IAS 7 “Cash Flow Statements”, which will improve the information made available on an entity’s financing activities. The amendments take effect in financial years beginning on or after 1 January 2017. The impact on BayernLB’s consolidated financial statements when the amended standard is implemented is currently being evaluated.

- ***IAS 12***

  In January 2016 the IASB published amendments to IAS 12 “Income Taxes”, which provide clarifications on how to account for deferred tax assets related to unrealised losses on debt instruments measured at fair value. The amendments take effect in financial years beginning on or after 1 January 2017. No impact on BayernLB’s consolidated financial statements is expected as a result.

- ***IAS 40***

  In December 2016, the IASB issued amendments to IAS 40 “Investment Property”, which clarifies in particular that transfers to or from investment property may be made only if there is evidence of a change in use. The amendments take effect in financial years beginning on or after 1 January 2018. BayernLB does not expect any impact on its consolidated financial statements as a result of these amendments.

- ***IFRIC 22***
  In December 2016, the IASB published the new Interpretation IFRIC 22, which deals with the translation of foreign currency transactions where advance consideration is paid or received. IFRIC 22 clarifies what exchange rate must be applied when initially recognising a foreign currency transaction in the functional currency if an entity pays or receives advance consideration on the assets, expenses or income underlying the transaction. The Interpretation takes effect in financial years beginning on or after 1 January 2018. The impact on BayernLB's consolidated financial statements when the new Interpretation is implemented is being evaluated.

- ***Improvements to IFRS – 2014–2016 cycle***
  In December 2016, in its Annual Improvement Cycle, the IASB published minor amendments to standards IFRS 1 "First-time Adoption of International Financial Reporting Standards", IFRS 12 "Disclosure of Interests in Other Entities" and IAS 28 "Investments in Associates and Joint Ventures". The amendments to IFRS 12 apply in the financial year beginning on or after 1 January 2017. The amendments to IFRS 1 and IAS 28 apply in the financial years beginning on or after 1 January 2018. No impact on BayernLB's consolidated financial statements is expected as a result.

(2) Changes on the previous year

Changes in accordance with IAS 8.14 et seq.

From financial year 2016, negative interest from financial assets and financial liabilities is booked separately in the accounts and further details given in note 27. In the reporting year, the amount of EUR 207 million (FY 2015: EUR 49 million) arose in interest income and EUR –206 million (FY 2015: EUR –43 million) arose in interest expenses as a result of negative interest rates.

In the management report (risk report), the following changes to methodology were made to improve risk management in the second half of 2016:

Optimised mapping of the special purpose vehicle Corelux narrowed the liquidity gap as at 31 December 2015, thereby increasing the liquidity surplus by EUR 738 million in the maturity band of up to one month and by EUR 333 million in the maturity band of up to 3 months.

The adjustment to the process, the validation and the deduction item for the intraday cash reserve narrowed the liquidity gap as at 31 December 2015, thereby increasing the liquidity surplus by EUR 500 million in all maturity bands.

The modelling for the current account and cash accounts was also improved. Extrapolated backwards to 31 December 2015, in the management scenario changes to methodology impacted the liquidity gap/liquidity surplus in the maturity band of up to one month (EUR 216 million/EUR –216 million), in the maturity band of up to three months (EUR 147 million/EUR –147 million) and in the maturity bands of up to one year and up to five years (respectively EUR –14 million/EUR 14 million).

Changes under IAS 8.32 et seq.

In the reporting year the BayernLB Group made changes to estimates of measurement parameters for calculating liabilities under IAS 19. The changes in measurement produced a total charge of EUR 120 million, reducing retained earnings by EUR 112 million. Of this amount, the revision of the discount rate for pension obligations accounted for EUR –335 million, the increase in estimated future medical costs for pension obligations for EUR –67 million, estimated future pension costs for EUR 4 million, estimated future social insurance pensions for EUR 126 million and estimated future salaries for EUR 160 million. The change in the discount rate, the estimated future medical costs and the estimated future salaries for restructuring liabilities had an impact of EUR –8 million on gains or losses on restructuring. There was only an immaterial increase in staff costs resulting from the lower discount rate, the career progression trend and the increase in liabilities from jubilee benefits. As a result of the adjustments, pension obligations rose by EUR 112 million and restructuring liabilities increased by EUR 8 million. The changes in estimates will also have an impact on future periods which currently cannot be reliably estimated.

In the reporting year, a modification was also made to the measurement method for calculating the hedge fair value for underlying transactions with a high credit spread at the date of designation in order to be able to calculate hedge fair values more precisely in the current interest rate environment. In the second half of 2016, an underlying transaction was designated using the adjusted measurement method; existing hedges were not affected by the changes in estimates. The refinements to the measurement methods will also have an impact on future periods which currently cannot be reliably estimated.

Changes were also made to the modelling of loss given default. The impact of changes in estimates on portfolio loan loss provisions was not significant in the reporting year. The impact on future periods cannot be reliably estimated at present.

Changes under IAS 8.41 et seq.

From the 2013 consolidated financial statements, income from fund transactions was in some cases incorrectly booked to other income and expenses instead of net commission income. On 31 December 2015, EUR 32 million was therefore reclassified from other income to commission income. As the amount from fund transactions was large, a separate item was created for it within net commission income. For the previous year, besides the reclassified EUR 32 million, EUR 36 million in commission from the securities business and EUR 1 million from other commission was transferred to this item. The previous year’s figures were restated accordingly; the impact of these changes on the income statement items of the previous year is shown in the following overview:

Impact on the affected items of the income statement between 1 January and 31 December 2015

EUR million	1 Jan – 31 Dec 2015 before adjustment	Adjustments	1 Jan – 31 Dec 2015 after adjustment
Commission income	643	32	675
Net commission income	258	32	289
Other income and expenses	102	– 32	71
Profit/loss before taxes	640	–	640
Income taxes	– 150	–	– 150
Profit/loss after taxes	490	–	490
Profit/loss attributable to non-controlling interests	– 1	–	– 1
Consolidated profit/loss	488	–	488

Fair value adjustments were not correctly calculated in the 2015 consolidated financial statements due to an incorrect selection of risk factors. As a result, assets held for trading were understated by EUR 2 million and liabilities held for trading were overstated by EUR 4 million. Furthermore, gains or losses on fair value measurement and gains or losses on hedge accounting were understated by a total of EUR 6 million. The resultant adjustments to consolidated profit were offset against retained earnings. There were additional effects of an immaterial amount in the positive and negative fair values from derivative financial instruments (hedge accounting). The impact of these changes on the main income statement and balance sheet items of the previous year is shown in the following overview:

Impact on the affected items of the income statement between 1 January and 31 December 2015

EUR million	1 Jan – 31 Dec 2015 before adjustment	Adjustments	1 Jan – 31 Dec 2015 after adjustment
Gains or losses on fair value measurement	– 62	6	– 56
Profit/loss before taxes	640	6	646
Income taxes	– 150	–	– 150
Profit/loss after taxes	490	6	496
Profit/loss attributable to non-controlling interests	– 1	–	– 1
Consolidated profit/loss	488	6	495

Impact on the affected balance sheet items as at 31 December 2015

EUR million	31 Dec 2015 before adjustment	Adjustments	31 Dec 2015 after adjustment
Assets			
• Assets held for trading	17,342	2	17,343
Liabilities			
• Liabilities held for trading	12,290	−4	12,286
• Equity	11,063	6	11,070
– equity excluding non-controlling interests	11,049	6	11,055
– retained earnings	3,653	6	3,660

The disclosures in the notes regarding fair value, measurement category, the fair value hierarchy, net gains or losses and offsetting of financial instruments, derivatives transactions and assets and liabilities in a foreign currency are also affected. The previous year's figures were restated accordingly.

Within the breakdown of liabilities to customers by product in the consolidated financial statements for 2015, other liabilities were overstated by EUR 25 billion and overnight and time deposits understated by a similar amount. The previous year's figures were restated accordingly.

As at 31 December 2015 the fair value measured at amortised cost of loans and advances to banks of EUR 8,744 million, loans and advances to customers of EUR 3,922 million, liabilities to banks of EUR 11,951 million, liabilities to customers of EUR 11,749 million were allocated to Level 3 instead of Level 2. The previous year's figures were restated accordingly.

In the previous years, no disclosures were made of benefit plans as related parties of the BayernLB Group. In the 2016 consolidated financial statements, the disclosure was made for the first time under related party disclosures. The previous year's figures – liabilities to customers (EUR 10 million) and staff costs (allocation) (EUR 4 million) – were added accordingly.

Moreover, the maximum credit risk of the financial assets that are impaired was understated by EUR 4 million in the management report (risk report) in the 2015 consolidated financial statements. When allocating the maximum credit risk to the balance sheet items, there were shifts between loans and advances to banks (EUR 374 million), loans and advances to customers (EUR –554 million), assets held for trading (EUR 238 million), contingent liabilities (EUR –22 million) and irrevocable loan commitments (EUR –32 million). Furthermore, the fair value collateral for impaired financial assets was overstated by EUR 199 million and that for financial assets past due but not impaired overstated by EUR 6 million. The previous year's figures were restated accordingly.

(3) Scope of consolidation

Besides the parent company, the group of companies consolidated within BayernLB comprises 14 (FY 2015: 13) subsidiaries that are consolidated in accordance with IFRS 10.

As before, it does not include any companies measured at equity.

Changes in the consolidated sub-group of Real I.S. AG Gesellschaft für Immobilien Assetmanagement

As from 1 January 2016, Real I.S. Investment GmbH, Munich was included for the first time in the new sub-group financial statements of Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich. The sub-group has been set up to provide uniform management of business activities and give a more accurate presentation of the financial performance and financial position of Real I.S. AG. Real I.S. Investment GmbH is likewise an investment company under section 1 para. 16 of the Capital Investment Code (KAGB). Its activities include managing German investment funds, EU investment funds, foreign AIFs (collective asset management) and real estate funds. This had no material impact on the consolidated financial statements.

Determining the scope of consolidation

BayernLB's scope of consolidation is determined by materiality criteria. 118 (FY 2015: 125) companies were neither consolidated nor measured at equity due to their negligible importance individually or collectively to the financial position and financial performance of the Group. The impact on the balance sheet of the contractual relationships between Group entities and these non-consolidated entities is recognised in the consolidated financial statements.

The list of shareholdings shows all the subsidiaries included in the consolidated financial statements (see note 79).

(4) Consolidation principles

BayernLB, the parent company, and the subsidiaries within the scope of consolidation are presented in the consolidated financial statements as an economic unit. The subsidiaries comprise all entities controlled by the BayernLB Group regardless of their legal structure. These also include structured entities where voting or similar rights are not the dominant factor in deciding who controls the entity. This also includes entities whose relevant activities are predetermined by a narrowly defined purpose in the articles of association or in other contractual arrangements or where the decision-making power of the governing body is permanently limited. Structured entities are included in the scope of consolidation if they are subsidiaries and material for the financial position and financial performance of the BayernLB Group.

A subsidiary is controlled if the BayernLB Group is exposed to variable returns as a result of its involvement with this entity or has rights to them and the ability to influence these returns through its power over decisions affecting the entity. The BayernLB Group has control over an entity if it has rights that give it the current ability to direct the relevant activities of the entity. Relevant activities are those that, depending on the nature and the purpose of the entity, significantly affect its returns. Variable returns are all returns that have the potential to vary as a result of the entity's performance. Returns from involvement with an entity may therefore be positive or negative. Variable returns include dividends, fixed and variable interest, remuneration and fees, changes in the value of the investment and other economic benefits.

When assessing whether control exists, all facts and circumstances must be considered. These include voting rights and other contractual rights to direct relevant activities if no economic or other obstacles to the exercise of existing rights exist. Control is exercised on the basis of voting rights if the BayernLB Group holds more than 50 percent of the voting rights based on equity instruments or contractual arrangements and its share of these voting rights gives it substantive power over the relevant activities. Other contractual rights that may give it controlling influence are primarily rights of appointment to or removal from corporate bodies, and rights of liquidation and other decision-making rights. Contractual arrangements designed to protect only the interests of the BayernLB Group as creditor or minority shareholder (protective rights) do not constitute control.

The BayernLB Group therefore also controls a subsidiary if control is exercised by a third party in the interest of and for the benefit of the BayernLB Group (principal-agent relationship). In such cases, if another party with decision-making rights acts as an agent for the BayernLB Group, it does not control the subsidiary as it is only exercising decision-making rights delegated by the BayernLB Group (the principal). To determine whether such delegated decision-making powers exist, an assessment is carried out based on the scope of its decision-making authority, the rights of other parties, the remuneration and the agent's exposure to risk.

In some cases, due to ongoing insolvency proceedings, the BayernLB Group holds more than 50 percent of the voting rights, but without the corresponding controlling influence. Conversely, in certain other cases, the BayernLB Group has contractual rights giving it controlling influence, but holds less than 50 percent of the voting rights.

Subsidiaries are included in the consolidated financial statements of the BayernLB Group through full consolidation. A subsidiary is consolidated from the date on which the BayernLB Group gains control over it.

When accounting for an acquisition, the cost of acquiring the subsidiary is eliminated against the Group's share of the completely remeasured equity on the date of acquisition. This equity is the balance of the assets and liabilities of the acquired company measured at their fair value at initial consolidation, adjusted for deferred taxes. If any differences between the higher cost of acquisition and the Group's share of the remeasured equity remain on the assets side, they are recognised in the consolidated balance sheet as goodwill under intangible assets.

Interests in subsidiaries not owned by the parent company are disclosed under the Equity item as non-controlling interests.

If further equity interests are acquired in a company that is already fully consolidated, the transaction is not classified as a corporate acquisition as defined in IFRS 3 as a controlling relationship was already in existence. The acquisition of an interest is reported instead as a transaction with the minority shareholders. The positive or negative differences remaining after eliminating against equity the additional interests acquired are therefore offset against retained earnings and not recognised through profit or loss.

If first-time consolidation takes place at a later date on materiality grounds, it is not classified as a business combination as defined in IFRS 3 as control already existed. The positive or negative differences remaining after eliminating against equity are therefore offset against retained earnings and not recognised through profit or loss.

Joint arrangements are based on contractual arrangements which give two or more partners joint control. Joint control exists if the partners must cooperate together to direct the relevant activities of the joint arrangement and decisions require the unanimous consent of the partners sharing control. A joint venture is a joint arrangement whereby the partners that have joint control have rights to the net assets of the arrangement. If, however, the partners have rights to the assets, and obligations for the liabilities relating to the joint arrangement, then the arrangement is a joint operation. A joint venture in principle exists if a joint arrangement is embodied in the form of a legally independent person or a corporation with its own assets, so that the BayernLB Group, based on its share of interests in the entity, only has a proportional claim to the net assets of the entity. If a joint arrangement is conducted in the form of a civil law partnership (e.g. an association) whose legal form does not confer separation of the vehicle’s assets and liabilities from the partners, an assessment must be carried out to determine whether it is a joint venture or a joint operation based on the contractual arrangements and the purpose of the joint arrangement. If neither the legal form nor the contractual provisions or other facts and circumstances give any indication as to whether the BayernLB Group has direct rights to the assets or obligations for the liabilities of the joint arrangement, it is deemed to be a joint venture.

Associates are entities over which the BayernLB Group exercises significant but not controlling influence either directly or indirectly through subsidiaries. Significant influence is the power to participate in the financial and operating policy decisions of another entity without exercising control. Significant influence exists if the BayernLB Group holds, as an investor, 20 percent or more of the voting rights either directly or indirectly through subsidiaries. An entity can also be an associate if the BayernLB Group holds less than 20 percent of the voting rights, but, on the basis of other factors, it has the power to participate in the financial and operating policy decisions of the entity. This particularly applies to cases where the BayernLB Group is represented on the entity’s governing body and has contractual rights to manage or realise assets, including making investment decisions.

In certain cases, the BayernLB Group holds at least 20 percent of the voting rights in the entity, but cannot exercise significant influence due to contractual or legal restrictions.

Subsidiaries cease to be consolidated on the date the BayernLB Group loses control over the subsidiary.

The financial statements of the entities included in the consolidated financial statements are prepared as at the parent company's reporting date.

When consolidating debt and earnings and eliminating intragroup earnings from subsidiaries, all receivables and liabilities, income and expenses and intragroup earnings from transactions within the Group are eliminated provided their importance is not negligible.

Interests in subsidiaries, joint ventures and associates not consolidated or measured at equity due to their negligible importance and other ownership interests are reported in the balance sheet under financial investments and measured at fair value.

(5) Currency translation

On initial recognition, assets and liabilities denominated in a foreign currency are translated into the functional currency at the spot rate applicable on the date of the business transaction. In subsequent periods, when translating currency, a distinction is made between monetary and non-monetary items. Monetary assets and liabilities denominated in a foreign currency are translated at the exchange rate at the end of the reporting period. Non-monetary items measured at historical cost are translated using the exchange rate on the date of the transaction. Non-monetary items measured at fair value are translated at the exchange rate on the date the fair value was calculated. Income and expenses in a foreign currency are translated into the functional currency at an average exchange rate. Gains or losses on currency translation are recognised in gains or losses on fair value measurement. Currency translation differences from equity instruments in the available-for-sale category are reported in the revaluation surplus and not recognised through profit or loss.

The balance sheet items of the subsidiaries and foreign branches included in the consolidated financial statements are, if their functional currency is not the euro, translated into euros at the exchange rate of the respective currency on the reporting date and the expenses and income translated into euros at an average exchange rate. Currency exchange rate differences arising from this translation are reported in the currency translation reserve within equity.

(6) Financial instruments

Recognition and measurement

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity. Financial instruments are recognised in the balance sheet from the date on which the entity drawing up the balance sheet becomes a contractual party and entitled to receive the agreed payments or obliged to make the agreed payments. Purchases or sales of financial assets (regular-way contracts) are normally recognised on the date of the trade. Derivatives (as defined in IAS 39) are always recognised on the date of the trade.

All financial instruments, including derivative financial instruments as defined under IAS 39, must be recognised in the balance sheet and assigned to measurement categories. Financial instruments are initially recognised at fair value, which is the cost of acquisition as a rule.

Financial instruments are subsequently measured in accordance with the measurement category to which they have been assigned. These categories are defined as follows:

Financial assets and financial liabilities at fair value through profit or loss

These include financial instruments and derivatives which are held for trading and reported on the balance sheet in accordance with IAS 39 (held for trading), and financial instruments which are not held for trading for which the fair value option was elected (financial instruments designated at fair value through profit or loss). Derivative financial instruments which are used as hedges and meet hedge accounting criteria under IAS 39 do not come under this category.

- Held-for-trading financial instruments and derivatives:
  These instruments are measured at fair value. Measurement results are reported under gains or losses on fair value measurement. Realised and current income are also normally reported under this item. Current income from derivatives in economic hedges is recognised in net interest income. Derivatives in economic hedges include derivatives for hedging fair value option transactions and derivatives in other economic hedges. These derivatives do not meet hedge accounting criteria under IAS 39. They are used for risk management and have not been concluded for trading purposes. Held-for-trading financial instruments are largely reported under the assets held for trading and liabilities held for trading items.
- Financial instruments designated at fair value through profit or loss (fair value option):
  The fair value option is applied to reduce or eliminate accounting mismatches and to avoid bifurcating embedded derivatives which must be separated. These instruments are measured at fair value. Measurement results are recognised under gains or losses on fair value measurement. Current income is reported under net interest income. Financial instruments (particularly structured issues and liabilities with embedded derivatives) designated at fair value (fair value option) are mainly reported under loans and advances to banks/customers, financial investments, liabilities to banks/customers, securitised liabilities and subordinated capital.

Held-to-maturity financial investments

These are non-derivative financial assets with fixed or determinable payments and fixed maturities traded on an active market which the BayernLB Group intends to, and is able to, hold until they mature.

At the end of the reporting period, the BayernLB Group held no financial investments designated as held to maturity.

Loans and receivables

These include non-derivative financial assets with fixed or determinable payments which are not quoted on an active market and not held for trading, not designated at fair value through profit or loss (fair value option), and not designated as available for sale. They are measured at amortised cost.

This category includes loans that are mainly reported under loans and advances to banks/customers. The treatment of impairment is described in note 9 on risk provisions. Current income is reported under net interest income.

This category also includes securities that were not traded on an active market on the date of recognition or reclassification, and where there is no intention to sell them in the short term. Any necessary impairments are deducted from the carrying amount of the asset. Tests for permanent impairment are carried out regularly. Impairments include specific loan loss provisions and portfolio provisions. Impairments of securities are determined in exactly the same way as for risk provisions (see note 9). Losses arising from impairments and realised gains or losses are recognised under gains or losses on financial investments. Current income and unwinding are reported under net interest income. Securities in the loans and receivables category are recognised under financial investments.

Available-for-sale financial assets

These include non-derivative financial assets (mainly securities and interests) which are classified as available for sale or are not assigned to any of the categories described. They are measured at fair value.

Any difference between fair value and amortised cost is shown as a separate item in equity (in the revaluation surplus) and not recognised through profit or loss until the asset is either disposed of or permanently impaired. Gains or losses on their sale or permanent impairment are reported under the gains or losses on financial investments item, and current income in net interest income. Available-for-sale financial assets are regularly assessed for objective evidence of impairment (e.g. significant financial difficulties of the issuer or obligor, a breach of contract such as a default or delinquency in interest or principal repayments, high probability of bankruptcy or other financial reorganisation) that has an impact on future expected incoming cash flows. If the asset is an equity instrument, a prolonged or significant decline in the fair value below its cost is also objective evidence of impairment. If the asset is a debt instrument, an additional indicator of impairment, besides the qualitative criteria of IAS 39.59, is a significant decline in the fair value below amortised cost. Where there is no further reason for impairment, writedowns on debt instruments are reversed directly in the income statement up to the value of the amortised cost had there been no impairment and the difference to fair value is recognised in the revaluation surplus in equity. Reversals of equity instrument impairments are recognised directly in the revaluation surplus in equity. Most available-for-sale financial instruments are reported under financial investments.

Financial liabilities measured at amortised cost

Financial liabilities measured at amortised cost include financial instruments not used for trading purposes and for which the fair value option has not been elected. They are measured at amortised cost. Current income is reported under net interest income. Most financial instruments in this category are reported on the balance sheet in the items liabilities to banks/customers, securitised liabilities and subordinated capital.

Renegotiated financial assets (forbearance)

BayernLB defines exposures in problem loan treatment which have been restructured in order to minimise the risk of default as forbearance exposures. An exposure has been restructured if concessions have been granted to a counterparty in financial difficulties in the form of refinancing/restructuring and/or if the original terms and conditions of the loan agreement are modified (e.g. a deferral, waiver or standstill agreement).

Where a restructuring is credit-rating related, objective evidence of impairment exists. If future incoming payments are likely to be affected, a specific loan loss provision is made in the case of a loan. For a security, the required impairment is deducted from the asset's carrying amount and the difference between fair value and amortised costs is recognised through profit or loss.

Restructuring measures that modify the terms of the contract so extensively that they essentially create a new asset must be recognised on the balance sheet by the disposal of the original asset and addition of the new asset. If the carrying amount of the asset to be disposed of differs from the fair value of the asset to be added, the difference between the two must be recognised directly in the income statement.

For more information on forbearance exposures please refer to the Group management report (risk report).

Offsetting

Financial assets and financial liabilities are offset against each other in accordance with IAS 32.42 if a legally enforceable right to set off the recognised amounts currently exists and an intention exists to settle on a net basis or to realise the asset and settle the liability simultaneously.

Derecognition

Financial assets are derecognised if the contractual rights to cash flows from the assets have lapsed or the BayernLB Group has transferred substantially all risks and rewards of ownership. Financial liabilities are derecognised if the contractual liabilities are discharged, cancelled or expire.

Fair value

The fair value of a financial instrument is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Market participants are knowledgeable, willing partners that are independent of each other and able to enter into a transaction for the asset or liability. The relevant market for measuring fair value is the most active market that the BayernLB Group has access to (principal market). If no principal market exists, the most advantageous market is used.

Fair value is calculated where possible by reference to a quoted (unadjusted) price on an active market for an identical financial instrument. A market is considered active for a financial instrument if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If no active market exists, fair value is calculated using a range of measurement methods including measurement models based on discounted cash flow methods and indicative valuation prices. The objective is to estimate the price at which an orderly transaction to sell the asset or transfer the liability would take place between market participants at the measurement date under current market conditions. The valuation techniques used maximise the use of observable inputs and minimise the use of non-observable inputs.

Valuation models

The methods used to calculate fair values include recognised valuation models based mainly on observable market data. The discounted cash flow method and option pricing models are among the valuation models used.

If a quoted price is not available for an identical financial instrument, the discounted cash flow method is used for interest-bearing financial instruments. This method calculates the instruments' value based on their cash flow structures, taking account of their nominal values, residual maturities and the agreed day-count convention. If the financial instrument has a contractually agreed fixed cash flow, the cash flow structure is calculated using the agreed cash flows. In the case of variable rate instruments, cash flows are determined using forward curves. Cash flows are discounted using matching currency and maturity and secured and unsecured yield curves, and a risk-adjusted spread. Market data is used where spreads are publicly available. Bid-ask valuations must be used for fair value measurement. As mid-rate data is usually one of the input parameters for measuring the theoretical fair value of derivatives, a fair-value discount is applied to the measurement of these transactions to take account of bid-ask spreads. For OTC derivatives, counterparty risk and own default risk is taken into account by considering any netting agreements (credit valuation adjustment/debit valuation adjustment). Any allocations to individual transactions are made on the basis of the relative credit adjustment approach. In the case of uncollateralised OTC derivatives, account is taken of bank-specific financing conditions using a funding valuation adjustment.

Options and other derivative financial instruments with option characteristics are measured largely using the Black-Scholes option pricing model. The displaced diffusion model was used to perform valuations when interest rates were negative. The Black-Scholes model was used here again after parallel shifting of the strike price and forward price parameters (depending on the product type and currency). The following valuation parameters are used when measuring options and other derivatives: cumulative probability distribution function for standard normal distribution, option strike prices, continuously compounding risk-free interest rates (for different currencies and maturities), volatility, time to option expiry, estimated dividends, interest rate and pricing barriers, discounts, increments and probability of occurrence.

For options with several possible exercise dates, a binomial model is used. Publicly accessible market data is also used here in the measurement.

Credit derivatives are measured using the hazard rate model based on the latest credit spreads.

Summary of the key valuation models by derivative product group

Product group	Principal valuation model
Interest rate swaps	Discounted cash flow method
Forward rate agreements	Discounted cash flow method
Interest rate options	Black 76, displaced diffusion
Forward exchange deals	Discounted cash flow method
Currency swaps/cross-currency swaps	Discounted cash flow method
Foreign exchange options	Black 76, Trinomial tree (Cox-Ross-Rubinstein)
Equity/index options	Black-Scholes, Roll-Geske-Whaley
Commodity caps/floors	Vorst
Credit derivatives	Hazard rate model

Structured products are concluded within structured issues. These structures are each hedged with mirror swaps. Besides using the above methods, these structures are measured largely using short-rate and BGM models (Libor market model) and Monte Carlo simulations.

In the case of equity instruments not traded on an active market, fair value is calculated using recognised valuation methods, particularly the German income method (Ertragswertverfahren). Here, the expected and valuation-relevant cash flows are based on budgeted values of the companies in question, which are discounted to the valuation date using a risk-adjusted capitalisation rate.

To calculate the fair values of lending transactions measured at amortised cost, cash flows are discounted using the risk-free yield curve adjusted by a transaction-specific spread. The spread comprises a margin held constant over the term to cover the costs and the expected gains, and a credit component reflecting changes in the creditworthiness of the business partner. On conclusion of a transaction the initial full spread is determined by interpolation. The transaction is measured at its carrying amount (or at par if the transaction is prior to the first-time application of IFRS). At the end of the following month, the current expected loss is determined and used to break down the spread into its margin and credit-rating related portions (on conclusion of the transaction). At the end of each reporting period, the fair value is calculated using the constant margin spread and the credit spread determined on the expected loss applicable at the time.

In the case of deposit-taking business, cash flows are discounted using the risk-free yield curve, and a credit rating and liquidity spread. This spread reflects BayernLB's current credit rating and varies according to the currency and the transaction's collateral status (secured, unsecured, unsecured with guarantee obligation, or subordinated). The added spreads are based on the internal pricing curves of Asset Liability Management and tested for plausibility independently of Trading using the external market interest rate.

The valuation models presented above are used to calculate the fair values of financial instruments in the categories held for trading, fair value option, loans and receivables, available for sale, and financial liabilities measured at amortised cost. The balance sheet items most affected are loans and advances to banks/customers, assets held for trading, positive fair values from derivative financial instruments (hedge accounting), financial investments, liabilities to banks/customers, securitised liabilities, liabilities held for trading, negative fair values from derivative financial instruments (hedge accounting) and subordinated capital.

Embedded derivatives

Embedded derivative financial instruments are recognised as independent derivatives and measured at fair value if they have to be separated from the host contract. If this is the case, the host contract is recognised and measured according to its measurement category. In the case of structured products, no separation is made if the fair value option has been applied.

Hedge accounting

To manage interest rate, currency, equity and other price risks, and credit risks, derivative financial instruments are used to hedge assets or liabilities on the balance sheet. At present, only fair value hedges meet hedge accounting criteria for hedging relationships as defined under IAS 39. Assets or liabilities (or a portion of them) on the balance sheet, or a portfolio of financial instruments, are hedged against changes in fair value resulting from interest rate or currency risk which could affect the earnings for the period. A high degree of effectiveness is needed to ensure changes in the fair value of the hedged underlying transaction in terms of the hedged risk and the hedging derivative lie within a range of 80 – 125 percent. In the BayernLB Group, fair value hedge accounting is applied in the form of micro fair value hedges, portfolio hedges in the narrow sense and portfolio hedges in the broader sense. Portfolio hedges in the narrow sense are reported in the same way as the underlying and hedging transactions of micro fair value hedges.

The main hedging instruments used are interest rate and currency swaps. Derivatives used to hedge the fair value of assets and liabilities on the balance sheet are measured at fair value and changes in their value are recognised through profit or loss. The carrying amounts of the underlying transactions in micro hedges and in portfolio hedges in the narrow sense are adjusted in line with the measurement results attributable to the hedged risk and recognised through profit or loss. Where the hedging of the fair value on a portfolio basis is carried out in the broader sense in the BayernLB Group, the cumulative measurement results attributable to the hedged risk for financial assets are recognised in the balance sheet under portfolio hedge adjustment assets and the carrying amounts of the underlying transactions left at amortised cost.

Derivative financial instruments in economic hedges that do not meet hedge accounting criteria are recognised and measured in accordance with their categorisation as held for trading. Unlike current income and expenses of held-for-trading derivative financial instruments, the current income and expenses arising from these derivatives are reported under net interest income.

(7) Cash reserves

Cash reserves comprise cash and balances at central banks. They are recognised at nominal value.

(8) Loans and advances

Loans and advances to banks and customers are non-derivative financial assets with fixed or determinable payments that are not quoted on an active market or held for trading purposes. They are measured at amortised cost if they are not categorised as available for sale, fair value option receivables or underlying transactions in an effective fair value hedge. Premiums and discounts are spread over the term of the transaction and recognised in net interest income.

Impairments of receivables in the loans and receivables category are reported separately in the balance sheet under risk provisions and shown on the assets side.

(9) Risk provisions

Risk provisions for credit products in the loans and receivables category are reported as a separate item on the assets side. They comprise specific loan loss provisions and portfolio provisions for transactions on the balance sheet. BayernLB exercised its option of making flat-rate specific loan loss provisions for non-material receivables.

To calculate risk provisions, customer relationships in the BayernLB Group are analysed at quarterly intervals as a rule. If objective indications of impairment exist, an examination is carried out to determine if a risk provision needs to be made. These objective indications include interest and principal arrears of more than 30 days or a rating of 19 or worse on a 25-tier scale. If future incoming payments are likely to be affected, a specific loan loss provision is made.

The size of the specific loan loss provision is the difference between the carrying amount of the receivable and the present value of future expected incoming cash flows calculated on the basis of the original effective interest rate using the discounted cash flow method. Additions to or releases of risk provisions are made if expectations of cash flows change. Unwinding – a change in the present value of future expected incoming cash flows over the period – is reported as interest income; the actual interest payments received are subsequently recognised as repayments, and not as interest income. For portfolios composed of similar, immaterial receivables, flat-rate specific loan loss provisions are made on the basis of collective risk assessment. These are also reported under the specific loan loss provisions.

For material and immaterial receivables for which no indications of impairment have been detected on individual examination and no flat-rate specific loan loss provisions have been made, portfolio provisions based on creditworthiness factors are calculated on the basis of historical default rates and loss rates. The procedure for this uses parameters derived from the Basel II rules that are regularly assessed.

Country risks (transfer risk and general political risk) are reflected by making a portfolio provision on the basis of country risk-specific default rates and loss rates if these risks have not already been taken into account through specific loan loss provisions.

Non-recoverable receivables are derecognised; this is carried out by utilising specific loan loss provisions that have already been made. A direct writedown is made for bad debt losses for which no or insufficient specific loan loss provisions have been made. The direct writedowns are booked either to existing portfolio or specific loan loss provisions. The disclosure is made in each case as an "of which" item "direct writedown" in respect of a specific loan loss provision or a portfolio loan loss provision.

Where a specific loan loss provision exists, a direct writedown may not be charged to the portfolio loan loss provisions. In the case of specific and portfolio loan loss provisions, disclosure is of an addition with simultaneous utilisation.

(10) Portfolio hedge adjustment assets

This balance sheet item shows the changes in value of the underlying transactions for which fair value hedge accounting in the form of portfolio hedges in the broader sense was used.

(11) Assets held for trading

Assets held for trading comprise all held-for-trading financial assets and derivative financial instruments with positive market values reported on the balance sheet in accordance with IAS 39 and not designated as hedging instruments in accordance with hedge accounting criteria under IAS 39. Measurement results and realised and current income from assets held for trading are normally recognised in gains or losses on fair value measurement except for current income from derivatives in economic hedges, which is recognised in net interest income.

If the requirements for netting financial assets against financial liabilities are met, derivative financial instruments are recognised at the net value of their market price and any variation margin paid or received.

(12) Positive fair values from derivative financial instruments (hedge accounting)

This balance sheet item includes derivative financial instruments with positive market values which are used as hedges and meet hedge accounting criteria as defined in IAS 39. The derivative instruments are measured at fair value. Changes in the fair value of hedging instruments and changes in the fair value of hedged underlying transactions arising from the hedged risk are reported under gains or losses on hedge accounting. Interest income and expenses from hedging derivatives are recognised in net interest income.

If the requirements for netting financial assets against financial liabilities are met, derivative financial instruments are recognised at the net value of their market price and any variation margin paid or received.

(13) Financial investments

Financial investments comprise financial assets in the fair value option, loans and receivables and available-for-sale categories. Interests in unconsolidated subsidiaries, in joint ventures and associates not measured at equity, and other interests are classified as available for sale or the fair value option and reported under financial investments unless they are classified as held for sale. Financial investments are measured according to their respective measurement category.

(14) Investment property and property, plant and equipment

Land or buildings leased to third parties or primarily held for capital appreciation is reported on the balance sheet under investment property. Property, plant and equipment comprise owner-occupied property, furniture and office equipment. Mixed-use property that can be disposed of separately is allocated proportionately to the investment property and the property, plant and equipment items. If the property cannot theoretically be divided, the entire property is recognised as investment property only if an insignificant portion of the property (less than 10 percent) is held for internal operations.

Investment property is measured at amortised cost, i.e. assets subject to wear and tear are depreciated on a straight-line basis in accordance with their useful life. In the case of buildings, the components are depreciated over their specific useful life (component approach). Any impairments are also deducted. BayernLB applies the cost model option in IAS 40 to measure investment property.

The criteria for useful life were as follows:

- Buildings 28–90 years
- Furniture and office equipment 3–25 years

When an asset is impaired, an impairment loss is reported. If the reasons for impairment cease to apply, an impairment reversal is made up to the value of the amortised cost.

Subsequent costs are capitalised if they add to the economic benefit of these assets.

Maintenance costs are reported as expenses in the financial year they are incurred.

Depreciation of investment property is reported under other income and expenses, and depreciation of property, plant and equipment under administrative expenses. Impairment reversals are reported in other income and expenses.

(15) Intangible assets

Intangible assets comprise goodwill from consolidated subsidiaries, intangible assets produced in-house (proprietary software) and other intangible assets.

Goodwill

Goodwill is allocated to cash-generating units and tested for impairment at least once a year or whenever there is objective evidence of impairment. The carrying amount of the cash-generating unit including allocated goodwill is compared against its recoverable amount. The recoverable amount is the greater of value in use or the fair value less cost to sell. If the original expected benefits are no longer expected, impairment is charged initially against the unit's goodwill. Any remaining impairment charge that exceeds the unit's goodwill is charged proportionately against the other assets of the cash-generating unit.

Intangible assets produced in-house and other intangible assets

The costs for software development are capitalised where its production is likely to result in an inflow of economic benefits and costs can be determined reliably. If the criteria for capitalisation are not met, the development costs are immediately expensed in the income statement.

Intangible assets produced in-house and other intangible assets are measured at amortised cost. They are amortised on a straight-line basis over an expected useful life of usually four or five years or up to ten years in certain cases.

When an asset is impaired, an impairment loss is reported. If the reasons for impairment cease to apply, an impairment reversal is made up to the value of the amortised cost.

Amortisation of intangible assets produced in-house and other intangible assets are recognised under administrative expenses; impairment reversals are reported in other income and expenses.

(16) Non-current assets or disposal groups classified as held for sale

This item comprises both non-current assets in the held-for-sale category and the assets of disposal groups in the held-for-sale category.

They are designated as held for sale if their carrying amount is to be recovered principally through a sale transaction rather than through continuing use and the non-current asset or disposal group can be sold immediately in its present condition and the sale is highly probable.

Non-current assets or disposal groups classified as held for sale are recognised at the end of the reporting period at the lower of carrying amount and fair value less costs of sale if there are no measurement exceptions in accordance with IFRS 5.

The earnings or losses of disposal groups which meet the criteria for classification as discontinued operations are not reported in the income statement under gains or losses on continuing operations, but separately under the line item gains or losses on discontinued operations.

(17) Other assets

Other assets comprise assets not allocated to one of the other items on the assets side. It includes emissions certificates, precious metals and claims from reinsurance.

(18) Liabilities

Liabilities to banks and customers and securitised liabilities are measured at amortised cost if they are not allocated to the fair value option category or if they are not underlying transactions in an effective fair value hedge. Premiums and discounts are spread over the term of the transaction and recognised in net interest income.

(19) Liabilities held for trading

Liabilities held for trading comprise all held-for-trading financial liabilities and derivative financial instruments with negative market values reported on the balance sheet in accordance with IAS 39 and not designated as hedging instruments in accordance with hedge accounting criteria under IAS 39. Measurement results and realised and current income or expenses from liabilities held for trading are normally recognised in gains or losses on fair value measurement except for current income from derivatives in economic hedges, which is recognised in net interest income.

If the requirements for netting financial assets against financial liabilities are met, derivative financial instruments are recognised at the net value of their market price and any variation margin paid or received.

(20) Negative fair values from derivative financial instruments (hedge accounting)

This balance sheet item comprises derivative financial instruments with negative market values, which are used as hedges and meet hedge accounting criteria in accordance with IAS 39. The derivative instruments are measured at fair value. Changes in the fair value of hedging instruments and changes in the fair value of hedged underlying transactions arising from the hedged risk are reported under gains or losses on hedge accounting. Interest income and expenses from hedging derivatives are recognised in net interest income.

If the requirements for netting financial assets against financial liabilities are met, derivative financial instruments are recognised at the net value of their market price and any variation margin paid or received.

(21) Provisions

Provisions for pensions and similar obligations and other provisions are recognised under this item.

Provisions for pensions and similar obligations

Occupational retirement benefits within the BayernLB Group are based on a range of pension schemes. Employees acquire rights to benefit entitlements based on a direct pension commitment, where the size of the benefit is defined and dependent on factors such as salary, age and length of service (defined benefit plans). Alternatively employees acquire rights to benefit entitlements based on an indirect pension commitment, which is funded through defined contributions to a pension institution (external benefit provider) (defined contribution plans). There is no legal or de facto obligation to provide benefits beyond these terms for these plans, which predominantly relate to foreign branches. Most pension commitments in the BayernLB Group are in the form of cash-based defined benefit plans for employees in Germany.

In the BayernLB Group, the core element of the promised defined benefit obligations provided directly by the employer is the full benefits package (Gesamtversorgungszusage) modelled on the pension system for civil servants (“pension eligibility”). The size of the pension commitments for defined benefit plans is based largely on each employee’s salary, length of service and other criteria. Civil-servant style pension benefits were agreed in individual employment contracts. Only employees with at least 20 years of eligible service who also meet other criteria such as positive performance evaluations and no negative health issues were eligible for these pension benefits. The full benefits package also includes entitlements to allowances in the event of illness.

In essence, no more employees are being added to the number of employees eligible for civil-servant style pension benefits, as BayernLB cut off new entrants at the end of the first quarter of 2009. In a suit brought by employees who were originally entitled to qualify for the civil-servant style benefits under the terms of their employment agreements, the German Federal Employment Court in Erfurt, Germany ruled on 15 May 2012 in favour of the plaintiffs to restore their eligibility to these pension benefits, provided they meet certain criteria.

BayernLB also has two legally independent pension funds (Versorgungskasse) for its indirect benefit obligations in Germany: Versorgungskasse I BayernLB Gesellschaft mit beschränkter Haftung, Munich (Versorgungskasse I) and Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung, Munich (Versorgungskasse II). Versorgungskasse I primarily manages obligations to former employees entitled to or in receipt of vested benefits, while Versorgungskasse II manages the portion of the benefits package that had already been earned when the arrangements were changed in respect of some occupational retirement benefits in financial year 2010. BayernLB makes regular contributions to the pension funds in accordance with thresholds defined by fiscal law.

Defined benefit pension obligations are partly funded by assets and qualifying insurance policies. To qualify as plan assets, they must be separated from the employer’s other assets (e.g. by placing them in a separate fund held by a legally independent benefit provider) and only used to provide employees’ benefits. The plan assets invested in Germany by Versorgungskasse I and in the United Kingdom are administered by externally managed funds and insurance companies. BayernLB sets the general investment guidelines for these funds, but does not take specific investment decisions. The assets in the pension plan in the United Kingdom are also subject to a legal minimum funding requirement. This obliges the trustees and the Bank as the sponsoring undertaking to ensure sufficient plan assets are available to cover pension liabilities. Under the trust deed, the trustee is required to regularly check the value of the plan assets and to arrange for additional funding if the value of the plan assets falls below that of the pension liabilities.

To fund the pension obligations of Versorgungskasse II, BayernLB purchased reinsurance in the amount of the existing rights to entitlements, which is managed by an external trustee. In addition, the rights to entitlements are protected from insolvency. The assets managed in trust by the trustee do not qualify as plan assets. As the beneficial owner, BayernLB reports the claims from reinsurance as an asset on the balance sheet under the “other assets” item. These assets from the claims from reinsurance (reimbursement claims) are equivalent to the benefit entitlements in terms of size and maturity, so that the assets and indirect pension obligations via Versorgungskasse II are recognised in the same amount.

Under the 2005 and 2010 pension schemes, BayernLB employees in Germany acquire rights to benefit entitlements based on indirect pension commitments. To fund these pension commitments, BayernLB and current employees pay defined contributions to two external benefit providers not part of the Group (ÖBAV Unterstützungskasse e. V., Munich and BVV Versorgungskasse des Bankgewerbes e. V, Berlin). These providers conclude reinsurance to fund occupational retirement benefits. The contributions to the pension institutions comprise in terms of the basic provision employer-funded allowances based on a defined percentage of annual remuneration. In addition to the basic provision, employees can also pay contributions through deferred compensation via the employer to the pension institution. The benefits promised by BayernLB are essentially the same as the ones the external benefit providers have agreed to provide. However, the external benefit providers are not under an explicit obligation to provide annual pension raises. As an annual pension raise is not explicitly ruled out in the contract, BayernLB still has a de facto obligation to provide the benefits. Consequently these indirect pension obligations are treated formally like defined benefit plans in accordance with IAS 19, but accounted for as defined contribution plans due to their economic substance. This means that the contribution payments made to the external benefit providers are recognised as pension costs and therefore in administrative expenses, while the net present value of the benefit obligations and the plan assets used to cover them are of the same size so that no pension provisions for these pension schemes are reported on the BayernLB Group's balance sheet. Based on the current outlook, it is unlikely that the annual pension raise guarantee will be utilised in a financially significant amount.

All direct obligations from pensions and allowances in the event of illness and other indirect pension obligations within the BayernLB Group are calculated each year/half-year in actuarial reports produced by independent actuaries.

The size of the defined benefit plan obligations is calculated using the projected unit credit method, which measures the obligations on the basis of the proportion of the defined benefit entitlements acquired at the end of the reporting period. Assumptions about future trends of certain parameters such as salaries and pensions, and the discount rate are made when conducting the measurement. The discount rate is based on yields on high-quality corporate bonds on the respective markets. The values of the parameters used to measure plan assets, especially the discount rate, have a major impact on the amount of the benefits in the pension plans.

The following actuarial assumptions are used:

in %	**2016**	**2015**
Discount rate	1.8	2.3
Salaries[1]	2.5	2.7
Benefits[2]	2.0	2.3
Medical costs	5.0	4.5

1 In the case of non-payscale employees, a different assumption of a 2.75 percent change in estimated future salaries was used as a basis.
2 Eligible social insurance pensions at BayernLB in Germany were calculated to have increased by 2.25 percent.

They are measured in Germany on the basis of Professor Dr Klaus Heubeck's biometric probabilities (in the "Richttafeln 2005G" actuarial tables) and in other countries on the basis of country-specific mortality tables.

The qualifying plan assets used to cover pension obligations are measured at fair value on the reporting date. If pension assets exceed pension obligations, the surplus asset is accounted for under the asset ceiling rules. The asset is recognised mainly on the basis of its economic benefits that are available in the future, taking account of future charges from a reduction in contributions due to existing minimum funding requirements being met.

To calculate the amount of the pension provision, the fair value of any plan assets is deducted from the present value of the pension obligation (pension deficit or surplus). The potential impact from the pension asset ceiling is then incorporated.

The impact from the remeasurement of defined benefit plans, such as actuarial gains and losses arising from the difference between expected and actual values or changed assumptions, is now recognised directly in the period it arises in retained earnings within equity and not through the income statement and in parallel in pension provisions. The rules therefore specify these amounts cannot be reclassified to the income statement in future periods.

Regular contributions to fund pension obligations and pension schemes will have a negative impact on the BayernLB Group's liquidity in future periods. The Group's pension obligations are not fully funded by plan assets, i.e. pension obligations exceed plan assets at Group level, resulting in a shortfall in funding. Even marginal changes in the actuarial assumptions used to measure pension plans, notably the discount rate and future growth of salaries and pensions, would produce a change in the funding situation and by extension the pension provisions. The value of externally invested plan assets is also subject to capital market volatility, which is outside of BayernLB's control. Plan assets are invested in a range of asset classes to prevent risk concentrations. The investment strategy matches the maturity structure of the assets with the expected pension payout dates. This is especially the case for plan assets of a foreign branch, whose funds for covering pension obligations are invested in several asset classes such as equities and fixed-interest securities. Unfavourable capital market performance could lead to material shortfalls in the coverage of its pension obligations and increase the BayernLB Group's pension obligations. Such an increase could have a negative impact on BayernLB's financial situation as additional funds would have to be injected to fund the pension obligations. BayernLB must also pay contributions to the healthcare costs of current and former employees, which could also rise in the future.

The risks arising from the BayernLB Group's pension plans are addressed in the Group-wide asset liability management strategy. To reduce the risks from defined benefit plans, new plans have been introduced in recent years at BayernLB in Germany, and at a foreign branch, some pension obligations and their related pension assets were transferred to external pension funds.

Other provisions

Provisions in the credit business are made for both single transactions and portfolios to meet contingent liabilities and other commitments where there is a risk of default.

Other provisions are made in accordance with IAS 37 for present legal or de facto obligations if it is probable that an outflow of resources embodying economic benefits will be required to settle the obligations.

(22) Other liabilities

Other liabilities comprise liabilities not allocated to one of the other items on the liabilities side. It includes deferred income and accruals.

(23) Hybrid capital instruments

Debt and equity instruments are classified in accordance with IAS 32, taking account of IDW statement HFA 45 on the presentation of financial instruments under IAS 32. A financial instrument is therefore recognised in equity if for example

- it evidences a residual interest in the assets of an entity after deducting all of its liabilities (IAS 32.11) and
- it contains no contractual obligation to deliver cash or another financial asset to the contractual partner (IAS 32.16).

The contractual terms of the hybrid capital instruments used by BayernLB result in the following accounting treatment and measurement in the consolidated financial statements.

Perpetual silent partner contributions not callable by the lender meet the criteria for disclosure under equity.

As they are compound financial instruments, dated silent partner contributions, including those that are callable by the lender, and profit participation certificates, must be divided into their equity and debt components (split accounting). The fair value of the debt component was initially measured by discounting the nominal value of the compound instrument as a whole by its effective interest rate. The value is recognised in the balance sheet in the subordinated capital item. In subsequent years, interest on the debt component accrues and the resulting expense is reported in net interest income. The equity component – which as a residual interest as defined in IAS 32.11 corresponds to the present value of expected future distributions – is recognised in equity in the compound instruments (equity component) sub-item. Distributions on compound instruments are made only if their payment does not produce or increase a net accumulated loss in the separate accounts prepared under the German Commercial Code (HGB).

If a compound financial instrument shares in the losses, this affects the repayment of the nominal value of the compound instrument and therefore the debt component whose present value must be adjusted as necessary to take account of the changed cash flow expectations in accordance with IAS 39 AG8. The income resulting from the change in the present value (or expenses resulting from replenishing the instrument in subsequent years) is recognised in other income and expenses.

Subordinated innovative financial products (e.g. preferred shares), which are classified as Tier 1 capital under banking supervisory law, are reported as hybrid capital under the subordinated capital item on the balance sheet.

(24) Leasing

In accordance with IAS 17, leases are divided into finance leases and operating leases. Agreements are classified on the basis of the distribution of economic risks and rewards from the leased property. A lease is classified as a finance lease if it transfers substantially all the risks and rewards incidental to ownership to the lessee.

The BayernLB Group as lessor

In finance leases, the assets arising from the leasing agreement are recognised as receivables due from the lessee at their net investment value. Lease payments received from the lessee are apportioned into an interest component and principal component. The interest component is reported as interest income. The principal component reduces the receivable with no impact on the income statement.

In operating leases, leased property is measured at amortised cost and recognised as investment property or as property, plant and equipment. Lease payments received and impairments and depreciation are reported in other income and expenses.

The BayernLB Group as lessee

In finance leases, leased items are recognised either as investment property or as property, plant and equipment, and the obligations to the lessor as a liability. Lease payments to be made are apportioned into an interest component and a principal component. The interest portion is recognised as interest expenses. The principal component reduces the liability with no impact on the income statement.

Lease payments payable by the BayernLB Group in operating leases are recognised under administrative expenses.

(25) Tax

Current tax assets and liabilities are measured by applying the currently applicable tax rates and netting against expected tax refunds or tax liabilities.

Deferred tax assets and liabilities result from the temporary differences between the carrying amount of an asset or a liability and the tax base and from unused loss carryforwards and tax credits. This creates tax liabilities or assets expected in the future. Deferred taxes are recognised where permitted. They are measured for each of the companies consolidated within the Group, at the specific applicable income tax rate expected to be applicable for the period of the reversal of the temporary differences based on tax laws that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax assets are only reported if it is probable that taxable profit in future periods will be sufficiently high to offset the as yet unused tax losses carried forward and deductible temporary differences. The amount of deferred tax assets recognised is calculated on the basis of the tax planning for the company in question or – if a tax group exists – for the consolidated tax group in question. When recognising deferred tax assets from interest carryforwards, the same accounting policies as used for deferred tax assets from tax loss carryforwards are applied.

Deferred taxes are not discounted. Deferred tax assets and liabilities are created and carried through profit or loss if the underlying item is recognised in the income statement, or are created and carried in equity if the underlying item is recognised in equity.

Income tax expenses and income to be charged against profit before taxes are reported in the consolidated income statement as income taxes. Other taxes not based on income are reported under other income and expenses.

Segment reporting

(26) Notes to the segment report

The segment report reflects the business structure of the BayernLB Group. At the end of financial year 2016, the Bank reported on six segments, the same number as on 31 December 2015. As before, the four operating business segments are Corporates & Mittelstand, Real Estate & Savings Banks/Association, Deutsche Kreditbank (DKB) and Financial Markets. They are complemented by the two segments Central Areas & Others including the Consolidation column and Non-Core Unit. The earnings of the consolidated subsidiaries and units are also allocated to the segment to which they have been assigned.

Segment reporting is based on IFRS 8 and therefore on the monthly management reports to the Board of Management, which serves as the chief operating decision-maker as defined by IFRS 8.7. The management reports – and therefore the segmentation – are based on the accounting policies used in the consolidated financial statements under IFRS. Segment reporting does not therefore need to be reconciled with the IFRS accounting policies used in the consolidated financial statements. The earnings contributions reported under the segments are generated largely from financial services. Net interest income and net commission income are shown respectively as net figures comprising interest income and interest expenses and commission income and commission expenses. The additional information about products and services required under IFRS 8.32 and on non-current assets by geographical region required under IFRS 8.33 (b) is not available and the costs of providing the information would be excessive.

The risk-weighted assets (RWA) shown include the figures on the reporting date for credit risk, market risk positions and operational risk. Since the beginning of financial year 2016, what is shown as equity is no longer reported equity but regulatory equity. For this, common equity tier 1/CET1 is calculated using the respective valid supervisory regulations. For the purposes of internal management, economic capital is allocated to the segments in the amount of 11.5 percent of risk weighted assets (RWA). Economic capital is reconciled to regulatory equity in the column headed “Consolidation”.

The return on equity (RoE) shown is calculated on the basis of internal management information from the ratio of profit before taxes to the average of regulatory equity (Group) available over the financial year/the average allocated economic capital (at segment level). The cost/income ratio (CIR) is the ratio of administrative expenses and gross profit comprising net interest income, net commission income, gains or losses on fair value measurement, gains or losses on hedge accounting, gains or losses on financial investments and other income and expenses.

The segment figures for the comparison period have been adjusted to reflect the changes in reported equity and return on equity.

Segment reporting as at 31 December 2016

EUR million	Corporates & Mittelstand	Real Estate & Savings Banks/Association	DKB	Financial Markets	Central Areas & Others (including Consolidation)	Non-Core Unit	Group
Net interest income	304	235	786	41	38	71	**1,475**
Risk provisions in the credit business	8	24	–108	–1	–	–9	**–87**
Net commission income	114	89	23	71	–6	4	**296**
Gains or losses on fair value measurement	44	65	51	41	–57	–	**142**
Gains or losses on hedge accounting	–	2	–86	6	–1	–	**–80**
Gains or losses on financial investments	29	–	156	64	12	13	**274**
Administrative expenses	–293	–210	–432	–208	–77	–60	**–1,280**
Expenses for the bank levy and deposit guarantee scheme	–	–	–27	–	–60	–	**–88**
Other income and expenses	–2	–1	19	16	45	–26	**51**
Gains or losses on restructuring	–	–1	–	–	8	–3	**4**
Profit/loss before taxes	203	203	381	29	–98	–10	**708**
Risk-weighted assets (RWA)	21,783	7,095	24,163	8,070	1,479	2,616	**65,206**
Average economic/reported equity	2,533	820	2,808	1,023	1,167	369	**8,742**
Return on equity (RoE) (%)	8.0	24.8	13.6	2.8	–8.4	–2.7	**8.1**
Cost/income ratio (CIR) (%)	60.0	53.7	45.6	87.5	242.3	96.3	**59.3**
Average number of employees (FTE)	345	440	3,180	593	1,793	87	**6,439**

Segment reporting as at 31 December 2015[1]

EUR million	Corporates & Mittelstand	Real Estate & Savings Banks/ Association	DKB	Financial Markets	Central Areas & Others (including Consolidation)	Non-Core Unit	Group
Net interest income	317	244	789	100	79	81	**1,612**
Risk provisions in the credit business	65	38	–64	–	–	–304	**–264**
Net commission income	115	81	22	67	–6	11	**289**
Gains or losses on fair value measurement	48	50	15	56	–103	–121	**–56**
Gains or losses on hedge accounting	–	–2	–40	15	3	–	**–24**
Gains or losses on financial investments	–	–	11	107	94	74	**286**
Administrative expenses	–258	–191	–398	–193	–10	–118	**–1,168**
Expenses for the bank levy and deposit guarantee scheme	–	–1	–14	–	–75	–	**–90**
Other income and expenses	–6	–2	14	–8	37	35	**71**
Gains or losses on restructuring	–	–5	–	–	–	–5	**–10**
Profit/loss before taxes	282	212	336	145	19	–347	**646**
Risk-weighted assets (RWA)	22,196	7,110	24,806	8,543	2,182	4,769	**69,606**
Average economic/reported equity	2,545	885	2,894	1,072	1,489	786	**9,671**
Return on equity (RoE) (%)	11.1	24.0	11.6	13.5	1.3	–44.1	**6.7**
Cost/income ratio (CIR) (%)	54.4	51.4	49.0	57.3	9.7	146.9	**53.6**
Average number of employees (FTE)	346	453	3,108	566	1,805	176	**6,453**

1 Adjusted as per IFRS 8.29.

Breakdown of the aggregated Central Areas & Others segment results and consolidation entries not allocated to the segments as at 31 December 2016

EUR million	Central Areas & Others	Consolidation	Central Areas & Others (including Consolidation)
Net interest income	2	36	**38**
Net commission income	–6	–	**–6**
Gains or losses on fair value measurement	–21	–36	**–57**
Gains or losses on hedge accounting	–1	–	**–1**
Gains or losses on financial investments	12	–	**12**
Administrative expenses	–87	5	**–77**
Expenses for the bank levy and deposit guarantee scheme	–60	–	**–60**
Other income and expenses	50	–5	**45**
Gains or losses on restructuring	8	–	**8**
Profit/loss before taxes	–98	–	**–98**
Risk-weighted assets (RWA)	1,479	–	**1,479**
Average economic/reported equity	201	966	**1,167**

Breakdown of the aggregated Central Areas & Others segment results and consolidation entries not allocated to the segments as at 31 December 2015[1]

EUR million	Central Areas & Others	Consolidation	Central Areas & Others (including Consolidation)
Net interest income	46	34	**79**
Net commission income	–6	–	**–6**
Gains or losses on fair value measurement	–68	–35	**–103**
Gains or losses on hedge accounting	3	–	**3**
Gains or losses on financial investments	92	2	**94**
Administrative expenses	–15	5	**–10**
Expenses for the bank levy and deposit guarantee scheme	–75	–	**–75**
Other income and expenses	46	–9	**37**
Gains or losses on restructuring	–	–	**–**
Profit/loss before taxes	22	–3	**19**
Risk-weighted assets (RWA)	2,182	–	**2,182**
Average economic/reported equity	188	1,301	**1,489**

1 Adjusted as per IFRS 8.29.

Notes on delimitation of segments

The Corporates & Mittelstand segment serves large German Mittelstand corporate customers, large German corporations and international companies with a connection to Germany. Its clients include in particular DAX and MDAX-listed companies and family-owned or operated businesses which conduct international business from their German home market. To better serve clients' export and trade finance needs as well as provide payment services, this segment also includes relationships with banks in emerging markets. In addition, the Corporates & Mittelstand segment conducts the syndicated loan business together with the Bavarian savings banks for their corporate customers. The following core activities are located in this segment: traditional loan financing (including working capital, capex and trade financing), leasing finance and global project and export financing for customers worldwide with a focus on the infrastructure, energy and renewable energy sectors. It also acts as lead manager for its customers in syndicated loans and plays a leading role in placing corporate bonds and Schuldschein note loans on the market in cooperation with the Financial Markets business area.

The Real Estate & Savings Banks/Association segment incorporates business with commercial and residential real estate customers, the savings banks and the public sector. In addition, the legally dependent institution Bayerische Landesbodenkreditanstalt, Munich (BayernLabo) is allocated to this segment. The Real Estate division focuses on long-term commercial real estate financing in Bavaria and Germany and business with residential construction companies and residential property developers. BayernLB offers commercial real estate customers a comprehensive range of services related to real estate financing. The Savings Banks & Association division now forms the central hub for collaboration with savings banks and public sector customers in Germany. Its activities include BayernLB's business with savings banks in Germany, particularly Bavaria, and the state-subsidised loan business. The savings banks are a fundamental part of BayernLB's business model as both customers and as sales partners. The division also serves state and municipal customers and public agencies in Germany which BayernLB, as a partner, provides with a wide range of products and tailor-made solutions. BayernLabo is responsible for the non-competitive residential construction and urban development business under public mandate on behalf of BayernLB. It also provides financing for local authorities in Bavaria.

The DKB segment consists of the core business activities of the Deutsche Kreditbank Aktiengesellschaft, Berlin (DKB) sub-group. This segment also includes the consolidated subsidiary Bayern Card-Services GmbH – S-Finanzgruppe, Munich (BCS). DKB is mainly involved in the retail customers business and the infrastructure and corporate customers area. In the retail customers business, DKB operates as a direct bank mainly with standardised products via the internet. The infrastructure and corporate customers area specialises largely in business with customers in promising sectors with long-term growth potential such as residential property, healthcare, education and research, agriculture and renewable energy. BCS's business activities are focused on credit card services.

The Financial Markets segment comprises the business area of the same name and the consolidated subsidiaries BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich (BayernInvest) and Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich (Real I.S.). The Financial Markets business area combines all trading and issuing activities as well as asset and liability management. Related to this, BayernLB's business relationships with banks in developed markets, insurers and other institutional customers which are primarily focused on capital market products are assigned to this segment. The Financial Markets segment also provides a range of capital market and Treasury products that are cross-sold to BayernLB's Corporates, Mittelstand, Savings Banks and Real Estate customers. Market and default risks are hedged and solvency assured at all times through risk and liquidity management.

The Central Areas & Others segment is aggregated with the Consolidation column in accordance with internal management reporting. It comprises earnings contributions from the central areas Corporate Center, Financial Office, Operating Office and Risk Office. The segment also includes core business transactions that cannot be allocated to either a business area or a central area. The consolidated subsidiary BayernLB Capital LLC I, Wilmington is also another component of this segment. The Consolidation column includes consolidation entries not allocated to any segment.

All non-core activities have been transferred to the Non-Core Unit segment. It contains the Restructuring Unit, the non-core activities of DKB, the Other NCU sub-segment, including the consolidated subsidiary Banque LBLux S.A. in Liquidation, Luxembourg, and the loans to HETA Asset Resolution AG, Klagenfurt, including their funding. Now that its mandate to wind down portfolios not managed as core business is almost completed, the Non-Core Unit ceased to exist as an independent segment from 1 January 2017. Starting with financial year 2017, the remaining non-core activities of the former Restructuring Unit and the sub-segment Other NCU will be reported under the Central Areas & Others segment under the BayernLB Group's new segment structure. The still existing non-core business of the sub-group Deutsche Kreditbank Aktiengesellschaft, Berlin (DKB) was integrated into the DKB segment at the same time.

Earnings from typical banking operations after risk provisions (net interest income, net commission income, gains or losses on fair value measurement, gains or losses on hedge accounting and gains or losses on financial investments) were EUR 2,021 million (FY 2015: EUR 1,844 million), including EUR 44 million (FY 2015: EUR 25 million) in Europe excluding Germany, and EUR 88 million (FY 2015: EUR 130 million) in America. Of the risk-weighted assets (RWA) in the amount of EUR 65,206 million (FY 2015: EUR 69,606 million) recognised instead of non-current assets, EUR 676 million (FY 2015: EUR 1,378 million) relate to Europe excluding Germany and EUR 2,102 million (FY 2015: EUR 2,539 million) relate to America.

Notes to the statement of comprehensive income

(27) Net interest income

EUR million	2016	2015
Interest income	**6,494**	**6,487**
• From lending and money market transactions	3,871	4,235[1]
of which:		
– from unwinding	37	46
• From bonds, notes and other fixed-income securities	216	292
• Current income from equities and other non-fixed income securities	1	3
• Current income from interests in non-consolidated subsidiaries, joint ventures, associates and other interests	8	10
• Current income from profit-pooling and profit transfer agreements	4	4
• Current income from other financial investments	9	9
• From hedge accounting derivatives	979	895[1]
• From derivatives in economic hedges	1,199	990[1]
• From negative interest	207	49[1]
Interest expenses	**5,019**	**4,875**
• For liabilities to banks and customers	1,748	2,018[1]
• For securitised liabilities	424	473
• For subordinated capital	196	194
• For hedge accounting derivatives	1,017	1,200[1]
• For derivatives in economic hedges	1,293	835[1]
• Other interest expenses	135	113[1]
• From negative interest	206	43[1]
Total	**1,475**	**1,612**

1 Adjusted as per IAS 8.22 (see note 2).

Interest income from financial assets and financial liabilities not carried at fair value in the income statement totalled EUR 4,144 million (FY 2015: EUR 4,542 million)[1]. Interest expenses totalled EUR 2,285 million (FY 2015: EUR 2,546 million)[1].

(28) Risk provisions in the credit business

EUR million	2016	2015
Additions	449	652
Direct writedowns	23	15
Releases	303	271
Recoveries on written down receivables	69	106
Other gains or losses on risk provisions	14	25
Total	**87**	**264**

The amounts include on-balance sheet and off-balance sheet credit transactions.

1 Adjusted as per IAS 8.22 (see note 2).

(29) Net commission income

EUR million	2016	2015
Securities business	26	26[1]
Broker fees	–11	–14
Lending business	152	152
Payments	–46	–46
Foreign commercial operations	1	3
Trust transactions	17	18
Fund business	78	69[1]
Miscellaneous	80	82[1]
Total	**296**	**289**

1 Adjusted as per IAS 8.42 (see note 2).

Net commission income includes EUR 114 million (FY 2015: EUR 109 million) from financial instruments. This commission primarily relates to financial assets and financial liabilities not carried at fair value in the income statement.

(30) Gains or losses on fair value measurement

EUR million	2016	2015
Net trading income	**159**	**–112**
• Interest-related transactions	100	–12[1]
• Equity-related and index-related transactions and transactions with other risks	14	–1
• Currency-related transactions	27	–116[1]
• Credit derivatives	–1	–2
• Other financial transactions	35	39
• Refinancing of trading portfolios	2	–7
• Trading-related commission	–17	–14
Fair value gains or losses from the fair value option	**–17**	**57**
Total	**142**	**–56**

1 Adjusted as per IAS 8.42 (see note 2).

Net trading income includes realised and unrealised gains or losses attributable to these trading activities, the interest and dividend income related to these transactions, and gains or losses on foreign currency translation.

Current income and expenses from financial instruments in the fair value option category and from derivatives in economic hedges are reported under net interest income.

(31) Gains or losses on hedge accounting

EUR million	2016	2015
Gains or losses on micro fair value hedges	**7**	**16**
• Measurement of underlying transactions	258	207
• Measurement of hedging instruments	– 252	– 191
Gains or losses on portfolio fair value hedges	**– 86**	**– 40**
• Measurement of underlying transactions	177	62
• Amortisation of the portfolio hedge adjustment	– 490	– 516
• Measurement of hedging instruments	227	415
Total	**– 80**	**– 24**

(32) Gains or losses on financial investments

EUR million	2016	2015
Gains or losses on financial investments in the loans and receivables category	**5**	**29**
• Gains or losses on sales	5	26
• Income from impairment reversals	–	3
– portfolio provisions	–	3
• Expenses from impairments	–	1
– portfolio provisions	–	1
Gains or losses on financial investments in the available-for-sale category	**269**	**257**
• Gains or losses on sales	270	311
• Expenses from impairments	1	53
Total	**274**	**286**

(33) Administrative expenses

EUR million	2016	2015
Staff costs	**718**	**631**
• Salaries and wages	556	491
• Social security contributions	65	62
of which:		
– employer contributions to statutory pension scheme	32	31
• Expenses for pensions and other employee benefits	97	78
of which:		
– expenses for defined contribution plans	8	9
Other administrative expenses	**508**	**497**
• Owner-occupied property	56	60
• Data processing costs	179	156
• Office costs	3	3
• Advertising	45	39
• Communication and other selling costs	53	50
• Membership, legal and consulting fees	132	155
• Miscellaneous administrative costs	40	33
Amortisation and depreciation of property, plant and equipment and intangible assets (not including goodwill)	**55**	**40**
Total	**1,280**	**1,168**

(34) Expenses for the bank levy and deposit guarantee scheme

EUR million	2016	2015
Expenses for the bank levy	51	39
Expenses for the deposit guarantee scheme	37	50
Total	**88**	**90**

(35) Other income and expenses

EUR million	2016	2015
Other income	**222**	**359**
• Rental income	5	5
of which:		
– rental income from investment property	4	3
• Gains on the sale of investment property, property, plant and equipment, intangible assets, and property held as inventory and other investments	3	6
• Gains on the sale of receivables	6	108
• Gains on the sale of underlying transactions from hedge accounting	10	12
• Gains on repurchases of own issues	5	10
• Income from the release of provisions	61	26
• Interest income from tax refunds due	10	87
• Sundry other income	122	104[1]
Other expenses	**171**	**288**
• Current expenses from investment property	1	2
– leased property	1	2
• Losses on the sale of investment property, property, plant and equipment, intangible assets, and property held as inventory and other investments	1	2
• Depreciation of investment property, property held as inventory and other investments	3	2
• Losses on sales of receivables	4	109
• Losses on the sale of underlying transactions from hedge accounting	1	–
• Losses on repurchases of own issues	9	28
• Expenses from establishing provisions	43	17
• Expenses from loss transfers	3	6
• Expenses from other taxes	12	15
• Interest expenses from tax arrears	13	39
• Sundry other expenses	80	69
Total	**51**	**71**

1 Adjusted as per IAS 8.42 (see note 2).

The remainder of other income and the remainder of other expenses includes principally income and expenses that are not typical for banks.

(36) Gains or losses on restructuring

EUR million	2016	2015
Income from restructuring measures	19	4
Expenses for restructuring measures	15	15
Total	**4**	**–10**

(37) Income taxes

EUR million	2016	2015
Current income taxes	**135**	**191**
• Domestic and foreign corporation tax including solidarity surcharge	71	54
• Municipal trade tax/foreign local taxes	64	137
Deferred income taxes	**23**	**–41**
• Domestic and foreign corporation tax including solidarity surcharge	14	–29
• Municipal trade tax/foreign local taxes	9	–12
Total	**158**	**150**

The tax expense totalled EUR 158 million in the reporting year (FY 2015: EUR 150 million). Deferred tax expenses of EUR 23 million (FY 2015: EUR –41 million tax income) arose from changes in the value of deferred tax assets on loss carryforwards and temporary differences. Current tax expenses of EUR 135 million (FY 2015: EUR 191 million) arose largely from the current income taxes in the reporting year of the consolidated tax group of the Bank's domestic units in the amount of EUR 79 million, the Milan branch in the amount of EUR 5 million and the Paris branch in the amount of EUR 3 million. A current tax expense of EUR 39 million also arose in the consolidated tax group of the Bank's domestic units in the reporting year, which was booked in other comprehensive income under equity.

The effective tax expense recognised in the reporting year was EUR 68 million lower (FY 2015: EUR 55 million) than the estimated tax expense. The factors responsible for this difference are shown in the table below:

EUR million	2016	2015
Profit/loss before taxes	708	640
Group tax rate (in %)	32.0	32.0
Estimated tax expense (+)/ or income (–)	**226**	**205**
Effects from differing local tax rates	–15	–2
Effects from taxes from previous years recognised in the reporting year	–64	–256
Effects from changes in tax rates	2	3
Effects from non-deductible losses on sales or writedowns of interests and shareholder loans and from deconsolidation	–	87
Effects from additions to/deductions of municipal trade tax	–7	20
Effects from other non-deductible operating expenses	10	16
Effects from tax-free income	–68	–59
Effects from permanent accounting differences	11	4
Effects from revaluations and corrections	63	150
Other	–	–18
Effective tax expense (+) or income (–)	**158**	**150**
Effective tax rate (in %)	**22.3**	**23.4**

Estimated income tax expenses/income were calculated using the tax rate for companies liable to taxes in Germany. In the reporting year, based on the applicable tax rates for corporate income tax, the solidarity surcharge and municipal trade tax, the Group tax rate was 32.0 percent as at the reporting date (FY 2015: 32.0 percent).

The main factors affecting the calculation of the effective tax rate in FY 2016 were tax effects from previous years recognised in the financial year, tax-free gains on sales in the consolidated tax group of the Bank's domestic units and the effects of writedowns and corrections.

The change in the income tax rates applicable to individual companies liable to taxes, resulted in a tax expense of EUR 2 million (FY 2015: EUR 3 million). This was primarily due to changes in the tax rate applicable to the Milan branch.

EUR 64 million (FY 2015: EUR 256 million) of tax income from previous years was recognised in financial year 2016. This arose mainly from the recognition of deferred taxes on loss carryforwards in the Bank's domestic units of EUR 86 million and a tax expense on income taxes for previous years of EUR 19 million.

The tax effects from writedowns/corrections of EUR 63 million (FY 2015: EUR 150 million) arose from deferred taxes not yet recognised on temporary differences and loss carryforwards, and the offsetting effect of losses retrospectively claimed against taxes. In the reporting year these arose mainly on the Bank's domestic units in the amount of EUR 57 million, on the New York branch in the amount of EUR –14 million (tax income) and the London branch in the amount of EUR 10 million.

Notes to the balance sheet

(38) Cash reserves

EUR million	2016	2015
Cash	177	51
Deposits with central banks	1,919	2,195
Total	**2,096**	**2,246**

(39) Loans and advances to banks

EUR million	2016	2015
Loans and advances to domestic banks	21,465	20,876
Loans and advances to foreign banks	7,329	8,547
Total	**28,794**	**29,423**

Loans and advances to banks by maturity

EUR million	2016	2015
Payable on demand	**6,387**	**1,265**
With residual maturity of	**22,407**	**28,158**
• up to 3 months	4,798	9,971
• between 3 months and 1 year	4,156	4,059
• between 1 year and 5 years	6,079	7,011
• more than 5 years	7,374	7,117
Total	**28,794**	**29,423**

(40) Loans and advances to customers

EUR million	2016	2015
Loans and advances to domestic customers	**110,593**	**111,351**
• Government entities/companies under public law	24,700	25,931
• Private companies/private individuals	85,893	85,419
Loans and advances to foreign customers	**24,167**	**24,462**
• Government entities/companies under public law	1,935	2,072
• Private companies/private individuals	22,232	22,390
Total	**134,760**	**135,812**

Loans and advances to customers by maturity

EUR million	2016	2015
With residual maturity of	**132,939**	**134,076**
• up to 3 months	11,871	15,850
• between 3 months and 1 year	11,884	10,535
• between 1 year and 5 years	41,787	41,696
• more than 5 years	67,397	65,996
Perpetual maturities	**1,821**	**1,736**
Total	**134,760**	**135,812**

(41) Risk provisions

EUR million	2016	2015
Specific loan loss provisions	1,146	2,518
Portfolio provisions	160	228
Total	**1,305**	**2,746**

Changes in specific loan loss provisions

EUR million	Loans and advances to banks 2016	Loans and advances to banks 2015	Loans and advances to customers 2016	Loans and advances to customers 2015	Total 2016	Total 2015
As at 1 Jan	**113**	**520**	**2,405**	**2,344**	**2,518**	**2,864**
Changes recognised in income statement	**–15**	**–49**	**205**	**313**	**190**	**263**
• Additions	–	1	422	520	422	521
• Releases	15	50	180	161	195	211
• Unwinding	–	–	37	47	37	47
Changes not recognised in income statement	**–98**	**–357**	**–1,465**	**–252**	**–1,563**	**–609**
• Currency-related changes	–	1	–15	64	–15	66
• Utilisation	–	359	1,535	315	1,535	674
• Transfers/other changes	–98	–	85	–1	–12	–1
As at 31 Dec	**1**	**113**	**1,145**	**2,405**	**1,146**	**2,518**

Specific loan loss provisions by sector

EUR million	2016	2015
Real estate	380	258
Retail customers	173	188
Logistics	143	204
Renewable energy	140	149
Construction	71	72
Non-ferrous metals/iron and coal mining	44	40
Utilities	40	14
Food & beverages	23	13
Healthcare	20	8
Gas	17	2
Automotive	12	13
Aviation	8	19
Technology	8	9
Telecommunications	7	13
Steel	5	35
Media	3	14
Pulp & paper	3	–
Banks/financial services providers	2	1,358
Wholesale & retail	2	2
Defence	1	1
Countries/public sector	1	1
Hotels	–	66
Other sectors	42	42
Total	**1,146**	**2,518**

Changes in portfolio provisions

EUR million	Loans and advances to banks		Loans and advances to customers		Total	
	2016	2015	2016	2015	2016	2015
As at 1 Jan	**94**	**9**	**134**	**166**	**228**	**175**
Changes recognised in income statement	**–35**	**85**	**–23**	**–17**	**–58**	**68**
• Additions	1	86	28	16	29	102
• Releases	36	1	51	33	87	34
Changes not recognised in income statement	**–49**	**–**	**39**	**–15**	**–11**	**–15**
• Utilisation	–	–	3	15	3	15
• Transfers/other changes	–49	–	41	–	–8	–
As at 31 Dec	**10**	**94**	**150**	**134**	**160**	**228**

Risk provisions for contingent liabilities and other commitments are shown as provisions for risks in the credit business (see note 56).

(42) Assets held for trading

EUR million	2016	2015
Bonds, notes and other fixed-income securities	**2,573**	**2,313**
• Money market instruments	351	333
• Bonds and notes	2,222	1,980
Equities and other non-fixed income securities	**265**	**277**
• Equities	265	277
Receivables held for trading	**1,511**	**1,029**
• Schuldschein note loans	1,511	1,029
Positive fair values from derivative financial instruments (not hedge accounting)	**12,587**	**13,724**[1]
Total	**16,936**	**17,343**

1 Adjusted as per IAS 8.42 (see note 2).

Assets held for trading by maturity

EUR million	2016	2015
With residual maturity of	**16,671**	**17,066**
• up to 3 months	1,573	1,317
• between 3 months and 1 year	1,728	1,751[1]
• between 1 year and 5 years	5,141	5,358[1]
• more than 5 years	8,229	8,640
Perpetual maturities	**265**	**277**
Total	**16,936**	**17,343**

1 Adjusted as per IAS 8.42 (see note 2).

(43) Positive fair values from derivative financial instruments (hedge accounting)

EUR million	2016	2015
Positive fair values from micro fair value hedges	1,073	1,527
Total	**1,073**	**1,527**

Positive fair values from derivative financial instruments (hedge accounting) by maturity

EUR million	2016	2015
With residual maturity of		
• between 3 months and 1 year	16	18
• between 1 year and 5 years	182	388
• more than 5 years	874	1,122
Total	**1,073**	**1,527**

(44) Financial investments

EUR million	2016	2015
Financial investments in the fair value option category	**134**	**218**
• Bonds, notes and other fixed-income securities	–	11
• Equities and other non-fixed income securities	–	73
• Interests in non-consolidated subsidiaries, joint ventures, associates and other interests	134	134
Financial investments in the loans and receivables category	**171**	**343**
• Bonds, notes and other fixed-income securities	171	343
Financial investments in the available-for-sale category	**26,403**	**28,291**
• Bonds, notes and other fixed-income securities	25,750	27,610
• Equities and other non-fixed income securities	210	218
• Interests in non-consolidated subsidiaries, joint ventures, associates and other interests	293	311
• Other financial investments	151	151
Total	**26,708**	**28,852**

Financial investments in the loans and receivables category resulted from the reclassification of securities from the available-for-sale category (see note 63).

The sub-items “bonds, notes and other fixed-income securities” and “equities and other non-fixed income securities” comprise:

EUR million	2016	2015
Bonds, notes and other fixed-income securities	**25,921**	**27,964**
• Money market instruments	217	158
• Bonds and notes	25,704	27,806
Equities and other non-fixed income securities	**210**	**291**
• Equities	–	10
• Investment units	210	281

Financial investments by maturity

EUR million	2016	2015
With residual maturity of	**26,206**	**28,250**
• up to 3 months	1,462	1,088
• between 3 months and 1 year	2,102	1,904
• between 1 year and 5 years	12,333	14,674
• more than 5 years	10,309	10,584
Perpetual maturities	**502**	**602**
Total	**26,708**	**28,852**

(45) Investment property

EUR million	2016	2015
Land and buildings for rental	32	35
Total	**32**	**35**

Changes in investment property

EUR million	2016	2015
Cost		
• As at 1 Jan	58	58
• As at 31 Dec	59	58
Depreciation and impairment reversals		
• As at 1 Jan	23	21
• Depreciation	1	2
• Transfers	2	–
• As at 31 Dec	27	23
Carrying amount		
• As at 1 Jan	35	37
• As at 31 Dec	32	35

On the reporting date, the fair value of investment property was EUR 86 million (FY 2015: EUR 66 million). The fair value was calculated by independent experts and based on the German income method (Ertragswertverfahren) using market and geodata. The main inputs are unobservable (Level 3 in the fair value hierarchy).

(46) Property, plant and equipment

EUR million	2016	2015
Owner-occupied property	317	322
Furniture and office equipment	31	30
Total	**347**	**351**

Changes in property, plant and equipment

	Owner-occupied property		Furniture and office equipment		Total	
EUR million	2016	2015	2016	2015	2016	2015
Cost						
• As at 1 Jan	378	379	131	145	**509**	**523**
• Additions	1	–	12	11	**13**	**11**
• Disposals	–	1	28	27	**28**	**27**
• As at 31 Dec	379	378	116	131	**495**	**509**
Depreciation and impairment reversals						
• As at 1 Jan	56	48	102	115	**158**	**163**
• Depreciation	8	8	9	9	**17**	**17**
• Transfers	–2	–	–	–	**–2**	**–**
• As at 31 Dec	62	56	86	102	**148**	**158**
Carrying amount						
• As at 1 Jan	322	330	30	30	**351**	**360**
• As at 31 Dec	317	322	31	30	**347**	**351**

In the reporting year and in the year before, no reclassifications were made from property, plant and equipment to non-current assets or disposal groups classified as held for sale.

(47) Intangible assets

EUR million	2016	2015
Intangible assets produced in house	56	77
Other intangible assets	31	29
Total	**86**	**106**

Other intangible assets comprise purchased software.

Changes in intangible assets

EUR million	Intangible assets produced in house		Other intangible assets		Total	
	2016	2015	2016	2015	2016	2015
Cost						
• As at 1 Jan	151	142	179	194	**329**	**336**
• Currency-related changes	–	–	–	1	**–**	**1**
• Changes in the scope of consolidation	–	–	–	3	**–**	**3**
• Additions	3	9	15	5	**17**	**14**
• Transfers	–	–	–	2	**–**	**2**
• Disposals	–	–	4	26	**4**	**26**
• As at 31 Dec	153	151	189	179	**343**	**329**
Depreciation and impairment reversals						
• As at 1 Jan	74	64	149	159	**223**	**223**
• Currency-related changes	–	–	–	1	**–**	**1**
• Changes in the scope of consolidation	–	–	–	2	**–**	**2**
• Depreciation	12	10	12	13	**24**	**23**
• Impairments	12	–	–	–	**12**	**–**
• Disposals	–	–	3	26	**3**	**26**
• As at 31 Dec	98	74	159	149	**256**	**223**
Carrying amount						
• As at 1 Jan	77	78	29	36	**106**	**114**
• As at 31 Dec	56	77	31	29	**86**	**106**

In the reporting year and in the year before, no reclassifications were made from other intangible assets to non-current assets or disposal groups classified as held for sale.

(48) Current and deferred tax assets

EUR million	2016	2015
Current tax assets	**44**	**144**
• Germany	40	124
• Abroad	4	20
Deferred tax assets	**358**	**331**
• Germany	338	314
• Abroad	20	17
Total	**402**	**475**

The current tax assets arose principally from the deductible income taxes of the previous years.

The following deferred taxes under assets and liabilities relate to recognition and measurement differences in individual items on the balance sheet and to tax loss carryforwards and tax credits (including non-current assets or disposal groups classified as held for sale):

EUR million	Deferred tax assets 2016	Deferred tax liabilities 2016	Deferred tax assets 2015	Deferred tax liabilities 2015
Loans and advances to banks and customers including risk provisions in Germany	9	551	10	437
Assets held for trading	59	362	93	953
Positive fair values from derivative financial instruments (hedge accounting)	3	597	14	841
Financial investments	21	302	24	271
Property, plant and equipment	2	49	3	49
Non-current assets or disposal groups classified as held for sale	–	–	–	19
Other assets	144	219	97	60
Liabilities to banks and customers	568	66	787	–
Securitised liabilities	188	2	170	2
Liabilities held for trading	548	–	858	–
Negative fair values from derivative financial instruments (hedge accounting)	395	–	435	–
Provisions	252	29	261	9
Other liabilities	224	224	98	244
Subordinated capital	–	8	26	–
Loss carryforwards and other	354	–	336	–
Sub-total	**2,767**	**2,409**	**3,212**	**2,885**
Less netting	2,409	2,409	2,881	2,881
Total deferred taxes less provisions and netting	**358**	**–**	**331**	**4**

The deferred tax assets and liabilities of each reporting unit subject to taxation and of the consolidated tax group of the Bank's domestic units were fully netted, as the applicable tax laws permit actual tax liabilities to be offset against actual tax assets.

The EUR 31 million change (FY 2015: EUR 41 million) in the net of deferred tax assets and liabilities does not correspond to the deferred tax expense of EUR 23 million (FY 2015: EUR 41 million tax income). This was primarily due to the changes in deferred taxes not recognised in the income statement; these offsetting effects were the result of:

- the decrease in the surplus of deferred tax liabilities recognised in the revaluation surplus in the amount of EUR 26 million (FY 2015: EUR –10 million)
- the correction of the loss carryforwards not carried through profit and loss in the previous years in the amount of EUR 27 million (FY 2015: EUR 11 million).

Tax loss carryforwards, tax credits and instalments for which a deferred tax asset has been recognised, not recognised or for which a writedown has been made, are listed separately in the table below for all types of loss and tax credits relevant to the BayernLB Group. The tax loss carryforwards for the consolidated tax group of the Bank's domestic units were calculated based on the audit of the units. The period of time in which unrecognised loss carryforwards may still be used according to the tax law applicable in each case is also shown. Tax loss carryforwards of companies liable to taxes in Germany may be used indefinitely.

EUR million	2016	2015
Corporation tax		
• Loss carryforwards	4,374	4,411
– loss carryforwards for which a deferred tax asset has been recognised	894	798
– loss carryforwards for which a provision has been established	103	179
– loss carryforwards for which no deferred tax asset has been recognised	3,377	3,434
expire after 10 years	–	2,113
may be used indefinitely	3,377	1,321
Municipal trade tax		
• Loss carryforwards	3,006	2,968
– loss carryforwards for which a deferred tax asset has been recognised	988	931
– loss carryforwards for which a provision has been established	31	2
– loss carryforwards for which no deferred tax asset has been recognised	1,987	2,035
expire after 10 years	–	591
may be used indefinitely	1,987	1,444
Tax credits		
• Tax credits	13	11
– tax credits for which a deferred tax asset has been recognised	13	11

No deferred tax assets were recognised for deductible temporary differences of EUR 1,704 million (FY 2015: EUR 1,441 million).

The deferred tax assets recognised on loss carryforwards relate to the tax planning for the relevant company/consolidated tax group of the Bank's domestic units.

(49) Non-current assets or disposal groups classified as held for sale

EUR million	2016	2015
Loans and advances to customers	27	51
Risk provisions	27	–
Assets held for trading	–	3
Financial investments	24	151
Total	**25**	**205**

LB-RE S.A., Luxembourg, which is the subsidiary of Banque LBLux S.A. in Liquidation, Luxembourg (LBLux i.L.), was classified as held for sale on 30 June 2014, as a sale within the next year was expected. The sales process could not be completed in reporting year 2016 due to events outside the BayernLB Group's control. A sale is expected in 2017. The criteria for classification under IFRS 5 were met as at 31 December 2016. Classification as held for sale did not result in an impairment. Cumulative income of EUR 8 million is recognised in the revaluation surplus.

A loan and its swap which were held for sale in the previous year were sold in February 2016.

BayernLB's shares in Visa Europe Limited, London held as a financial investment were classified as held for sale in the previous year. The sale to Visa Inc., San Francisco, closed on 21 June 2016.

A project financing and the related risk provisions was classified as held for sale in July 2016. Classification as held for sale did not result in an impairment. BayernLB expects to complete the sales process in the first half of 2017.

Classification of two loan exposures as held for sale was approved in November 2016 in connection with the winding down of a portfolio. Classification as held for sale did not result in an impairment. The sale took place in January 2017.

(50) Other assets

EUR million	2016	2015
Emissions certificates	697	440
Claims from reinsurance	219	218
Precious metals	175	96
Pre-paid expenses	20	13
Property as inventory	2	–
Other assets	251	170
Total	**1,365**	**938**

EUR 198 million (FY 2015: EUR 158 million) of other assets are due after more than 12 months.

(51) Liabilities to banks

EUR million	2016	2015
Liabilities to domestic banks	48,620	50,792
Liabilities to foreign banks	5,591	9,568
Total	**54,211**	**60,360**

Liabilities to banks by maturity

EUR million	2016	2015
Payable on demand	**6,395**	**6,273**
With residual maturity of	**47,816**	**54,088**
• up to 3 months	4,569	9,334
• between 3 months and 1 year	5,291	5,398
• between 1 year and 5 years	15,074	16,895
• more than 5 years	22,882	22,460
Total	**54,211**	**60,360**

Liabilities to banks by product

EUR million	2016	2015
Schuldschein note loans/issues	**5,695**	**6,123**
• Schuldschein note loans	2,789	2,961
• Registered public Pfandbriefs issued	1,006	1,362
• Mortgage Pfandbriefs issued	706	544
• Other registered securities	1,193	1,257
Book-entry liabilities	**48,515**	**54,238**
• Pass-through business/subsidised loans	32,138	31,097
• Overnight and time deposits	8,728	12,425
• Current account liabilities	6,683	5,671
• Securities repurchase transactions	556	2,065
• Other liabilities	410	2,979
Total	**54,211**	**60,360**

(52) Liabilities to customers

EUR million	2016	2015
Liabilities to domestic customers	**80,302**	**80,000**
• Government entities/companies under public law	13,631	16,383
• Private companies/private individuals	66,671	63,617
Liabilities to foreign customers	**6,493**	**6,029**
• Government entities/companies under public law	1,899	2,049
• Private companies/private individuals	4,594	3,980
Total	**86,795**	**86,030**

Liabilities to customers by maturity

EUR million	2016	2015
With residual maturity of		
• up to 3 months	59,550	56,682
• between 3 months and 1 year	3,646	6,095
• between 1 year and 5 years	7,820	7,610
• more than 5 years	15,779	15,642
Total	**86,795**	**86,030**

Liabilities to customers by product

EUR million	2016	2015
Schuldschein note loans/issues	**21,348**	**22,157**
• Schuldschein note loans	2,652	3,192
• Registered public Pfandbriefs issued	8,680	8,974
• Mortgage Pfandbriefs issued	3,558	3,809
• Other registered securities	6,458	6,183
Book-entry liabilities	**65,447**	**63,873**
• Overnight and time deposits	36,974	38,903[1]
• Current account liabilities	26,425	24,310
• Securities repurchase transactions	70	–
• Other liabilities	1,978	660[1]
Total	**86,795**	**86,030**

1 Adjusted as per IAS 8.42 (see note 2).

(53) Securitised liabilities

EUR million	2016	2015
Bonds and notes issued	**36,051**	**33,539**
• Mortgage Pfandbriefs	4,718	5,206
• Public Pfandbriefs	11,964	11,268
• Other bonds	19,369	17,066
Other securitised liabilities	**3,568**	**1,301**
• Money market instruments	3,568	1,301
Total	**39,618**	**34,840**

Securitised liabilities by maturity

EUR million	2016	2015
With residual maturity of		
• up to 3 months	4,374	1,508
• between 3 months and 1 year	4,570	3,664
• between 1 year and 5 years	14,831	14,674
• more than 5 years	15,843	14,995
Total	**39,618**	**34,840**

(54) Liabilities held for trading

EUR million	2016	2015
Trading portfolio liabilities	**632**	**643**
• Liabilities from short sales	174	195
• Other liabilities	458	448
Negative fair values from derivative financial instruments (not hedge accounting)	**10,342**	**11,643[1]**
Total	**10,974**	**12,286**

1 Adjusted as per IAS 8.42 (see note 2).

Liabilities held for trading by maturity

EUR million	2016	2015
With residual maturity of		
• up to 3 months	1,655	1,202
• between 3 months and 1 year	1,577	1,880
• between 1 year and 5 years	2,773	3,546[1]
• more than 5 years	4,969	5,658[1]
Total	**10,974**	**12,286**

1 Adjusted as per IAS 8.42 (see note 2).

(55) Negative fair values from derivative financial instruments (hedge accounting)

EUR million	2016	2015
Negative fair values from micro fair value hedges	930	878[1]
Negative fair values from portfolio fair value hedges	194	476
Total	**1,124**	**1,354**

1 Adjusted as per IAS 8.42 (see note 2).

Negative fair values from derivative financial instruments (hedge accounting) by maturity

EUR million	2016	2015
With residual maturity of		
• up to 3 months	23	–
• between 3 months and 1 year	124	89
• between 1 year and 5 years	186	550
• more than 5 years	791	716
Total	**1,124**	**1,354**

(56) Provisions

EUR million	2016	2015
Provisions for pensions and similar obligations	**3,753**	**3,602**
Other provisions	**668**	**699**
• Provisions in the credit business	87	92
• Restructuring provisions	241	292
• Miscellaneous provisions	340	314
Total	**4,421**	**4,300**

EUR 407 million (FY 2015: EUR 477 million) of other provisions are due after more than 12 months.

Provisions for pensions and similar obligations

The provisions for pensions recognised in the balance sheet are broken down as follows:

EUR million	2016	2015
Present value of defined benefit obligations	3,914	3,741
Fair value of plan assets	–161	–149
Effects of the asset ceiling	–	10
Recognised pension provisions	**3,753**	**3,602**

Reimbursement rights of EUR 219 million (FY 2015: EUR 215 million) are recognised as assets in the BayernLB Group and reported under other assets. These are rights from insurance contracts (reinsurance) which correspond in terms of their size and maturity to the benefits from the related pension obligations to be paid.

Changes in provisions for pensions

EUR million	2016	2015
As at 1 Jan	**3,602**	**3,649**
Current service cost	52	57
Past service cost	26	–
Net interest expenses	80	74
Changes arising from remeasurement	101	–81
Employer contributions	–15	–10
Benefits paid	–90	–88
Transfers/other changes	–3	–
As at 31 Dec	**3,753**	**3,602**

The changes arising from remeasurement comprise actuarial gains and losses from the change in the present value of the defined benefit obligations of EUR 119 million (FY 2015: –101 million), expenses from plan assets of EUR 9 million (FY 2015: EUR: –10 million) and changes arising from the asset ceiling of EUR –9 million (FY 2015: EUR 10 million). These are shown in retained earnings within equity (see note 60).

Change in the present value of defined benefit obligations

EUR million	2016	2015
As at 1 Jan	**3,741**	**3,792**
Currency-related changes	–12	5
Current service cost	52	57
Past service cost	26	–
Net interest expenses	85	78
Changes arising from remeasurement	119	–101
Benefits paid	–94	–91
Transfers/other changes	–3	–
As at 31 Dec	**3,914**	**3,741**

The changes arising from the remeasurement of the present value of defined benefit obligations are due to changes in actuarial assumptions. Of this, EUR 112 million (FY 2015: EUR –180 million) relates to changes in financial assumptions and EUR 7 million (FY 2015: EUR 79 million) to experience-based changes. The change in financial assumptions takes account of losses arising from lower market interest rates.

On the reporting date, the present value of the BayernLB Group's defined benefit obligations was EUR 3,914 million (FY 2015: EUR 3,741 million). Of this, EUR 2,633 million (FY 2015: EUR 2,616 million) relates to salary-related entitlements, EUR 655 million (FY 2015: EUR 514 million) to allowances in the event of illness, and EUR 626 million (FY 2015: EUR 611 million) to other defined benefit plans, which are determined largely on the basis of contributions to legally independent benefits providers.

The assumptions concerning the measurement parameters have an impact on the size of the present value of the defined benefit obligations and therefore the pension expense. To calculate the impact of changes in assumptions on the present value of the defined benefit obligations, a sensitivity analysis is conducted for each major measurement parameter in the same way as for the original measurement of the present value of the defined benefit obligations using the projected unit credit method.

A change in the assumptions used to calculate the present value of pension obligations in reporting year 2017 (see note 21) of 0.5 percentage points in each case would, as at 31 December 2016, impact the present value of the pension obligations as follows:

	0.5 percentage point increase		0.5 percentage point decrease	
EUR million	2016	2015	2016	2015
Discount rate	–321	–303	368	347
Salaries and benefits[1]	264	292	–234	–257
Changes in medical costs	85	63	–75	–57

1 In the sensitivity calculations, changes in estimated future salaries and benefits are observed together. These incorporate the offsetting impact from a change in the social insurance pension trend by +/–0.25 percentage points.

An increase in life expectancy (biometrics) by one year has an impact of EUR 128 million (FY 2015: EUR 119 million).

Change in the fair value of plan assets

EUR million	2016	2015
As at 1 Jan	**149**	**144**
Currency-related changes	–13	5
Interest income	5	4
Changes arising from remeasurement	9	–10
Employer contributions	15	10
Benefits paid	–3	–4
As at 31 Dec	**161**	**149**

The BayernLB Group's plan assets comprise:

	Prices not quoted on active markets	
EUR million	**2016**	**2015**
Cash and cash equivalents	**57**	**44**
Equity Instruments	**42**	**59**
• Fund units	42	59
Debt instruments	**61**	**46**
• Corporate bonds	24	11
• Government bonds	14	15
• Fund units	15	9
• Reinsurance	6	5
• Other debt instruments	3	5
Total	**161**	**149**

Change in the fair value of the reimbursement rights reported as an asset

EUR million	2016	2015
As at 1 Jan	**215**	**210**
Interest income	6	6
Benefits paid	–2	–2
As at 31 Dec	**219**	**215**

In the BayernLB Group, rights from insurance contracts were capitalised as reimbursement claims. These were acquired by BayernLB in Germany in its role as employer to provide funding that matches employee's entitlements in Germany in Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung, Munich.

Changes in the impact of asset ceiling

EUR million	2016	2015
As at 1 Jan	**10**	**–**
Currency-related changes	–1	–
Changes arising from remeasurement	–9	10
As at 31 Dec	**–**	**10**

As at 31 December 2016, the pension plan of a foreign branch reported pension obligations in excess of pension assets.

The pension expenses recognised in the income statement comprise:

EUR million	2016	2015
Current service cost	–52	–57
Past service cost	–26	–
Interest income/expenses	–74	–68
Total	**–151**	**–125**

The total pension expenses in the reporting year of EUR –151 million (FY 2015: EUR –125 million) were recognised under the net interest income item in the amount of EUR –74 million (FY 2015: EUR –68 million) and under administrative expenses in the amount of EUR –77 million (FY 2015: EUR –57 million).

The current pension obligations have an average term (capital tie-up period) of 19 years. The expected contributions to the BayernLB Group's pension plans in financial year 2017 are estimated to be EUR 102 million.

Other provisions

	Provisions in the credit business							
	Individual transaction level		Portfolio level		Restructuring provisions		Miscellaneous provisions	
EUR million	2016	2015	2016	2015	2016	2015	2016	2015
As at 1 Jan	**73**	**52**	**20**	**24**	**292**	**342**	**314**	**292**
Currency-related changes	1	–	–	–	–	2	–	–
Changes in the scope of consolidation	–	–	–	–	–	–	–	10
Utilisation	–	3	–	–	44	57	115	260
Releases	17	19	4	8	17	2	55	21
Additions	19	41	1	3	–1	6	184	292
Interest	–	1	–	–	3	3	2	3
Changes in discount rate	–	–	–	–	9	–1	4	–
Transfers/other changes	–6	1	–	–	–	–	6	–2
As at 31 Dec	**70**	**73**	**17**	**20**	**241**	**292**	**340**	**314**

The restructuring provision was created mainly due to BayernLB's cost-cutting programme and includes, in particular, future expenses from planned reductions in headcount.

The other provisions item includes personnel-related provisions which are mainly short-term in nature. This line item also includes provisions in connection with equity interests, litigation costs and for loss events.

The size of each provision corresponds to the best, i.e. uncertain, estimate of the amount of the liability which is likely to be utilised. In the case of litigation, neither the length of the proceedings nor the amount can be reliably predicted when the provision is created.

(57) Current and deferred tax liabilities

EUR million	2016	2015
Current tax liabilities	**198**	**217**
• Germany	194	214
• Abroad	4	4
Deferred tax liabilities	**–**	**4**
• Abroad	–	4
Total	**198**	**221**

Current income tax liabilities arose largely in the consolidated tax group of the Bank's domestic units (EUR 193 million) and in the New York branch (EUR 3 million).

Deferred tax liabilities and assets are listed in note 48, alongside the breakdown for deferred tax assets.

(58) Other liabilities

EUR million	2016	2015
Accruals	350	291
Deferred income	28	28
Other liabilities	294	213
Total	**671**	**532**

EUR 11 million (FY 2015: EUR 13 million) of other liabilities are due after more than 12 months.

(59) Subordinated capital

EUR million	2016	2015
Subordinated liabilities	2,600	2,950
Profit participation certificates (debt component)	398	372
Dated silent partner contributions (debt component)	40	1,322
Hybrid capital	44	76
Total	**3,081**	**4,719**

Subordinated capital by maturity

EUR million	2016	2015
With residual maturity of	**3,054**	**4,698**
• up to 3 months	83	56
• between 3 months and 1 year	1,203	1,678
• between 1 year and 5 years	674	2,341
• more than 5 years	1,094	623
Perpetual maturities	**27**	**22**
Total	**3,081**	**4,719**

The fall in dated silent partner contributions was due to the EUR 1,300 million partial repayment of the contribution from the Free State of Bavaria.

(60) Equity

EUR million	2016	2015
Equity excluding non-controlling interests	**11,041**	**11,055**
• Subscribed capital	4,412	4,714
– statutory nominal capital	2,800	2,800
– capital contribution	612	612
– perpetual silent partner contributions	1,000	1,302
• Compound instruments	69	92
– profit participation certificates (equity component)	61	80
– dated silent partner contributions (equity component)	8	11
• Capital surplus	2,182	2,182
• Retained earnings	4,064	3,660
– statutory reserve	1,268	1,268
– other retained earnings	2,797	2,392[1]
• Revaluation surplus	315	409
• Foreign currency translation reserve	– 1	–
• Net retained profits/net accumulated losses	–	–
Non-controlling interests	**15**	**14**
Total	**11,056**	**11,070**

1 Adjusted as per IAS 8.42 (see note 2).

Subscribed capital

BayernLB Holding AG, Munich holds 100 percent of BayernLB's nominal capital. As at 31 December 2015, the Free State of Bavaria's equity interest in BayernLB Holding AG was 75 percent and the equity interest of the Association of Bavarian Savings Banks, Munich was 25 percent.

The capital contribution, reported as specific-purpose capital up to 31 December 2012, was created by a contribution in kind by the Free State of Bavaria in the form of subsidised loans in 1994/1995. Its basis was the law on the formation of special-purpose assets through the transfer of receivables held in trust belonging to the Free State of Bavaria to the liable equity capital of Bayerische Landesbank Girozentrale of 23 July 1994, as most recently amended by the law of 9 May 2006, and the contribution agreements of 15 December 1994 and of 28 December 1995, each as most recently amended by agreement on 23 December 2005. The specific-purpose capital transferred is used to construct social housing. To ensure various equity components are recognised as Common Equity Tier 1 capital under the CRR/CRD IV requirements applicable from 1 January 2014, specific-purpose capital was modified and transferred to the capital contribution reported in subscribed capital with effect from 1 January 2013.

The EUR 281 million decrease in perpetual silent partner contributions resulted from termination contracts.

Compound instruments

As a residual interest as defined in IAS 32.11, the equity components of profit participation certificates and dated silent partner contributions reported in this sub-item correspond to the present value of expected future distributions. All current and in arrears distributions due on profit participation certificates and silent partner contributions were paid from the earnings in financial year 2016 in accordance with the terms of the contract.

Capital surplus

The capital surplus is derived mainly from additional contributions to the parent company's equity.

Retained earnings

Undistributed earnings from previous years and the reporting year are reported in the retained earnings item.

In addition, the retained earnings item includes the impact from the remeasurement of defined benefit pension plans.

Revaluation surplus

Gains or losses on the measurement of available-for-sale financial instruments are reported in this sub-item in equity.

EUR million	2016	2015
As at 1 Jan	**409**	**452**
Currency-related changes	1	5
Changes in value not recognised in the income statement	231	39
Changes in deferred taxes not recognised in the income statement	–7	96
Changes in value/realisations recognised in the income statement	–320	–184
Non-controlling interests/other changes	1	–
As at 31 Dec	**315**	**409**

Foreign currency translation reserve

The foreign currency translation reserve includes principally the exchange rate differences arising from the translation of the separate financial statements of the subsidiaries and foreign branches incorporated in the consolidated financial statements whose functional currency is not the euro.

Net retained profits/net accumulated losses

The net retained profits/net accumulated losses of the BayernLB Group correspond to the consolidated profit after changes in reserves.

(61) Fair value of financial instruments

EUR million	Fair value 2016	Carrying amount 2016	Fair value 2015	Carrying amount 2015
Assets				
• Cash reserves	2,096	2,096	2,246	2,246
• Loans and advances to banks[1]	28,815	28,794	29,814	29,423
• Loans and advances to customers[1]	140,484	134,760	140,245	135,812
• Assets held for trading	16,936	16,936	17,343[2]	17,343[2]
• Positive fair values from derivative financial instruments (hedge accounting)	1,073	1,073	1,527	1,527
• Financial investments	26,717	26,708	28,863	28,852
• Non-current assets or disposal groups classified as held for sale	33	25	205	205
Liabilities				
• Liabilities to banks	55,795	54,211	61,707	60,360
• Liabilities to customers	89,178	86,795	88,332	86,030
• Securitised liabilities	40,215	39,618	35,344	34,840
• Liabilities held for trading	10,974	10,974	12,286[2]	12,286[2]
• Negative fair values from derivative financial instruments (hedge accounting)	1,124	1,124	1,354	1,354
• Subordinated capital	3,167	3,081	4,816	4,719

1 Carrying amounts not including deductions of risk provisions for loans and advances to banks in the amount of EUR 10 million (FY 2015: EUR 207 million) and loans and advances to customers in the amount of EUR 1,295 million (FY 2015: EUR 2,539 million).
2 Adjusted as per IAS 8.42 (see note 2).

Information on the fair value measurement of financial instruments recognised at amortised cost is given in note 6.

(62) Financial instrument measurement categories

EUR million	2016	2015
Assets		
• Financial assets at fair value through profit or loss	17,352	18,271
– held-for-trading financial assets	16,936	17,347
assets held for trading	16,936	17,343[2]
non-current assets or disposal groups classified as held for sale	–	3
– fair value option	416	924
loans and advances to banks	–	3
loans and advances to customers	281	703
financial investments	134	218
• Loans and receivables	165,532	167,157
– cash reserves	2,096	2,246
– loans and advances to banks[1]	28,794	29,420
– loans and advances to customers[1]	134,472	135,097
– financial investments	171	343
– non-current assets or disposal groups classified as held for sale	–	51
• Available-for-sale financial assets	26,435	28,455
– loans and advances to customers	7	12
– financial investments	26,403	28,291
– non-current assets or disposal groups classified as held for sale	24	151
• Positive fair values from derivative financial instruments (hedge accounting)	1,073	1,527
Liabilities		
• Financial liabilities at fair value through profit or loss	18,726	20,194
– held-for-trading financial liabilities	10,974	12,286
liabilities held for trading	10,974	12,286[2]
– fair value option	7,752	7,908
liabilities to banks	217	236
liabilities to customers	3,444	3,773
securitised liabilities	4,043	3,852
subordinated capital	48	46
• Financial liabilities measured at amortised cost	175,953	178,042
– liabilities to banks	53,994	60,124
– liabilities to customers	83,351	82,257
– securitised liabilities	35,576	30,988
– subordinated capital	3,032	4,673
• negative fair values from derivative financial instruments (hedge accounting)	1,124	1,354

1 Not including deduction of risk provisions.

2 Adjusted as per IAS 8.42 (see note 2).

(63) Reclassification of financial assets

Pursuant to the amendments by the International Accounting Standards Board to IAS 39 and IFRS 7 “Reclassification of Financial Assets” and to Commission Regulation (EC) No 1004/2008, BayernLB reclassified certain available-for-sale securities as loans and receivables as at 1 July 2008.

No active market exists for the securities reclassified from the available-for-sale category to the loans and receivables category. There is also no short-term intention to sell or trade them. BayernLB has the intention and the ability to hold them for the foreseeable future.

No other reclassifications were made during the reporting year.

The fair values and the carrying amounts of the reclassified securities at the end of the reporting period in accordance with IAS 39 in conjunction with IFRS 7.12A (b) were:

EUR million	Fair value 2016	Carrying amount 2016	Fair value 2015	Carrying amount 2015
Available-for-sale securities reclassified as loans and receivables	179	171	354	343
Total	**179**	**171**	**354**	**343**

As at the reporting date the nominal volume of the reclassified securities was EUR 151 million (FY 2015: EUR 318 million).

In the following table, in accordance with IAS 39 in conjunction with IFRS 7.12A, the changes in value, whether recognised or not in profit or loss, as well as current income, are shown “without reclassification” as compared with the corresponding “with reclassification” values. All earnings effects including current earnings components have been recognised.

EUR million	Without reclassification[1] 2016	With reclassification[2] 2016	Without reclassification[1] 2015	With reclassification[2] 2015
Reclassification from the available-for-sale category				
• Net interest income	13	13	49	49
– interest income from bonds, notes and other fixed-income securities	13	13	49	49
• Gains or losses on hedge accounting	–2	–2	–20	–20
– measurement of underlying transactions	–2	–2	–20	–20
• Gains or losses on financial investments	5	5	26	29
– gains or losses on sales	5	5	26	26
– income from impairment reversals	–	–	–	3
– expenses from impairments	–	–	–	1
• Change in the revaluation surplus	–1	1	–13	3
Total	**15**	**18**	**41**	**61**

1 Taking account of the category before reclassification.
2 Taking account of the category after reclassification.

(64) Fair value hierarchy of financial instruments

The fair value hierarchy divides the inputs used to measure the fair value of financial instruments into three levels:

- Unadjusted quoted prices for identical financial instruments in active markets that the BayernLB Group can access at the measurement date (Level 1),
- Inputs other than quoted prices included within Level 1 that are observable either directly or indirectly, i.e. quoted prices for similar financial instruments in active markets, quoted prices in markets that are not active, other observable inputs that are not quoted prices, and market-corroborated inputs (Level 2) and
- Unobservable inputs (Level 3).

Financial instruments measured at fair value

In the overviews below, financial instruments recognised at fair value in the balance sheet are classified according to whether they are measured with prices quoted on active markets (Level 1), their fair value is calculated using measurement methods whose key inputs can be directly or indirectly observed (Level 2) or are not based on observable market data (Level 3).

	Level 1		Level 2		Level 3		Total	
EUR million	2016	2015	2016	2015	2016	2015	2016	2015
Assets								
• Loans and advances to banks	–	–	–	3	–	–	**–**	**3**
• Loans and advances to customers	–	–	281	703	7	12	**288**	**715**
• Assets held for trading	666	587	15,713	16,173[1]	557	584[1]	**16,936**	**17,343**
• Positive fair values from derivative financial instruments (hedge accounting)	–	–	1,073	1,527	–	–	**1,073**	**1,527**
• Financial investments	9,645	10,740	16,436	17,292	456	477	**26,537**	**28,509**
• Non-current assets or disposal groups classified as held for sale	–	–	–	3	24	151	**24**	**155**
Total	**10,311**	**11,326**	**33,504**	**35,701**	**1,045**	**1,225**	**44,859**	**48,252**
Liabilities								
• Liabilities to banks	–	–	217	236	–	–	**217**	**236**
• Liabilities to customers	–	–	3,444	3,773	–	–	**3,444**	**3,773**
• Securitised liabilities	213	228	3,830	3,625	–	–	**4,043**	**3,852**
• Liabilities held for trading	210	220	10,745	12,046[1]	19	20[1]	**10,974**	**12,286**
• Negative fair values from derivative financial instruments (hedge accounting)	–	–	1,124	1,354	–	–	**1,124**	**1,354**
• Subordinated capital	–	–	48	46	–	–	**48**	**46**
Total	**423**	**448**	**19,407**	**21,081**	**19**	**20**	**19,849**	**21,548**

1 Adjusted as per IAS 8.42 (see note 2).

Fair values calculated on the basis of unobservable market data (Level 3) by risk type

	Interest rate risks		Currency risks		Equity and other price risks		Total	
EUR million	2016	2015	2016	2015	2016	2015	2016	2015
Assets								
• Loans and advances to customers	7	12	–	–	–	–	**7**	**12**
• Assets held for trading	532	565	25	17[1]	–	1	**557**	**584**
• Financial investments	–	–	–	–	456	477	**456**	**477**
• Non-current assets or disposal groups classified as held for sale	–	–	–	–	24	151	**24**	**151**
Total	**539**	**577**	**25**	**17**	**481**	**630**	**1,045**	**1,225**
Liabilities								
• Liabilities held for trading	2	–	17	19[1]	–	–	**19**	**20**
Total	**2**	**–**	**17**	**19**	**–**	**–**	**19**	**20**

1 Adjusted as per IAS 8.42 (see note 2).

Reclassifications between Levels 1 and 2

	Reclassifications			
	to Level 1 from Level 2		to Level 2 from Level 1	
EUR million	2016	2015	2016	2015
Assets				
• Assets held for trading	26	37	18	28
• Financial investments	1,612	2,326	1,925	733
Total	**1,639**	**2,362**	**1,943**	**761**
Liabilities				
• Securitised liabilities	168	190	186	17
• Liabilities held for trading	7	26	5	4
Total	**175**	**216**	**190**	**21**

In the reporting year, financial instruments were reclassified between Level 1 and Level 2, as they will be measured again/will no longer be measured using prices quoted on active markets. The amounts reclassified were calculated on the basis of the fair value at the end of the reporting year.

Changes in fair values calculated on the basis of unobservable market data (Level 3) – assets

EUR million	Loans and advances to customers		Assets held for trading		Positive fair values from derivative financial instruments (hedge accounting)		Financial investments		Non-current assets or disposal groups classified as held for sale		Total	
	2016	**2015**	**2016**	**2015**	**2016**	**2015**	**2016**	**2015**	**2016**	**2015**	**2016**	**2015**
As at 1 Jan	**12**	**18**	**584**	**766**	**–**	**1**	**477**	**514**	**151**	**40**	**1,225**	**1,339**
Currency-related changes	–	–	31	27	–	–	–	3	–	–	**31**	**30**
Changes in the scope of consolidation	–	–	–	–	–	–	−3	−2	–	–	**−3**	**−2**
Income and expenses recognised in the income statement	−2	–	20	−29[1]	–	−1	2	−9	–	–	**21**	**−38**
Changes in the revaluation surplus	−1	−2	–	–	–	–	35	−1	11	117	**45**	**114**
Purchases	–	–	6	–	–	–	23	5	–	–	**29**	**6**
Sales	2	4	11	43	–	–	41	29	169	16	**222**	**92**
Settlements	1	1	–	–	–	–	–	–	–	–	**1**	**1**
Reclassifications to Level 3 from Levels 1 and 2	–	–	9	23	–	–	–	–	–	–	**9**	**23**
Reclassifications from Level 3 to Levels 1 and 2	–	–	127	180	–	–	–	–	–	–	**127**	**180**
Transfers/other changes	–	–	44	19	–	–	−36	−4	30	10	**38**	**26**
As at 31 Dec	**7**	**12**	**557**	**584**	**–**	**–**	**456**	**477**	**24**	**151**	**1,045**	**1,225**
Income and expenses recognised in the income statement during the financial year for financial instruments held at 31 Dec	−2	−1	56	22	–	–	−1	−9	–	–	**54**	**12**

1 Adjusted as per IAS 8.42 (see note 2).

Changes in fair values calculated on the basis of unobservable market data (Level 3) – liabilities

EUR million	Liabilities held for trading 2016	Liabilities held for trading 2015	Total 2016	Total 2015
As at 1 Jan	**20**	**34**	**20**	**34**
Currency-related changes	20	44[1]	**20**	**44**
Income and expenses recognised in the income statement	– 16	36[1]	**– 16**	**36**
Reclassifications to Level 3 from Levels 1 and 2	3	1	**3**	**1**
Reclassifications from Level 3 to Levels 1 and 2	50	112	**50**	**112**
Transfers/other changes	43	16[1]	**43**	**16**
As at 31 Dec	**19**	**20**	**19**	**20**
Income and expenses recognised in the income statement during the financial year for financial instruments held at 31 Dec	– 13	42[1]	**– 13**	**42**

1 Adjusted as per IAS 8.42 (see note 2).

The income and expenses recognised in the income statement are shown under the gains or losses on fair value measurement item if they are not measurement gains or losses from hedge accounting (recognised in gains or losses on hedge accounting), impairments of financial investments in the available-for-sale category (recognised in gains or losses on financial investments) or writedowns of receivables in the available-for-sale category (recognised in other income and expenses). Changes in the revaluation surplus are a component of other comprehensive income.

In the reporting period, the materiality of the unobservable inputs was assessed based on fair value. As a result financial instruments were reclassified to Level 3 from Level 1 and Level 2 and from Level 3 to Level 1 and Level 2.

The models used to calculate fair value must conform with financial valuation methods and take account of all factors market participants would consider reasonable when setting a price. Within the BayernLB Group, the models used, including any major changes, are reported to the Board of Management for approval mainly by Group Risk Control and Group Strategy in the form of a separate resolution or as part of their regular reporting. All calculated fair values are subject to internal controls and are independently checked or validated by risk-control units and the units with responsibility for equity interests in accordance with the dual control principle. The procedures used for this are contained in the guidelines approved by the Board of Management for the BayernLB Group. Fair values are reported on a regular basis to the management of the divisions concerned and to the Board of Management.

Financial instruments with embedded derivative structures are allocated to Level 3 of the fair value hierarchy. These financial instruments are in economic hedges with the associated hedging derivatives. As at 31 December 2016, the sensitivity of these hedge packages to changes in key factors was:

- for a ten-basis point upward (downward) shift in the euro yield curve:
  EUR –0.1 million (EUR +0.1 million) (31 December 2015: EUR –0.1 million (EUR +0.1 million))
- for a ten-basis point increase (decrease) in the measurement spread:
  EUR –1.3 million (EUR +1.3 million) (31 December 2015: EUR –1.7 million (EUR +1.7 million)).

Other derivative financial instruments whose significant inputs for measuring fair value are not observable on the market are also allocated to Level 3 of the fair value hierarchy. As at 31 December 2016, the sensitivity of these financial instruments to changes in key factors was:

- for a 10-percentage point increase (decrease) in expected loss given default:
  EUR –0.8 million (EUR +0.9 million) (31 December 2015: EUR –1.1 million (EUR +2.0 million))[1],
- for a one notch improvement (deterioration) in the ratings:
  EUR +0.3 million (EUR –0.6 million) (31 December 2015: EUR +1.6 million (EUR –0.9 million))[1]

Also receivables secured by real estate that were purchased on the non-performing loan market were allocated to Level 3 of the fair value hierarchy as there was no current market activity in these or similar loans and advances. As at 31 December 2016, the sensitivity of these real estate secured receivables to changes in key factors was:

- for a 5-percentage point increase (decrease) in the realisable value:
  EUR +0.3 million (EUR –0.3 million) (31 December 2014: EUR +0.9 million (EUR –0.8 million))
- for a 6-month extension (reduction) in the realisation period:
  EUR 0 million (EUR 0 million) (31 December 2014: EUR 0 million (EUR 0 million)).

For the acquisition of its shares in Visa Europe Limited, London by Visa Inc., San Francisco on 21 June 2016, the BayernLB Group received a payment in cash, the right to further payments in future, and preference shares in Visa Inc., San Francisco. The fair value of the preference shares is determined by the market price of Visa Inc. common stock and potential risks from litigation. A conversion ratio of 50 percent was therefore used to calculate the fair value. As at 31 December 2016, the sensitivity of this financial instrument to changes in key factors was

- for a 10-percentage point upward (downward) movement in the conversion ratio:
  EUR +2.2 million (EUR –2.2 million) (31 December 2015: EUR +2.1 million (EUR –2.1 million)).

As at 31 December 2016, the sensitivity of equity interests whose fair value is calculated using the German income method (Ertragswertverfahren) to changes in key factors was

- for a 25-basis point upward (downward) movement in the base interest rate:
  EUR –5.0 million (EUR +5.3 million) (31 December 2015: EUR –4.7 million (EUR +5.0 million))
- for a 25-basis point upward (downward) movement in the market risk premium:
  EUR –4.4 million (EUR +4.7 million) (31 December 2015: EUR –4.5 million (EUR +4.7 million)).

1 Adjusted as per IAS 8.42 (see note 2).

The underlying base interest rate moved within a range of 0.65–1.15 percent (average: 0.9 percent), while the underlying market risk premium moved within a range of 6.25–6.75 percent (average: 6.5 percent).

Financial instruments measured at amortised cost

In the overview below, the fair values of the financial instruments recognised at amortised cost in the balance sheet are classified according to whether they are measured with prices quoted on active markets (Level 1), their fair value is calculated using measurement methods whose key inputs can be directly or indirectly observed (Level 2) or are not based on observable market data (Level 3).

	Level 1		Level 2		Level 3		Total	
EUR million	2016	2015	2016	2015	2016	2015	2016	2015
Assets								
• Cash reserves	–	–	–	–	2,096	2,246	**2,096**	**2,246**
• Loans and advances to banks	–	–	10,844	8,744[1]	17,971	21,068[1]	**28,815**	**29,811**
• Loans and advances to customers	–	–	2,266	3,922[1]	137,930	135,608[1]	**140,196**	**139,530**
• Financial investments	34	69	146	285	–	–	**179**	**354**
• Non-current assets or disposal groups classified as held for sale	–	–	–	–	8	51	**8**	**51**
Total	**34**	**69**	**13,255**	**12,951**	**158,006**	**158,973**	**171,294**	**171,992**
Liabilities								
• Liabilities to banks	–	–	20,065	20,098[1]	35,513	41,373[1]	**55,578**	**61,470**
• Liabilities to customers	–	–	25,128	26,794[1]	60,607	57,765[1]	**85,735**	**84,559**
• Securitised liabilities	3,451	5,671	32,422	25,495	300	326	**36,172**	**31,492**
• Subordinated capital	223	468	2,686	2,796	210	1,506	**3,118**	**4,770**
Total	**3,674**	**6,139**	**80,301**	**75,182**	**96,629**	**100,970**	**180,604**	**182,291**

1 Adjusted as per IAS 8.42 (see note 2).

(65) Financial instruments designated at fair value through profit or loss

The maximum default risk for loans and receivables in the “fair value option” category was EUR 281 million as at the reporting date (FY 2015: EUR 706 million). The rating-related change in the fair value of these financial assets since designation was EUR 4 million in the reporting year (FY 2015: EUR 9 million). There were only minor changes in fair value in the reporting year or in the year before.

The rating-related change in the fair value of financial liabilities in the fair value option category was EUR –20 million in the reporting year (FY 2015: EUR 62 million) and, since designation, EUR –61 million (FY 2015: EUR –45 million). The difference between the carrying amount of the financial liabilities and the redemption amount at maturity was EUR 703 million on the reporting date (FY 2015: EUR 695 million).

The change in fair value caused by changes in ratings was calculated by taking the difference between the fair value based on the credit spreads at the end of the reporting year and the fair value based on the credit spreads at the beginning of the reporting year.

(66) Net profit or loss from financial instruments

The net profit or loss from financial instruments in each category incorporates the gains or losses from measurement and realisation.

EUR million	2016	2015
Financial assets and financial liabilities at fair value through profit or loss	**142**	**–55**
• Held-for-trading financial instruments[1]	159	–112
– gains or losses on fair value measurement	159	–112[2]
• Financial instruments at fair value through profit or loss (fair value option)	–17	57
– gains or losses on fair value measurement	–17	57
Loans and receivables	**–94**	**–243**
• Risk provisions in the credit business	–101	–272
• Gains or losses on financial investments	5	29
• Other income and expenses	2	–
Available-for-sale financial assets	**269**	**257**
• Gains or losses on financial investments	269	257
Financial liabilities measured at amortised cost	**–3**	**–18**
• Other income and expenses	–3	–18

1 Includes current income (except for derivatives in economic hedges) and gains or losses from currency translation.
2 Adjusted as per IAS 8.42 (see note 2).

Gains or losses on the fair value measurement of available-for-sale financial assets in the amount of EUR 231 million (FY 2015: EUR 39 million) were reported in the revaluation surplus in equity (see note 60).

(67) Offsetting of financial instruments

When conducting derivatives transactions and securities repurchase transactions, the BayernLB Group regularly concludes bilateral netting agreements in the form of master agreements with business partners. Among the standard master agreements used are the ISDA Master Agreement for Financial Derivatives, the German Master Agreement for Financial Derivatives Transactions and the Global Master Repurchase Agreement for securities repurchase transactions. Agreements granting rights of set-off include the clearing conditions of Eurex Clearing AG, LCH.Clearnet Limited, European Commodity Clearing AG, and the client clearing agreements for indirect clearing. The netting agreements provide for conditional rights of set-off in the form of close-out netting for receivables and liabilities covered by these agreements, i.e. only if previously defined conditions, e.g. cancellation of the master agreement, default or insolvency, occur can the legal right of set-off be enforced.

Besides the master agreements for financial derivatives, collateral agreements are concluded with business partners to safeguard the net claim or liability left after offsetting. The main ones used are the Credit Support Annex to the ISDA Master Agreement and the collateral addendum to the German Master Agreement for Financial Derivatives Transactions. The master agreements for securities repurchase transactions and the derivatives clearing agreements contain similar collateral rules. Collateral agreements usually grant the protection buyer an unrestricted right of disposal over the collateral, which is normally cash or securities collateral. Collateral agreements with no or a limited right of disposal are rare. Bilateral master agreements mainly provide for the realisation of collateral through offsetting.

The tables below give information on recognised financial instruments offset in accordance with IAS 32.42 and recognised financial instruments with a legally enforceable right of set-off or which are subject to a similar agreement. The “Set-off amount” column shows the amounts offset in accordance with IAS 32.42. These relate to transactions with central counterparties. The “Effect of netting arrangements” column shows the amounts relating to financial instruments subject to a netting agreement, but not offset on the balance sheet as the criteria under IAS 32.42 were not met. The “Collateral” column shows the fair value of received or pledged financial collateral.

Offsetting of financial assets and financial liabilities as at 31 December 2016 – assets

EUR million	Gross carrying amount	Set-off amount	On-balance net carrying amount	Effect of netting agreements	Collateral	Net amount
Derivatives transactions	**29,960**	**−16,300**	**13,660**	**−7,206**	**−1,646**	**4,808**
• Assets held for trading/ Positive fair values from derivative financial instruments (hedge accounting)	29,960	−16,300	13,660	−7,206	−1,646	4,808
Securities repurchase transactions	**4,229**	**–**	**4,229**	**−510**	**−3,472**	**247**
• Loans and advances to banks	4,229	–	4,229	−510	−3,472	247
Total	**34,189**	**−16,300**	**17,889**	**−7,715**	**−5,118**	**5,056**

Offsetting of financial assets and financial liabilities as at 31 December 2016 – liabilities

EUR million	Gross carrying amount	Set-off amount	On-balance net carrying amount	Effect of netting agreements	Collateral	Net amount
Derivatives transactions	**29,260**	**−17,796**	**11,465**	**−7,206**	**−1,653**	**2,606**
• Liabilities held for trading/ Negative fair values from derivative financial instruments (hedge accounting)	29,260	−17,796	11,465	−7,206	−1,653	2,606
Securities repurchase transactions	**608**	**–**	**608**	**−510**	**−97**	**1**
• Liabilities to banks	538	–	538	−510	−28	–
• Liabilities to customers	70	–	70	–	−69	1
Total	**29,868**	**−17,796**	**12,073**	**−7,715**	**−1,750**	**2,607**

Offsetting of financial assets and financial liabilities as at 31 December 2015 – assets

EUR million	Gross carrying amount	Set-off amount	On-balance net carrying amount	Effect of netting agreements	Collateral	Net amount
Derivatives transactions	**26,650**	**–11,405**	**15,245**	**–7,806**	**–1,628**	**5,811**
• Assets held for trading/ Positive fair values from derivative financial instruments (hedge accounting)	26,647	–11,405	15,242	–7,806	–1,628	5,808
• Non-current assets or disposal groups classified as held for sale	3	–	3	–	–	3
Securities repurchase transactions	**5,068**	**–**	**5,068**	**–553**	**–4,388**	**126**
• Loans and advances to banks	4,197	–	4,197	–553	–3,521	122
• Loans and advances to customers	870	–	870	–	–867	3
Total	**31,718**	**–11,405**	**20,313**	**–8,359**	**–6,016**	**5,937**

Offsetting of financial assets and financial liabilities as at 31 December 2015 – liabilities

EUR million	Gross carrying amount	Set-off amount	On-balance net carrying amount	Effect of netting agreements	Collateral	Net amount
Derivatives transactions	**27,293**	**–14,292**	**13,002**	**–7,806**	**–2,266**	**2,929**
• Liabilities held for trading/ Negative fair values from derivative financial instruments (hedge accounting)	27,293	–14,292	13,002	–7,806	–2,266	2,929
Securities repurchase transactions	**2,040**	**–**	**2,040**	**–553**	**–1,442**	**44**
• Liabilities to banks	2,040	–	2,040	–553	–1,442	44
Total	**29,333**	**–14,292**	**15,041**	**–8,359**	**–3,709**	**2,973**

(68) Derivative transactions

The tables below show interest rate and foreign currency-related derivatives still open at the end of the reporting period and other forward transactions and credit derivatives. Most were concluded to hedge fluctuations in interest rates, exchange rates or market prices or were trades for the account of customers.

	Nominal value		Positive fair value		Negative fair value	
EUR million	2016	2015	2016	2015	2016	2015
Interest rate risks	**883,478**	**904,342**	**26,072**	**23,226**[1]	**25,287**	**23,090**
• Interest rate swaps	617,153	551,886	25,065	22,064	23,894	21,664
• FRAs	223,702	277,192	17	49	16	49
• Interest rate options	19,682	18,226	821	907	1,251	1,272
– call options	6,379	6,977	763	866	34	33
– put options	13,303	11,250	58	41	1,217	1,238[1]
• Caps, floors	10,335	12,463	166	200	69	75
• Exchange-traded contracts	11,285	43,658	–	1	–	1
• Other interest-based forward transactions	1,321	917	3	5	56	30
Currency risks						
• Forward exchange deals	**117,585**	**120,021**	**3,561**	**2,871**	**3,467**	**3,586**
• Currency swaps/cross-currency swaps	87,679	83,274	2,104	1,823[1]	1,903	1,629[1]
• Foreign exchange options	26,712	31,044	1,400	992[1]	1,526	1,910[1]
– call options	2,858	5,560	42	51	37	46
– put options	1,533	3,169	40	43	1	19
• Other currency-based forward	1,325	2,392	2	7	36	27
transactions	336	142	15	6	1	1
Equity and other price risks	**4,893**	**4,871**	**296**	**555**	**423**	**545**
• Equity forward transactions	221	235	–	–	26	24
• Equity/index options	425	407	5	10	1	2
– call options	387	366	5	10	–	–
– put options	38	40	–	–	1	2
• Exchange-traded contracts	634	641	–	–	15	21
• Other forward transactions	3,612	3,589	291	545	382	498
Credit derivative risks	**964**	**920**	**–**	**1**	**2**	**2**
• Protection buyer	804	228	–	1	2	1
• Protection seller	160	692	–	–	–	1
Total	**1,006,920**	**1,030,154**	**29,930**	**26,653**	**29,179**	**27,223**

1 Adjusted as per IAS 8.42 (see note 2).

Derivative transactions by maturity

	Nominal value							
	Interest rate risks		Currency risks		Equity and other price risks		Credit derivative risks	
EUR million	2016	2015	2016	2015	2016	2015	2016	2015
Residual maturities								
• up to 3 months	34,898	47,155	52,027	45,930	1,468	1,004	50	–
• between 3 months and 1 year	253,377	322,104	31,126	36,508	1,041	1,384	221	35
• between 1 year and 5 years	322,873	308,175	24,519	27,558	2,066	2,124	650	840
• more than 5 years	272,330	226,908	9,913	10,024	318	358	43	45
Total	**883,478**	**904,342**	**117,585**	**120,021**	**4,893**	**4,871**	**964**	**920**

Derivative transactions by counterparty

	Nominal value		Positive fair value		Negative fair value	
EUR million	2016	2015	2016	2015	2016	2015
OECD banks	269,012	273,369	11,764	10,245[2]	11,340	11,117[2]
Non-OECD banks	661	758	10	10	15	14
Public-sector entities within the OECD	13,313	17,057	845	951	513	548
Other counterparties[1]	723,934	738,969	17,311	15,448	17,312	15,543[2]
Total	**1,006,920**	**1,030,154**	**29,930**	**26,653**	**29,179**	**27,223**

1 Including exchange-traded contracts.

2 Adjusted as per IAS 8.42 (see note 2).

Derivatives for trading purposes

	Nominal value		Positive fair value		Negative fair value	
EUR million	2016	2015	2016	2015	2016	2015
Interest rate derivatives	701,198	771,398	19,833	19,215	19,238	18,872[1]
Currency derivatives	106,165	108,508	2,761	2,505[1]	3,176	3,062[1]
Equity derivatives	3,433	3,988	225	537	306	515
Credit derivatives	872	792	–	1	2	2
Total	**811,667**	**884,686**	**22,819**	**22,258**	**22,723**	**22,451**

1 Adjusted as per IAS 8.42 (see note 2).

(69) Transfer of financial assets

The following transactions were executed at standard market terms and conditions.

Transferred financial assets that are not derecognised in their entirety

On the reporting date the volume of financial assets transferred as collateral that are not derecognised was EUR 50,371 million (2015: EUR 53,208 million).

These include genuine securities repurchase agreements, where the BayernLB Group sold securities with a repurchase obligation. As the risks (interest rate, currency, equity and other price risks and credit risks) and rewards (particularly capital gains and current income) are largely retained by the BayernLB Group, the financial assets are not derecognised. The obligation of the lender to return the payment received as collateral for the transferred security is recognised as a financial liability. The lender has an unrestricted right of disposal over the securities once they are delivered.

The BayernLB Group also passes on funds received from development institutions for specific purposes on their own terms through savings banks or directly to end-borrowers. The loans and advances to savings banks and end-borrowers are recognised as assets and the liabilities to development institutions as liabilities. The loans and advances to savings banks and to end-borrowers and any pledged collateral are assigned as collateral to the development institutions and may be realised by them in the event of loss. The BayernLB Group retains default risk in respect of the loans and advances to the savings banks and end-borrowers.

The BayernLB Group has also pledged collateral for funding, largely for tender operations with the European Central Bank. Collateral has also been pledged to the European Investment Bank and for transactions on other exchanges and clearing systems. The financial assets transferred as collateral for the corresponding (contingent) liabilities are not derecognised as the risks and rewards are largely retained by the BayernLB Group.

The carrying amount of transferred financial collateral relates to the following items:

EUR million	2016	2015
Loans and advances to banks	15,718	15,624
of which:		
• collateral received which may be sold or pledged on	–	3
Loans and advances to customers	20,811	24,428
Assets held for trading	328	169
of which:		
• collateral received which may be sold or pledged on	17	–
Financial investments	13,515	12,987
of which:		
• collateral received which may be sold or pledged on	255	1,485
Total	**50,371**	**53,208**

The transferred financial assets are matched against liabilities of EUR 18,374 million (FY 2015: EUR 20,495 million) and contingent liabilities of EUR 0 million (FY 2015: EUR 3 million).

The assets in the cover pool are managed in accordance with the German Pfandbrief Act (Pfandbriefgesetz). On the reporting date the volume of the cover funds was EUR 47,880 million (FY 2015: EUR 46,897 million) for an outstanding volume of mortgage-backed Pfandbriefs and public Pfandbriefs of EUR 29,357 million (FY 2015: EUR 31,903 million).

The BayernLB Group also pledged collateral of EUR 41 million (FY 2015: EUR 17 million) for the utilisation of irrevocable payment obligations in connection with the bank levy and deposit guarantee scheme. Of this amount, cash collateral of EUR 26 million (FY 2015: EUR 17 million) was deposited for the bank levy and EUR 4 million deposited for the statutory compensation scheme which Deutsche Kreditbank Aktiengesellschaft, Berlin belongs to. Securities of EUR 12 million were transferred for the bank-specific guarantee scheme BayernLB belongs to (see note 77).

Transferred financial assets that are derecognised in their entirety

On the reporting date there was no material continuing involvement in transferred financial assets that are derecognised in their entirety.

Notes to the cash flow statement

(70) Notes on items in the cash flow statement

The cash flow statement shows the cash flows of the financial year classified into operating activities, investing activities and financing activities.

The cash and cash equivalents line corresponds to the cash reserves item in the balance sheet and comprises cash on hand and deposits with central banks. Cash and cash equivalents are not subject to any drawing restrictions.

Cash flows from operating activities comprise payments from loans and advances to banks and to customers, from securities (not including financial investments), derivatives, and other assets. Payments from liabilities to banks/customers, securitised liabilities, and from other liabilities also fall under this category. Likewise included are interest and dividend payments from operating activities.

Cash flows from investment activities include payments for financial investments, investment property and property, plant and equipment (including intangible assets). The impact from changes to the scope of consolidation is also reported under this item.

Distributions to company owners and minority shareholders, and changes in subordinated capital and non-controlling interests are likewise part of cash flow from financing activities.

Supplementary information

(71) Subordinated assets

Subordinated assets are recognised in the following items on the balance sheet:

EUR million	2016	2015
Loans and advances to banks	30	67
Loans and advances to customers	370	608
Financial investments	128	159
Total	**528**	**834**

(72) Assets and liabilities in foreign currency

EUR million	2016	2015
Foreign currency assets	**22,762**	**25,492**
• CAD	497	509
• CHF	2,293	2,831
• GBP	5,502	6,241
• HKD	2	2
• JPY	131	183
• USD	13,691	15,101[1]
• Other currencies	647	625
Foreign currency liabilities	**16,429**	**17,536**
• CAD	97	196
• CHF	491	803
• GBP	2,436	2,601
• HKD	1	1
• JPY	450	582
• USD	12,696	13,076[1]
• Other currencies	259	277

1 Adjusted as per IAS 8.42 (see note 2).

(73) Collateral received

Certain assets that have been pledged as collateral through securities repurchase transactions may be sold on or repledged even if the collateral provider has not defaulted. As at the reporting date, their fair value was EUR 8,895 million (FY 2015: EUR 8,380 million).

EUR 4,638 million (FY 2015: EUR 4,488 million) of this collateral was either sold on or repledged. An obligation to return this collateral exists.

These transactions were executed at standard market terms and conditions.

(74) Leasing

Finance leases

The BayernLB Group did not have any finance leases on the reporting date.

Operating leases

The BayernLB Group as lessor

The BayernLB Group is a lessor in operating leases. The leases are for real estate. The future minimum lease payments from non-cancellable operating leases are broken down as follows:

EUR million	2016	2015
Residual maturities		
• up to 1 year	4	3
• between 1 year and 5 years	15	4
• more than 5 years	6	3
Total	**25**	**10**

The BayernLB Group as lessee

The BayernLB Group's current commitments from operating leases are primarily for leases for office space with options to extend the lease or clauses to adjust prices. The future minimum lease payments based on non-cancellable operating leases are broken down as follows:

EUR million	2016	2015
Residual maturities		
• up to 1 year	20	20
• between 1 year and 5 years	72	62
• more than 5 years	40	45
Total	**133**	**128**

In the reporting year minimum lease payments of EUR 20 million (FY 2015: EUR 23 million) were recognised as an expense.

(75) Trust transactions

EUR million	2016	2015
Assets held in trust	**4,957**	**5,044**
• Loans and advances to banks	32	43
• Loans and advances to customers	4,925	5,000
• Other assets	–	1
Liabilities held in trust	**4,957**	**5,044**
• Liabilities to banks	12	12
• Liabilities to customers	4,945	5,031
• Other liabilities	–	1

(76) Contingent assets, contingent liabilities and other commitments

EUR million	2016	2015
Contingent liabilities	**10,691**	**10,228**
• Liabilities from guarantees and indemnity agreements	10,671	10,193
• Other contingent liabilities	20	35
Other commitments	**24,099**	**21,484**
• Placement and underwriting commitments	15	26
• Irrevocable credit commitments	24,085	21,458
Total	**34,790**	**31,712**

Contingent liabilities and other commitments are possible liabilities arising from the occurrence of an uncertain future event whose settlement amount and date cannot be reliably estimated. Other contingent liabilities include possible liabilities arising from litigation.

EUR 7,936 million (FY 2015: EUR 7,822 million) of contingent liabilities and EUR 16,588 million (FY 2015: EUR 14,464 million) of other liabilities are due after more than 12 months.

As at the reporting date there were also contingent assets from income taxes in the triple-digit million range and contingent assets from litigation where the Bank considers an inflow of economic benefits that cannot be reliably estimated at present to be probable.

(77) Other financial obligations

Other financial obligations arise principally from agency, rental, usage, service, maintenance, consulting and marketing agreements.

As at the reporting date there were call commitments for capital not fully paid up of EUR 10 million (FY 2015: EUR 25 million) and uncalled liabilities from German limited partnership (Kommanditgesellschaft) interests of EUR 29 million (FY 2015: EUR 29 million). Liabilities to subsidiaries not incorporated in the consolidated financial statements totalled EUR 30 million (FY 2015: EUR 41 million).

As at the reporting date, the BayernLB Group had EUR 41 million (FY 2015: EUR 17 million) of irrevocable payment obligations in connection with the bank levy and deposit guarantee scheme (FY 2015: EUR 17 million). Cash collateral of EUR 30 million (FY 2015: EUR 17 million) and securities collateral of EUR 12 million (FY 2015: EUR 00 million) were provided for these obligations (see note 69).

Following the implementation of the Deposit Guarantee Scheme Act (EinSiG), which became law on 3 July 2015, agreement was reached on a new system for calculating the target volume in the guarantee scheme. Member institutions have until 3 July 2024 to achieve the target volume of funds for the guarantee scheme (the fill-up phase). The amount of the target volume will be calculated each year based on the data as at 31 December of the previous year. By 31 May of any given year, the German Savings Bank Association (DSGV), the body responsible for the guarantee scheme, will calculate the mandatory annual contribution.

Under the terms of the statutes of the deposit insurance fund run by the Association of German Public Banks, VÖB, e. V. (VÖB), BayernLB has undertaken to reimburse the fund for all payments it has made pursuant to the statutes on behalf of Deutsche Kreditbank Aktiengesellschaft, Berlin (DKB) to cover proven defaults if the fund is unable to enforce its rights of recourse against DKB.

Under the terms of the contract to spin off Bayerische Landesbausparkasse (LBS AöR-alt) to LBS Bayerische Landesbausparkasse (LBS AöR-neu) on 10 December 2012, BayernLB and LBS AöR-neu are joint and severally liable for the liabilities that were created up until the date of spin-off and assigned to LBS AöR-neu in the spin-off agreement. BayernLB is liable for the liabilities within the meaning of the preceding sentence only if they mature within five years of the date of spin-off and the resulting claim has been legally enforced against BayernLB. Due to the stable financial position and financial performance of LBS AöR-neu there is currently no risk of a claim being brought.

(78) Letters of comfort

BayernLB provides its subsidiaries with significant benefits in the form of improved business terms and better financing conditions by issuing them and their creditors letters of comfort. BayernLB also benefits as the value of its subsidiaries is enhanced. At the same time, however, it is also potentially liable for losses.

BayernLB is liable for ensuring that Deutsche Kreditbank Aktiengesellschaft, Berlin is able to fulfil its contractual obligations in proportion to the size of its equity interest except in cases of political risk.

Expiry of the letter of comfort for LB(Swiss) Privatbank AG as at 21 December 2009 and for Landesbank Saar as at 21 June 2010

Prior to the reporting year, BayernLB issued letters of comfort for LB(Swiss) Privatbank AG, Zurich (LB(Swiss)) and Landesbank Saar, Saarbrücken (SaarLB). At the end of 21 December 2009 BayernLB transferred its equity interest in LB(Swiss) to Landesbank Hessen-Thüringen, Frankfurt/Main and at the end of 21 June 2010 sold its 25.2 percent interest in the share capital of SaarLB to the Saarland. SaarLB therefore no longer qualifies as an associate of BayernLB under section 271, paragraph 2 HGB (German Commercial Code). As a result the letter of comfort for LB(Swiss) expired at the end of 21 December 2009 and for SaarLB at the end of 21 June 2010. The liabilities of LB(Swiss) created after the end of 21 December 2009 and the liabilities of SaarLB created after the end of 21 June 2010 are not covered by the letters of comfort and therefore any previous declarations have been revoked.

Expiry of the letter of comfort for Banque LBLux S.A. (since renamed Banque LBLux S.A. in Liquidation), Luxembourg as at 1 May 2015

BayernLB previously issued a letter of comfort for Banque LBLux S.A. (since renamed Banque LBLux S.A. in Liquidation), Luxembourg. This letter of comfort was rescinded with effect from the end of 30 April 2015. As a result, the letter of comfort will in particular no longer cover liabilities of Banque LBLux S.A. (since renamed Banque LBLux S.A. in Liquidation) that were created after 30 April 2015, and all previously issued letters were also rescinded.

Expiry of the letter of comfort issued by Deutsche Kreditbank Aktiengesellschaft, Berlin for SKG BANK AG, Saarbrücken as at 13 July 2015

Deutsche Kreditbank Aktiengesellschaft, Berlin previously issued a letter of comfort for SKG BANK AG, Saarbrücken. This letter of comfort became void when the merger between SKG BANK AG, Saarbrücken and Deutsche Kreditbank Aktiengesellschaft, Berlin took effect on 13 July 2015.

(79) Shareholdings

Name and location of the investee	Type of share-holding	Percentage held	Equity/ fund assets in EUR '000	Earnings in EUR '000
Consolidated subsidiaries				
Banque LBLux S.A. i.L., L - Luxembourg	Direct	100.0	60,071	−35,754
Bayern Card-Services GmbH - S-Finanzgruppe, Munich	Direct	50.1	27,972	9,660
BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich[1]	Direct	100.0	18,754	–
BayernLB Capital LLC I, USA - Wilmington[2]	Direct	100.0	109	−2
BayernLB Capital Trust I, USA - Wilmington[2]	Direct	100.0	1	–
Deutsche Kreditbank Aktiengesellschaft, Berlin[1]	Direct	100.0	2,435,913	–
Subsidiaries included in the Deutsche Kreditbank Aktiengesellschaft sub-group:				
DKB Finance GmbH, Berlin	Indirect	100.0	11,645	–
DKB Grund GmbH, Berlin	Indirect	100.0	117	16
DKB Service GmbH, Potsdam	Indirect	100.0	7,100	−83
FMP Forderungsmanagement Potsdam GmbH, Potsdam	Indirect	100.0	4,655	1,225
MVC Unternehmensbeteiligungsgesellschaft mbH, Berlin	Indirect	100.0	2,221	−249
PROGES EINS GmbH, Berlin	Indirect	100.0	480	–
Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich[1]	Direct	100.0	45,455	–
Real I.S. Investment GmbH, Munich[3]	Indirect	100.0	3,000	1,500
Non-consolidated subsidiaries				
Bauland GmbH, Baulandbeschaffungs-, Erschließungs- und Wohnbaugesellschaft, Munich	Indirect	94.5	−10,106	–
Bavaria Immobilien-Beteiligungs-Gesellschaft mbH & Co. Objekt Fürth KG, Munich	Indirect	100.0	–	–
Bavaria Immobilien-Beteiligungs-Gesellschaft mbH, Munich	Indirect	100.0	6	−5
Bayerische Landesbank Europa-Immobilien-Beteiligungs-GmbH, Munich	Indirect	100.0	109	–
Bayerische Landesbank Immobilien-Beteiligungs-Gesellschaft mbH & Co. KG, Munich	Direct	100.0	33,769	2,272
Bayerische Landesbank Immobilien-Beteiligungs-Verwaltungsgesellschaft mbH, Munich	Direct	100.0	48	–
Bayern Bankett Gastronomie GmbH, Munich[1]	Direct	100.0	514	–

Name and location of the investee	Type of share-holding	Percentage held	Equity/ fund assets in EUR ’000	Earnings in EUR ’000
Bayern Corporate Services GmbH, Munich	Indirect	100.0	205	–
Bayern Facility Management GmbH, Munich[1]	Direct	100.0	2,560	–
BayernFinanz Gesellschaft für Finanzmanagement und Beteiligungen mbH, Munich[1]	Direct	100.0	725	–
Bayernfonds Australien 4 GmbH i.L., Munich	Indirect	100.0	25	–
Bayernfonds BestEnergy 1 GmbH & Co. KG, Oberhaching	Indirect	100.0	29,529	−2,036
Bayernfonds Immobilien Concept GmbH, Munich	Indirect	100.0	61	−4
Bayernfonds Immobiliengesellschaft mbH, Munich	Direct and indirect	100.0	5,069	163
Bayernfonds Kambera GmbH, Munich	Indirect	100.0	25	–
Bayernfonds Opalus GmbH, Munich	Indirect	100.0	25	–
BayernImmo 2. Joint Venture Verwaltungs GmbH, Munich[4]	Indirect	100.0		
BayernImmo Zollhafen Mainz GmbH & Co. KG, Munich[4]	Indirect	100.0		
BayernInvest Luxembourg S.A., L - Munsbach	Indirect	100.0	1,335	12
BayernLB Capital Partner GmbH, Munich	Direct	100.0	1,285	21
BayernLB Capital Partner Verwaltungs-GmbH, Munich	Direct	100.0	42	2
BayernLB Mittelstandsfonds GmbH & Co. Unternehmens-beteiligungs KG, Munich	Direct and indirect	100.0	30,507	2,117
BayernLB Private Equity GmbH, Munich	Direct	100.0	31,310	21,537
BayTech Venture Capital II GmbH & Co. KG, Munich	Direct and indirect	47.6	6,029	−114
BayTech Venture Capital Initiatoren GmbH & Co. KG, Munich	Indirect	46.8	47	−8
Berchtesgaden International Resort Betriebs GmbH, Munich[1]	Direct	100.0	9,368	–
Berthier Participations SARL, F - Paris	Direct	100.0	386	−85
BestLife 3 International GmbH & Co. KG, Munich	Indirect	50.4	15,192	−82
BGFM Bayerische Gebäude- und Facilitymanagement AG & Co. KG, Munich	Indirect	100.0	32	−54
BGV IV Verwaltungs GmbH, Munich	Indirect	100.0	38	2
BGV VII Verwaltungs GmbH, Munich[4]	Indirect	100.0		
BGV VI Verwaltungs GmbH, Munich	Indirect	100.0	23	−2
BGV V Verwaltungs GmbH, Munich	Indirect	100.0	32	3
BLB-Beteiligungsgesellschaft Sigma mbH, Munich[1]	Direct	100.0	971	–
BLB-VG22-Beteiligungsgesellschaft mbH, Munich	Direct	100.0	2,472	744
DKB Immobilien Beteiligungs GmbH, Potsdam	Indirect	100.0	2,147	138
DKB Stiftung Liebenberg gGmbH, Löwenberger Land/ OT Liebenberg[5]			562	2
DKB Stiftung Schorssow UG, Schorssow[5]			–	184
DKB Stiftung - Vermögensverwaltungsgesellschaft mbH, Fürth[5]			24	72
DKB Wohnen GmbH, Berlin	Indirect	94.5	25	–
DKB Wohnungsbau- und Stadtentwicklung GmbH, Berlin	Indirect	100.0	2,500	–
GbR Olympisches Dorf, Potsdam	Indirect	100.0	296	296
German Centre for Industry and Trade Shanghai Co. Ltd., PRC - Shanghai	Indirect	100.0	35,412	1,623
German Centre for Industry and Trade Taicang Co. Ltd., PRC - Taicang	Indirect	100.0	2,991	–
German Centre Limited, BVI - Tortola	Direct	100.0	29,142	890
gewerbegrund AIRPORT GmbH Beteiligungsgesellschaft, Munich	Indirect	100.0	62	−1
gewerbegrund Bauträger GmbH & Co. Objekt IGG KG, Munich	Indirect	100.0	57	3
gewerbegrund Projektentwicklungsgesellschaft (gpe) mbH, Munich[1]	Direct	100.0	50	–

Name and location of the investee	Type of share-holding	Percentage held	Equity/ fund assets in EUR ’000	Earnings in EUR ’000
Global Format GmbH & Co. KG, Munich	Direct	52.4	1,821	300
Global Format Verwaltungsgesellschaft mbH, Munich	Indirect	100.0	29	1
LB Immobilienbewertungsgesellschaft mbH, Munich[1]	Direct	100.0	827	–
LB-RE S.A., L - Luxembourg	Indirect	100.0	5,082	–
Melhoria Immobiliengesellschaft mbH, Potsdam	Indirect	100.0	3,102	–
mfi Grundstück GmbH & Co. Harburg Arcaden KG, Düsseldorf	Indirect	67.3	–	–775
Oberhachinger Bauland GmbH, Wohnbau- und Erschließungsgesellschaft, Munich	Indirect	91.0	–2,416	–
Potsdamer Immobiliengesellschaft mbH, Potsdam	Indirect	100.0	36	–9
PROGES DREI GmbH, Berlin	Indirect	100.0	666	198
PROGES ENERGY GmbH, Berlin	Indirect	100.0	455	168
PROGES Sparingberg GmbH, Berlin	Indirect	100.0	584	–33
PROGES VIER GmbH, Berlin	Indirect	100.0	210	51
PROGES ZWEI GmbH, Berlin	Indirect	100.0	1,223	252
Real I.S. Australia Pty. Ltd., AUS - Sydney	Indirect	100.0	184	125
Real I.S. Beteiligungs GmbH, Munich	Indirect	100.0	80	7
Real I.S. BGV VII Europa Verwaltungs GmbH, Munich[4]	Indirect	100.0		
Real I.S. Finanz GmbH, Munich[1]	Direct	100.0	25	–
Real I.S. Fonds Service GmbH, Munich[1]	Direct	100.0	196	–
Real I.S. France SAS, F - Paris	Indirect	100.0	690	78
Real I.S. Fund Management GmbH, Munich	Indirect	100.0	49	6
Real I.S. Gesellschaft für Immobilienentwicklung mbH, Munich	Indirect	100.0	1,144	10
Real I.S. Gesellschaft fur Immobilien Entwicklung und Projektrealisierung mbH & Co. KG, Munich	Indirect	100.0	4,421	–40
Real I.S. GREF Verwaltungs GmbH, Munich[4]	Indirect	100.0		
Real I.S. Management Hamburg GmbH, Munich	Indirect	100.0	26	–1
Real I.S. Management SA, L - Munsbach	Indirect	100.0	267	12
Real I.S. Objekt Bruchsal Verwaltungsgesellschaft mbH i.L., Oberhaching	Indirect	100.0	26	3
Real I.S. SMART Verwaltungs GmbH, Munich[4]	Indirect	100.0		
Schütz Group GmbH & Co. KG, Rosbach	Indirect	54.4	2,783	1
Schütz Group Verwaltungsgesellschaft mbH, Rosbach	Indirect	100.0	49	2
SEPA Objekt Bruchsal GmbH & Co. KG i.L., Oberhaching	Indirect	100.0	101	–10
SEPA/Real I.S. Objekt Bruchsal Rathausgalerie GmbH & Co. KG, Oberhaching	Indirect	100.0	1,392	–125
SEPA/Real I.S. Objekt Bruchsal Rathausgalerie Verwaltungs-GmbH, Oberhaching	Indirect	94.0	30	3
TFD und BGV VI Verwaltungs GmbH, Munich	Indirect	100.0	22	–3
TFD und RFS Verwaltungs GmbH, Munich	Indirect	100.0	24	–1
TFD Verwaltungs GmbH, Munich[4]	Indirect	100.0		
Joint ventures not measured at equity				
ABG Allgemeine Bauträger- und Gewerbeimmobilien-gesellschaft & Co. Holding KG, Munich	Indirect	50.0	158	250
ABG Allgemeine Bauträger- und Gewerbeimmobilien-gesellschaft mbH, Munich	Indirect	50.0	59	1
BayernImmo 1. Joint Venture GmbH & Co. KG, Munich	Indirect	50.0	7,588	–3
BayernImmo 1. Joint Venture Verwaltungs GmbH, Munich	Indirect	50.0	20	–5
CommuniGate Kommunikationsservice GmbH, Passau	Indirect	50.0	3,528	356
Einkaufs-Center Györ Verwaltungs G.m.b.H., Hamburg	Indirect	50.0	27	2

Name and location of the investee	Type of share-holding	Percentage held	Equity/ fund assets in EUR '000	Earnings in EUR '000
Fay & Real I.S. IE Regensburg GmbH & Co. KG i.L., Oberhaching	Indirect	50.0	225	−315
Fay & Real I.S. IE Regensburg Verwaltungs GmbH i.L., Oberhaching	Indirect	50.0	34	2
German Biofuels GmbH, Pritzwalk	Indirect	19.9	−8,881	−4,899
German Centre for Industry and Trade India Holding-GmbH, Munich	Direct	50.0	987	−290
Harburg Arcaden Projektbeteiligung mbH, Düsseldorf	Indirect	50.0	46	−7
MTI Main-Taunus Immobilien GmbH, Bad Homburg v.d.H.	Indirect	50.0	181	−5
S-Karten-Service-Management GmbH - Saarbrücken - München, Munich	Indirect	50.0	101	–
TEGES Grundstücks-Vermietungsgesellschaft mbH, Berlin	Indirect	50.0	18	–
TEGES Grundstücks-Vermietungsgesellschaft mbH & Co. Objekt Berlin KG, Berlin	Indirect	47.0	−6,959	226
Ten Towers GbR i.L., Munich[5]	Indirect	0.0	–	–
Associates not measured at equity				
Bayerngrund Grundstücksbeschaffungs- und -erschließungs-Gesellschaft mit beschränkter Haftung, Munich	Direct	50.0	8,947	–
Bayern Mezzaninekapital GmbH & Co. KG - Unternehmens-beteiligungsgesellschaft, Munich	Direct	25.5	32,866	2,692
Bayern Mezzaninekapital Verwaltungs GmbH, Munich	Direct	49.0	45	1
Erste Tinten Holding GmbH, Hohenbrunn	Indirect	21.0	4,514	1,027
GHM Holding GmbH, Regenstauf	Indirect	40.0	17,236	−25
G.I.E. Max Hymans, F - Paris	Indirect	33.3	−24,848	4,093
Neumarkt-Galerie Immobilienverwaltungsgesellschaft mbH, Cologne	Indirect	49.0	84	−2
RSU Rating Service Unit GmbH & Co. KG, Munich	Direct	20.0	14,280	1,159
Unconsolidated structured entities				
Baserepo No. 1 S.A., L - Luxembourg[7]			31	–
Bayern Invest Renten Europa-Fonds, Munich	Direct	52.3	18,866	−510
DKB Asien Fonds TNL, L - Luxembourg	Indirect	86.1	20,503	49
DKB Europa Fonds TNL, L - Luxembourg	Indirect	85.7	40,501	404
DKB Nordamerika Fonds TNL, L - Luxembourg	Indirect	85.4	22,257	124
DKB Pharma Fonds TNL, L - Luxembourg	Indirect	77.4	35,325	−273
DKB Stiftung für gesellschaftliches Engagement, Löwenberger Land/OT Liebenberg[7]			14,513	152
DKB Tele Tech Fonds AL, L-Luxembourg	Indirect	94.9	9,738	−40
DKB Tele Tech Fonds TNL, L - Luxembourg	Indirect	93.4	20,537	−199
DKB Zukunftfonds TNL, L - Luxembourg	Indirect	87.4	33,606	−233
EK-Fonds der BayernInvest, Munich	Indirect	100.0	20,828	379
Other investees				
Abacus Eight Limited, GBC - George Town/Grand Cayman[8]	Direct	48.5	8,679	5,722
Abacus Nine Limited, GBC - George Town/Grand Cayman[8]	Direct	48.5	8,785	5,829
Abacus Seven Limited, GBC - George Town/Grand Cayman[8]	Direct	48.5	7,102	4,145
Abacus Ten Limited, GBC - George Town/Grand Cayman[8]	Direct	43.9	3,491	508
AKA Ausfuhrkredit GmbH, Frankfurt/Main	Direct	7.2	212,967	16,035
AQUILA Technische Entwicklungen GmbH i.I., Schönhagen[4]	Indirect	16.1		
Bau-Partner GmbH i.I., Halle/Saale	Indirect	49.6	−239	−553
BayBG Bayerische Beteiligungsgesellschaft mbH, Munich	Direct	12.9	214,026	13,695

Name and location of the investee	Type of share-holding	Percentage held	Equity/ fund assets in EUR ’000	Earnings in EUR ’000
Bayerische Garantiegesellschaft mbH für mittelständische Beteiligungen, Munich	Direct	8.2	46,377	2,325
Bayernfonds Asia-Pacific Growth GmbH & Co. KG, Munich	Indirect	0.0	19,188	−3,362
Bayernfonds Immobilien Bürocenter Leipzig Käthe Kollwitz Straße KG, Munich	Indirect	0.2	1,730	98
Bayernfonds Immobilien Bürocenter Magdeburg KG, Munich	Indirect	0.1	7,398	−149
Bayernfonds Immobilien City-Investitionen Objekte Erfurt und Jena KG, Munich	Indirect	5.1	16,877	493
Bayernfonds Immobilien Dresden Bürozentrum Falkenbrunnen KG, Munich	Indirect	0.0	18,718	775
Bayernfonds Immobilien Fachmarktzentrum Erfurt, Leipziger Straße KG, Munich	Indirect	0.2	3,543	763
Bayernfonds Immobiliengesellschaft mbH & Co. Objekt Bad Kissingen Burkardus Wohnpark KG, Munich	Indirect	0.2	5,366	1,064
Bayernfonds Immobiliengesellschaft mbH & Co. Objekt Hannover Forum im Pelikanviertel KG, Munich	Indirect	0.1	2,911	−22
Bayernfonds Immobilien Jena Gewerbepark KG, Munich	Indirect	0.1	9,360	488
Bayernfonds Immobilien Objekt Berlin Hofgarten Friedrichstraße KG, Munich	Indirect	0.0	27,608	866
Bayernfonds Immobilien Objekt Essen Holle-Karree KG, Munich	Indirect	0.1	7,540	728
Bayernfonds Immobilien Objekt Leipzig, Friedrich List Haus KG, Munich	Indirect	0.0	25,327	518
Bayernfonds Immobilienverwaltung Austria Objekt Bischofshofen KG, Munich	Indirect	0.1	5	464
Bayernfonds Immobilienverwaltung Austria Objekte Salzburg und Wien KG, Munich	Indirect	0.1	13	840
Bayernfonds Immobilienverwaltung GmbH & Co. Australien 4 KG, Munich	Indirect	0.0	55,544	4,998
Bayernfonds Immobilienverwaltung GmbH & Co. Australien 7 KG, Munich	Indirect	0.0	73,899	2,672
Bayernfonds Immobilienverwaltung GmbH & Co. Australien 8 KG, Munich	Indirect	0.0	83,232	3,988
Bayernfonds Immobilienverwaltung GmbH & Co. Australien 9 KG, Munich	Indirect	0.0	85,570	3,392
Bayernfonds Immobilienverwaltung GmbH & Co. Australien Opalus KG, Munich	Indirect	0.0	102,077	8,433
Bayernfonds Immobilienverwaltung GmbH & Co. Hamburg Steindamm KG, Munich	Indirect	0.3	17,283	1,024
Bayernfonds Immobilienverwaltung GmbH & Co. Kambera KG, Munich	Indirect	0.0	131,552	9,469
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt England I KG, Munich	Indirect	0.2	20,954	575
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt Hamburg 3 KG, Munich	Indirect	5.3	27,267	134
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt Hamburg I KG, Munich	Indirect	0.3	6,216	265
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt München KG, Munich	Indirect	0.3	11,502	503
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt München Landsberger Straße KG, Munich	Indirect	0.3	24,025	919
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt München Ungerer Straße KG, Munich	Indirect	0.3	13,803	165

Name and location of the investee	Type of share-holding	Percentage held	Equity/ fund assets in EUR ’000	Earnings in EUR ’000
Bayernfonds Immobilienverwaltung GmbH & Co. Regensburg KG, Munich	Indirect	0.3	34,766	1,379
Bayernfonds Immobilienverwaltung Objekt Bad Homburg KG, Munich	Indirect	5.1	3	–580
Bayernfonds Immobilienverwaltung Objekt Berlin Schönhauser Allee Arcaden KG, Munich	Indirect	5.7	7,746	2,486
Bayernfonds Immobilienverwaltung Objekt Berlin Taubenstraße KG, Munich	Indirect	0.4	–10,919	–19,436
Bayernfonds Immobilienverwaltung Objekt Düsseldorf Bonneshof GmbH & Co. KG, Munich	Indirect	0.3	29,067	1,069
Bayernfonds Immobilienverwaltung Objekt Wiesbaden, Hagenauer Straße 42, 44 und 46 KG, Munich	Indirect	5.1	14,604	678
Bayernfonds Pacific Growth GmbH & Co. KG, Munich	Indirect	0.0	19,749	1,156
BF Gewerbepark I GmbH i.L., Oberhaching	Indirect	6.0	22	–
BF Immobilienverwaltung Objekte München, Rüsselsheim, Düsseldorf-Ratingen KG, Munich	Indirect	0.3	–	–11,954
BF REAL I.S. - DB Real Estate Immobilienverwaltung Objekte Berlin, Düsseldorf, Essen KG, Munich	Indirect	5.5	23,819	–12,780
BGV Holding GmbH & Co. KG, Oberhaching	Indirect	0.0	42,862	1,005
BGV III Feeder 1 S.C.S. SICAV-FIS, L - Luxembourg	Indirect	0.1	–	5,842
BioM Aktiengesellschaft Munich Bio Tech Development, Martinsried	Direct	8.5	2,252	–690
Brainloop AG, Munich[9]	Indirect	16.6	3,101	–5,094
Cap Decisif S.A.S., F - Paris	Indirect	6.0	2,279	7,969
CLS Group Holdings AG Zürich, CH - Zurich	Direct	0.7	454,908	40,469
Deutsche Life Science GmbH, Berlin	Indirect	10.2	–15,052	655
Deutsche WertpapierService Bank AG, Frankfurt am Main	Direct	3.7	182,463	11,128
DKB Wohnimmobilien Beteiligungs GmbH & Co. KG, Potsdam	Indirect	5.1	36,746	1,470
FBEM Gesellschaft mit beschränkter Haftung, Bonn	Direct	4.3	7,838	–75
FidesSecur Versicherungs- und Wirtschaftsdienst Versicherungsmakler GmbH, Munich	Indirect	14.0	5,231	871
Film und Video Untertitelung Gerhard Lehmann AG i.L., Potsdam	Indirect	33.3	–1,997	–495
Fondations Capital I S.C.A. i.L., L - Senningerberg	Direct	23.2	255,766	35,049
Fondsbörse Deutschland Beteiligungsmakler AG, Hamburg	Indirect	2.5	3,384	–1,791
Galintis GmbH & Co. KG, Frankfurt am Main	Direct	15.9	532,745	11,752
GbR Datenkonsortium OpRisk, Bonn, GbR[4, 10]	Direct	0.0		
GESO Gesellschaft für Sensorik, Geotechnischen Umweltschutz und mathematische Modellierung mbH i.L., Jena	Indirect	43.1	–353	–
GLB GmbH & Co. OHG, Frankfurt/Main	Direct	6.3	5,424	729
GLB-Verwaltungs-GmbH, Frankfurt/Main	Direct	6.2	50	2
Immo 3 Rue Jean Monnet S.à.r.l., L - Luxembourg	Indirect	10.0	54,256	1,876
JFA Verwaltung GmbH, Leipzig	Indirect	10.7	–13,033	78
KGAL GmbH & Co. KG, Grünwald	Direct	3.4	54,764	15,988
Kreditgarantiegemeinschaft des bayerischen Gartenbaus GmbH, Munich	Direct	7.2	649	–
Kreditgarantiegemeinschaft des bayerischen Handwerks GmbH, Munich	Direct	9.9	4,846	–
Kreditgarantiegemeinschaft des Hotel- und Gaststättengewerbes in Bayern GmbH, Munich	Direct	8.6	4,359	–
Kreditgarantiegemeinschaft für den Handel in Bayern GmbH, Munich	Direct	6.8	6,317	–

Name and location of the investee	Type of share-holding	Percentage held	Equity/ fund assets in EUR ’000	Earnings in EUR ’000
LEG Kiefernsiedlung Grundstücksgesellschaft b.R., Berlin	Indirect	6.4	−3,700	305
LEG Wohnpark am Olympischen Dorf Grundstücks-gesellschaft b.R., Berlin	Indirect	7.5	−6,424	584
LEG Wohnpark Heroldplatz Grundstücksgesellschaft b.R., Berlin	Indirect	7.7	−1,624	27
Mediport Venture Fonds Zwei GmbH i.I., Berlin	Indirect	53.8	267	−1,687
MVP Fund II GmbH & Co. KG, Grünwald	Direct	10.0	48,499	−4,139
Neue Novel Ferm Verwaltungs GmbH, Berlin	Indirect	49.0	24	–
nfon AG, Munich	Indirect	6.4	6,158	−6,127
Novel Ferm Brennerei Dettmannsdorf GmbH & Co. KG, Berlin	Indirect	49.0	3,959	N/A
PARIS EDEN MONCEAU SCI, F - Paris	Indirect	0.0	60,399	−351
Real I.S. Grundvermögen GmbH & Co. geschlossene Investment-KG, Munich	Indirect	5.3	17,601	3,827
Real I.S. Institutional Real Estate 1 GmbH & Co. geschlossene Investment-KG, Munich	Indirect	0.0	59,732	669
RealMatch Ltd., IL - Kfar Sava[11]	Indirect	9.2	13,207	−3,106
Revotar Biopharmaceuticals AG i.I., Henningsdorf	Indirect	10.2	1,726	−2,347
S CountryDesk GmbH, Cologne	Direct	2.5	370	47
SIAG Industrie GmbH, Dresden	Indirect	19.9	−4,622	–
SIGNA 03 Milano S.a.s. di SIGNA Milano S.r.l. & C., I - Bolzano	Indirect	2.0	26,161	−2,366
SIZ GmbH, Bonn	Direct	5.0	4,586	188
Sophia Euro Lab S.A.S. i.L., F - Sophia Antipolis Cedex	Indirect	32.3	1,550	148
TAG Wohnungsgesellschaft Berlin-Brandenburg mbH, Potsdam	Indirect	5.2	8,605	−1,243
True Sale International GmbH, Frankfurt/Main	Direct	7.7	4,763	71
Versorgungskasse I BayernLB Gesellschaft mit beschränkter Haftung, Munich	Direct	100.0	15,247	−3,858
Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung, Munich	Direct	100.0	17,259	2,246
VISA Inc., USA - San Francisco	Direct and indirect	0.0	29,488,397	5,367,799

The information is based on the most recent annual accounts of the investees.
Foreign currency amounts were converted into euros at the respective spot exchange rate at the end of the year.
Unless otherwise stated, the BayernLB Group’s share of the voting rights corresponds to the share of equity.
Unless otherwise stated, third parties hold a share of the voting rights in the amount not held by the BayernLB Group.

1 A profit and loss transfer agreement has been concluded with the company.
2 The company is both a subsidiary and a structured entity consolidated within the Group.
3 Included under Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich sub-group.
4 Approved annual financial statements are not available yet.
5 Control through a structured entity of the BayernLB Group.
6 Share of voting rights: the BayernLB Group 50.0 percent, third party 50.0 percent.
7 Structured entities under IFRS 10 with no equity interests held by the BayernLB Group.
8 Share of voting rights: the BayernLB Group 0.0 percent, third party 100.0 percent.
9 Share of voting rights: the BayernLB Group 16.9 percent, third party 83.1 percent.
10 Share of voting rights: the BayernLB Group 11.1 percent, third party 89.9 percent.
11 Share of voting rights: the BayernLB Group 1.7 percent, third party 98.3 percent.

Investments in large limited companies (including credit institutions and investment companies) exceeding 5 percent of the voting rights

Name and location of the investee
AKA Ausfuhrkredit GmbH, Frankfurt/Main
BayBG Bayerische Beteiligungsgesellschaft mbH, Munich
BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich
BayernInvest Luxembourg S.A., L - Munsbach
Bayerische Garantiegesellschaft mbH für mittelständische Beteiligungen, Munich
Bayern Card-Services GmbH - S-Finanzgruppe, Munich
Deutsche Kreditbank Aktiengesellschaft, Berlin
DKB Service GmbH, Potsdam
Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich
Real I.S. Investment GmbH, Munich

Companies that are a partner of BayernLB with unlimited liability or a consolidated subsidiary

Name and domicile of the companies
ABAKUS GbR, Hanover
BGFM Bayerische Gebäude- und Facilitymanagement AG & Co. KG, Munich
GbR Datenkonsortium OpRisk, Bonn
GLB GmbH & Co. OHG, Frankfurt/Main

(80) Unconsolidated structured entities

The BayernLB Group maintains business relationships with structured entities. These are contractual and non-contractual business relationships with entities which are structured so that they are not controlled by voting or comparable rights and the voting rights relate to administrative tasks only. The structured entity's own relevant activities are directed by means of contractual arrangements.

Some of the main features common to structured entities are:
- restricted activities
- a narrow and precisely defined purpose
- insufficient equity to fund their own activities
- funding in the form of multiple instruments contractually linked to investors that pool together credit or other risks (tranches)

The BayernLB Group's interests in unconsolidated structured entities include debt or equity instruments, liquidity facilities, guarantees and various derivative instruments for absorbing the Group's risks from unconsolidated structured entities.

Securitisation vehicles

The BayernLB Group’s business activities with securitisation vehicles is mainly in the form of securitisations structured for customers (customer transactions) with the ABCP programme Corelux S.A., Luxembourg that was set up exclusively for this purpose. The securitisation vehicle Corelux S.A. purchases trade and leasing receivables from the BayernLB Group’s core customers and funds them by issuing asset-backed securities and through credit facilities from BayernLB. This financing had a weighted average term of 7 years (FY 2015: 4 years). The value of the unconsolidated securitisation vehicles with which the BayernLB Group has business relationships is based on the sum of their assets and was EUR 7,943 million (FY 2015: EUR 8,172 million).

Investment funds

The BayernLB Group invests in funds launched by its investment companies Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich (Real I.S.) and BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich (BayernInvest). As a member of the Savings Banks Finance Group, Real I.S. is the BayernLB Group’s asset manager and fund service provider for real estate. It invests to a limited extent in equity instruments, for example, in its capacity as a managing limited partner. In certain cases it makes loans to the investment company’s special funds. BayernInvest is the centre of expertise for institutional asset management within the BayernLB Group and a master investment company. An immaterial amount is invested in equity instruments of certain special funds. There are also holdings in the debt and equity instruments of investment funds of providers outside the Group. These investments are usually secured by the fund’s underlying pool of assets. Under restructuring programmes, BayernLB waived the sum of EUR 2 million in the previous year. In FY 2016, the BayernLB Group supported investments in which it has no holdings by paying costs and providing collateral in the amount of EUR 3 million (FY 2015: EUR 8 million). These investments generated income of EUR 1 million (FY 2015: EUR 1 million) from investor management. The weighted average term of funding for investment funds was 7 years (FY 2015: 6 years). The value of the investment funds with which the BayernLB Group has business relationships is based on their fund assets and was EUR 219,181 million (FY 2015: EUR 112,015 million).

Other financing

The BayernLB Group loans to structured entities which may hold a wide variety of assets. In all cases these loans are secured by these assets. This includes commercial real estate, property, project and leasing financing, as well as fund-based financing of commercial real estate. This financing had a weighted average term of 12 years (FY 2015: 7 years). The size of the structured entities in the form of other financing is based on the sum of their assets and was EUR 9,081 million (FY 2015: EUR 10,665 million).

Assets and liabilities from interests in unconsolidated structured entities recognised on the balance sheet

	Securitisation vehicles		Investment funds		Other financing		Total	
EUR million	2016	2015	2016	2015	2016	2015	2016	2015
Assets								
• Loans and advances to customers	492	873	1,778	1,860	1,930	2,263	**4,201**	**4,997**
• Risk provisions	1	1	78	90	13	32	**92**	**122**
• Assets held for trading	752	825	193	70	77	87	**1,022**	**982**
• Financial investments	217	122	180	187	924	134	**1,320**	**443**
• Other assets	–	–	4	4	–	–	**4**	**4**
Liabilities								
• Liabilities to customers	5	3	2,671	229	233	346	**2,909**	**578**
• Liabilities held for trading	–	–	111	21	–	–	**111**	**21**
• Provisions	–	–	–	–	3	–	**3**	**–**
• Other liabilities	–	–	–	–	2	–	**2**	**–**
• Equity – revaluation surplus	–	–	2	2	–	–	**2**	**2**

Contingent liabilities from interests in unconsolidated structured entities

	Securitisation vehicles		Investment funds		Other financing		Total	
EUR million	2016	2015	2016	2015	2016	2015	2016	2015
Contingent liabilities	–	–	3	4	58	42	**61**	**47**
Other commitments	1,163	726	57	104	274	162	**1,494**	**992**

The maximum default risk the BayernLB Group is exposed to from its business activities with structured entities depends on the carrying amount of receivables from the credit business, assets held for trading and financial investments on their balance sheets. These carrying amounts do not reflect the BayernLB Group's economic risk as they do not take account of collateral or hedges.

The maximum default risk of off-balance sheet transactions is reflected by their nominal value. The nominal values do not reflect economic risk as they do not take account of the impact of collateralisation or securitisation, or the probability of losses that could arise.

Gains or losses on interests in unconsolidated structured entities

	Securitisation vehicles		Investment funds		Other financing		Total	
EUR million	2016	2015	2016	2015	2016	2015	2016	2015
Net interest income	15	18	4	5[1]	20	43	**39**	**66**
Risk provisions in the credit business	–	–	–13	35	–5	14	**–19**	**49**
Net commission income	2	2	46	38	2	2	**50**	**42**
Gains or losses on fair value measurement	7	–	12	–10	18	50	**36**	**40**
Gains or losses on hedge accounting	–	–1	–	–	–	–	**–**	**–1**
Gains or losses on financial investments	–	–	3	–	–	–	**3**	**–**
Other income and expenses	6	–	–2	7	–1	–	**3**	**7**

1 Adjusted as per IAS 8.22 (see note 2).

(81) Capital management

The aim of capital management is to preserve capital over the long term.

Capital management is based on a Group-wide planning process that incorporates strategic, risk-based and regulatory factors into a long-term operational plan. Regulatory capital is allocated in the Group planning process to the individual planning units. The planning units (Group units) are BayernLB's defined business segments, Bayerische Landesbodenkreditanstalt, Munich and Deutsche Kreditbank, Berlin. Regulatory capital is allocated to the Group units on a top-down basis approved by the Board of Management, through limits on risk-weighted assets (RWA) combined with an internally set Tier 1 capital ratio of 11.5 percent.

Capital management deals with, among other things, changes in target regulatory capital ratios, the type and amount of the capital base and the allocation of RWA and entails ongoing monitoring of changes.

In addition to the Capital Requirements Regulations (CRR), BayernLB is subject to the European Central Bank's supervisory review and evaluation process (SREP). As a result of the outcome of the SREP, BayernLB was assigned a CET1 ratio of 8 percent on a consolidated basis and taking into account the transitional provisions in CRR.

The SREP capital ratio is used in BayernLB's capital management. It is used to determine the internal target capital ratio set in the planning process, monitored on an ongoing basis and regularly reported to the committees and bodies referred to below.

Management structure

BayernLB's Board of Management is assisted in this area by the Performance & Capital Committee. The Performance & Capital Committee's responsibilities include the management and allocation of the key resource of capital. The Performance & Capital Committee is supported by the RWA Board.

The Performance & Capital Committee mainly comprises the Chief Financial Officer and senior management from the risk control, financial controlling, treasury and sales units. Its task is to prepare decisions for the Board of Management on capital management taking account of framework conditions such as rules set by the owners and regulatory or EU requirements. Hence the Performance & Capital Committee is an important source of input for BayernLB's Board of Management and prepares suitable recommendations for action on matters related to capital.

The RWA Board comprises senior management from risk control and financial controlling, the Group strategy and key business areas. It monitors and manages RWA trends across the Group, particularly RWA limit utilisation at business area level, optimisation measures, new concluded business and RWA productivity. It also prepares RWA-related topics for the Performance & Capital Committee.

Banking supervisory capital and ratios

The BayernLB Group's supervisory capital is calculated on the basis of CRR/CRD IV.

Own funds are defined as Common Equity Tier 1 capital (CET1), additional Tier 1 capital and Tier 2 capital. Common Equity Tier 1 capital comprises subscribed capital plus reserves and the state support mechanism of the Free State of Bavaria, less various supervisory deductions. The additional Tier 1 capital comprises primarily silent partner contributions. Tier 2 capital comprises profit participation certificates and long-term subordinated liabilities.

Banking supervisory capital of the BayernLB Group

EUR million	2016	2015
Total RWA	**65,206**	**69,606**
Own funds	**10,149**	**11,194**
of which:		
• Tier 1 capital	8,660	9,859
• Common Equity Tier 1 capital (CET1)	8,660	9,755

Banking supervisory ratios as reported

in %	2016	2015
Total capital ratio	15.6	16.1
Tier 1 capital ratio	13.3	14.2
Common Equity Tier 1 capital (CET1) ratio	13.3	14.0

The BayernLB Group complied at all times with the external capital requirements under Art. 92 para. 1 CRR, sections 10c, d and i KWG and under SREP in financial year 2016.

(82) Administrative bodies of BayernLB

Supervisory Board

Gerd Haeusler
Chairman of the BayernLB Supervisory Board
Munich

Walter Strohmaier
Deputy Chairman of the
BayernLB Supervisory Board
Chairman of the Board of Directors
Sparkasse Niederbayern-Mitte
Straubing

Dr Hubert Faltermeier
until 31 December 2016
Member of the BayernLB Supervisory Board
Chief District Administrator
until 31 October 2016
Kelheim

Dr Roland Fleck
Managing Director
NürnbergMesse GmbH
Nuremberg

Dr Ute Geipel-Faber
Senior Advisor
Invesco Real Estate GmbH
Munich

Dr Kurt Gribl
since 1 January 2017
Member of the BayernLB Supervisory Board
Lord Mayor
Augsburg

Dr Ulrich Klein
Under Secretary
Bavarian State Ministry of Finance,
Regional Development and Regional Identity
Munich

Dr Thomas Langer
Under Secretary
Bavarian State Ministry for Economic Affairs
and the Media, Energy and Technology
Munich

Wolfgang Lazik
Deputy Secretary
Bavarian State Ministry of Finance,
Regional Development and Regional Identity
Munich

Professor Dr Christian Rödl
Managing Partner
Rödl & Partner GbR
Nuremberg

Professor Dr Bernd Rudolph
Professor at LMU Munich and
Steinbeis University Berlin

Henning Sohn
since 30 August 2016
Member of the BayernLB Supervisory Board
Chairman of the General Staff Council
since 1 August 2016
BayernLB
Munich

Ralf Haase
until 31 July 2016
Member of the BayernLB Supervisory Board
Chairman of the General Staff Council
until 31 July 2016
BayernLB
Munich

Board of Management (including allocation of responsibilities)

Dr Johannes-Jörg Riegler
CEO
Corporate Center
Deutsche Kreditbank Aktiengesellschaft

Dr Edgar Zoller
Deputy CEO
Real Estate & Savings Banks/Association
Bayerische Landesbodenkreditanstalt[1]
Real I.S. AG Gesellschaft für Immobilien Assetmanagement

Marcus Kramer
CRO
Risk Office
Credit Consulting
Group Compliance

Michael Bücker
Corporates & Mittelstand

Dr Markus Wiegelmann
CFO/COO
Financial Office
Operating Office

Ralf Woitschig
Financial Markets
BayernInvest Kapitalverwaltungsgesellschaft mbH

1 Dependent institution of the Bank.

(83) Related party disclosures

The BayernLB Group maintains business relationships with related parties. These include the Free State of Bavaria and the Association of Bavarian Savings Banks, Munich (SVB), whose indirect stakes in BayernLB are 75 percent and 25 percent respectively, non-consolidated subsidiaries, joint ventures, associates, Versorgungskasse I BayernLB Gesellschaft mit beschränkter Haftung, Munich and Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung, Munich. The members of BayernLB's Board of Management and Supervisory Board and their close family members, and companies controlled by these parties or jointly controlled if these parties are members of their management bodies are also deemed related parties.

The list of shareholdings gives an overview of BayernLB's investees (see note 79).

Relationships with the Free State of Bavaria

EUR million	2016	2015
Loans and advances	4,754	5,261
Assets held for trading	101	141
Financial investments	43	62
Liabilities	1,287	83
Liabilities held for trading	13	13
Subordinated capital	–	1,300
Liabilities held in trust	4,613	4,663
Contingent liabilities	4	4
Other commitments	1,065	965

The following were material relationships with companies controlled by the Free State of Bavaria, or which it jointly controls or has significant influence over:

EUR million	2016	2015
Loans and advances to banks	21	32
Loans and advances to customers	244	277
Risk provisions	–	1
Assets held for trading	40	89
Financial investments	30	30
Liabilities to banks	3,071	2,912
Liabilities to customers	38	53
Securitised liabilities	127	129
Liabilities held for trading	–	4
Assets held in trust	394	396
Contingent liabilities	1	–
Other liabilities	20	–

Relationships with the Association of Bavarian Savings Banks

EUR million	2016	2015
Liabilities	76	98

Relationships with investees

EUR million	2016	2015
Loans and advances to customers	**359**	**401**
• Non-consolidated subsidiaries	256	282
• Joint ventures	35	36
• Associates	67	83
Risk provisions	**90**	**67**
• Non-consolidated subsidiaries	67	62
• Joint ventures	23	5
Assets held for trading	**–**	**1**
• Associates	–	1
Financial investments	**10**	**10**
• Non-consolidated subsidiaries	10	10
Other assets	**3**	**4**
• Non-consolidated subsidiaries	3	4
Liabilities to customers	**100**	**126**
• Non-consolidated subsidiaries	80	111
• Joint ventures	2	2
• Associates	18	14
Securitised liabilities	**2**	**2**
• Associates	2	2
Provisions	**4**	**2**
• Non-consolidated subsidiaries	4	2
Other liabilities	**3**	**1**
• Non-consolidated subsidiaries	3	1
Contingent liabilities	**28**	**15**
• Non-consolidated subsidiaries	13	15
• Associates	15	1
Other liabilities	**9**	**7**
• Non-consolidated subsidiaries	4	3
• Joint ventures	1	1
• Associates	3	3

An expense of EUR 42 million (FY 2015: EUR 17 million) was recognised for non-recoverable or doubtful receivables in the reporting year.

In FY 2016, capital contributions were made to unconsolidated entities, joint ventures and associates in the amount of EUR 0 million (FY 2015: EUR 3 million). These investees repaid capital in the amount of EUR 36 million (FY 2015: EUR 20 million).

Relationships with other related parties

EUR million	2016	2015
Liabilities to customers	10	10[1]

1 Adjusted as per IAS 8.42 (see note 2).

As at the reporting date, there were liabilities to benefit plans as related parties of the BayernLB Group of EUR 10 million (FY 2015: EUR 10 million)[1]. In reporting year 2016, staff costs of EUR 10 million (FY 2015: EUR 4 million)[1] arose for contributions to the plan assets of Versorgungskasse I BayernLB Gesellschaft mit beschränkter Haftung, Munich and Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung, Munich.

Relationships with members of BayernLB's Board of Management and Supervisory Board

EUR million	2016	2015
Members of the BayernLB Board of Management		
• Deposits	4	2
Members of the Supervisory Board of BayernLB		
• Deposits	2	1

Remuneration of members of BayernLB's Board of Management and Supervisory Board

EUR '000	2016	2015
Members of the BayernLB Board of Management	**5,960**	**5,718**
• Short-term benefits	4,074	3,944
• Post-employment benefits	1,886	1,774
– defined benefit plan costs	1,886	1,774
Members of the Supervisory Board of BayernLB	**851**	**697**
• Short-term benefits	851	697
Former members of the BayernLB Board of Management and their surviving dependants	**4,127**	**4,292**
Former members of the BayernLB Supervisory Board and their surviving dependants	**45**	**45**
Pension provisions established for members of the BayernLB Board of Management	**12,443**	**7,864**
Pension provisions established for former members of the BayernLB Board of Management and their surviving dependants	**109,366**	**107,164**

1 Adjusted as per IAS 8.42 (see note 2).

The information on variable compensation under short-term benefits is based on the assumption targets are achieved 100 percent for financial year 2016 and a 100 percent positive sustainability assessment in respect of retained variable remuneration components for financial year 2015. The Supervisory Board is expected to decide on the payout and the exact size of the Board of Management's variable remuneration in the first half of 2017.

(84) External auditor's fees

The total fees for the external auditors for the financial year comprise:

EUR million	2016	2015
Financial statements audit	4	4
Other certification and valuation services	1	1
Other services	1	1
Total	**5**	**5**

(85) Human resources

Average headcounts for the reporting year were:

	2016	2015
Full-time employees (not including trainees)	**4,972**	**5,064**
• Female	2,087	2,151
• Male	2,885	2,912
Part-time employees (not including trainees)[1]	**1,962**	**1,859**
• Female	1,582	1,510
• Male	380	349
Trainees[2]	**106**	**111**
• Female	40	44
• Male	67	67
Total	**7,040**	**7,034**

1 Part-time headcount equated to 1,325 full-time employees (FY 2015: 1,241).
2 Including students on a work/study programme.

(86) Events after the reporting period

The following event of major significance to the BayernLB Group occurred after the close of financial year 2016:

In February 2017, BayernLB received recoveries on impaired receivables totalling EUR 54 million from a previous credit exposure.

No other events of major significance occurred after 31 December 2016.

Responsibility statement by the Board of Management

To the best of our knowledge and in accordance with the applicable reporting principles for financial reporting and generally accepted accounting standards, the consolidated financial statements give a true and fair view of the financial performance and financial position of the Group, and the management report of the Group includes a fair review of the development and performance of the business and the position of the Group, together with a description of the principal opportunities and risks associated with the expected development of the Group.

Munich, 13 March 2017

Bayerische Landesbank
The Board of Management

Dr Johannes-Jörg Riegler	Dr Edgar Zoller	Marcus Kramer
Michael Bücker	Dr Markus Wiegelmann	Ralf Woitschig

Auditor’s Report

We have audited the consolidated financial statements prepared by Bayerische Landesbank, Munich – comprising the statement of comprehensive income (including the income statement), the balance sheet, the statement of changes in equity, the cash flow statement and the notes – and the Group management report for the financial year from 1 January to 31 December 2016. The preparation of the consolidated financial statements and the Group management report in accordance with International Financial Reporting Standards (IFRS) as adopted by the European Union (EU) and the additional requirements of German commercial law pursuant to section 315a para. 1 German Commercial Code (HGB) and supplementary provisions of the Bayerische Landesbank Act (Gesetz über die Bayerische Landesbank) and the Statutes (Satzung) are the responsibility of the parent Company’s management. Our responsibility is to express an opinion on the consolidated financial statements and on the Group management report based on our audit.

We conducted our audit of the consolidated financial statements in accordance with section 317 German Commercial Code (HGB) and German generally accepted standards for the audit of financial statements promulgated by the Institute of Public Auditors in Germany (IDW). Those standards require that we plan and perform the audit such that misstatements materially affecting the presentation of the net assets, financial position and results of operations in the consolidated financial statements in accordance with the applicable financial reporting framework and in the Group management report are detected with reasonable assurance. Knowledge of the business activities and the economic and legal environment of the Group and expectations as to possible misstatements are taken into account in the determination of audit procedures. The effectiveness of the accounting-related internal control system and the evidence supporting the disclosures in the consolidated financial statements and the Group management report are examined primarily on a sample basis within the framework of the audit. The audit includes assessing the annual financial statements of those entities included in consolidation, the determination of the entities to be included in consolidation, the accounting and consolidation principles used and significant estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements and the Group management report. We believe that our audit provides a reasonable basis for our opinion.

Our audit has not led to any reservations.

In our opinion, based on the findings of our audit, the consolidated financial statements of Bayerische Landesbank, Munich, comply with IFRS as adopted by the EU and the additional requirements of German commercial law pursuant to section 315a para. 1 German Commercial Code (HGB) and the supplementary provisions of the Bayerische Landesbank Act and the Statutes of Bayerische Landesbank and give a true and fair view of the net assets, financial position and results of operations of the Group in accordance with these requirements. The Group management report is consistent with the consolidated financial statements, complies with the legal requirements, and as a whole provides a suitable view of the Group’s position and suitably presents the opportunities and risks of future development.

Munich, 13 March 2017

Deloitte GmbH
Wirtschaftsprüfungsgesellschaft

(Löffler) German public auditor (Wirtschaftsprüfer)	(Apweiler) German public auditor (Wirtschaftsprüfer)

Country by country reporting pursuant to section 26a, para. 1 sentence 2 of the German Banking Act (KWG) as at 31 Dec 2016

This report shows revenues, number of employees, profit or loss before taxes, taxes on profit or loss and state aid received for the reporting year by country on an unconsolidated basis. It covers the companies fully included in the IFRS consolidated financial statements.

The revenue shown is profit/loss before taxes, less risk provisions and administrative expenses, as reported in the consolidated financial statements. Taxes on profit or loss include current income taxes reported in the consolidated financial statements. The number of employees is shown in full-time equivalent positions.

Country	Revenue (EUR million)	Number of employees	Profit or loss before taxes (EUR million)	Taxes on profit or loss (EUR million)	State aid received (EUR million)
Germany	2,297	6,301	1,013	–126	0[1]
United Kingdom	–4	70	–46	0	0
Italy	6	10	10	–5	0
USA	87	85	42	–1	0
France	3	17	4	–3	0
Luxembourg	–30	0	–36	0	0

Name of foreign subsidiary/ investee	Type of business	Location	Land
Foreign branches of Bayerische Landesbank			
BayernLB London	Financial institution	London	United Kingdom
BayernLB Milan	Financial institution	Milan	Italy
BayernLB New York	Financial institution	New York	USA
BayernLB Paris	Financial institution	Paris	France
Banque LBLux S.A. i.L.	Other company	Luxembourg	Luxembourg
BayernLB Capital LLC I	Other financial company	Wilmington	USA
BayernLB Capital Trust I	Other company	Wilmington	USA

1 On 5 February 2013 the European Commission ruled that the following measures constitute state aid as defined in article 107, para 1 of the Treaty on the Functioning of the European Union:
a) the EUR 10 billion recapitalisation of Bayerische Landesbank by the Free State of Bavaria
b) the EUR 4.8 billion second loss guarantee provided to Bayerische Landesbank by the Free State of Bavaria
c) the EUR 15 billion in state guarantees provided to Bayerische Landesbank by Germany
d) the EUR 2,638 billion funding guarantee provided to Bayerische Landesbank by Austria
e) the transfer to Bayerische Landesbank of capital amounting to EUR 1 billion held by the Free State of Bavaria in Bayerische Landesbodenkreditanstalt

BayernLB 2016 Annual Report and Accounts

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The Annual Report can be downloaded as a pdf file
from www.bayernlb.com/ir.
It is also available in German.

The translation of the annual financial statements, comprising the balance sheet, the income statement and the notes to the financial statements, together with the management report and the report by the Supervisory Board of Bayerische Landesbank as well as the auditor's report is for convenience only; the German versions prevail.

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